

Castrol India Ltd. (CASTROLIND)

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Call: Aug 2022

5 August 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 2Q FY 2022

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Tuesday, 2 August 2022 is enclosed herewith. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2022

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: a/a

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"Castrol India Limited 2QFY2022 Earnings Conference
Call"

August 02, 2022

MANAGEMENT : MR. SANDEEP SANGWAN –MANAGING DIRECTOR,
CASTROL INDIA LIMITED.
MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER,
WHOLE-TIME DIRECTOR, CASTROL INDIA LIMITED.

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Moderator: Ladies and gentlemen, good day and welcome to 2Q 2022 Earnings Conference Call of Castrol India Limited. We have with us Mr. Sandeep Sangwan - Managing Director, Castrol India Limited, and Mr. Deepesh Baxi - CFO and Whole-Time Director, Castrol India Limited.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sandeep Sangwan. Thank you and over to you, Sir.

Sandeep Sangwan : Good afternoon, everyone, and thank you for joining us today. I hope you and your family are doing well and are safe and healthy.

We are pleased to share that Castrol India Limited has delivered strong performance in the 2nd Quarter and half-year ended 30th June, 2022. I would like to highlight once again that we follow the Jan to December period for our reporting.

In 2nd Quarter 2022, Castrol India registered revenue from operations of Rs. 1,242 crores and profit before tax of Rs. 280 crores. Our 2nd Quarter performance was in the backdrop of a volatile market environment where we had to balance rising input costs, while maintaining an optimal price and volume mix.

And I am sure all of you kind of been reading the news and the volatility that the businesses are seeing in the first half, and it's likely to possibly continue in the second half also. So, to take care of the rising input costs, we affected two price increases in the first half of the year, which enabled us to deliver a resilient performance, and helped our business stay ahead of 2nd Quarter 2021. Though, we felt a bit of pressure on volumes and margins, as compared to the 1st Quarter of 2022, which is a sequential previous quarter.

As we progress further into the year, we will keep balancing the need to drive growth, and serve our customers needs while protecting our margins as inflationary and Forex pressures are likely to continue in second-half of 2022.

I will now invite Deepesh, our CFO to take you through our numbers and financial performance in a bit more detail. Deepesh, over to you.

Deepesh Baxi : And good afternoon to all, hope everyone is doing good. Let me share key highlights from our 2nd Quarter and 1H 2022 Results which we declared yesterday.

In 2Q 2022, we reported a strong financial performance. Our revenue from operations was Rs. 1,242 crores, which marked a growth of 40% compared to Rs. 890 crores in the pandemic impacted 2Q 2021. This was higher by half a percent, from Rs. 1.236 crores compared to the sequential quarter 1Q 2022. Our profit before tax was Rs. 280 crores. And this was up 47% from Castrol India Limited

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Rs. 190 crores into Q2 2021, a drop of 11% from Rs. 311 crores in the sequential quarter 1Q 2022.

With our 2Q Results, our 1H performance looks good, with half yearly revenue from operations of Rs. 2,477 crores, about 22% growth and profit before tax of Rs. 591 crores and profit after tax of Rs. 435 crores so that's up 13%.

The Board of Directors of the Company have declared an interim dividend of Rs. 3 per share. Overall, we remain confident of our strong business fundamentals and long term profitable growth in India.

I would now like to hand over back to Sandeep. Over to you, Sandeep.

Sandeep Sangwan : Besides the financial performance, I would like to draw your attention to some key business developments at our end. First of all, building on our strategy to be future-ready, we are foraying into service and maintenance with new formats such as Castrol Auto Service and Castrol Express Oil Change outlets.

In 2nd Quarter we expanded our Castrol Auto Service reach to 163 multi brand passenger

car

workshops and 90 plus cities across India. And our Castrol Express Oil Change outlets, which are present at Jio-BP mobility stations across India, expanded to 39 and the plan is to further

grow both these formats. The outlets offer two-wheeler consumers swift and reliable oil change on the go, and this is the Castrol Express Oil Change outlets.

In addition, we are also exploring collaborations with electric vehicle OEMs to help advance electric mobility in India, while continuing to launch new superior performing products in the traditional lubricant space.

We strengthened our product portfolio with the launch of CRB Plus CI-4 for agriculture vehicles, and GTX Diesel CI-4 Plus variants, upgrading the specifications of the products to offer better protection and performance. We launched Castrol Power 3 in 1 with Synthetic Technology. The new formula provides excellent acceleration, excellent protection and smooth riding.

The 2nd Quarter also saw the launch of our integrated campaign on Castrol MAGNATEC, leveraging mass-media platforms, digital, connected TV and digital innovations. The campaign highlights the superior protection offered by Castrol MAGNATEC from every stock.

I would also like to draw your attention to a strategic global announcement made by BP yesterday, where BP plans to invest up to £50 million which is roughly about Rs. 500 crores in a new global battery research and development center in Britain. This is of strategic importance to Castrol as the new facility will be housed at Castrol's global headquarters in Pangbourne, Berkshire in UK. And the Technology Center is expected to open in 2024. This will give us new muscle to be far more relevant and competitive in the EV future, which is beginning to unfold across geographies now.

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And the new facility will also help us to work with car manufacturers around the globe, to co-engineer future battery technology and associated thermal management fluids. It will also look to develop future technologies required to help, to enable ultra-fast charging.

This significant new investment will now allow us to build additional strategic technologies and capabilities to further advance EV sales for the future as I said before. And this facility will also be an amazing showcase to demonstrate our integrated technology expertise to customers as we help drive the transition to EVs.

On that note, I would like to open the session for your questions.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Parthiv Jhonsa from NVS Brokerage. Please go ahead.

Parthiv Jhonsa : My questions are quite simple, the first question is will the growth momentum continue for the next two quarters, that is till December of this year, considering the vehicle sales have been improved and the overall scenario as far as the four-wheelers are concerned, it is showing some kind of an improvement.

Point number two, with you entering into this new agri space of lubricants, what is the potential there?

My third question is, how do you perceive this entire EV, because you gave a quite a good description at the start, but just want to understand in detail, how do you perceive the entire EV space and the lubricants in the EV space going forward?

Sandeep Sangwan : So, kind of, let me try and answer all the questions that you asked. The first question is, do we continue foreseeing the growth in the balance two quarters, I would just like to remind that this quarter, the 2nd Quarter Results should also be looked at in relation to the 2nd Quarter of last year which during April, if you remember the nation went through the horrible thing of COVID second wave or the pandemic second wave. So, April in last quarter was a bit subdued. So, while we expect growth to continue, it may not be at the same level in the 3rd and the 4th Quarter, but

our intent is to continue driving growth. That's point number one.

Second is as far as these are concerned, I think EVs will come, okay, it's a question of when and how fast not whether they will come or not. But I think we are fully prepared for an EV future.

I think I would just like to remind everyone on the call that we foresee based on our projections, given the low penetrations of four-wheelers in India, specially cars in India, we expect the lubricants market to continue to grow well into 2035, 2040. So, the traditional legacy business will continue to be strong, while the world transitions and we will see faster transitions on three-wheelers and two-wheelers.

From a fluids perspective, we have launched a global brand of EV fluids called Castrol ON.

Currently it is being supplied to OEMs because in the aftermarket, there is not so much of

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demand given that the car park or the vehicle park is very small, but we have a range of E-coolants, transmission fluids, E-transmission fluids. We have a range of E-greases, which are relevant for the EVs.

Your third question was around agricultural sector, I think we have always played in agricultural

sector it's not that we are entering the agricultural sector now. It's a important part of our business. I think what we have introduced some new products in that segment, which help us our customers get better performing products, and also the latest specification. So, agricultural sector was and will continue to be an important sector for us.

Parthiv Jhonsa : The market share of our Company as on date in the market?

Sandeep Sangwan : So, Parthiv, our share is around 20%, 21%, 22%. And typically it stays in that range. And last year we grew our share, this year is also at similar level. There are some segments which are up, we have gained share on cars. There are some segments which are under pressure, due to all the rising cost inputs and the pricing pressures and the premiums. But it is in the range of 21%, 22% in the automotive aftermarket, retail.

Moderator : Thank you. The next question is the from the line of Girish Shetty from Banyan Tree Advisors. Please go ahead.

Girish Shetty : Firstly, if you could help me out with the volume numbers for the quarter?

Deepesh Baxi : So, volume this quarter was around 56 million liters.

Girish Shetty : And just wanted to understand, on a long-term basis, my first question is like, in the last five years, if I see your revenue growth of say around 4.5%, most of it has come from realization, and very few was around volume growth. So, I just wanted to understand the future trend, how is the growth likely to come from and if you could just give an idea of how the realization will tend to move and the volume would tend in the future. Would it be on the same lines or you are expecting something different.

Sandeep Sangwan : So, maybe I will take that at a very top level, I think and then Deepesh you can expand on that. I think if you talk of the last 3, 4 years, last two years have been COVID impacted and that's why in 2020 and in 2021, the volumes actually were lower if you compare it to 2019. But I am very happy to kind of state that actually, this year in the first half our volumes are ahead of 2019, which was a pre-pandemic normal year.

So, the intent is definitely to grow volume and also grow turnover. And we made some interventions on some of the product categories where we thought we were too premium. So, going forward, our intent is not only to focus on realization per liter, but also drive volume growth and top-line growth through a combination of volume and turnover.

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Deepesh Baxi : And then going forward, clearly there is a focus on areas that Sandeep had initially explained in his opening remarks around, we have got into the Service and Maintenance space, we have got these outlets,

which is growing month-on- month. So, the focus is to find new avenues on how we can grow volumes, and at the same time, clear focus of growth and market share.

Girish Shetty: And my last question would be in the annual report you also mentioned about implementing a big change in your B2C sales model. So, if you can elaborate or just give us an idea on what is it and how is it progressing right now?

Sandeep Sangwan : What we have done as we moved all our distributors, sales reps, which were around about 1100 people, to an agency sourced model. So, a professional sales agency, which is kind of hosting all our distributor sales, what used to be distributor sales people and I think that's giving us very good results, based on a number of factors.

First of all, I am really happy to say that we have been able to move all these 1100 odd people to a formal employment structure, because in distributed businesses, many of these were getting social benefits, but some of them were also not getting. So, we moved them to a more formal employment structure where they get benefits such as insurance, social security. So, I think from a community perspective, it's a very good thing.

The second is, it's also helping us professionalize feet on street. So, we are able to give them much better professional training, make them much more capable and also improve the discipline of operations. As a result, we are seeing key positive influence on factors such as our coverage or sales productivity. So, overall, I think it's moving in the right direction, and we are very satisfied with the change.

Moderator : Thank you. The next question is from line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika : So, I have two questions. Firstly, regarding this, this global, this UK center of BP. So, how important is it? Or how substantial is it versus what BP has done so far in the battery and EV space?

Sandeep Sangwan : So, I think it's a significant investment, it's a quite a significant investment because so far, we were researching on fluids. And as I said earlier, we have already launched a range of E-Fluids based on our current kind of technological capabilities, but £50 million investment or Rs. 500 crore investment will definitely give us much more muscle to work with OEMs because a lot of European OEMs like the VW, BMW, Mercedes, they are all based out of Europe, and it gives us much more robust capability to work with them as EV technology advances.

And if you would allow me to say, I think battery technology will be a key driver of future EV adoption, because the issues such as range anxiety, the issue such as thermal management for fast charging. So, I think it's a huge step and significant step from BP or Castrol to become far more technologically advanced and be able to help our customers in the EV space.

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And how it helps India, is globally Castrol has our headquarters in UK, and we get access to all the R&D that our Global Innovation Center does. So, we will have access to better technology and better products for EV vehicles.

Sabri Hazarika : So, this is more like an integrated thing rather than just being restricted to EV fluids, is that right?

Sandeep Sangwan : So, one is, it will focus on batteries because we already have Engine Testing Center and R&D capability, as far as traditional internal combustion engines are concerned. And now we are kind of investing in future technologies and battery is a key area of technical innovation as far as EVs are concerned. So, that's we are making the business future ready.

Sabri Hazarika : Are you in any way suggesting that battery manufacturing for E-Vehicles is something which might be looked into, in the medium term.

Sandeep Sangwan : No, I would not like to speculate, I think as far as our intent right now is to support the EV fluid development in battery, as I said, the the

ermal management of batteries. I think that's the scope

of the conversation. What may happen or not happen in future is pure speculation.

Sabri Hazarika : And just one small second question, with respect to your non-lubricant businesses, whether it's like Car Care or other segments. So, do you have a certain sort of revenue or EBITDA target, EBITDA share target to be more specific, say 5 years or 10 years down the line? So, how do you see about it? And how do you like, how do you feel that in terms of the size considering that's still a small market in India, what makes you confident that it can be like substantial probably say, 5, 10 years down the line?

Sandeep Sangwan : So, responding to first part of your question, we have not set any target for EBITDA anything like that for next 5 years, or 10 years. I think as you yourself was saying it's a very small category in India, but a category we believe will expand, it's like the decorative. Or when iPhone came there was no accessories market for mobile phones. But suddenly, when iPhone came out, there is a huge accessories market. And I think as the ownership of cars grows in India, I am sure there will be a huge play for Car Care products. And that's why we are kind of testing with this. Just to share with you we expanded our presence to about 10 cities as part of that learning experience. We have learnt about products, which products sell, which products don't sell, that way we have made our product range much more sharper, okay. And the intent is to kind of continue building that category. All categories start small at end of the day, but we believe there is potential in this category.

Moderator : Thank you. The next question is from the line of Himanshu Upadhyay from O3 Investments. Please go ahead.

Himanshu Upadhyay : I had two question, first was on the consumer behavior, whenever we have seen such a steep price hikes are customers doing or prone to go to lower price points or downtrading or people

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differ the change or engine oil change? And how difficult is to get back the customers, if they do downtrading? Can you elaborate historically how the mindset of people have behaved?

Sandeep Sangwan : So, I think you will see a multiplicity of behaviors, Himanshu. As you said, some consumers would postpone the servicing of their vehicles. And some consumers would potentially look at cheaper options. I think the way we address that market is, first of all, we believe in giving the right value to our consumers from a product performance perspective. And it's not only our category which is inflationary. I think there is inflation all across.

I think as long as you give customers the assurance of a good product that protects their asset, in this case, it could be a car or a motorcycle, and helps build longevity of that asset. Consumers are willing to pay a premium, and I think we have enough technological superiority in our products, to deliver that value to our consumers.

The second thing I would say is we just don't have premium products we also have a portfolio of products across spaces, which give consumers choice of various price points, various products across the segment. So, that is how we kind of, but end of the day, I think if consumers trust a brand, if they believe the brand is giving them good value for money, they are willing to pay the premium that we have.

Himanshu Upadhyay : See there are categories like where people use the vehicle for commercial purpose. And there are categories where you use it for personal purpose. So, is downtrading more prevalent in commercial, is that the case? Or you find whatever happens or the deferring happens in both the

segments?

Sandeep Sangwan : I think, I would not like to segregate commercial or personal vehicles because at the end of the day vehicle is an asset. In case of commercial vehicles, that asset is providing livelihood to

people so they want to take care of that asset. And personal mobility, that asset is for their own use so they want to protect that asset. So, I think the downtrading behaviors or deferring services behaviors, potentially occur more I think more in the personal space, commercial vehicles, the vehicles have to keep running. Okay, that's why maintenance so important. Any downtime on a commercial vehicle is a loss of revenue for the asset holder. So, I think it's a very complex kind of a situation. But again, let me reiterate, if consumers or customers see value in our products, they will continue buying us and that's where we focus on.

Himanshu Upadhyay : And second question, see we stated in our Annual Report that on industrial side, there was strong momentum, but second half the momentum got reduced. And so how is it?

And one more thing on B2C, we are making a lot of efforts to grow that business and which may have eventual challenge, very long dated challenge. But on the B2B segment on industrial and marine, where the challenge is not going to be there, at least in the foreseeable future. In what special or what efforts can you do to make that bigger and more profitable and sustainable? Are you thinking about putting more services on that business? And what is the traction in that business means on the industrial side?

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Sandeep Sangwan : So, pretty long question. And I do want to kind of give more time to others also, to other question. But in summary, I think in the second half of last year, the industrial sales are related to manufacturing activity in the country. And I think we just felt a bit of a slowdown in the second half in the overall kind of environment. And that's why we saw a slowdown.

I think, as I said, the traditional lubricants market and automotive also will continue to be strong till 2035/2040 that's our projection, time will tell. But we are also focusing on industrial products and like automotive, our focus on industrial is in segments, where we can give a differentiated value proposition to industrial customers, and where we can make a difference in performance of their machines or their equipment or their assets. So, there are specific sectors we play in where we can be differentiated in premium. And this is an area where we will continue investing an even in industrial, we are also kind of moving from products to products and services, so giving digital solutions, working in areas such as predictive maintenance so that we can help create value for our customers. So, industrial will continue to be a focus area.

Moderator : Thank you. The next question is from the line of S.M. Kumar, Retail Investor. Please go ahead.

SM Kumar : I would like to know about what are your future plans regarding EV, how much capital allocation towards on the EV research space? Can you throw some color on that?

Deepesh Baxi : So, I mean, as Sandeep mentioned earlier, EV is front and foremost as part of our strategy, right. And the way we are investing in EV is on from twofold. Firstly, the investment is happening at a global level. And the benefits of those investments is also taken by growth countries like India where the advent of EV is going to be much faster than what it has been in the past, so that's one. And building up this Technology Center is clearly an example of that.

On the other side, we are constantly in conversations with the OEMs and bases that whatever investments we need to make in the plant or in terms of our business, right. We have cash on hand and that's clearly a part of our strategy. I am unable to give you at this stage a clear number, if that's what you are looking for, but in our forward-looking plan and strategic goals, this is at the core of our strategy.

SM Kumar : My second question regarding Jio and BP partnership, how much charging centers can we expect next year, same time, any numbers?

Sandeep

Sangwan : So, I think I wouldn't like to talk about Jio BP, my request would be to reach out to Jio BP press office. They have a press office and they will be able to answer your questions, I cannot answer on their behalf.

Moderator : Thank you. Next question is from line of Akshita Ray from Green Portfolio. Please go ahead.

Akshita : I have two questions. My first question is based on EV lubricant, like EV transition is very much visible, though still on a small scale, but with rapid growth. In this reference, can you please tell

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me how much rupee worth of various oils like engine brakes, gear oil etc. used in ICE against EV in a year?

Sandeep Sangwan : Well, I don't have those numbers because the market is still evolving. And I think depending on

the kind of technology the EVs will evolve to, will determine the number of fluids because you could have in future, let's say liquid-immersed batteries for better thermal management. So, right now what I can say is in the dry battery spaces, the requirement of E-fluids is much lower than what you use in an internal combustion engine because these vehicles don't use engine oil. But I don't have any rupee comparison or rupee numbers to share at the moment.

Akshita: My second question is also on EV, like assuming that ICE vehicles stopped running on roads and EV has taken over 100%. Further assuming that we have same share in EV fluid market as we have today in lubricant market, what will be our sales on full year bases?

Sandeep Sangwan : Too early to start speculating, sorry on that. I would say our intent is to also have leadership in EV fluids as the market evolves, as I said earlier, as far as India is concerned, I think even in a 2035, 2040, there will be robust lubricant demand. Just to give you a number, our car penetration in India is about 22 cars per 1000 population. In China, it's in the 300 in Europe, it is in 600, and then U.S. it is in 900s per 1000 population. So, there is a lot of room for growth in penetration and all this cannot be fulfilled by EVs, because EVs have to be a combination of infrastructure and everything. So, that's why we see trade here, a pretty robust growth getting into 2030s or early 2040s as far as India is concerned. And how EV technology will evolve in 2040, could be very different from what we see today. So, that's our view right now, while we are working on future EV ready business, too early to start kind of projecting on total sales volumes and how will 2050 look like? I think it's too early to say that.

Moderator : Thank you. Next question is from line of Vipul Kumar from Sumangal Investments. Please go ahead.

Vipul Kumar : My question is what percentage of turnover right now we are getting from EV related products like E-fluid and etc. And where do you see it five years from now?

Sandeep Sangwan : I think just to put things in perspective, last year, only 0.2% of total vehicle sales were EV. So, currently, we supply EV fluids to two of the larger car manufacturers, which is in India. But in terms of numbers, it's still very small. It's insignificant to our total business.

Vipul Kumar: And where do you see five years from now that number, any guess?

Sandeep Sangwan: It will still be pretty small.

Vipul Kumar: And my second question is base oil prices must be coming down with crude oil prices. So, benefit of that, which quarter will it get reflected?

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Deepesh Baxi: So, firstly, I just wanted to clarify that not always do you find, crude linkage with the base oil, in terms of the price increase and decrease. And if you have followed some of the comments, we have given last year, which was the opposite last year. But having said that, from the projections that we are sort of looking at, it feels like in 3rd Quarter, our 3rd Quarter, the pressure on the base oil price will continue.

So, it will continue to increase. And towards the end of the last quarter, early next year is when we will start seeing softening of the base oil.

I think the other factor that is worth considering is, Foreign Exchange is clearly an element of the overall input cost. And with rupee at all-time high, that definitely puts a bit of pressure on the margins, but we have a hedge strategy, we have covered in 3Q. So, from that point of view, we are well placed. But in summary seeing today's prediction, 4th Quarter, late 4th quarter is what base oil will come down.

Moderator : The next question is from line of Nimesh Maheshwari from RS Ventures. Please go ahead.

Nimesh Maheshwari : I have one question only. Can you share the split of revenue among the two-wheeler, three-wheeler, or like four-wheelers, EV and commercial retail space? How much revenue you generate?

Deepesh Baxi : So, I will probably talk about the core business breakup we will keep EV separate, EV as Sandeep mentioned, it's early days, so that's a small part of our revenue portfolio. But in terms of the turnover, almost 50% comes from personal mobility which is cars and bikes. And then commercial vehicles is roughly around 35% to 40%, it ranges depending, and then the balance is the industry portfolio.

Moderator : Thank you. Next question is from the line of Hemang from Kotak Securities. Please go ahead.

Hemang: I have a couple of them. So, you all just spoke about base oil prices, so just to get a more sense on that. Towards the previous quarter, we had indicated base oil prices being about \$900, which had increased to about \$1,000 per ton, or \$1,100 rather. Could you please help with what base oil prices have averaged roughly for this quarter? And when we look at base oil prices easing out towards 4Q, in the previous year, base oil prices averaged about \$1,200 to \$1,300 per ton I understand you can't give an exact number on that. But what would your sense be, where would that number settle around?

And the second part was on the realization front. If we look at realizations in the previous few quarters or even on a YoY basis, you all have done a really fantastic job in raising the realizations like give or take Rs. 20 to Rs. 25 odd. How do you look at realization going forward? Has there

been any price hike which you all have taken to pass on base oil prices in the current quarter? And when you look at that from a possibility from demand elasticity point of view, how does that actually work out? Do you all have enough pricing power to be able to continue with these price hikes? Or does it start impacting personal mobility at a particular point? And how is it also working out in this EV space?

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Sandeep Sangwan : So, I think I will answer the second part of your question on pricing, demand, elasticity, I think we monitor the situation very closely. And I think as I have always maintained, it's a fine balance between volume expectation and margin protection. And we will continue doing that. And we will continue taking action. For example, we took price increases, but somewhere on two-wheeler segment, we felt a bit more pressure. So, we gave a consumer price or promotion, which is in public domain, nothing secret about it. So, we gave Rs. 15 off per liter on Activ, which is one of the largest brands. And we will continue monitoring the situation as we go forward into second half of this year, and the situation is going to stay volatile.

The base oil prices haven't really started coming down as Deepesh was saying it's a multiplicity of factors, it's availability, it's what refiners do, because they are getting better margin on diesel now, so there is base oil versus diesel. So, there are all kinds of factors that go into base oil pricing.

Deepesh Baxi : So, you are right, I think initially, I think last time I had said something around 1100 is where we were looking at. A

nd that's exactly where we kind of landed on 2Q. I just wanted to clarify, I mean, this is not, I am not just talking about our consumption rate, right, I mean, this is really the market rate, as well. We have a medium-term contract, and we do lots of activities to make sure that we get the best rate. But just to give you an idea, 1100 is what the base oil was average around this quarter. And going forward, it is expected to go up in 3Q, it will come down in 4Q. From a pricing point of view, we again don't look at it very tactical, we took one in March. And by the way, that quarter that we are talking about something like 900, 950. And we knew three months going forward, this is the range of the base oil. So, we have put that into our pricing strategically.

Again, if base oil is going to go up in the next couple of months, we will decide looking at next three to six months horizon, whether we want to take price increases or not. But you know, you just go back last four or five quarters, you will see that our sales per liter and our base oil costs are COGS per liter we manage our margins in a way that we are able to recover that makes sure that we don't become high premium. And that's the way we make sure that we protect our margin.

Moderator : Thank you. The next question is from the line of Hemal, Individual Investor. Please go ahead.

Hemal: I actually have two questions actually; other expenses increased a lot this quarter-on- quarter.

What was the reason for that? And if you can share where you believe, like how much of a rise you think the base oil will have in Quarter 3, like \$50 to \$60 or even higher than that?

Deepesh Baxi : So, other expenses includes the various elements, it includes trade, it includes insurance, travel.

So, when you look at previous quarter, clearly, there are variable costs, which are dependent on volume increase. And freight is one such, which has actually been a double-whammy, with of course volume freight goes up, but then there is a (Inaudible 00:43:42) cost increase. So, freight is one element of that. Then, last year, not everybody was traveling, both from the sales side, and we are all in the market. So, from that point of view, although this is within our plan, so we don't see a reason to worry about that cost has gone up.

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August 02, 2022

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And the other element is general inflation, insurance costs, term insurances, the health insurances, the transport insurances, there is a huge downside on that cost. So, those are the three or four main reasons why the other expenses has gone on.

Hemal: Where do you expect the base oil price to go next quarter as you are saying it's expected to rise, what is your estimate?

Deepesh Baxi : I mean, about anything between \$100 to \$150 -- yes maybe more. It is very difficult to predict, see, I mean, because there is an element of FOREX as well. And I just wanted to say something more, base oil is one part, but when you look at the overall COGS portfolio, or input cost, there are other elements as well, like additives, packaging. And sometimes when base oil goes up, there is a corresponding effect on some of the other aspects of the input cost also.

So, it's a mixed bag in terms of the overall increase. So, we wouldn't want just base oil to be a key element for when we take pricing decisions, because then we also have some forward buying. So, we will average on that as well.

Hemal: What is the volume growth here, you said 56 million was the volume. What was the, I don't have

the last year's numbers, so if you can tell me last year's number, was the volume growth?

Deepesh Baxi: So, we grew 20%, 22%, actually over last quarter 2Q, '21.

Moderator: Thank you. Ladies and gentlemen due to time constraint we will take that as the last question. I now hand the conference over to Mr. Sandeep Sangwan for closing comments.

Sandeep Sangwan : Thanks to all the people who asked questions,

and thanks for your interest in Castrol. And I

think, as Management of this Company, we will continue to focus on top-line growth, which has been one of the areas where we are putting in some programs and initiatives, which are beginning to bear fruit. So, top-line growth will continue to be a focus and it will be a combination of volume and realization. And I think we are committed to also protecting our margins, but giving fair value to our consumers and customers and keeping that balance right.

And have a good day, and hope to speak to at the end of the next quarter. But our sense is the second half will also continue to be very volatile, but we have good capable team, as in the Management team and the people that we have in our business, to face those challenges. So, thank you for your interest and have a good rest of the day and stay safe. Thank you.

Moderator : Thank you very much. On behalf of Castrol India Limited that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

Call: Nov 2022

4 November 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 3Q FY 2022

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Tuesday, 1 November 2022 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2022 --- 3Q FY 2022

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

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"Castrol India Limited
Q3 FY '22 Earnings Conference Call"
01 November 2022

MANAGEMENT : MR. SANDEEP SANGWAN – MANAGING DIRECTOR –
CASTROL INDIA LIMITED
M R. DEEPESH BAXI – CHIEF FINANCIAL OFFICER &
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

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C H O R L L'
Castrol India Limited
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Moderator: Ladies and gentlemen, welcome to our 3Q 2022 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode. And you can ask your questions after the remarks. If you need assistance during the conference call, please press star then zero on your touchtone phone to reach the operator. We have with us Sandeep Sangwan, Managing Director, Castrol India Limited, and Deepesh Baxi, CFO and Whole-time Director, Castrol India Limited.

I now hand the conference over to Sandeep. Thank you and over to you, sir.

Sandeep Sangwan: Thanks. Good afternoon, everyone, and thank you for joining us today. I hope you and your family are doing well and are safe and healthy. We are pleased to share that Castrol India Limited has delivered a resilient performance in the third quarter and nine months ended 30th September 2022. Our third quarter performance was in the backdrop of extreme ForEx and inflationary pressures arising from volatile crude oil prices, leading to rising cost of additives and base oil. To safeguard our margins and deliver bottom line growth, we employed rigorous pricing and cost management. The inflationary and ForEx pressures will most likely continue in fourth quarter '22 and our top most priority will be to continue driving growth in line with our strategy and serving our customers' needs while protecting our margins. The balancing act in our view will need to continue at least for a couple of quarters.

I now invite Deepesh to take you through our numbers and financial performance in detail.

Deepesh Baxi: Thank you, Sandeep, and good afternoon to everyone. Let me share with you some key financial highlights from our third quarter and nine month 2022 results, which we announced yesterday. In third quarter 2022, we reported strong financial performance. Our revenues were up by 4%. The total revenues were INR 1,121 crores compared to last quarter of INR 1,073 crores. Profit before tax was INR 254 crores, up 2% from INR 250 crores in 3Q 2021. With our 3Q 2022 results, nine month revenue from operations stands at IN

R 3,598 crores and this was a growth of 16% compared to INR 3,102 crores in nine month 2021.

Our profit before tax for nine month 2022 was INR 845 crores, 9% higher than nine months 2021, which stood at INR 772 crores. Overall, we remain confident of our strong business fundamentals and long-term profitable growth in India.

I would now like to hand the call back to Sandeep.

Sandeep Sangwan: Thanks, Deepesh, for sharing those numbers. Besides the financial performance, I'd like to draw your attention to some key business developments at our end. First, as part of Castrol's ongoing sustainability initiatives, we introduced a new more sustainable packaging for our premium engine oil brand POWER1 ULTIMATE for two-wheelers, in line with our Global Path 360 sustainability agenda. The brand will now be available in a 100% post-consumer recycled or PCR bottle made from reprocessed plastic waste instead of virgin plastic.

Plastic waste management is an important aspect of Castrol's sustainability roadmap for India.

In '21, we had introduced new lightweight bottle designs for our medium packs, which is 3 liters Castrol!

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to 5 liters, that reduced our plastic use on average by about 20% per liter. Our new Castrol

POWER1 ULTIMATE bottles are the first 100% PCR plastic lubricant bottles in India.

An integral element of our future-ready strategy is our foray into the automotive aftercare market and into service, maintenance and repair. We're making good progress in this segment with our Castrol Auto Service workshops and Castrol Express Oil Change centers. In third quarter, we expanded our Castrol Auto Service network reached to 210 multi brand passenger car workshops in 110 cities across India. Our CAS workshops are equipped to serve both EV and non-EV segments.

Our Castrol Express oil change outlets, which are present in GOBP mobility stations across India expanded to 42. The outlets offer two-wheeler consumers swift and reliable oil change on the go. To continue supporting mechanic upskilling and contribute towards the transition to greener and more sustainable mobility, Castrol India introduced a unique EV readiness training program for mechanics. Over 100 top tier car and bike mechanics underwent the ASDC endorsed training in New Delhi and also previewed the Castrol ON range of advanced EV fluids, which will soon be launched in India.

In addition to our current EV partnerships with Tata Motors and MG Motors, we are also exploring further collaborations with electric vehicle OEMs to help advance electric mobility in India and supporting mechanics to get EV ready while continuing to launch new superior performing products in the traditional lubricant space.

Earlier in the second quarter, we'd also shared about BP's plans to invest GBP 50 million or roughly about INR 500 crores in a global battery research and development center at Castrol's global headquarters. This technology center is planned to be operational in 2024, which will help us find solutions for our customers on thermal management of batteries, which is a key pain point as far as EVs are concerned.

So we continue exploring opportunities in the EV space to create value and solutions for our customers. And on that note, I'd like to open the session for your questions.

Moderator: Thank you, very much. We will now begin the question-and-answer-session. If you wish to ask a question, please press star and one on your touchtone telephone. If you wish to withdraw your questions from the question queue, please press star and two. Participants are requested to use handsets while asking a question. Also in lieu of time, will stick to two questions per person. If you have any further questions, kindly rejoin the question queue. Ladies and gentlemen, let us wait for a moment while the questions come in.

The first question is from the line of Chetan Shah from Jeet Capital. Please

go ahead.

Chetan Shah: Sir, congratulation on a good set of number.

Moderator: Sir, if you can take the phone off speaker, please? The audio is a bit muffled, sir.

Chetan Shah: Actually I'm on a hand phone. Just a second. Now is it okay? Castrol!

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Sandeep Sangwan: Continue, Chetan, we can hear you.

Chetan Shah: Two quick questions. First question from my side in terms of understanding the new business opportunity specifically into services and services side of the business, which you kind of partly elaborated in your previous call. But if you can give us some sense that what are we looking at in this business for next three years to five year time horizon and how do you see this business switch to our existing core business? One is that.

And second, to extend your opening comment about BP investing into EV R&D facility on Castrol Global. How do you see that reflecting into Castrol India's operation and opportunity going forward? These are the two very specific questions from my side, sir.

Sandeep Sangwan: Chetan, let me first kind of respond to your question on service and maintenance. So if you look at Castrol in India has a legacy of about 100 years and consumers trust Castrol as a brand.

Consumers have a huge trust on Castrol as a brand for providing quality products. We want to take that trust into the service area by working with premium workshops across India in providing service and maintenance solutions to consumers and that offering is based on a concept of a certified workshop in the aftermarket. Because one of the pain points consumers have is in the independent aftermarket, they don't know which work shop to trust the quality and the service offered unlike a franchise dealership.

So what we are creating is a network of workshops where consumers can get quality service from a trusted certified workshop. When I say certified, these workshops are certified by a certification agency which in this case is TUV as they call it in Germany. And our intent is as the service and maintenance ecosystem develops and gets more, if you say, consolidated, we play into that opportunity. So while we provide lubricants in future, we will continue adding more services to serve our consumers and customers. So that's the first one.

The second is Castrol India has always leveraged the R&D and technology support available from our global headquarters, which is located in United Kingdom. Just to give you a very small

example. When BS VI specifications came in India, Castrol was the first company to have a BS VI ready portfolio for our customers because in Europe that had happened quite a few years ago. So similarly as EV technology develops by having a technology center based out of UK and working with a large number of European and global OEMs and when I say global OEMs; it's European OEMs, we have very strong relationships with some of the big Chinese OEMs which are becoming big names in EV space. So Castrol India will get the advantage of products and technologies, which have been proven in developed markets for electric vehicles, and we'll be able to leverage that to serve the needs of consumers and customers in India.

Chetan Shah: Just a small clarification. No, just a clarification on the previous question. So when you spoke about the service center, will this all be owned by Castrol or it will be owned by somebody else and we'll be certifying that? Just that clarification, sir.

Sandeep Sangwan: Yes. So these are not owned by Castrol. These are certified by Castrol to provide quality services. These are entrepreneur owners who run these workshops and we're not going to change that Castrol!

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model. I think our intent is to support these people in professionalizing their workshops, professionalizing their services and give better services to the consumer

s.

Moderator: Thank you. Reminder to the participants, please limit your questions to two per participant. The next question is from the line of Nitin Tiwari from YES Securities. Please go ahead.

Nitin Tiwari: My questions are book-keeping ones. So what was the volume for the third quarter and for the nine month period?

Sandeep Sangwan: So I'll let Deepesh take that.

Deepesh Baxi: Right. Nitin, the volume for third quarter was in the range of 47 million to 48 million liters.

Nitin Tiwari: And for the 9M period?

Deepesh Baxi: Yes. And for the 9M period, it was 162 million liter in that range.

Nitin Tiwari: And secondly, I noticed that there is a sharp drop in your other expenses in this quarter vis-a-vis previous quarter and also same quarter last year, so what could be the possible reason for that?

And related to that only, if you can elaborate a little bit on how does ForEx impact our business and where it is accounted for?

Deepesh Baxi: Sure. So the other expenses have dropped mainly because of our aggressive cost management initiatives. We are looking at costs into efficiencies and effectiveness on different fronts, right?

So there have been various cost buckets in which we've been able to pull levers and have some sustainable cost savings. By the way, we do this as a regular exercise, so there have been initiatives which have yielded cost savings.

As far as your question on ForEx is concerned, we do get impacted by ForEx and as Sandeep had mentioned in his opening statement, because we import almost 60% to 70% of our raw materials, ForEx does impact us. However, we do have a hedging strategy and this year we've been able to do very well on that hedging strategy as well. ForEx gets accounted in two parts. The ForEx loss or gain related to the time that you import the material and book the invoice, all that goes into the cost of materials. And ForEx gain or loss, which is really the difference between the accounting on the date of when you book the invoice to the time you made the payment which by the way can be hedged, goes in other expenses.

Nitin Tiwari: So that's why I'm asking question because you had mentioned that ForEx movement has impacted you in this quarter, but other expenses have actually gone down. So I was also under the impression that typically ForEx related movement is captured in the other expenses. And secondly like continuing on the other expenses bit so are these the levels that we should like continue to look ahead as well in the coming quarters or there will be changes in that or is there any one-off in the other expense in this quarter, which might not be in the fourth quarter or subsequent quarters? Castrol!

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Deepesh Baxi: So just to clarify, I mean there is a small component of ForEx in the other expenses, but as I mentioned most of the ForEx differential that comes through, because of the import cost going up that sits in the cost of materials. On other expenses, how sustainable it is? Well, just there are fixed expenses and then there are variable expenses. As our volumes will go up obviously the variable expenses related to other, which are in other expenses will get impacted as well and will go up. However, our endeavor is to keep other expenses at a sustainable level. But there will be that 4%, 5% inflation, which any business will go through. And you know that the inflation is going up. So we are working hard to make sure that we are able to manage that in a sustainable

way.

Moderator: So sorry to interrupt. But for any follow-up questions, may we request you to...

Nitin Tiwari: No, I'm continuing on the same question. I'm not asking a new question. I just wanted to get a breakup of the ad expense in this quarter and previous quarter, which is a part of other expense.

So I will like to just ask that. That would be my last query.

Deepesh Baxi: I'll just quickly answer. Our

advertisement expenses generally are in the range of 3%, 4% of our revenues so we operate within that range. You can do the calculation...

Moderator: Thank you. Participants are requested to limit their questions two per person. The next question is from the line of Siddharth Gupta from Voyager Capital. Please go ahead.

Siddharth Gupta: Congratulations on a good set of numbers. I have two questions. Firstly, could you elaborate on the changes made to the AOA and the MOA? How exactly is it going to impact us in terms of what possible business opportunities were outside our scope of MOA, which have now been incorporated and what are we looking at? And the second question is with regard to something that you mentioned on the call of exploring the certified workshops in the aftermarket. So you mentioned that these won't be owned by Castrol, these would be owned by the entrepreneurs who are running them. So apart from the certification costs that we might derive as profit are there any other profit avenues we're looking in that particular model?

Sandeep Sangwan: So first of all, let me take the MOA and Articles of Association question. I think there's a huge transformation happening in the automotive sector. Castrol legacy-wise has been a lubricants brand and we just wanted to open up the opportunity for Castrol to participate in future value streams, which today we don't know all the exact answers. But I think we just wanted to kind of make sure that we are not left behind because of our MOA and Articles of Association, which limit our presence in the lubricants category. So the intent is to open our participation to future value pools that may come about. That was 1 intent, okay.

Coming to your question on Castrol authorized service centers, I think just to give you an example. So today, we sell lubricants. If you're aware, we launched auto care, car care range of products. That could be another kind of category that we get into. We can also generate some service revenues on the back of driving consumer traffic into these workshops, which we are working on. So I think there will be future value streams which we keep testing and piloting, which will help us generate additional sources of revenue. But what is more important is to create Castrol!

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a network of workshops across India, which consumers can trust for a quality service. I think that's what Castrol has always stood for and that's what our intent is.

Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: Just one question. So currently, how is the mix in terms of automotive versus industrial and also personal mobility versus CVs and industrials?

Sandeep Sangwan: So I'll let Deepesh take that question. So Deepesh, if you want to take the answer.

Deepesh Baxi: Yes. So in terms of volumes, typically I mean, we said we've done about 47 million to 48 million liters so roughly 40 million liters out of that is automotive, the rest is the industrial. Sorry, what was the other question you had?

Sabri Hazarika: Within automotive, the breakup between personal mobility and CVs?

Deepesh Baxi: Yes. So roughly about 50% of our volume comes from personal mobility and I would say about 30% volume comes from CV. The rest is industrial.

Sabri Hazarika: Okay. Fair enough. And your volumes have been little bit like I think below expectation from what the past run rates have been. Is there anything specific or it's just the monsoon and seasonal factors, which is affecting?

Sandeep Sangwan: So I think, as I said, we've seen the highest inflation in quarter three. In fact August, September have been very heavy and this year we've taken three price increases just to manage our margins and volume balance. So I think that's one of the reasons why volumes are a bit stressed, because we wanted to make sure that we're just not playing a unprofitable

table volume game. But rather balancing the whole P&L and balancing our business to make sure that our margins stay healthy. I think once -- we're already starting to see some easing of cost input pressures and I think while they are likely to continue for next couple of quarters. But the underlying growth in the market is still there and we've held our share. We've held our market share broadly. So I think it's more a balancing act in this quarter and foreseeably into the next quarter and we get back on our growth trajectory in 2023. That's how I see it.

Moderator: The next question is from the line of Faisal Hawa from HG Hawa & Company.

Faisal Hawa: So sir, this plan of getting into actually managing workshops and having just co-branding with the existing authority. So how many such workshops have we added in the last three quarters

quarter-on-quarter? Is there some growth in that? And you will also appreciate that business as usual or the same culture or the same management, who has sold a very, very well-entrenched oil brand may not be able to make a lot of headway in an industry, which is very largely unorganized. So are we making key management personnel changes to really make this a reality and to really go after that? And what is the kind of revenue we want to achieve like two years hence from this new vertical? Castrol!

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And third is, sir, what is the thinking going on in the global management of Castrol? Because this is like now a very momentous turn of events and the disruption nowadays, they take place very soon and are almost brutal. So this could actually change the company's course. So it's all very well to say that we have very good relationships with the OEMs, but our overall culture of having sold a very well entrenched brand all through our existence could prove to be a big millstone around the neck. So how is the global management actually seeing the various other opportunities except apart from the EV batteries opportunity that you mentioned?

And sir, if you have an organized mechanic who you're trying to make a branded organized shop and the OEMs themselves have their own workshops and their own aftersales from which they derived most -- from which the dealers derive most of the revenues. How will we really price our products and what will be our USP to really gain volumes there?

Sandeep Sangwan: Thanks for your question. I think you've asked too many questions and I may not remember all of them in the order that you asked them, but let me kind of share. First of all, Castrol's strongest asset is the brand. It's a brand that consumers and customers trust for providing them quality products and what we are trying to do is we're trying to leverage the strength of the brand and step into adjacencies and more service-oriented offerings in the future that can create future value for the company. Point number one.

Second is I'd like to clarify we are not running these workshops. All we are providing for is our expertise, our branding option which gives that trust to consumers to go into a workshop, we're providing a certification process for these workshops so that they've become better workshops versus a completely unorganized sector. So that's the intent. And I think you've asked a question on quarter-on-quarter growth. I think we started in this journey last year. Last year we had Castrol Auto Service and by the end of this third quarter we've been able to establish 210 plus Castrol authorized service centers.

You have a question around OEMs, that OEMs also have their workshops. Absolutely OEMs have their own workshops. But typically what happens is a large part of the consumers after their warranty period gravitate towards the aftermarket or the non-franchise workshops. As a result, what happens is -- and the reason consumers go there is for cost reasons, because they find independent automoto

tive aftermarket a better value proposition from a servicing aspect. And all that we're trying to do is we're trying to make sure that when the consumers go to this or vehicle owners go to these aftermarket, they can find places which they can trust and get quality service. I think that's the broad scheme of things.

The last question you had was around what is global management thinking. We are absolutely aware of the changes happening in the automotive industry and as a result, I think we are actively looking at opportunities where Castrol as a brand can play and Castrol has been in existence in existence for the last 100 years -- 100-plus years. We've been in India for last 100 years and we will continue to be in existence in the next 100. The sources of value may be very different as the ecosystem evolves and we are fully cognizant of that.

Faisal Hawa: Sir, and what is the revenue we are trying to get? Castrol!

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Moderator: Mr. Hawa, sorry to interrupt. But for any follow-up, may we request you to rejoin the queue, please. Before we take the next question a reminder to the participants. We will have the Q&A session for another 20 minutes. Thank you. The next question is from the line of Deepan Shankar from Trustline PMS. Please go ahead.

Deepan Shankar: Congratulations for a good set of numbers. Sir, firstly wanted to understand so do we have lubricants for even CNG engine vehicles? And if so, then is there a change in the content per vehicle or it remains same as compared to ICE vehicles?

Sandeep Sangwan: So we have product offerings for CNG vehicles. In fact we just launched this year an offering for CNG vehicles. And each of our product is made and formulated to cater to the needs of the vehicle. So it's not that just we brand something for CNG and it's the same product which goes

into other vehicles. We definitely work on what is the most efficient product for that kind of engine.

Deepan Shankar: So currently how is our value proposition for the CNG vehicle lubricants in terms of 2-wheeler passenger vehicles and CVs, because there is lot of transition happening from ICE vehicles to CNG, then only we are expecting more shift towards EV? So initially, how do we see the content per vehicle for us in CNG as compared to ICE?

Sandeep Sangwan: So I'm not sure if I understand the question correctly. Are you asking that how is the transition happening in the vehicles from ICE to using CNG and then CVs?

Deepan Shankar: No, sir. So my question is so content per vehicle for us in ICE vehicle and compared to the CNG vehicle. So is the content same or we are having lower content per vehicle in terms of CNG lubricants?

Sandeep Sangwan: So I think CNG vehicles use the similar kind of volumes and quantities as internal combustion engine. Because the basic construct of the engine is same, only that the fuel is slightly different. Instead of petrol or diesel, you have CNG as the fuel. So from a lubricant consumption perspective, it's similar.

Deepan Shankar: So my second question is like over the past three quarters, we have seen really sharp increase in RM prices like to the extent of 23%, but realization have increased only 12% to 13%. So are we planning more such hikes in Q4 or we are facing some challenges in some segments for price increases?

Sandeep Sangwan: I'll let Deepesh talk to that. But I think based on the numbers that I read and Deepesh will answer, we've been able to recover majority of our cost increases and we've taken three price increases in the year. We took a price increase in March, we took a second increase in June and we took a third price increase in September. Now obviously there are certain segments, which are more price sensitive where you cannot just price. But I think having 80% of our business under automotive, personal mobility and having a premium brand gives us the strength to pass on

cost

increases through pricing. Castrol!

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As far as future is concerned, I would not like to speculate whether we'll take another price increase or not take another price increase. It will depend on environment. We have a pricing strategy. We operate at a certain premium to the market and dependent on the environment and the pricing strategy, we'll take pricing actions which continue providing fair value to our consumers and customers.

Deepesh Baxi: Yes, and just to build on what Sandeep said, I think the way we look at pricing and I think as a team we have shared that in the past, it's more on a strategic basis than a tactical basis. So there is a possibility that you will find an over-recovery on pricing in one quarter compared to the COGS or vice versa. But that's just a quarter impact. When you look at it on an end-to-end basis and looking at our numbers, I think on a per liter basis we've recovered most of the COGS increases or input cost increases that we've incurred in the last 9 to 12 months.

Moderator: Reminder to the participants you will have a Q&A session for another 15 minutes. Thank you.

The next question is from the line of Viraj Kacharia from Securities Investment Management.

Viraj Kacharia: Just have three broader questions. First is on the service and maintenance business. So if you can just give some update in terms of how has the learning been. We had a tie-up with 3M for the vehicle care products and it's been quite a fairly long time in terms of the trials and the pilots we have been doing. So what has been the learning?

And the related question is through the Castrol Auto Service centers, which we're trying to scale up and eventually turn them into consumption for the product, what is the value proposition we intend to offer? And I'm asking this is because if you see the marketplace, you have various other reputed brands say Bosch and TVS Supply Chain Solutions and then you have other players in the market as well who was offering these kind of services.

So for us when we kind of look at Castrol Auto Services, what is the value proposition and how you go about actually enforcing the quality levels which you talk about? So that is one. Second is largely in terms of the changes in the MOA and the Articles of Association. Just trying to understand when you talk about the EV value landscape, what activities or areas we will be looking to enter into and what areas we would not be looking to enter into.

So just to give an example. We're doing pilot trials for chargers in some of the COPP retail networks. So what is the thought process? What is the right to win because it's a very different ballgame compared to the traditional lubricant business? So just any perspective or thought process how are we looking at different value chain?

And lastly is on the lubricant business alone. While the per liter EBIT has been stable, but if you look at it in relation to the mix where the personal mobility has kind of improved significantly, per liter is still flattish for the last few quarters. So this seems a much more larger under-recovery

in terms of raw material than one would think. So any thought process how should I understand the per liter moving in coming quarters?

Sandeep Sangwan: Viraj, I think that's four questions rolled into kind of one or two questions because I just want to be fair to all the participants on the call, but let me try and answer since you asked the questions. Castrol!

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I think on the 3M car care range, auto car care range, we have very strong learnings. We scaled it up to 10 plus cities this year. I think it has helped us refine the product range that we can offer to workshops and what sells more.

So we have a core portfolio of about I think five or six SKUs or products that we sell in this range and our intent is now

getting into '23 to expand this range nationally. And we see this as an unbranded category or very fragmented local brands playing into this category. And I think as players like Castrol get into this, we will be able to give better solutions to consumers and customers in this segment.

I think the second question related to workshops and what kind of service revenue. I can't share exact numbers. I think the first intent is to create a network of workshops. You're absolutely right. I think there are different players trying to play in this segment. But let me just share a number with you, okay? In Europe the independent aftermarket or in developed markets, almost 50% to 60% of the market is consolidated under some sort of franchise, some sort of branded offering. In India, that number is below 10%.

And I think Castrol with the largest share in lubricants and having relationships with these workshops and mechanics can play a huge role because we have the largest scale, we have the largest distribution, we have the largest customer relationships and that's what we're banking on. And I think there is enough space in the market for players like Bosch, Castrol, all the others who are trying to play into this space on making sure that consumers and customers get better offerings from the independent aftermarket. I think that's what will happen.

There were two other questions. I think there was one on EVs, you said which of the areas we will play or not play, I think there is no definition of the areas of where we will play or not play. Right now the ecosystem is evolving, okay? You're right, GOBP is working for example on charging stations and it's another company where BP has invested. Castrol, as you know, is 51% owned by BP.

And I think it's more about partnerships rather than taking hard positions on where we will play or not play. So even if GOBP is kind of working on charging stations and battery swap stations, we're trying to see work together with them as to how do we leverage the scale and acceptance of Castrol as a brand and bring a proposition together to consumers and customers. And I'll just give you a case in point. If you read the news where we signed a technology MOU -- or not technology, a MOU with MG Motors in India where GOBP, Castrol and MG Motors, all three of us are participating together to create an EV charging infrastructure for MG Motors. I forget the last question. I think it's about per liter. Let Deepesh take that.

Deepesh Baxi: So I think if I understood your question properly, how it seems like we may not have fully recovered pricing into different segments, right? That is what your question was.

Viraj Kacharia: Yes. I mean if you look in relation to the mix especially with the personal mobility being around 50% of the volume, that segment historically has the highest margin profile in the business. And if you look at overall per liter EBIT for last few quarters, it's been around 107, 110, 115 broadly in that range. Castrol!

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That's why the mix has been improving. So it seems that either the other business base profitability is further eroded or there is much more under-recovery in terms of raw material cost or inflation in those businesses broadly at the portfolio level. So any perspective you can share?

Deepesh Baxi: Yes. I mean there is a lot of factors in play into that segment because within personal mobility cars, bikes, then you have the segment of industrial, then we have B2B within which we have heavy duty, et cetera. So there is a lot of play segment. And as we have been always saying, we have a pricing strategy and we look at each segment in a particular.

Okay. I'll nevertheless complete the answer. So I was just going to say that different plays and aspects play into that whole pricing strategy. Mix plays into that pricing strategy. But on an overall basis, as Sandeep had mentioned

d at the beginning, we're making sure that in highly

volatile environment where there are different inputs, whether it's base oil, whether it's ForEx, whether it's the chemical inputs; all of them which are rising disproportionately, we are able to balance our pricing recovery versus our overall profitability and margins. So I would just summarize in that fashion in terms of our pricing strategy. Back to you.

Moderator: Thank you. Reminder to the participants we will have the Q&A session for the next 5 minutes.

We will be taking questions from last two participants depending on the time. The next question is from the line of Yogesh Tiwari from Arihant Capital Markets. Please go ahead.

Yogesh Tiwari: My first question is basically since we import raw materials, if you can give a sense of what would be the freight rates compared to end of September and currently; maybe single digit, double digit. If you can help with that. The other question is on the inventory which we keep for base oils, going forward -- what would be the inventory like if going forward the prices decline, then when can we see positive effect from that? And lastly, a small one. If we can quantify the price rise which we took. Out of the three price rises, what would be the approximate quantum?

Sandeep Sangwan: So let me see how I can answer that question. I mean freight obviously is a factor of again multiple elements. How much you import, from where you import, which type of base oil you import, which type of additives you import. But freight cost per liter is generally in single digit and we do very well on that. Our supply chain colleagues, we have global contracts that we leverage on. We have the opportunity to optimize both from where our manufacturing happens and the way the CFAs and warehouses have been structured.

In terms of the quantum of price increase, I mean that will be difficult for me to share at this moment because it's a mix, as I said, of various factors. It's more forward-looking than backward-looking price increases and we take the price increases in line with the expectations that we have around our COGS input and other input price increases. Sorry, you had a question on inventory. So inventory management, I mean first, inventory management is just one part of the overall working capital and we operate on a negating working capital and that's the reason we are able to generate cash and have that cash on our balance sheet. So the teams here is highly focused along with the business in terms of making sure that the buying is done, keeping that trend of base oil additives and other input costs in future. But I wouldn't want to share with you our Castrol

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internal strategy on how we optimize the inventory, but rest assured, we look at both the trade-off of how much we want to have inventory in a rising or a decreasing base oil scenario.

Yogesh Tiwari: Sir, in terms of freight cost, just wanted to understand at the end of September and currently approximately what would be the decline like, single-digit decline, in the freight cost for the company?

Sandeep Sangwan: I'm not sure if I'm understanding your question. You mean have our freight cost per liter declined? Is that the question?

Yogesh Tiwari: Yes.

Sandeep Sangwan: I mean given that the freight cost is single digit, I think it's more answered appropriately in terms of the percentage decline, but it has declined. We do a very good job on that, let me assure you that. But I wouldn't want to disclose that.

Yogesh Tiwari: Sure. And on the...

Moderator: Sir, sorry to interrupt. But for any follow-up, may we request you to rejoin the queue, please.

Thank you. The next question is from the line of Shalabh Agarwal from Snowball Capital. Please go ahead.

Shalabh Agarwal: Sir firstly, we had a volume decrease of around 5%, 6% year-on-year if you look at the volumes. So would it be

correct to say that all the three segments; which is personal mobility, CVO and industrial; did they also decline in broadly similar fashion and did also industry also decline broadly, similarly? That's the first question. And secondly, going forward given whatever macro conditions that we are seeing or whatever market interventions we are making across each of these segments, which segments would you think would grow the fastest or grow the least because we do expect CY '23 for us to come back in volume growth?

Sandeep Sangwan: So let me try and answer the question. I think we've seen the various segments behave differently versus last year. I think our passenger car volumes are still up versus last year. I think the biggest impact we've seen is on commercial vehicles driven by the agri sector also, because if you look at new vehicle sales also, the trend in tractors is not so positive as it was last year. Overall the tractor sales have declined this year. So I think that's different. So declines have been more in agri commercial vehicle segment, less so in bikes. Even bikes, new bike sales are slightly muted as compared to last year. Last year we'd seen much higher growth.

Cars has grown, and I think if I look at '23, we expect the market to be growing at about 4%-odd. I think that's what we think will happen. Cars will grow the fastest because our penetration on cars is very low. So cars category will grow the fastest. And then possibly commercial vehicles

have seen a very healthy growth this year and that will have an impact on volumes in the coming year. So this year commercial vehicles are growing at about 40%-odd, but it's also a balancing thing because last year commercial vehicles were down. So we expect this fastest growth in cars, then commercial vehicles, bikes potentially in a similar range and agri is again very season dependent and rain dependent. Let's see where that goes. Castro!

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Shalabh Agarwal: How was industrial, sir, like first nine months, this quarter and our expectations for industrial given we do expect an economic revival?

Sandeep Sangwan: Yes. Industrial I think our volumes are slightly down in this quarter, but not hugely unlike what we've seen in commercial vehicles, and I think going forward, the GDP is forecast to grow at about 6.8% next year. Whether it is 6.5%. So we expect the economic recovery to continue and industrial volumes also to grow going into next year once hopefully the cost inflations slightly settle down.

Shalabh Agarwal: And sir, can I squeeze in just one thing. You said the new sales were down for tractors and two-wheelers, so how much is new sales for us compared to the volumes in the pool that we sell for personal mobility and CV?

Sandeep Sangwan: So new sales impact two-wheelers are much more than they impact passenger cars because consumers when they buy a new vehicle, they tend to stay in warranty period mostly in cars. I think on two-wheelers, the transition to the independent aftermarket is the fastest so that's how it operates.

Shalabh Agarwal: No, I'm saying in terms of volume breakup broadly, how much would new sales contribute to our volumes, broadly?

Sandeep Sangwan: Very difficult for me to kind of segregate, but our franchise, our B2B business where we supply to franchise workshops is about 10% of our overall volume.

Shalabh Agarwal: I'm asking factory fills?

Sandeep Sangwan: Factory fills depends on which the number of OEMs we work with. We don't work with all the OEMs, but we work with a large number of OEMs. But volume-wise factory fills, Deepesh, do you have a number that you can share?

Deepesh Baxi: Broadly. I think it's in single digit.

Shalabh Agarwal: Single digit of the overall volume.

Deepesh Baxi: Overall volume, yes.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question for today. On behalf of Castrol India Li

mitted, I thank you all for joining this call. You may now disconnect your lines. We wish you a good day ahead. Thank you.

Castro!

Call: Feb 2023

20 February 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 4Q and Annual Results FY 2022

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Monday, 13 February 2023 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html under INVESTOR CALL DETAILS --- 2022 --- 4Q FY 2022

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: a/a

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"Castrol India Limited
4Q and Full Year 2022 Earnings Conference Call"
February 13, 2023

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR –
CASTROL INDIA LIMITED
MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER &
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our 4Q and Full Year 2022 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode and can ask your questions after the opening statement. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator. We have with us Mr. Sandeep Sangwan: Managing Director of Castrol India Limited ; and Mr. Deepesh Baxi CFO and Whole-time Director of Castrol India Limited.

I now hand over the conference to Mr. Sangwan. Thank you, and over to you, sir.

Sandeep Sangwan: Thanks. Good evening, everyone. I hope you can hear me clearly. And thank you for attending Castrol India's Fourth Quarter '22 Earnings Call. My sincere gratitude to you for taking out time and joining us at this hour. Due to some key business meetings, which are unavoidable, we had to schedule this call today in the evening instead of market hours on the next day, which has been our usual practice. Both I and Deepesh are joining you straight after our fourth quarter Board meeting. We've just disseminated our annual and fourth quarter results a few minutes back.

We are pleased to share that Castrol India Limited has delivered a resilient performance in the fourth quarter and full year ended 31st December '22. I would like to highlight that Castrol India follows the Jan to December calendar year for its financial reporting. Our fourth quarter '22 performance was in the backdrop of extreme forex and inflationary pressures arising from volatile crude oil prices, leading to rising costs of additives and base oil.

To safeguard our margins and deliver bottom line growth, we employed rigorous pricing and cost management decisions. The inflationary and forex pressures are likely to continue in '23, although we started to see some softening in base oil and crude prices. But our topmost priority will be to continue driving growth, protecting our margins, making our employees and business future-ready and strengthening Castrol's enduring legacy of innovative brands and reliable services with our customers and consumers.

To begin, I invite Deepesh to take you through our fourth quarter numbers and financial performance in detail. Deepesh, over to you.

Deepesh Baxi: Thanks, Sandeep, and good evening to all of you. I would also like to thank you for joining us at this hour and for your continuous engagement with Castrol India. Today, we announced our 4Q and full year results for 2022. Let me share some key financial highlights. In the fourth quarter of 2022, we have reported a strong financial performance. Our revenue from operations was INR 1,176 crores, which was up 8% compared to INR 1,091 crores in 4Q 2021. This is also 9.6% above the sequential quarter of 3Q 2022.

Our profit before tax was INR 248 crores. This was lower by 3% compared to 4Q 2021 and lower by 2.4% in the sequential quarter 3Q 2022. With our 4Q 2022 results, we have also recorded INR 4,774 crores as our annual revenue from operations for 2022. This is a growth of 14% compared to INR 4,192 crores in 2021. Profit before exceptional items and tax stood at INR 1,093 crores, marking a growth of 6% from INR 1,029 crores in 2021.

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In addition to an interim dividend of INR 3 per equity share, the company's Board of Directors in the meeting held today have recommended a final dividend of INR 3.5 per equity share each for the financial year 2022. Of course, this would be subject to shareholders' approval. This INR 3.5 was compared to last year INR 0.50 higher dividend. Overall, we remain confident of our strong business fundamentals and long-term profitable growth in India.

I would now like to hand over the call back to Sandeep.

Sandeep Sangwan: Thanks, Deepesh. Apart from

financial performance, I would like to draw your attention to some key business developments of Castrol India. In November '22, we announced a partnership with Ki Mobility Solutions, or KMS, to leverage each other's strength and expand India's automotive aftermarket ecosystem via myTVS, KMS' digitally integrated multi-brand service platform for 2 and 4 wheelers.

The all-cash deal included an INR 487 crores investment by Castrol India and acquisition of about a 7% stake in Ki Mobility Solutions, and this transaction was completed in January '23. With this strategic investment, we aim to expand our presence in service and maintenance for both internal combustion engine and electric vehicles and leverage myTVS' digital and operational capabilities. This alliance will also offer potential for Castrol and Ki Mobility Solutions to collaborate and partner in select markets beyond India.

Castrol's future-ready strategy focuses on an enhanced play in service and maintenance and a foray into new segments, including automotive after care and electric mobility. In fourth quarter '22, we expanded our service and maintenance network with 230 Castrol Auto Service centers, about 5,000 Castrol Bike Points and 40-plus Castrol Express Oil Change outlets across India. With the EV space evolving rapidly in '22, we supported 200 top-tier car and bike mechanics in Delhi and Chennai with our Automotive Skills Development Council certified EV readiness training. This year, we plan to extend our training to mechanics in other cities across India and help create an ecosystem enabled to serve EVs better. In '23, we will also launch our Castrol ON range of EV fluids for the aftermarket and collaborate with 2-wheeler and 4-wheeler OEMs to support their EV transition.

On the brand side, Castrol Activ is one of our leading premium engine oil brand that is trusted by consumers. In fourth quarter '22, we launched a new marketing campaign, CompromiseMehngaPadega, for Castrol Activ, demonstrating Activ's superior protection for bike engines and how it shields bike owners from expenses related to engine breakdown. Health, safety, security and compliance are some of the key pillars on which we operate our business. I'm pleased to share that Castrol India was authorized by the Directorate of International Customs as an Economic Moderator: Tier 2 certified organization in recognition of the high safety, security and compliance standards demonstrated by us.

On that positive note, I'd like to thank you for your attention and would like to open the session for your questions, feedback and views. Thank you.

Moderator: The first question is from the line of Bharat Sheth from Quest Investment Advisors.

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Bharat Sheth: If I look at full year number, is it fair understanding that the larger -- see, top line has grown almost 13%, 15%. So large part of the growth has come because of price or volume, both? And second, on core business, we were working on to enter into CV market -- CV, OEM and so what is the status of that? I have a second question, I'll come back in queue.

Sandeep Sangwan: Yes. So I can take that. I think you're right, the top line growth has largely been driven by pricing, but there is volume also in. So our volumes have grown versus '21. And in fact, if I take the pre-pandemic normal year 2019 also versus that we've grown our volumes. But given that it was such an inflationary environment where cost increases are hitting us month after month, especially during the first 9 months, the priority was to balance margin protection and volume. And I think we've managed that very well, delivering a bottom line growth of about 8%. So that's the first bit.

I think as far as commercial vehicles are concerned, your second part of question, we play very actively in the commercial vehicle segment, okay? We have some OEM relationships that we have established. And I think our strategy is to continue to be a premium branded player, which will continue to grow and support our commercial vehicles category with innovations with new products. So for example, all our products are BS-VI compliant. We also introduced a product which is relevant for one of the large OEMs and CVO market. So we'll continue participating in the commercial vehicle segment.

Bharat Sheth: I mean taking forward to your first answer, is it possible to give some kind of a broadly volume and value growth, if you can, I mean, how much is because of the volume and how much is the pricing? And currently, what is CV contribution in our overall business?

Sandeep Sangwan: Yes. So commercial vehicles contribute to about, let's say, about between 25% to 30% of our business from a margin perspective, the volume contribution is much higher because margins are better in personal mobility sector. And I think on volume and turnover road, Deepesh, do you want to take that question?

Deepesh Baxi: So I think on a full year basis, we have grown volume from 208 million liters to about 210 million liters. What we have -- as Sandeep explained, a hit by is the cost inputs increase, and that increase on a full year basis is almost by 20% on a per liter basis. And that is what we have tried to recover during the year through pricing intervention.

Moderator: We'll take the next question from the line of Hemal, an individual investor.

Hemal: Just want to clarify, so just based on that the October-December volume would be around 48 million approximately, is that accurate?

Sandeep Sangwan: Yes, that's right.

Hemal: But are there like a 10% volume decline year-over-year. Is that also accurate or?

Sandeep Sangwan: No, that won't be accurate. I think the volume decline only in the fourth quarter, I would say, is in the range of 4% to 5%.

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Hemal: 4% to 5%. Okay. The other part of the opening remarks was that the base oil price seems to be stable, but the additives price costs have continued to increase. So have you taken any -- are you continuing to take any price rise going forward in January, February? Or do you think the price rises have now peaked is what -- like if you can throw some light on the reality of the competitive market space that you're playing because the EBITDA margin obviously suffers because of that? So is price rise a further possibility in our business going forward?

Sandeep Sangwan: So let me answer that question. First of all, I think in the year 2022, given the strength of our brand of Castrol and Indian tractor consumers put in our brand, we've been able to protect our per liter margin. So that's the first kind of fact I love to put on the table. And as I said in the beginning, our intention was to protect our margins and balance our volumes.

Coming to the cost pressures on additives, I think cost is a combination of multitude of factors. There's base oil, there's additive, there's forex involved. And we have a pricing strategy, which we adhere to, and we are a premium branded player. Now depending on where the cost environment is, we will take pricing actions in line with our strategy, but our intent is to continue delivering value to our consumers and customers. So I cannot say for a definitive answer, then further price increases decreases, I think we'll continue monitoring the environment. As we've done in '22 and take appropriate pricing actions that help grow the business, but also deliver value to our consumer and customers.

Moderator: The next question is from the line of Abhijeet Bora from Sharekhan by BNP Paribas.

Abhijeet Bora: I missed upon the annual volume number. Can you just share it again?

Sandeep Sangwan: Annual volume is 210 million liters.

Moderator: The next question is from the line of Douglas Turnbull from Invesco.

Douglas

Turnbull: My first question is just I wonder if we could get a bit more of your expectations for the coming year in terms of -- I know you've already commented on price, but it really depends on the cost case. But in terms of your volume growth expectations and how you see that sort of balanced against the ability to regain some of the margins that we have lost over the course of this year? That would be my first question. We just be some more forward-looking colour coming year, please.

Sandeep Sangwan: Yes. So Douglas, thanks for your question. So I think the way I would like to share the answer with you is the lubes category, we project will grow at about 4% next year, okay? And there will be differential rates of growth amongst personal mobility, commercial vehicle, but overall, the market should grow at about 4%, that's our projection. And typically, we want to grow ahead of the market. So you can hope a couple of percentage ahead of the market. So that's what our intent is, okay? But we'll also have to see how the environment plays out.

And the second is from a margin perspective, I think as I said in my answer to the previous question, we've been able to, given the strength of our brand holdout per liter gross margin level and intent would be to continue making sure that we are holding those margins or improving those margins, that's what our intent is.

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Douglas Turnbull: Understood. Historically, you've spoken a little bit about maybe being willing to exchange a bit of gross margin in terms -- in order to gain some incremental market share and exchange a bit of margin for volume. Obviously, in a high cost inflationary environment that's challenging, but perhaps you could put in -- put just a bit of colour around strategically how you're thinking about that volume versus margin trade-off as we look forward?

Sandeep Sangwan: So I -- while I don't want to speculate on what our future plays are going to be, but definitely, our intent is to kind of make sure that we are a growth business, and we grow both volumes and top line is not only a margin play. To give you an example, last year, we introduced a product called Activ Essential, okay, which was at a slightly lower price point than we traditionally played in the 2-wheeler category, and that's given us a good growth in a very challenging environment. So we look at all the opportunities that are available depending on where the white space in the category is and where we find the persons to grow. So definitely something that we continuously think about.

Douglas Turnbull: My second question is on the Ki Mobility side. Again, I wonder if you could just give us a little

bit of colour of how you see that business evolving? What the business model looks like there and how that -- and when that might start to contribute noticeably to our financials?

Sandeep Sangwan: So on Ki Mobility, I think the first thing I'd like to say is the coming together of 2 trusted brands in the Indian environment to certain customers. So TVS is a very trusted brand by consumers, Castrol is a trusted brand. And we find enough synergies and good synergies between our 2 businesses to grow the Indian aftermarket ecosystem and make that, first of all, you get better consumer experience to customers.

And the second is also digitize that ecosystem. So for example, Castrol has good lubricants. TVS, myTVS has good spare parts capability and logistics capability. myTVS historically has been strong in Southern India given their nature that they're based out of Chennai. Castrol is a national player with large scale. We can leverage those capabilities in both the areas. And the third is they're developing digital solutions and systems, more for the workshops, but also from a consumer traffic perspective, which Castrol can leverage. So it's a creation of a network of

service and maintenance, where consumers can get trusted services by combining the strengths of both the brands and the organization. I think that's what the intent is.

Moderator: We'll take the next question from the line of Vipul Shah from Sumangal Investments.

Vipul Shah: So taking the previous question forward, would you elaborate how that partnership with TVS Group is going to benefit Castrol because I'm still not understood how that partnership will work and how it will benefit Castrol?

Sandeep Sangwan: I think it will benefit Castrol in multiple ways. First is, it will give us lubricant supply in Ki Mobility's network. They have a network of workshops. If you remember 2 years ago, they bought the Mahindra First Choice business also, which is a part of Ki Mobility Solutions. So first of all, it extends our workshop reach in terms of selling our traditional lubricants businesses. Castrol India Limited
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The second is, as I said in my opening note, we're also creating a network of workshop, we have 230 Castrol Auto Services. We have about 5,000 Bike Points that we serve in India. And we just started our journey on express service on Jio-boutlets. There's about 40 of those. So with Ki Mobility partnership, we also get capability to supply spare parts through Ki Mobility to our network of workshops.

And the third is we will drive joint marketing programs to deliver better services to consumers, either in the Ki Mobility network or our network. So that's how the ecosystem is evolving, plus both of us have maybe good digital tools that can leverage capabilities of each other in terms of serving consumers. And the other thing I'd like to state is everything will be respective competition laws, so within the regulatory gamut of the country.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: So now taking forward these Castrol Auto Services, where we have been expanding also and what kind of expansion plan do we have for future? And how do we see this with the Ki Mobility synergy? And how much additional interest -- what is our expectation of taking this whole additional volume growth of what kind of percent if you can give some kind of a sense? And this is largely for 2-wheeler, passenger vehicle or CV, if you can give a little more colour on that also?

Sandeep Sangwan: Okay. So I think on Castrol Auto Service, we have 230 workshops now. These are workshops which are not owned by Castrol. These are entrepreneurs who run these workshops, but we give them branding support, training support and making them more professional where consumers can get trusted service. And our effort is to continue expanding this network. At the same time, we're confident that this has to be a quality network rather than this year number. So we're very focused in terms of the kind of workshops we enrol in this program.

The second is this the 2 segments, Castrol Auto Service is for 4-wheelers, passenger cars, okay, whereas on 2-wheelers, we have something called Castrol Bike Point, okay, which tend to be 2-wheeler workshops. So right now, we're focused on building those. And on Jio-bp side, we are focused on building Express Oil Change centers, like I said, we have about 42 of those. So that's the kind of expectation. And I think when we enrol these workshops in our network, they tend to use our products because consumers see Castrol signage on outside of the workshop, and that gives them the trust of saying that in this workshop, I can get a quality lubricant. So it extends our volume gains by selling more products in these workshops and our share of lubricants tends to be pretty high in these works. So that's the whole play.

And I'd like Deepesh to add -- Deepesh, do you have anything to add on this?

Deepesh Baxi: Yes, Sandeep, thanks. So just one more build, I think you also

asked, so what are the workshops

in Ki Mobility? In Ki Mobility, they have both 4-wheeler and 2-wheeler workshops. So in terms

of the lubricant supply that we spoke about earlier, we will supply lubricants to both kind of workshops.

Bharat Sheth: Yes, how do we see synergy between this -- our own initiative Castrol Express for the 2-wheeler then Castrol Auto Service for 4-wheeler and Ki Mobility, what kind of a synergy again? And so Castrol India Limited

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largely since we will be playing in Southern India market through Ki Mobility, so is it fair understating that this Castrol Auto Service will focus on North India and other parts of the country?

Sandeep Sangwan: No. So there is no restriction on focus on where Ki Mobility plays and where we play. I think both networks will play across the country. What I said is historically, the development of myTVS brand has been from Southern India, but there's no restriction of any sorts on where we will participate. I think both are independent companies and will continue participating. The synergies is about partnership and where we have capabilities that complement each other and delivering better value to customers. So -- and there's enough space in the Indian market -- the Indian aftermarket to both of us to play competitively to create service and maintenance networks.

Moderator: The next question is from the line of Abhijeet Bora from Sharekhan by BNP Paribas.

Abhijeet Bora: If I do the back calculation, your Q4 number works would be around close to 55 million. But that shows around 8% growth on a Y-o-Y basis. So is that the correct calculation because in the earlier remark, you mentioned that it will decline of 4% to 5%?

Sandeep Sangwan: Yes, I think Deepesh answered that question in terms of what the volume -- the volume was about 48 million liters in fourth quarter. So I don't know how you get to a 55 million number, but maybe you can take that offline.

Abhijeet Bora: I just did the back calculation from the earlier volumes.

Deepesh Baxi: No. So let me just come in -- our 4Q number is roughly 38 million liters, 4Q '21 was around 50 million liters. So that is a drop of about 4%, 4.5%.

Moderator: The next question is from the line of Danesh Mistry from Investor First Advisors.

Danesh Mistry: I had just one question regarding your gross margin. If you could just help us understand, I think this compares about 300, 400 bps. So obviously, there's some impact of RM here, but do you think that's abating now? And how do you see that playing out going forward?

Deepesh Baxi: So in terms of the gross margin, obviously, I can't share the exact numbers. But we've had some reduction in the gross margin compared to the last year, 4Q 2021. However, when you look at our full year performance, I think our gross margin has gone up. In terms of you asked, so how is it going to be looking forward? I think Sandeep had answered that question earlier. I think we would aim to maintain the gross margin. Of course, the focus is also on growing market share and balancing that with the response that we will have in the market depending on how the input costs changes.

As you know, forex continues to be challenging. We are seeing some softening on the base oil, which is an input cost, but some of the other input costs seem to be challenging. So it's going to be a wait-and-watch situation. Having said that, in the fourth quarter, given the challenge on the volumes as well as softening on the base oil, we did make a pricing intervention in terms of Castrol India Limited

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dropping the prices on some of our products as well. So that is a strategic pricing decision that we take looking at not just one quarter, but at least a full year view going forward.

Danesh Mistry: So when you said that you'll try and maintain the gross margin, is it the full year gross margin

that we try and maintain or the Q4 gross margin that we'll try and maintain?

Deepesh Baxi: So I think we look at our P&L on a holistic basis. So it's not kind of saying, okay, month-to-month or quarter-to-quarter. We look at a full year and see what is the best for the business to keep growing the top line, but also balancing the margin.

Moderator: The next question is from the line of Harsh Maru from Emkay Global.

Harsh Maru: My first question is regarding the Q-o-Q, like Y-o-Y volume drop of about 4% to 5%. So if you could give us some colour on which segments didn't perform well? And the second question being, in terms of our after service expansion that we are trying to build in terms of auto service parts or the bike points, etcetera. So what is the kind of gross margins that we are targeting, say, is it roughly in terms of what the core business is or it's some few basis points like upward on, you could provide some colour on that? That'd be my second question.

Sandeep Sangwan: Yes. Harsh, thanks for that question. So on the volume change between Q-on-Q, in the personal

mobility segment, we did quite well, which is our bikes and car portfolio. I think where we had the volume loss mainly in the industrial side, right, and some of it in the commercial vehicles as well. You had another question. So you just remind me?

Harsh Maru: Yes.

Sandeep Sangwan: Yes, your question was on auto services, what kind of margins we will maintain, right?

Harsh Maru: Yes, and what it was some kind of first revise element to the entire business besides the core lubricants? So if you can elaborate on margin profiles around that?

Sandeep Sangwan: Yes, sure. So I think on the Castrol Auto Service, the margin is not intended to be exactly in line with the core business. It is a volume that we are after more than the margin in that kind of not business model. Service element, that is the intent. I think it will be a transition and gradual phasing as we establish our business model as we ramp up, and we get the complete model right, we will start going into the service as well.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: You said now service business, we are working on to establish the same and then we also like to have a debt service business a good margin. So can you give some colour how long is this process is 1 year, 2 year, 3 year? And when do we really see that it can start contributing to our top line as well as bottom line meaningfully? And second thing, what is our expectation over 2-, 3-year time from all, with Ki Mobility and to get additional volume as well as our own services?

Sandeep Sangwan: So I think Deepesh has outlined what we -- how we want to kind of grow our service and maintenance business and definitely take a few years whether it takes 2 years or 4 years, only time will tell, but the intent is to start creating revenue streams beyond lubricants. I think the

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first intent of us has been to create a network of workshops where consumers can get trusted service. I think once they start trusting those workshops or services, we can add on more quality services, both for the workshops and the consumers. So I think to give any projections on margin right now is very difficult because we are also in the establishment and growing phase. But our intent is to start generating non-lubes revenue in the coming years as the growth strategy.

Let me just kind of give you an idea is we've also been testing auto care range of products, okay, for example, is another source of revenue. And we piloted quite a few things in the last 2 years. And now we feel confident that we can also play in that auto care category, and we'll scale that effort from 10 cities to a national level this year. So that's one of the intents. The other

is we

started making our Castrol Auto Service networks educated about EVs also.

So for example, this year, we trained about 200 mechanics in Chennai and Delhi on EV training through Automotive Skills Development Council of India. So we are working on various programs to make sure that the business continues to grow and we keep adding non-lubes revenue.

Bharat Sheth: And what kind of -- I mean, additional volume in our core business, like lubricant that we can expect from the all with Ki Mobility as well as our own care services?

Sandeep Sangwan: That is a function of how the network grows, okay, because network growth will lead to volume growth. We have internal kind of business projections, which I cannot share because we don't normally share our forward-looking statement in terms of how much volume will come from which segment, but the intent is to grow ahead of the category in the coming years.

Moderator: We'll take the next question from the line of Douglas Turnbull from Invesco.

Douglas Turnbull: Can I just get a little bit more colour around the volume decline in the fourth quarter. I think you said it was good in personal mobility. The loss was mostly on the industrial side and the bit in the commercial vehicles. And if you could just explain what caused that volume decline, whether that was the market shrinking? And if so, why, whether there was perhaps some loss of market share? Just help me understand what was going on here?

And so what perhaps we should expect for volumes, which I think you said you saw the market growing at 4% next year? How we get from a declining fourth quarter so that kind of great drivers are would be really helpful?

Sandeep Sangwan: Yes, let me take that, Douglas, I think there were two or three factors. What has happened is the national oil companies have their own pricing strategy. So their pricing moves have been much lower than the pricing that we've taken, and they traditionally have strong position in commercial vehicle markets. So that was one of the factors where we set up the price premium because of our intent to protect margins were on the higher side, and that's something that we are continuously watching, and we will take actions as required to make sure that we get our share back and volumes back.

The second is, I think the agricultural sector has been a bit soft, okay, while commercial vehicles have grown in the fourth quarter in terms of new vehicle sales, the agri sector has been a bit soft

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where we felt a bit challenged on volumes. So those are the two kind of key drivers of volume challenges on the commercial vehicle sector.

Douglas Turnbull: And so to get back to the 4% type volume growth for the market, where does that estimate come from to your mind? What are the drivers behind that ?

Deepesh Baxi: No. So the category will grow. As I said, when I said 4% growth at the lubricants category growth that we're projecting for this for '23 calendar year. And I think we -- what we are saying is through our programs, notional efforts and pricing strategy, we should be able to grow ahead of that category to 4% on our total lubricants category basis.

Douglas Turnbull: Sorry, I was questioning why -- what is going to change that takes the whole category from shrinking a little bit in the fourth quarter or did it not? Just that we love to hear more of that.

Deepesh Baxi: No. The category has not shrunk. That's what I said. Commercial vehicles category was quite okay in the fourth quarter. We lost a bit of share because of our price positions, and we will take appropriate actions to get those back.

Moderator: The next question is from the line of Vipul Shah from Sumangal Investments.

Vipul Shah: What was our overall exit market share at the end of December '22? And what was the same at the end of December '21.

Sandeep Sangwan: First of

all, we haven't got the December reports as yet. I think the market share report that we get take about, the lag of about 2 months. But our latest share is in the range of 20-odd percent. I think our exit of last year was at a similar level. So we've been around 20% share in some categories we gain in some categories we face challenges, but overall, we are at the same ballpark.

Moderator: The next question is from the line of Jagdishwar Toppo from Japa Investment.

Jagdishwar Toppo: I just wanted to understand if you can elaborate on your marketing and advertisement spend for the next few years as to how you want to invest in brand building, specifically in new digital channels such as YouTube or InApp? So if you can elaborate on how do you see this as a percentage of revenue, I mean, overall ad and marketing spend just because revenue has been increased because of interest in pressure also?

Sandeep Sangwan: Thanks for asking the question. I think, first of all, as I've maintained, we are a premium branded business. So we will continue investing behind our brands because that's one of the core strengths of Castrol. And if you remember, we continued investing even during COVID years in '20 and '21. We did not take a break on investments. So that's a part of our core strategy.

In terms of specific, how much do we invest behind our brand, Deepesh can kind of tell you -- can share the numbers with you. Typically, we stay in a range of investment that, Deepesh, if we spent about 3% to 4% of our revenue in marketing support, and we'll continue operating in that range. I don't want to say anything about the future, whether it will increase, decrease or whatever. But typically, you know the ranges and we've been consistent in our investment.

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Digital is becoming a huge area of marketing investments and in line with the marketing in line with best-in-class brands, digital is also a part of our strategy for marketing investments.

Moderator: Ladies and gentlemen, on behalf of Castrol India Limited, I thank you for joining this call. You may now disconnect your lines. We wish you good day ahead.

Call: May 2023

castrol.co.in

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Castrol India Limited

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11 May 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 1Q FY 2023

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Wednesday, 10 May 2023 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html under INVESTOR CALL DETAILS --- 2023 --- 1Q FY 2023

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: A/a

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"Castrol India Limited
Post Earnings Call for 1Q FY 2023"
10 May 2023

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR -

CASTROL INDIA LIMITED
MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER &
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our Analyst Call for Castrol India Limited 1Q 2023 Financial Results. Please note that all participant lines will be in the listen-only mode and you can ask your questions after the opening statement. If you need assistance during the call please press star then zero on your touch-tone phone to reach the operator.

We have with us Mr. Sandeep Sangwan, Managing Director, Castrol India Limited, and Mr. Deepesh Baxi; CFO and Whole-time Director of Castrol India Limited. I now hand over the conference to Mr. Sangwan. Thank you. And over to you, sir.

Sandeep Sangwan: Thank you very much. Good afternoon, everyone and thank you for attending Castrol India's First Quarter '23 Earnings Call. I hope you and your family are doing well. And just to remind you that we have our financial year from Jan to December, and that's why we call this our quarter 1 earnings call.

And I'm very pleased to share that Castrol India Limited delivered resilient performance in the first quarter of '23. And through our kind of session today, we'll talk more in detail. We built good growth momentum from fourth quarter '22 and registered quarter-on-quarter growth in first quarter of '23. Our performance versus the first quarter of last year was impacted due to inflationary pressures, high input costs and fluctuating forex. But I'm very positive as we go through rest of the year and with the momentum that we're seeing.

And to begin, I'll invite Deepesh, our CFO, to talk you through our first quarter numbers and our financial performance in detail.

Deepesh Baxi: Thanks, Sandeep, and good afternoon to all of you. We announced our first quarter 2023 results last evening, and here are some of the key financial highlights. In 1Q 2023, we reported a strong financial performance. Our revenue from operations was INR1,294 crores, and this is up by 10% compared to INR1,176 crores in 4Q of 2022. That number is also when we compare to 1Q 2022 last year's first quarter is up by 5% from INR1,236 crores.

Profit before tax was INR288 crores, which is higher by 16% compared to the sequential quarter of 4Q 2022 and lower by 7%, INR311 crores versus 1Q 2022. Overall, we remain confident of our strong business fundamentals and long-term profitable growth in India. I would now like to hand over back to Sandeep.

Sandeep Sangwan: Yes. Thanks, Deepesh. Apart from the financial performance, I'd like to draw your attention to some key business developments at Castrol India. First, we expanded our presence in service and maintenance space, increasing our Castrol Auto Service outlets to over 300 across -- about 100 cities in India. And we have 5,000 Castrol Bike Points across India. We will continue to drive consistent growth in the subsequent quarters and enhance our industry partnerships to ramp up our service and maintenance offerings and in new strategic segments such as automotive aftercare.

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On 28th of February, Castrol also unveiled its refreshed brand identity globally, including an updated look and feel. The brand refresh with the theme of onward, upward and forward is aimed at better reflecting its unique positioning in the market and the opportunities it sees in meeting the changing needs of customers.

Castrol India also collaborated with JioCinema for streaming the 2023 Tata Indian Premier League, IPL, as an associate sponsor. The partnership aimed to engage with cricket fans across India and leverage the platform to showcase Castrol's refreshed brand identity. With this association, Castrol continued its long legacy of sponsoring some of the world's largest and most significant sporting events over the years.

Castrol Super Mechanic Contest won the Best Branded Content Category Award at the prestigious Asia Pacific Festival of Media

Awards. Please note, Castrol India Limited will hold its 45th Annual General Meeting for shareholders on 11th May of 2023. We've also taken actions on sustainability, especially around plastic waste reduction.

So, for example, by March of this year, we've collected 100% of our plastic that goes into the

market, which is ahead of the regulatory requirements and we're very seriously looking at other opportunities to reduce plastic in our packaging using renewable energy in our plants. So, a lot of initiatives around sustainability as well to make sure that we stick in line with our overall objective of reducing waste, improving energy efficiency and reducing plastic.

With that, I'd like to thank you for your attention and would like to open the session for your questions, feedback and views, please. Faizan, over to you for -- we can start the questions.

Moderator: The first question is from the line of Bhagyesh Kagalkar from HDFC Mutual Fund.

Bhagyesh Kagalkar: This is Bhagyesh. So, a couple of queries on the new initiative area. First of all, the Annual Report has come out, and the good thing is there is substantial backing to us from BP Group, which is also far ahead in the charging or even in other EV areas. And we should benefit from this thing logically.

But the whole issue is company needs to lay a roadmap for next 3 years to 5 years basically.

Where are the revenue potential, as well as the profitability potential for the future areas? I'll just give an example of charging. So, most of the charging facilities in India are very underutilized, hardly 3% in the EV space. So one needs to be slightly cautious and yet lay a roadmap for the future, for next 3 years to 5 years?

Sandeep Sangwan: So Bhagyesh, thanks. Excellent question. Very insightful. We have a very clear roadmap for the next 3 years to 5 years. And the first point I'd like to say is our core business, which is built around lubricants will continue to stay very robust for the next 3 years to 5 years.

We're beginning -- we're seeing more than 20% growth in the car category given the low penetration in India of passenger cars. And I'm talking internal combustion engine, ICE cars here, EVs. Two-wheelers still continue to grow, although the electrification will come much faster in two-wheelers and commercial vehicle and agricultural sector continue to grow.

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So the underlying lubricants business and related fluids will continue to stay very robust for the next -- in fact, going well into the 2040s, okay? So that's one thing I'd like to say. And Castrol always strives to grow slightly ahead of the market in this space. That's point number one.

The second is, as I said, the second building block is our service and maintenance or the workshop business, okay, where we're making a headway in growth with our own network, which is 300-plus strong of Castrol Auto Service which service cars and 5,000 bike points, so giving a trusted quality service to consumers, okay? Last year, we had announced our investment in Ki Mobility Solutions, which is a unique digital business model, again, playing in the aftermarket. So that's the second leg of our growth.

And the third leg of our growth is we are entering into adjacencies. For example, over the last 2 years, we've piloted auto care range. And this year, within this quarter, in fact, we'll be making that as a national launch going forward. So, I think our next 3 years to 5 years roadmap as you're requesting is very clear in terms of where we want to grow and how we want to grow.

EV charging, you rightly said, it's still a very nascent area. And BP is partner company, which Jio-bp is looking at that opportunity. And if we can add any value, we will add value to that with our large network of 100,000 outlets that we have across the country. So, that's the broad shape of where we are heading.

ded.

Moderator: The next question is from the line of Nalin Shah from NVS Brokerage.

Nalin Shah: At the outset, let me just say the kind of confidence, sir, you have expressed in the future of Castrol is very, very, I think, welcome and we really feel very confident about the performance of the company.

My question is also more or less similar that where do we see the company from here on for next 3 years to 5 years in terms of whatever we may say, top line or like kind of a growth, which is expected in terms of volume, in terms of value, etcetera? And where do we see the company from here in terms of this kind of growth, which you outlined for 3 years to 5 years because we need to have some kind of, I mean, understanding in terms of the investment point of view?

Sandeep Sangwan: Okay. So thank you, Mr. Shah for your question. I think at the outset, let me say, we typically don't give any guidance in terms of growth numbers, etcetera. But I'll give you a broad shape, and then I'll request Deepesh to join in, okay?

Nalin Shah: Yes.

Sandeep Sangwan: Category, if you look at the total lubricants category, that grows at about 3% to 5% in that broad range. And we don't see that changing significantly in the next 5 years or even longer at least, okay? But our endeavor is to grow our volumes and top line ahead of the category by a few points, okay? The second is, we will continue investing in our brand, okay? One of the strengths is our brand, because we are a premium brand, and we'll continue to be a premium brand. So investment behind our brands and you would have seen in the numbers.

We will continue at a level that we've historically invested in, okay? And we have capital investments that also go to support some of our initiatives, whether it is service and maintenance, independent workshops, etcetera. And then through cost efficiencies, if we can add another percentage or so, if you look at our -- this quarter's EBITDA, which is, again, back to 23%, which was 21% in quarter 4 last year. And I think we've said we'll operate in a band of 23% to 26%. So EBITDA margins will also continue to be operating in that frame. So hopefully, that gives you a view of how we're looking at the next 3 years to 5 years.

Nalin Shah: Yes. Perfectly okay. But since these new initiatives are there, can we have some guidance, as you mentioned about the 3% to 5% growth in the lubricant business? So similarly, just -- can we have some idea about what kind of a -- considering the other new initiatives, what kind of a top line growth we can sort of project?

Sandeep Sangwan: So, I think on the new initiatives, to be honest, Mr. Shah, it's still early days, okay? We have certain projections that I don't want to share on a call. But hopefully, once we have 6 months to 12 months of kind of performance under our belt, we'll be able to have a better view on how much that can add to the top line. But as you said, we are committed to kind of auto care category, okay, as one area. And the second is expanding our presence in independent workshops to begin with.

Moderator: We'll take the next question from the line of Pranay Gandhi from Green Portfolio.

Pranay Gandhi: I have a question regarding your after-sales service that we got into community building initiative sales the company is taking. But I would like to know what proportion of our sales come through these tie-ups in comparison to our conventional business?

Sandeep Sangwan: So Pranay, thanks for asking that question. I think what I would say is almost about 80% of our revenue comes from automotive space. And primarily, we are an aftermarket company. Our OEM business component is small as compared to the overall business. And we play in the aftermarket because that's the strength of the brand where we can get the premiums and the pricing that we can demand.

Now f

rom the tie-ups, I think Ki Mobility is just getting into execution phase, okay? But they have a good coverage of garages, retailers, and I think we'll start seeing the momentum on that area. Independent workshops is another big component in our mobility space, okay, which accounts for a good percentage of our sales in 2-wheelers and 4-wheelers category.

So overall, I would say, just keep the frame of automotive, about 80% of our business and primarily coming from the aftermarket. That's how we kind of -- more than that, I don't want to be very granular. And Deepesh, if you want to add anything, please comment.

Pranay Gandhi: Thank you for answering that, sir. My only concern here was that since we are tying up with independent workshops and training them, so does it add on to the margin or probably our sales volume exponentially? Or we are still somewhat in a similar range as we were previously done taking this initiative?

Sandeep Sangwan: No. So, I think possibly we'll be in the similar range plus, minus. But I think what is happening is as vehicles get more sophisticated, okay, and the engines get more sophisticated, both in 4-wheelers and 2-wheelers, that gives us an opportunity to upgrade the portfolio. okay?

So from viscosities like 20W,10W, the market is moving to more 5W and 0W, okay, which is better products, thinner oils and where Castrol has a good advantage in terms of technology because we can leverage our European R&D centers. So, there will be an upgrading opportunity as the category shapes. But overall, the trends would be pretty similar because workshops, the only shift we are seeing is the demand in passenger cars seems to be shifting from retail to workshops now. I think that's one trend that we are observing.

Pranay Gandhi: And what about the margins? Do we command higher margins with our own tie-ups? For example, Ki Mobility as well, since we would have access to their spare parts, which we could supply to our own tie-ups, workshops. Apart from that, even the lubricants, do we earn a higher margin in our own workshop or the workshop with which we have tie-up in comparison to the market in general?

Sandeep Sangwan: So Pranay, our margins are pretty similar, whether we work with partners such as Ki Mobility or whether we work in our workshops. The advantage we get with partners such as Ki Mobility

is they operate under the brand of myTVS, and they are a much more digitally-focused business. So, we get synergies on a brand level. Plus, we get additional access opportunity for incremental volume and incremental business. But the margin structures are pretty similar, and we want to protect our margins, whether we work with partners or whether we work in our own workshops.

Moderator: We'll take the next question from the line of Mohit Mehra from Guardian Capital.

Mohit Mehra: Okay. So the first question is a bookkeeping question. What were the volumes during the quarter?

Sandeep Sangwan: Sorry, we couldn't hear you. What volumes?

Mohit Mehra: What is the volume number?

Sandeep Sangwan: Okay. Sorry. I thought that was a following question. Volume was about 55 million liters.

Mohit Mehra: Okay. And secondly, how much inventory of logs and additives do you maintain because if I look on a Y-o-Y basis, crude price has actually declined. And even in your opening comments as well as in the press release had said that because of inflationary pressures, the margin has declined on a year-on-year basis.

Sandeep Sangwan: Yes. So let me just explain this in a little bit more detail. So direct linkage with crude oil is probably not a fair assumption, reason being that crude oil to base oil and then from base oil to additives when the manufacturers do, there is a lag, right? And then from the time base oil comes into our tanks to the time it gets manufactured also and then sits in

the inventory, there is a lag.

But having said that, typically, we would have inventory which range between about 25 days to 40 days, depending on the raw material or finished goods. That's one.

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Second is one ability that we have, which we do pretty well is managing this working capital cycle and doing shifts local, between local buy and international buy to both leverage the costs as well as manage inventory. So to give you an example, currently, while crude oil is going down and the base oil is also softening, our inventory at March is on the higher side from the range that I've given to make sure that we -- sorry, it's on the lower side because we have made sure that when we buy, we do a bit of a buy later on so that the inventory is lower, and therefore, we don't get blocked into the working capital. So, that's the process we adopt. Coming back to your question directly, it's in the range of 30 days to 45 days.

Mohit Mehra: Got it. And there is no inventory revaluation that happens, right? So everything is recorded on as price paid, right? Because, for instance, they have inventory reevaluation that caused a lot of fluctuation in earnings?

Sandeep Sangwan: No, we don't. Our accounting system -- I mean, if you look at our policy in accounts, it is a weighted average cost. So, I don't know if you're asking whether there is a mark-to-market. We don't have mark-to-market.

Moderator: The next question is from the line of Abhijeet Bora from Sharekhan by BNP Paribas.

Abhijeet Bora: Sir, can you give the base oil prices currently and like, what was in the previous quarter?

Sandeep Sangwan: Yes. I think the base oil range was about INR1,000 to INR1,100 in the previous quarter. And towards the end of the quarter, it went towards INR 1,000. And I'm giving you the external benchmarking that is there and available. And in this quarter, it's gone down by about \$100.

Abhijeet Bora: Okay. So it is close to around INR900 currently?

Sandeep Sangwan: Around INR900, INR950, yes.

Abhijeet Bora: Okay. And when we expect this benefit to flow into our numbers given the -- like inventory buildup we have?

Deepesh Baxi: So the way we look at the benefit coming through is, it's a combination of benefit coming through to us from a P&L perspective or can we pass on some of that benefit to consumers and customers because we have a pricing strategy, we have a framework that we operate in. So, it's a combination of kind of that benefit being passed through to the market, but also kind of helping our P&L. That's how we kind of manage the fluctuations in the price.

Moderator: The next question is from the line of Pratik Banthia from Girik Capital.

Pratik Banthia: Hello?

Sandeep Sangwan: Yes, please.

Moderator: The line for the current participant has got disconnected. We'll move on to the next question from the line of Bharat Sheth from Quest Investment Advisors.

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Bharat Sheth: Sir, if we bifurcate a ballpark figure, how much of our current sales is generated through the synthetic oil where this base oil has a very minimal use there and how much is from the products are purely a base oil base?

Sandeep Sangwan: So first of all, let me kind of just correct one statement. Synthetics also use base oil, but they use a higher quality base oil, okay? There are different grades of base oil. So synthetic products also use a higher quality base oil, first of all. So it's not that they don't use any base oil.

Bharat Sheth: But is that fair understanding the content is comparatively lower?

Sandeep Sangwan: Not really, okay. I don't want to get into specific technology, but they also use similar level of content but over much higher quality versus non-synthetic or monograde products, yes. And if you look at about 10% to 11% of our sales comes from synthetic products.

cts.

Bharat Sheth: So how are we seeing the traction of that business because that's having a long drain?

Sandeep Sangwan: Yes. So long drain definitely kind of impacts the frequency of oil changes, but that gets compensated through better quality of products where we can charge a premium. So it almost kind of plays out. And that's why the category itself continues to grow at between 3% to 5% on a per annum basis.

Bharat Sheth: And last question, sir. Our base oil, how is the availability domestic vis-a-vis global? Because what we understand, our Indian refiners largely are remaining away from, I mean, producing base oil. So if you can give some industry perspective on that?

Sandeep Sangwan: Yes. Sure. So, I think if I give you the present scenario, I don't think there is a problem, frankly, on the availability locally or internationally. And that obviously is translating into the softening of the base oil. I think what we do is, while we have -- which is an advantage to us, while we have global contracts, right, negotiated globally, we do get price advantage. And the certain component of our purchases is through global and therefore, imports. Of course, we get exposed to some forex risks. But the trade-off is pretty good in that sense.

And then we -- as I was mentioning earlier, we used tactically to buy locally in terms of making sure, depending on the price of base oil is going up or down to manage our inventory and work that through. In case there is a supply constraint, then also we can -- we have that lever available to import versus domestic buy. But in -- if I were to generalize the response, the availability is not a problem right now.

Bharat Sheth: Fair. And also the decline in bulk shipping rate has helped us in any way reducing our costs.

Sandeep Sangwan: Let me understand your question. Your question is?

Bharat Sheth: During post-COVID immediately, the freight rate has gone up. Of course, largely, it was container, but it has also moved up significantly, then what was the remaining average?

Sandeep Sangwan: Yes. So, there is softening on that as well. So, there is benefit we can see there as well, if that's what you're asking.

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Moderator: The next question is from the line of Shalabh Agarwal from Snowball Capital Investment Advisors.

Shalabh Agarwal: Sir, the first question is on the overall volume growth that we registered for the last year. I think it was very flattish from the previous year. See if you can give us some understanding of how the market moved last calendar year and how we performed across different categories where we were ahead, if in personal mobility, we were ahead, if you can give some color around that?

Sandeep Sangwan: Yes. So, I think you're right. The last year volume was flattish. And I think last year was a story of 2 halves. We had very good volume momentum in the first quarter and then because of the inflationary pressures, kind of it started softening a bit. And second half, from a volume perspective was soft, whereas because of pricing, the turnover was pretty fine. Now in terms of share position, I wouldn't like to kind of give specific numbers, but we've grown our share over the last few months in passenger car.

I think the shares have been a bit soft on 2-wheelers, okay? And we more or less held our shares in commercial vehicles and in agricultural sector. And I think looking forward to this year, we see the category still at about 3% to 5% growth rate, okay? And I shared some numbers earlier in terms of the spaces might be slightly different. So, that's the broad kind of a position where we are.

Shalabh Agarwal: But sir, would it be correct to say that probably personal mobility, which is both cars and 2-wheelers grew in high single digits or close to double digits for us last calendar year in volume?

Sandeep Sangwan: Yes. You're right.

Passenger cars grew in high double digits -- in mid- to high double digits. I

think 2-wheelers was high single digits, okay, that's what. And then we had some pressures on commercial vehicles and agricultural sector second half, okay? And industrial volumes were

also a bit kind of softer.

Shalabh Agarwal: Okay. That is helpful, sir. Sir, second question is because there have been repeated concerns given the uptick in the EV space in India, I would like to ask, in case you can share some insights from your Chinese market given Castrol is also a big player over there, and the EV penetration is much higher, both in 2-wheelers and 4-wheelers? How is the Indian oil volume growth been in China, given Castrol is a much bigger player? If you can share some insights, that will be helpful.

Sandeep Sangwan: Yes. So I think, first of all, we are very active in the electrification of EV fluids, both globally and in China. And almost 50% of the global OEMs use Castrol EV fluids in one way or the other. And in India also, we supply to 2 of the largest EV players in the passenger car market, which is Tata and MG Motor and we have supply positions with them.

The second is, I think in India, the electrification is not going to be as fast as in China. We expect the pace of electrification -- it will happen in India, but I think the lubricants market will continue growing well into the 2040s, where in China, the pace of electrification is much faster.

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And I think what our learning has been in China that we engage with the OEMs early in the process in terms of making sure that we are also helping them with the development of EV fluids and their vehicles. So for example, we work with many of the Chinese OEMs like BYD, Shanghai Automotive, and we work with them on EV side as well.

So, that's the broad learning. I think, China, the 2-wheeler market electrified many, many years ago, okay? So 2-wheeler comparison is not relevant as far as China is concerned because there, it was more like moped kind of uses of two-wheelers rather than motorcycles or scooters as we see in India.

Moderator: Ladies and gentlemen, this is to bring to your notice that the call will conclude in the next 15 minutes. The next question is from the line of Pratik Banthia from Girik Capital.

Pratik Banthia: Sir, my question is on the service business, which we are planning to expand. Sir, how do you see this as an opportunity, given there are not many organized service centers and given the Castrol, the brand name, how do we plan to leverage this, given there's a lot of money in this business? So what is the way forward for us?

Sandeep Sangwan: So, I think the way forward for us is, Mr. Banthia, first of all, is to create a network where consumers or customers can get consistent quality service. Because one of the issues we have -- consumers have is they don't trust the independent auto aftermarket in terms of getting a reliable service. And having that network helps us, first of all, making sure that the consumers are getting genuine products, genuine Castrol lubricants for their engines, which are right for their vehicles. The second is we train these workshops. We have -- we certify them through standard operating procedures. We have a tie-up with the certification agency. So right now, the intent is to create that ecosystem in India, as you rightly said. With myTVS and Castrol, possibly, we will be able to create one of the largest aftermarket ecosystem around service and maintenance.

Pratik Banthia: Got it, sir. Sir, this will be kind of -- the customers would be coming to Castrol service outlets. After that, their 3-year warranty is over, what an OEM gives. Yes. So here, we would also need parts, auto parts, there's a replacement or something like that. So then how would we take care of the availability of parts? We'd be doing some

sort of tie-up with the OEMs for the genuine parts. Or how would that work?

Sandeep Sangwan: So excellent question. And I think that was one of the key reasons why we made the investment in Ki Mobility Solutions, which is part of the TVS Group because Ki Mobility has a legacy or existing, very strong spare parts business. And right now, we are integrating that spare parts availability or respecting competition law. We make -- we're going to make that spare parts availability for our Castrol Auto Services and bike points. So that's why we invested in that company because that gave us something that we were missing.

Moderator: We'll take the next question from the line of Harsh Maru from Emkay Global Financial Services.

Harsh Maru: Sir, my first question is around the volumes. So if you look at the last 3 years, which is first quarter of '21, '22 and '23, there was a surge in terms of volume. So Q1 saw about 60.5 million liters. Q1 '22 was again about 59 million liters and Q1 of '23 is also about 55 million liters. So

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sequentially, do we see some seasonality in the business over here? So if you could throw some

color on that. Yes.

Sandeep Sangwan: Yes. I think it's not a question of seasonality. I think if you remember '21, we were coming out of the COVID first wave, first wave kind of which started and the country was shut down. And I think when we opened up in the beginning of '21, so there was a surge of demand in all services. And I think all the companies had very good first quarter in '21. Similarly, last year, again, the second wave hit around -- in '21, and then first quarter of '22, we were coming out of that -- the softer second half, second wave impact of COVID.

So, I think I wouldn't call it seasonality. I think the whole environmental situation has been very unique over the last 2 years, 3 years. And what I'd like to say is, I think, for these years, you should look at the performance on a total year basis. And as a company, we are very satisfied the way we've managed. So even if you look at our bottom line profits and Deepesh can talk exact numbers. We had a profit -- PBT of about INR700-plus crores in '20. We increased it to INR1,020 crores. And despite huge inflationary challenges last year, we delivered a profit of INR1,090 crores approximately.

So, I think we don't read too much into that from a seasonality perspective. I think now the situation becoming normal and inflationary pressures easing, like last year -- last quarter, our volume was in the range of 48 million liters, 49 million liters and this quarter, we've delivered 55 million liters. So, we are quite positive on the momentum. By quarter, we shall see some seasonality, which comes from the agricultural business.

Harsh Maru: Right. And just one more question. So if I were to -- like if you were to look at the additive costs over the last, say, 3 years to 4 years and if you were to put a base of about 100, could you say that how the prices have moved, say, in 2020, say, the prices like rose 30% to 130 base. So if you could give us some ballpark numbers around the trend in additive costs?

Sandeep Sangwan: Yes. This is something we are closely monitoring. So, I would say the additive cost, if you say 2020 and '21, beginning over 100, today, it is almost 150, 160. That's the amount of unprecedented rise that we have seen in additives.

Moderator: Ladies and gentlemen, this is to bring to your notice that the call will conclude in the next 5 minutes. We'll take the next question from the line of Mohit Mehra from Guardian Capital.

Mohit Mehra: I wanted to know how you guys think about margin because in this quarter, if you look at the RM cost per liter, that has come off significantly, but the gross contribution per liter, that is more or less flat. So in fact, it is very slightly lower. So should we just stick by that

EBITDA margin

guidance in terms of percentage that you have set? Or do you look at this per liter contribution?

Sandeep Sangwan: So, I think the -- we do look at per liter contribution. We look at all the lines of P&L. But I think as far as overall is, our frame is that we want to be in that range of EBITDA guidance. That's how we manage our P&L. I wouldn't like to get into per liter contribution, etcetera. We've shared our volume numbers. You can estimate what it is. But our intent is to manage the EBITDA margin within a band, sir.

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Mohit Mehra: Got it. But then, let's say, if crude were to decline to \$60 per barrel on an absolute basis, our EBITDA in rupee terms, then that could decline, right?

Deepesh Baxi: No. If crude is declined, then we get the benefit because then input costs will decline, base oil will decline, therefore, cost of goods decline. But remember, we also want to focus on giving the right value to our customers and we want to make sure that we are contributing and investing in our brand.

So obviously, it is not a straight flow-through, right? The corresponding is also true, which is every time crude keeps going up, you just can't make price increases in the market in every part of the segment, right? For example, in retail, it might be easier than doing it in the B2B setup. Does that help?

But as Sandeep said, I think the way we look at our P&L is definitely at a gross profit level, clearly, and endeavor is to maintain margin. We don't want to grow and have a disproportionate increase. But having said that, because costs are increasing, inflation in India is high, so what we are saying is we need a bit of a flex on the EBITDA margin, some elbow room.

And the range that we try to operate is something between 23% to 25%. So, you will see some quarters where it will go to 25%. Some quarters, you will see it going to 23%, 22%. And that range and band is what we want to work for because then that helps do the right decisions for the business rather than just being reacting in a tactical manner to the increase, decrease in the input cost. Therefore, pricing also, we are very strategic. We don't take tactical pricing.

Moderator: The next question is from the line of Shalabh Agarwal from Snowball Capital Investment Advisors.

Shalabh Agarwal: Sir, circling back on my earlier question on the Chinese market, I was more interested in

knowing about the ICE engine oil demand. How has it been in China last couple of years, given the EV penetration?

Sandeep Sangwan: Yes. So, Shalabh, I think it will be wrong for me to comment on China because I'm not very close to that business. My focus is making sure that we continue winning with Castrol in India, okay? Maybe we can connect offline and we can share something with you.

Shalabh Agarwal: Sure. Sure, sir. And sir, just lastly, for this quarter, again, in the personal mobility, we have grown by -- in mid-single digits? Would that be a correct assessment?

Sandeep Sangwan: So, I think for the quarter, I won't share, but we've grown in cars while our 2-wheelers has been more flatish, let's say. Yes.

Moderator: The next question is from the line of Pratik Banthia from Girik Capital.

Pratik Banthia: Sir, the other question I had was that, are we targeting the cars in the mass market segment, or it will also be catering to the premium segment as well?

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Sandeep Sangwan: So, we operate across segments, okay? And thankfully, cars is not a category where a local unorganized sector play can happen. So most are very reputed companies and organizations, which -- OEMs which get into the car space. And that gives us an opportunity to play across segments in the car space. So for example, we have a brand called MAGNATEC, which plays on the premium end, and we have a brand

called GTX, which plays on the lower end of the market. But the endeavor is to service all needs of the car market at different price points and different engine specifications, different viscosity specifications.

Pratik Banthia: Got it, sir. And sir, last question. again on the service side. Given you're expanding, so the setup cost of the service center is different for a city like Mumbai versus rest of India because of the real estate cost and the rent associated with that. So will be our franchise agreement, or it will be company owned, company operated? How would that be?

Sandeep Sangwan: So a very good question. We don't have any company-owned, company-operated sites. And that is not the intent. We provide branding support because our brand draws consumers into the workshop given the trust that consumers have on Castrol as a brand, and then we provide them training support and other support, but it's not an owned asset by the company.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of Castrol India Limited, I thank you for joining this call. You may now disconnect your lines. We wish you a good day ahead. Thank you.

Sandeep Sangwan: Thank you, everyone. Thank you.

Deepesh Baxi: Thank you.

Call: Aug 2023

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2 August 2023

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 2Q FY 2023

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Tuesday, 1 August 2023 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html under INVESTOR CALL DETAILS --- 2023 --- 2Q FY 2023

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a

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"Castrol India Limited

2Q 2023 Earnings Conference Call"

August 01, 2023

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR -
CASTROL INDIA LIMITED
MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER AND
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our 2Q 2023 Earnings Conference Call for Castrol India Limited. Please note that, all participant lines will be in the listen-only mode. And you can ask your questions after the presentation. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator.

We have with us, Mr. Sandeep Sangwan, Managing Director, Castrol India Limited; and Mr. Deepesh Baxi, CFO and Whole-Time Director, Castrol India Limited.

I now hand over the conference to Mr. Sangwan. Thank you, and over to you.

Sandeep Sangwan: Hi, thanks. Good afternoon, everyone, and thank you for attending Castrol India's Second Quarter 2023 Earnings Call. I hope you and your family are doing well. We're pleased to share that Castrol India Limited delivered strong growth in the second quarter of '23. I'd also like to remind you that we follow the Jan to December calendar year for our reporting. We focused on achieving growth both through volume and top line revenue growth. And despite challenges, I think we've done a good job and we're very happy with the second quarter performance showing resilience and innovation in products and services, and we'll cover that a bit later in the call. To begin with, let me invite Deepesh, our CFO to take you through second quarter numbers and financial performance in detail. And he will also then take the opportunity to share with you how the first half of this year has been. So, Deepesh, over to you.

Deepesh Baxi: Thank you, Sandeep. Good afternoon all of you. We announced our 2Q results this -- yesterday afternoon, and here are some key financial highlights. In the second quarter of 2023, we reported strong financial performance. Our revenue from operation was INR1,334 crores, which is up 7% compared to 2Q 2022, and it's also up 3% compared to the sequential quarter of 1Q 2023. Profit before tax was INR305 crores, a gain of 9% compared to INR280 crores in 2Q 2022 and 6% higher than 1Q 2023 sequential quarter.

This resulted in delivering a strong performance in 1H also ending 30th June 2023. During this period, we registered revenue from operations of INR2,628 crores, achieving a growth of 6% compared to 1H 2022. And PBT for the first half of 2023 stood at INR593 crores, marking a growth of 0.4% versus INR591 crores in 1H of 2022.

The Board of Directors have declared an interim dividend of INR3 per share, which will be paid on or before 31st August 2023. With confidence, we move ahead, expecting continued growth and impact into the end of the year 2023. I would now like to handover to Sandeep.

Sandeep Sangwan: Yes. Thanks Deepesh. I think apart from the financial performance, I'd like to draw your attention to some of the key business developments at CIL. First is, we expanded our portfolio by entering the Auto Care segment with a variety of products in May. This reaffirms our promise to offer superior service satisfaction to vehicle owners. And this quarter, we plan to leverage our extensive network of distributors, modern trade partners, e-commerce channels and Castrol Auto Service outlets and Bike Points to reach consumers with this offering.

We also successfully launched Castrol CRB ESSENTIAL, a 5 product variant range of affordable commercial vehicle engine oils to cater to different specifications. To win in the SUV
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market, which is almost kind of 50% of the new car sales, we launched MAGNATEC SUV 5W30, a premium full synthetic offering, which has gained a great response from our customers already.

Then pursuant to a June '23 agreement with Mahindra Insurance Brokers Limited, Castrol Auto Service multi-brand passenger car workshops have an option to be empaneled as distributors of eligible insurance policies from top motor insurance providers

through Mahindra Insurance

Brokers Limited. The workshops can now potentially offer automotive insurance products digitally alongside repair and maintenance services for their customers' vehicles.

By the end of the first half, we've already established a network of over 5,500 Castrol Bike Points and 350 Castrol Auto Service outlets. In the second half, we aim to reinforce our position in the

after-sales service market, committed to enhancing our presence and providing exceptional service to our valued customers.

Pursuant to alliances with OEMs for supply of EV fluids, we launched Castrol ON EV transmission fluids and other relevant fluids for EVs for the aftermarket earlier this year. Consumers can now buy the product on e-commerce platforms. Additionally, we are conducting ASDC-certified EV readiness trainings to make car and bike mechanics in India EV-ready. Until now, we have trained 200 mechanics across India. And in third quarter, we expect to further increase that number through providing more trainings. And this will help us strengthen our market position going forward as well. At the same time, we do all this while keeping our focus on sustainability. We continue to explore raw material optionality to reduce carbon footprint and our 3 state-of-the-art plants in Paharpur, Patalganga and Silvassa continue to perform well with a capacity of about 260 million litres for lubricants.

I think as a part of our Castrol's global PATH360 sustainability agenda, we moved our Patalganga plant to 100% renewable energy electricity now, and the plant is procuring this green electricity directly from the grid. The plant also won prestigious award for industrial health and safety practices by the Government of Maharashtra and occupational health and safety award, the Golden Peacock Award. The Paharpur plant was also awarded Gold Award for Plant Efficiency category by Apex India Foundation.

And on that note, I'd like to thank you for your attention and would like to open the session for your questions, feedback and views, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Swechha from ANS Wealth.

Swechha: I have two questions. First was, you said the revenue growth of 7% Y-o-Y, how much of this was the volume growth? If you could give me the volume growth numbers Y-o-Y and sequential also? And the second question was, if you could give me a breakup of how much revenue was generated from EV fluids in this quarter and the previous quarter, that would be helpful?

Sandeep Sangwan: Yes. Deepesh, do you want to take that?

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Deepesh Baxi: Yes. So first question in terms of the volume growth, I think we grew volume. We had about 58 million litres this quarter versus 55 million litres the previous quarter. In terms of the growth on volumes, we were about -- 20% growth has come from volume. In terms of the EV fluids, I think it's too early to really share with you the numbers. As you know, the EV market is effectively very nascent stage. And the percentage of EV sales itself in motor cars is at single digit in terms of the total car sales. So very early stage in terms of -- so it's now very difficult to give you a number at this stage.

Swechha: Okay. Okay. So if you could -- just a follow-up on this. So if you could give a broader outline as to how do you see this EV fluids contributing to our revenues, say, going down 2 years or 3 years down the line or maybe 4 quarters to 6 quarters down the line. What percentage of revenue this can become at a later stage?

Sandeep Sangwan: I think if you're looking at the next 5 quarters to 6 quarters, the contribution of EV fluids is going to stay relatively very, very small, because I think given the low penetration of cars in India, a lot of consumer demand is still being fulfilled by ICE vehicles.

And we expect that the lubricants

market even for a medium to long-term will continue to stay robust still well into the 2035, 2040.

So I think in the next few quarters, the contribution of EV fluids is going to be very small. But what we are making sure is that all the relevant products are available for EV vehicles to our customers.

Moderator: We have our next question from the line of Sabri Hazarika from Emkay Global.

Sabri Hazarika: Yes. Sir, two questions. Firstly, I mean, your commentary in the press release was quite optimistic in terms of the outlook for the market as well as the growth outlook for this year. So what do you think is happening in the market? And what do you think -- how would that pan out in terms of your overall growth for the year?

Sandeep Sangwan: Yes. So Sabri, I think I'd like to answer that in 2 respects. So first of all, the lubricant market is growing, okay? We -- and we expect the total volumes and value to grow in this year, could be in the range of about like anywhere from 5% to 7%. But we're quite optimistic on demand growth in the lubricants category. Point number one. Second is, if you remember, last year, there was a lot of inflation, a lot of cost pressures, and we had to take multiple price increases to protect our margins. And I think those costs -- and as a result of that, the volumes in the second half of last year were impacted or under pressure. And with cost inflation having eased out now, we expect the volumes to start growing again, and that's one of our focus areas.

And we operate a strategic pricing framework, and we'll continue to take pricing actions so that we continue keep giving good value to our consumers and customers. So hopefully, if the

inflation stays, cost -- raw material input inflation stays at levels where we see now, we're quite optimistic on demand in the second half of this year.

Moderator: We have our next question from the line of Saumil Shah from Paras Investments.

Saumil Shah: Yes, sir. Congratulations on good numbers. So sir, my question was similar to the previous participant that I want to understand on the EV space basically. So what would be our revenue per vehicle on the EV side? See, I do understand EV is still at a nascent stage, but if we compare

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with, say, internal combustion engine per vehicle content versus per vehicle content on EV side.

So just wanted your outlook on the same?

Sandeep Sangwan: Yes. So I think on EVs consume less fluids as compared to ICE because EV don't need any engine oil, okay? But the technology is still developing and depending on how the technology develops will also -- because, for example, there's a higher need of thermal management and batteries for electric vehicles and that may consume fluids. So again, it's a function of time. At the same time, as a company, we're also kind of entering into new areas, things like Auto Care that I've spoken about to make sure that we expand into areas beyond lubricants. But just to give you the reassurance, we expect the lubricants market to continue growing into 2040, okay? So while the EV -- EVs will grow in the future, we don't see an immediate impact or even in the medium term from a business perspective.

Moderator: We have our next question from the line of Pratik Poddar from Nippon India Mutual Fund.

Pratik Poddar: Yes. Just 2 questions. One is if you could just talk a bit about the replacement lifecycle of this EV fluid -- the transmission EV fluid?

Sandeep Sangwan: So normally, the EV fluids tend to be filled for life. The -- it's -- the replacement cycles are not something like engine oil, which you need to service every few months or every 10,000 kilometers or so. But technology is still evolving. As I said, nobody has all the answers. So -- but typically, they tend to be filled for life.

Pratik Poddar: And the realizations,

would it be substantially higher than like-for-like vehicles or they are lower?

Sandeep Sangwan: Yes. The realizations because it's a different technology tend to be slightly on the higher side, okay? But it's a very small number or small volume by expansion.

Pratik Poddar: Got it. Got it. And last question sir, on Castrol Auto Service outlets, these are franchisee outlets, right? Just wanted to...

Sandeep Sangwan: Yes, absolutely. These are outlets where we don't own the assets. These are outlets where we provide branding support, we provide training support, and we provide certification and these outlets primarily use Castrol lubricants so that consumers can get quality assurance service.

Pratik Poddar: And it is that this network that you are introducing other car care products also, right?

Sandeep Sangwan: No, no. So we're introducing our product in all the outlets that we cover. So today, we cover almost about 100,000-plus outlets. So we'll sell these products in whichever channel is relevant for these products.

Moderator: We have our next question from the line of Hemal, a Non Individual Investor.

Hemal: Yes. So as I see -- if you see 2016, '19 area, our EBITDA margin range used to be 27% to 30%.

And going forward, I mean, because of maybe competitive intensity, our margins now we're guiding towards 23% and strategic pricing that you've been mentioning, but the industry is growing. Are we to expect -- if you take 3-year, 4-year view that the competitive intensity or the

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product mix that you're selling, is it going to lead to EBITDA margin compression further or is it this is where you believe it will normalize for the next 3 years, 4 years, assuming the raw materials don't move a lot and assuming last year was a one-off?

Sandeep Sangwan: So, Hemant, I'll answer a part of that question, and then I'll hand over to Deepesh. So first thing is we are a premium branded lubricant player in the market, okay, and personal mobility is a key focus area for us. So I think we will continue investing behind our brands, and that's been one of the hallmarks of Castrol, which enables us to command premiums in the market and not shift -- making any shift in that thinking. And I think as personal mobility vehicle ownership grows, that will also play to advantage in terms of protecting our margins.

So from a margin compression perspective, no, I don't see a margin compression happening in our business in the next few years because we will continue to be a branded player. And on the cost side also, we keep working on formulations to improve our formulations and improve our cost profile. So that's the broad shape that we have in mind. But Deepesh, if you'd like to add to

this?

Deepesh Baxi: Yes. Yes. Thanks, Sandeep. So the only thing I would add is that the range of the EBITDA margin, you spoke about 26-odd percent plus/minus., I think we've already shifted that by giving a range, which is 23% to 27%, right? So looking -- and that was more from a point of view of then looking at 3-year, 5-year forward view. So if I turn the question differently, the compression is then already factored in -- into that new range that we have given, and we are operating that. So I -- we don't see really going below 23%. Yes. I mean, there will be a odd year where there is a huge pressure on input costs, etcetera, but that might be a temporary blip.

The mix as well of the various products offering that we do, and you must have seen also in the press release, we regularly come up with new products, which are technologically advanced and fit for purpose for our consumers. So the price -- pricing that Sandeep was talking about, we always want to help the consumers get the best value for money as well. So keeping all of this consideration in mind, 23% to 25%, 26% is the range we would like to operate in.

Moderator: We have our next question

question from the line of Gaurav Nigam from Tunga Investments.

Gaurav Nigam: Yes. I just wanted to understand perspective since Castrol is a global company, sir, and I completely understand may not see EV transition in near future. But globally, like geography, the transitioning to EV, how the revenue profile of lubricant companies changing globally, any learnings that you can share from your global experience?

Sandeep Sangwan: So I think we continue working with all the big OEMs globally in terms of development of EV fluids for their vehicles, and I think there's a lot of investment going into that area. For example, BP, which is our parent company, announced a GBP 50 million investment in thermal management of batteries and EV charging last year at Castrol's headquarters in the U.K. So that is one.

From a revenue perspective, from a growth perspective, I think while the Western world is seeing accelerated kind of adoption of electric vehicles, there are opportunities in emerging markets such as India, South Asia, where I think the car park -- ICE car park is still growing. So we see Castrol India Limited

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globally that balancing out. And then we're also looking at additional opportunities, for example, one of the areas that Castrol globally has called out is around thermal management of data centers as an opportunity area from a fluids perspective. So we are looking at all the options. And I think Castrol has been in business for 100-plus years, and we want to continue being in the business for the next 100 years. So...

Gaurav Nigam: Got it. Got it, sir. Really appreciate. Sir, one -- another question. Can you directionally indicate what is our revenue proportion from non 2-wheeler and PV segments, I mean more CV and farm and all the other segments put together?

Sandeep Sangwan: So kind of personal mobility accounts almost for about 45% of our revenues. Commercial vehicles account for another kind of 40-odd percent, yes, and -- 35% to 40%. So basically, that's the split, okay? And then you have balance of the industrial fluid. So if you take roughly in the range of, broadly you can say, 45%, 40% and another 15% from industrial. That's the broad shape.

Moderator: We have our next question from the line of Sameer Dalal from Natverlal & Sons Stockbrokers.

Sameer Dalal: Yes. So my question, actually, to some extent, has been answered, it was on the competitive intensity that is there in the market. We are talking of maybe as the next many years, India will continue to grow in the ICE business, I mean, because the number of cars being sold is increasing and EV is still a very, very small component. So I want to know how you would be able to capture more of the market share going forward apart from just pricing? I mean you talked a little bit about the fact that you're doing this tie-up for branding, for servicing and all. But what are the other steps that probably you could take to ensure that you keep your lead in the market going forward?

Sandeep Sangwan: So I think, first of all, is around innovation, making sure that we are offering consumers latest products with latest specifications as the market evolves. So, for example, if you've seen the cars market, which used to be a 10W viscosity now has shifted to a 5W viscosity as the premium viscosity. And in the last quarter, we introduced a product called MAGNATEC SUV 5W30. So one area where we've always been very active and will continue to be active is product innovation and giving good quality products to our consumers. That's one area.

The second is, I think as the demand evolves on passenger cars, which are going to grow much faster as compared to 2-wheelers or commercial vehicles. We have a whole range of products and we leverage our global technology centers because what has happened in Europe, let's say, 4 years, 5 years ago is happening in India now from

from a technology perspective. And we have access to all those products and offerings from being part of the global multinational organization. The second is we're looking at distribution expansion opportunities, okay? So we're looking at rural as a growth opportunity area where we want to be focused. We're making investments beyond -- so last year, we invested in a company called Ki Mobility Solutions, which is a digital aftermarket player, which is a part of the TVS Group, and we took a 7% stake in that company. We closed the transaction in Jan. We are quite happy with the progress because they're also -- they have spare parts business, they have a network. So I think

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that's the broad shape of things that we're looking at, and we also see opportunities in the industrial space.

Moderator: We have our next question from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: Sir, you spoke about expanding your network with like what stakes we have taken as well as this Auto Care and setting up various service center. So how much, I mean, sales we are really able to generate out of this alternate channel that we are working? And how do we see this from 3 years' to 5 years' perspective that really start contributing in meaningful way?

Sandeep Sangwan: So I think it's very difficult to give you a broad split of how much do we sell to a branded versus sub-channel. But we do have the numbers, but I think that's something -- data from a competitive perspective, we don't share very openly, okay. We see good demand coming from passenger car workshops, okay? And that's why we're interested in investing in companies such as Ki Mobility or building a network, and we'll continue focusing on that because having a workshop offer gives a much better shape to us in the marketplace. But I think for competitive reason, I won't be able to share exact splits of these volumes or revenue from these channels.

Bharat Sheth: I don't want, but qualitatively, if you can just give some colour, how it will grow over the existing channel that we really look like?

Sandeep Sangwan: So I think the cars market is growing, and that's an area where we want to participate. And we have a leading share in the car space. We continue focusing on that, both from a retail and independent workshop perspective. I don't know what else can I say. We have a good share in all those spaces. Our market shares are in the range of -- in the retail automotive aftermarket as measured by Nielsen, stay in the range of about 20- odd percent, and that's what we want to continue protecting and growing.

Deepesh Baxi: And I mean I may just build -- these are service and maintenance workshop, right? So as Ki Mobility expands their network from x number of workshops to y over the next few years, the multiplier effect comes on to us as well. By the way, there is -- and whatever possibility is there on EVs, spares, repairs, they play in all of that. It's just not ICE engine. So with this investment, I think we do have access to that as well.

So I think the alliance that we have with them or the stake that we have taken is a strategic investment, and we are working with them not only on this, but many other opportunities, which obviously, as part of being a strategic partner, we get access to, and it can range not only just from service and maintenance but to other aspects of adjacencies as well. I mean think that's the best I can give you in terms of the flavour of what this is all about. This is a long-term investment from a point of view of collaborating with them and leveraging on each other's benefits and advantages.

Moderator: We have our next question from the line of Vipul Shah from Sumangal Investments.

Vipul Shah: Are we charging the -- this Castrol branded franchisee workshop NEC for using our name?

Sandeep Sangwan: So you mean to

say any franchisee fees or something, yes, from Castrol Auto Service?

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Vipul Shah: Yes.

Sandeep Sangwan: Yes. I think that's something that is -- I wouldn't like to comment on that. Let me say that we will hold our comment. But I think our primary focus is to make sure that consumers get quality service through Castrol lubricants and that's the intent.

Vipul Shah: So why I was asking is, is there any meaningful contribution from that area?

Sandeep Sangwan: Yes. So in these workshops, primarily Castrol lubricants get sold. So typically, let's say, my share in the -- and I'm just not quote any number. Let's say, if the share is 30%, 40%, 20%, in these branded workshops, we get a much higher share of lubricant usage, and that's where we drive value from.

Moderator: We have our next question from the line of Dhaval Shah from Girik Capital. Mr. Dhaval Shah, your line is unmuted. Please go ahead with your question. Since there is no response, we'll move

on to the next participant. We have a question from the line of Hiten Boricha from Sequent Investments.

Hiten Boricha: Sir, I have one question on the Auto Care business. As you mentioned, we are like making a portfolio in this segment. So just wanted to understand what is the current revenue, what kind of market this is? And I just want to understand the flavour in this segment, like how is the revenue we are looking for next 3 years to 5 years in this segment?

Sandeep Sangwan: So I think we just launched the range in May. So it's very early days, I don't know how much revenue will it contribute? I think, first of all, we'll come up with a range of 5 products, as I said.

And this is a very unorganized sector right now, and you have many, many small players. And I think our intent is to give branded offerings in this market. So we see good growth prospects, how much will it be, time will tell, very early days, I would say.

Hiten Boricha: Sir, any ballpark number on the market size of these products?

Sandeep Sangwan: Very difficult to estimate, okay? I think we see as a good opportunity. That's why we entered this market. You have big other players in the market, 3M operates in this space, you have Pidilite in this space, which are the other players. So we see opportunities, and that's why we decided to enter this segment.

Hiten Boricha: Okay. Okay. So just to conclude currently, this market is driven by the unorganized small players, right?

Sandeep Sangwan: Yes, there are many local players kind of getting organized. So we'll continue kind of making sure that we're adding offerings and keep working in this area. So...

Hiten Boricha: And sir, these products are also sold in the franchisees type of model, which we are currently trying to do with the outlet?

Sandeep Sangwan: Yes.

Moderator: We have a question from the line of Mayank Maheshwari from Morgan Stanley.

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Mayank Maheshwari: Just a bit more on industry question, especially on the cost side. Can you just talk a bit around how you're seeing the demand supply evolve on Group 3 lubricants as well as on the Group 1 side, if you can give us some flavour of what's going on in the market there?

Sandeep Sangwan: So I think, first of all, we have good global sourcing contracts, which kind of give us supply in the market. I think we've seen deflation coming through in Group 1, Group 2 and across all the base oil formats. And I think hopefully, we'll see stability in the prices going into second half. That's all that I can say. I think it will be -- it will not be right for me to comment on our sourcing strategy and how we source base oils.

Moderator: We have our next question from the line of Swechha from ANS Wealth.

Swechha: Just a follow-up. So like you said you just started the Auto Care in May. So could you give some more details as

to what products are we targeting in Auto Care and how do we plan to scale it up?

Sandeep Sangwan: Yes, yes, sure. So I think the products that we kind of launched now are products such as there's a Anti Rust product, there's a chain lube protector, there's a chain lube grease, which is used by 2-wheelers, there's a wax, which is a shine product. So basically, the proposition we have is we protect our vehicles from inside and outside because Castrol has been protecting engines for the last 100 years.

And that's why we decided to extend this range to a body care for automotive vehicles. And I think if I look at the portfolio, Auto Care is a vast range of products with multiple offerings from various players. And our intent is every 6 months or so, we'll keep enhancing this product range offering for the consumers.

Swechha: Okay. Okay. So are we also looking at like when you say body care, something like a protection film that normal cars have it, are we also looking on those lines?

Sandeep Sangwan: So I think we're looking at all the opportunities available in this category, and we're not close to anything which will add value to the business.

Swechha: Okay. Okay. And sir, the second follow-up, if you could give me the volume that was in Q2 of last year, sir? You gave 58 million litres this Q2. So if you give a number for last quarter, Q2?

Deepesh Baxi: In Q2 2023?

Sandeep Sangwan: 2022.

Deepesh Baxi: Sorry, 2022.

Sandeep Sangwan: Yes.

Swechha: Yes.

Deepesh Baxi: So 2022, we did 56 million litres last year.

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Moderator: We have a question from the line of Saumil Shah from Paras Investments.

Saumil Shah: Thanks for allowing me for a follow-up question. Can you share with us revenue contribution from Ki Mobility, the EBITDA margin for the same? And what growth can we expect going forward?

Deepesh Baxi: Yes. I think it's too early to give any numbers at this stage. We -- we completed the transaction only in January. And like we have said earlier, the intent of this is to have Castrol in their workshops. And we're looking at various other synergies and opportunities in both the -- both sides of the workshops to leverage the benefit that we have in terms of the strategic stake that we hold. But frankly, too early to give you numbers at this stage.

Saumil Shah: Okay. But the EBITDA margin would be similar to our lubricant business or any guidance, I mean, any outlook on the same?

Deepesh Baxi: It will be similar.

Saumil Shah: It would be similar. Okay. And sir -- sorry?

Deepesh Baxi: No, no, it will be similar, I said.

Saumil Shah: Okay. Okay. And so are we planning to increase any stake there in Ki Mobility side?

Deepesh Baxi: I think difficult to say again. We firstly want to make sure that what we have done and invested for, that gets completely embedded and executed. And that is going on and both sides of the teams are working on it. And if opportunity arises, we will see in the future. But at this stage, I would not like to comment on anything.

Moderator: We have a next question from the line of Dhaval Shah from Girik Capital.

Dhaval Shah: Yes. Sir, two questions from my side. First is the 15% of the business, which is the industrial lubrication, how is that segment growing, given the industrial activity has also been doing well in the country? And what's your outlook for the year? And my second question is, what is the revenue model for the Castrol Auto Service business, which we are developing? If you could throw some more light on that? Yes.

Sandeep Sangwan: Yes. So I think as for the industrial business is concerned, we've seen good growth in this quarter. And with the manufacturing activity picking up, with government's focus on making India manufacturing hub, we see industrial as a good growth opportunity, and hopefully, we'll continue seeing growth in the second half of this year.

Also.

And the Castrol Auto Service, I think in response to one of the earlier questions, I think we get good sales from lubricants and these workshops were -- which are branded Castrol because they primarily use Castrol products because they have trust in Castrol and they have -- they're able to kind of give good offerings to consumers.

So primarily the source of revenues, better lubricant sales through these networks. That's the primary focus. And we also are entering into partnerships with people like Mahindra Insurance Castrol India Limited

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Brokers, as I said, which help drive demand into these workshops and increase traffic in these workshops.

Dhaval Shah: Okay. So any aftersales service they do for the car? So that's -- any that -- any of that revenue will not come to us like the car servicing?

Sandeep Sangwan: No, that workshops revenue -- basically, we equip the workshops to provide better services to consumers using Castrol lubricants, that's the focus area.

Dhaval Shah: Okay. And if you can quantify the volume growth on the industrial side, like overall, we had a 5% volume growth year-over-year, but the industrial volume growth separately if you can share?

Sandeep Sangwan: So I think this quarter, the volume growth is in the range of about 9% to 11% without being very specific. So -- but that's the broad range.

Dhaval Shah: Okay. For the quarter. Okay.

Sandeep Sangwan: Yes.

Moderator: Ladies and gentlemen, this is to bring to your notice that the call will conclude in the next 5 minutes. We'll take our next question from the line of Harsh Maru from Emkay Global.

Harsh Maru: I actually had a question that's got answered. So thank you so much.

Moderator: We have our next question from the line of Mohit Mehra from Guardian Capital.

Mohit Mehra: I just wanted to ask how the progress is happening by our partnership with this Jio-BP petrol pumps?

Sandeep Sangwan: Yes. I think that is progressing well. I think Jio-BP, they're opening new outlets, and we have a commercial supply agreement, respecting competition law and respecting all the regulatory compliances. We have a lubricant supply position. I think last year, given the pricing situation, it was slightly subdued, but we're back to seeing good traction in those fuel costs. And I think as they add more outlets, we'll continue seeing growth in the lubricant supply position with these

outlets.

Mohit Mehra: So how many outlets do we have, because earlier I think we were disclosing this number, but now we've stopped disclosing?

Sandeep Sangwan: Yes, I think it's -- I think that question will be better answered by Jio-BP. Basically, we won't like to kind of share any number as far as that is concerned because that's not...

Mohit Mehra: No, no, no, I'm not talking about the number of Jio -BP petrol pumps, I'm talking about the number of outlets at which we are distributing Castrol?

Sandeep Sangwan: So we supply to all the Jio-BP outlets. And I think we have about -- we have also another offering, I think that maybe is what you're referring to is we have this express oil service, kiosks

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on Jio-BP side. We have about 40 of those right now, and we'll continue expanding on those as the outlets grow.

Deepesh Baxi: But lubricant supply is going to add -- lubricant supply is on all the Jio-BP outlets.

Mohit Mehra: Got it. Got it. Okay. And this -- the Mahindra partnership, that will not directly benefit us, right?

It is just something that an added advantage for our partners, right?

Sandeep Sangwan: Absolutely right. So it is for the advantage of the workshop, and this is something that Castrol has brought as a part of the offer to these workshops.

Moderator: Thank you. Ladies and gentlemen, we are at time. This brings us to an end of the call. On behalf of Castrol India Limited, I thank you all for

joining this call. You may now disconnect your lines. Wish you a good day ahead.

Sandeep Sangwan: Thank you, everyone.

Deepesh Baxi: Thank you.

Call: Nov 2023

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3 November 2023

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 3Q FY 2023

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Monday, 30 October 2023 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html under INVESTOR CALL DETAILS --- 2023 --- 3Q FY 2023

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a

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"Castrol India Limited Q3 FY23 Earnings Conference Call"

October 30, 2023

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR ,
CASTROL INDIA LIMITED
MR. DEEPESH BAXI – CFO & WHOLETIME DIRECTOR ,
CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our Q3 FY23 Earnings Conference Call for Castrol India Limited.

Please note that all participant lines will be in the listen-only mode. You can ask your questions after the opening statements. If you need assistance during the call, please press '*' then '0' on your touchtone phone to reach the operator.

We have with us Mr. Sandeep Sangwan – Managing Director, Castrol India Limited and Mr. Deepesh Baxi - CFO and Wholetime Director, Castrol India Limited.

I now hand the conference over to Mr. Sangwan for his opening remarks.

Sandeep Sangwan: Hi, good evening everyone. Hope you can hear me. First of all, thank you for joining the Castrol India's third quarter 2023 Earnings Call. I hope you and your family are doing well. We're pleased to share that Castrol India Limited delivered strong growth in the third quarter of 2023. Here, I'd like to remind you that we follow the Jan to December calendar year for our reporting. Despite challenges from volatility in crude oil prices, inflationary pressures and global uncertainties, we registered good growth reflecting resilience and innovation in products and services. And to begin, first I invite Deepesh to talk you through and take you through the third quarter numbers and financial performance in detail. And he will then also take this opportunity to share with you how the nine months of this year have been. So, Deepesh, over to you.

Deepesh Baxi: Thank you, Sandeep, and good evening to all of you. We announced our 3Q full year financial year 2023 results this afternoon. Here are some key financial highlights.

In 3Q 2023, we reported a strong financial performance. Our revenue from operations was Rs. 1,183 crores and this was up 6% year-on-year compared to Rs. 1,121 crores in 3Q 2022. Our profit before tax was Rs. 264 crores. This is a gain of 4% year-on-year compared to Rs. 254 crores in 3Q 2022. This also extended to a strong performance in the 9-month ending on 30th September 2023. During this 9-month period, the company registered revenue from operations of Rs. 3,811 crores, achieving a growth of 6% compared to Rs. 3,598 crores in 9 months 2022. The PBT for the nine months stood at Rs. 857 crores, growing by 1% from Rs. 845 crores in 9 months 2022. We've entered the last quarter with confidence and are optimistic of continued growth into the 2023 last quarter as well.

I would now like to hand over to Sandeep.

Sandeep Sangwan: Yes, thanks Deepesh. Apart from the financial performance, I would like to draw your attention to some key business developments in Castrol India. In terms of our recent launches, the Auto Care range is gaining good traction and acceptance by trade. The entire range of products is now available in 18,000 outlets and e-commerce platforms across India. Castrol Magnatec 5W-30 SUV is also doing well, catering to high performance demands in SUVs, which accounts for 50% of personal mobility 4-wheeler space. Our #BadhteRahoAage campaign is gaining steam
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as we go into the next leg, which will be an extensive on-ground activation specifically tailored to support truckers. This should boost our outreach into rural areas of the country to tap into the demand.

For motorcycle enthusiasts, Castrol Power1 partnered with Jio Cinema as Associate Streaming Partner of Bharat GP, India's first Moto GP and produced exclusive content that resonated with the performance biking community. In addition to out of home, the campaign went live on Jio

cinema and other digital channels. We proud to share that our CSR initiative for truck drivers Sarathi Mitra completed 6 years of supporting truck drivers' health, well-being and livelihoods. The initiative has improved the lives of over 200,000 truck drivers and their families across India to date.

Su

sustainability and environment consciousness is an integral part of our business and our strategy. After having launched 100% post-consumer recycled or PCR as we commonly know, bottles for Power1 Ultimate last year, we successfully transitioned all our blow molded High Density Poly Ethylene (HDPE) bottles manufactured and distributed across our supply chain network with 30% PCR content. This migration will help us reduce our virgin plastic consumption by 1800 metric tonnes in addition to carbon emissions reduction by 2600 metric tonnes per annum. During this period, we continue to expand our service and maintenance network. We now have 1200 multi brand passenger car workshops, over 5500 bike points and 47 Castrol Express oil change outlets at Jio-bp sites.

It is heartening to say that our products, services and processes are recognized by various industry bodies from time to time. Our Silvassa plant was recently awarded Platinum Award in Quality Excellence Category and Gold Award in Occupational Health and Safety Category by Apex India Foundation. Our Paharpur plant won Safety Excellence Award from Indian Chamber of Commerce and achieved 100% renewable electricity by sourcing international renewable energy certificates, allowing the plant to reduce 80% of its scope 1 and scope 2 carbon emissions. Patalganga plant continued its streak of external recognitions, winning safety award from National Safety Council of Maharashtra chapter.

Our initiative to conduct ASDC certified EV-readiness trainings to make car and bike mechanics in India, EV-ready is progressing well. We've trained over 200 mechanics across India by the end of this quarter. Going into the last quarter, our focus continues to be on strategic expansion in aftercare, electric vehicles and industry partnerships for the service and maintenance of automobiles. These developments and initiatives should help us strengthen our market position going forward and give an optimistic outlook for the year.

On that note, I would like to thank you for your attention and would like to open the session for your questions, feedback and views. Thank you.

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Moderator: Thank you very much, Mr. Sangwan and Mr. Baxi. We will now begin the question and answer session. The first question is from the line of Kewal Kumar, an individual investor. Please go ahead.

Kewal Kumar: Hello. I am Kewal Kumar. I am speaking from Delhi. My question is whether the company is thinking about the expansion in EV battery business as there will be demand for EV vehicles in the near future and our products like oil, mobile oil and grease etc. lubricants will be at a diminishing stage. And are there any plans to enter into EV charging or EV battery manufacturing or EV battery selling or EV battery swapping business? And is there any such plan for the company?

Sandeep Sangwan: So, thank you, Mr. Kewal Kumar for your question. I think as a company, we keep evaluating all growth opportunities related to automotive sector or any adjacencies around automotive sector. As I said, we launched auto care range of products this year, which we're getting a very good response. As far as EV batteries are concerned, we are already actively working on thermal solutions for EV batteries, and we have fuels that go into electric vehicles. So, we already supply our thermal fluids for two of the largest EV OEMs in India, and we'll continue exploring any potential opportunities that we have. And I cannot talk about specifically batteries, whether we'll get into that or not, but EVs, definitely from a thermal management of problems that EVs have, we have, in fact, if you remember about 1.5 years ago or around that time, BP announced a £50 million investment in our global headquarters around thermal management of batteries and that's an area of interest for us.

Moderator: Thank you. The next question

is from the line of Aayush Agarwal, an investor. Please go ahead.

Aayush Agarwal: I have two questions. The first one is regarding the EV like the previous person had asked. So, when looking at your distribution network and looking at your third party service center, would the transaction to EVs act as a headwind to their revenue? And the second question is regarding the indigenization of your fluids and other products business. So, I've noticed that there are quite a lot of related party transactions. I'm sure a lot of raw material and even finished product is being imported from your global supply chain. Do you see an expansion in domestic production going forward?

Sandeep Sangwan: So, thanks, Aayush, for both your questions. Let me kind of answer both the questions. First of all as well as impact of EVs is concerned in India, given low penetration of especially cars in

India, our projection in our estimates show that and so does what we've seen in the public domain from our competitors and various other players in the automotive sector, the Indian lubricant market will continue to be strong for the next going well into late 30s and 2040. So, the lubricants category will continue to grow while emergence of electric vehicles will be there. And as I said in my response to earlier question, we are also working on the EV fluids for electric vehicles. That is our view as far as EVs are concerned, so the market will stay robust and strong going into the 2030s and till late 2030s. As you spoke about indigenization, I think we have three plants in India which cater to almost all our kind of needs and we manufacture all our lubricants except for a minimum quantity that we import, which are very high quality products, some in the Castrol India Limited
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industrial sector, some in the automotive sector. And as far as raw materials are concerned, whatever we can procure locally, our intent is always to procure locally indigenously. But having said that, base oil, which is a key component which goes into manufacture lubricants and as India, we're a base oil deficit country, so everybody imports part of their requirements globally. Aayush Agarwal: I was just going to follow up on my first question. So, my question was more about your third party network. As I understand it, a lot of your customers are actually licensed dealers and stuff, right? So, do you see any kind of headwinds to their performance?

Sandeep Sangwan: No, we haven't seen any kind of compression as we're reporting, we're seeing good topline growth in our business and we expect that likely to continue. So, that's why we're also kind of expanding our network.

Moderator: Thank you. The next question is from the line of Prashant Galphade from ISJ Securities. Please go ahead.

Prashant Galphade: I have two questions. My first question is has the Castrol India entered into the Auto Care segment, could you share insight on whether other subsidiaries within the Castrol International have entered into similar venture and if so, how the performance of their operations in the Auto Care segment? And my second question is what is the volume of lubricant sold in the current quarter?

Deepesh Baxi: So, the lubricant volume sold in this quarter is about 51 million liter.

Sandeep Sangwan: Let me respond to the auto care question. I think there are certain other markets within the Castrol world globally which are selling auto care range of products. There is Turkey, there is China looking at these products and I think we're seeing good momentum and month-on-month growth as we build this category and as we build this product line.

Prashant Galphade: I could not hear the volume of lubricants sold?

Deepesh Baxi: 51 million liters.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Mr. Sangwan,

I'm trying to sort of really deconstruct your growth engines and I'm alluding to something you mentioned, I think 2 or 3 quarters back, but if I were to for example, just for a minute, just keep aside the lubricant business and break up my question in three halves. You had spoken about the network expansion, the auto services, the bike points. Could you point #1 expand on what is the strategy there? How do you make a sort of headwind? What's the addressable opportunity? Where have you reached in that journey? Point #2, I'm at least not sure of how the key mobility solutions, digital business model proposition. What is it exactly? What are the investments that we have made? How do we just sort of look to monetize on the Castrol India Limited
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investment there, what's the business model there? And third, you've spoken about the adjacencies like the pilot auto care range. So, could you suggest how we can as analysts track that particular space?

Sandeep Sangwan: Yes. So, I think let me try and answer all three of your questions. So, first of all, as far as the network is concerned, we continue going from strength to strength. We cover almost between 35,000 to 40,000 workshops today as part of our distribution network and out of which we're creating a branded concept. So, when I spoke about 1.5 years ago or 2 years ago if you remember, we started with something called Castrol Auto Service network and today I'm very happy to say that we have more than 400 plus Castrol Auto Service workshops across 100 cities in India and we continue expanding on that. We have about 5500 bike points and as I said, 40 express oil change centers where customers can buy oil on Jio-bp sites and change their oil. We also have about 40 plus express oil centers in rural areas, which are gaining good traction. So, IWS expansion will continue to be a focus area for us as we move ahead because two things happen. How does it add value to our business? First of all, I think we will get a larger share of the total

oil and in that outlet and the 2nd is we're able to sell a much better product mix in those outlets because these workshops are trained by us in selling better products to their customers. So, that's kind of on the network. As far as key mobility solutions are concerned, I think we finished the transaction in the first quarter of this year. We invested Rs. 487 crores in that to pick up a 7% stake in that organization and key mobility is expanding. They're seeing good growth in their network, both in terms of their topline revenue. I can't talk specific numbers for that. I guess you'll have to go to bookkeep. But their efforts in digitizing the whole workshop space around availability of spare parts, giving quality customer experience from a service experience, they have company owned company operated outlets, they have franchise workshops and there are two synergies. So, we sell our lubricants on their network, and they sell their spare parts in our network. Those are the kind of sources of value. And by joining 2 trusted brands, which is myTVS and Castrol, I think we can deliver better consumer experience and customer experience to a new automotive aftermarket. On the third question, I think on Auto Care early days we see good traction and I think I cannot say in the next quarter we will be able to kind of share more granular details, but I think as we build this business, we are very positive on this business with the response that we have got from consumers and customers because there is a general lack of good quality solutions available to consumers in this category that they can trust. And we will be adding more products in the portfolio in the coming quarters. So, I hope that answers your three questions.

Moderator: The next question is from the line of Mohit Mehra from Guardian Capital. Please go ahead.

Mohit Mehra: Sir this quarter-on-quarter dip in volumes, is that just due to monsoon or is there some other factors at play as well?

Deepesh Baxi: I think essentially there is a seasonality impact. Typically, our quarter 2 seems to be as a track record the highest quarter amongst the quarters and compared to quarter 3, monsoon of course has an impact, there is an impact of Agri and therefore some of our segments like CVO have higher sale in quarter 2 compared to quarter 3.

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Mohit Mehra: Sir could you provide a volume break up amongst the different segments for this quarter?

Deepesh Baxi: So, our portfolio as such is about 40%, the volume breakup would be in personal mobility. About 35% would be in CVO, Commercial Vehicle and about 15% would be Industrial.

Moderator: The next question is from the line of Varun Arora from B&K Securities India Private Limited. Please go ahead.

Varun Arora: Sir, thank you for the opportunity. This quarter-on-quarter the revenue actually de-grew by (inaudible 23:20) so could you care to answer on that, I know that there is seasonality but still if you could elaborate a bit on quarter-on-quarter about revenue degrowth since it went down by 11%?

Deepesh Baxi: So, let me talk to that you are right, the sequential quarter is lower, but that is traditionally been the case with us even if I go back 10 years-15 years. The third quarter tends to be the lowest for us and then things again pick up as the Agri season picks up in September, October period, quarter 4 picks up again for us so and if I compare it to same quarter last year, we grew 8%, so at least we don't see that as an area of concern. It is the normal pattern. In fact, if I can say anything on the volume front, this is possibly the second highest quarter we have ever delivered, so.

Moderator: Thank you. The next question is from the line Geemon Mathai Ottathengil from Cactus. Please go ahead.

Geemon M. Ottathengil: Sir my question is with the current Israel-Palestine War, how good are we placed because our Union Oil Minister Hardeep Singh Puri has said that we will be closely monitoring the Israel-Hamas conflict and if it spreads to the other Middle Eastern part is it going to affect the business in any way? And how well are we placed to handle such a situation?

Sandeep Sangwan: So, let me try and answer the question in two parts. First of all, what will be the impact of Israel, Palestine, Hamas conflict, I think it is not for us to speculate on those matters. These are matters of international concern and I think let us see how that unfolds, but I think as far as handling uncertainty is concerned, Castrol is very well poised. So, if I go back even to the COVID years in 2020, when nobody knew what was happening in the world, we still delivered profit, we still served our customers and I think a lot of our base oil and input materials we import, but they come from Singapore side or Asia Pacific countries, so I think on that we are pretty well poised and we have the capacity and the capability to handle any kind of uncertainties. The only thing I would say is inflationary pressures would increase. We see crude oil going up, we see base oil cost going up and that is the volatility or uncertainty we will have to live with and manage that.

Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital. Please go ahead.

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Miraj: Sir my question is regarding the raw material price, so what are the value for base oil in the quarter gone by and current value? And if you could also highlight on the additives that had surged recently over the past 2 years? And what are the current prices for that?

Deepesh Baxi: So, I think on an average, I would say that between the sequential quarter, the base oil price has been flattish I don't think there has been

a big change. As Sandeep said, we do expect the prices to go up in the next 3 months to 6 months. Additives actually has behaved quite differently compared to base oil and compared to last year, I would say at least there has been an increase to the extent of 15% to 20%.

Miraj: And the synthetic oils for this quarter, how much would it have been off our total revenues?

Sandeep Sangwan: Synthetics are in the range of about 10% to 12% contribution, and I think we are seeing good growth in synthetic oils as the market shifts to better performing vehicles.

Moderator: The next question is from the line of Aayush Agarwal, an Individual Investor. Please go ahead.

Aayush Agarwal: I have 2 questions, both are relating to your coming calendar years like 2024 onwards, so the first question is regarding the recycled plastic content, which has increased substantially over the past few years. So, now that it has reached 30%, what kind of percentage targets are we expecting going forward? And the second question is regarding the growth of the dealer network, what kind of expansion are we expecting there in the years going forward in percentage terms?

Sandeep Sangwan: So, I think I cannot give you Aayush very specific numbers. First of all, I think on the recycle plastic, our intent is to keep increasing the content and we keep looking at solutions available which can withstand our quality requirements. First of all, I would like to say that we will be compliant with the government policy, whatever the government policy on recycled plastics as an Extended Producer Responsibility. And the second is we will keep looking at solutions which help us reduce our plastic content and increase PCR. Now specific target is difficult to give for 24, but that is our area of focus. The second question you had was about expansion, I think expansion is always on our mind. As far as the retail market is concerned, we are the largest distributed lubricant player in the country and now we are looking at going deeper into India or Bharat that is where the demand is coming, and semi urban and rural areas is the next level of expansion that we are looking at.

Aayush Agarwal: Looking at this, recycling plastic content, doesn't that actually increase the cost of the packaging materials that we are using?

Sandeep Sangwan: So, far we have been able to manage costs, but at some point of time it will become a demand-supply situation, but we are very conscious of that, but I think we have committed to sustainability and I think we will find ways to be sustainable in a cost efficient manner that is what I would like to say.

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Moderator: Thank you. The next question is from the line of Prashant Galphade from ISJ Securities. Please go ahead.

Prashant Galphade: I have 2 questions, sir. My first question is what is the revenue contribution of ON EV Transmission Fluids and Auto Care services in total revenue in the current quarter? And my second question is how much money has the company invested in the Auto Care segment so far? And what is the future investment plan? Additionally, could you share the business strategy for growing this segment?

Sandeep Sangwan: So, let me answer the question. Sorry, I am just trying to remember what the first question was because there are 3 questions. The first question was EV Fluid and Auto Care contribution is very marginal. I think it is still very small, very low single digit, but this will grow in the future. And the second is from an investment perspective, I think we haven't put our own manufacturing facility for Auto Care, it is a third-party supply arrangement and that is how we operate. What is the strategy? I think the strategy is simply to serve consumers and customers because I think Indian consumers lack availability of good after Auto Care products and as the penetration of vehicles increa

se, we believe this category will grow. We have good branded competitors coming into this category which will also help energize the whole category of Auto Care segment and that is why we kind of participating in this.

Moderator: Thank you. The next question is from the line of Sumanta Ghosh, an Individual Investor. Please go ahead.

Sumanta Ghosh: I have just one question like Castrol part of your product line 2-Wheeler forms a very important product line and with the advent or the emanating challenge of almost 20% of scooters are now EV, so how do you foresee how will you combat because it is a very premium and a very well accepted product from Castrol brand to the consumer.

Sandeep Sangwan: So, thanks for asking that question, very good question and I think first of all, I would say electrification is good for the country, it is good for the environment, and it is good for consumers. So, we fully support electrification in terms of bringing solutions around electric vehicles to OEMs, to our consumers and I am sure you would have seen, we have also launched a range of EV Fluids under the brand of Castrol ON which is transmission fluids, greases, coolants for electric vehicles. The second thing is you are right, I think as the electrification grows it will have an impact on 2 Wheeler segment, but at the same time, I think that the growth that we see in cars because the penetration of cars is so low in India and the growth we see in cars will more or less in fact, compensate the shrinkage that possibly we will see in the 2 Wheeler segment. And the commercial vehicle segment and Agriculture segment will also continue to stay robust. So, I think everything will balance out and on a total basis, we see the market still growing at about the 3% to 5% range over the next 10 years to 15 years.

Moderator: Thank you. The next question is from the line of Gaurav from Pravika. Please go ahead.

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Gaurav: I would like to know the EPS of this quarter. And comparison of EPS with the last quarter and last 9 months in terms of percentage?

Deepesh Baxi: Your question was how much was the EPS for this current quarter, right?

Gaurav: Yes and my question is EPS of current quarter and EPS comparison of last quarter to current quarter and last 9 months to current 9 months?

Deepesh Baxi: It is there in the press release the non-annualized number is 1.97 for this quarter compared to last quarter sequential quarter, it was 2.28 and for the 9 months this year it has been 6.29 again non-annualized.

Gaurav: And what about the last 9 months EPS with the same period?

Deepesh Baxi: Last 9 months were same, 6.29 as you saw our profit was almost on the similar lines. EPS is also similar, 6.29.

Moderator: Thank you. The next question is from the line of Mohit from Guardian Capital. Please go ahead.

Mohit: So, I was asking before and got cut off. We spent almost Rs. 500 crores for this partnership the ki Mobility partnership, so is it possible to share the volume that we are getting out of this, the volume profitability or some number?

Sandeep Sangwan: So, I think Mohit as I said, first of all, we invested in this company from a strategic investment perspective because I think the ki Mobility is trying to digitize the automotive aftermarket and it will take time as it progresses. The second thing is we are selling lubricants to them, but at this stage, we are not in a position to share the exact numbers on what we make from there, or how much lubricants we sell, but we are committed to this partnership, we are committed to this investment because I think in a long run, it is going to be a good thing for the Indian automotive aftermarket.

Moderator: Thank you. The next question is from the line of Aayush Agarwal, an Individual Investor. Please go ahead.

Aayush Agarwal: I would just like to follow up on the recycled plastic

discussion that we just had. So, you

mentioned that you intend to follow the Extended Producer Responsibility guidelines that CPCB has set for you? Are you able to disclose the targets that the government has set?

Sandeep Sangwan: No, the government wants us by next year I think that is if I remember correctly, by next year we have to collect 100% of plastic that we put back in the market. And in fact, we are already doing that this year so.

Aayush Agarwal: And going forward, I guess it would stay at 100% or are we expecting any further increase?

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Sandeep Sangwan: I think that is more than 100% is for the government to decide, but I can't comment on government policy. All we are saying is we will be compliant with the government policy.

Aayush Agarwal: Right, because usually when the government sets targets, they give targets for multiple years together. So, that is why I wanted to ask?

Sandeep Sangwan: I don't have an answer right now, but if the government has already issued targets for multiple years, I think that should be available in public domain anyways.

Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital. Please go ahead.

Miraj: Sir, just wanted to understand our revenue model, how do we charge? Is it based on any escalation in input prices or how does the revenue model function and the profitability over here as well?

Sandeep Sangwan: So, I think what we have is a strategic pricing framework that we operate against and end of the day, the price we charge for our products is based on the value we deliver to our consumers and customers and what they are willing to pay for good quality products. And is there any kind of

fluctuations on input cost like any other manufacturer, we take our decisions based on the environment.

Miraj: Sir, would we be passing it on based on the lag, the increase and decrease and what would be our safe set margins, the margin that you would require to make bare minimum?

Sandeep Sangwan: I would like to give a forward-facing statement in to what pricing actions will take. We monitor the environment on a consistent basis and whenever we need to intervene, we do and historically we have been able to protect our margins and the gross profit that we operate in is available in our financial statements. And the intent is when we say that publicly is to continue operating on an EBITDA level of about 23% to 25% and so.

Moderator: Thank you. This brings us to the end of the call. On behalf of Castrol India Limited, I thank you for joining this call. You may now disconnect your lines. Wish you a good day ahead.

Call: Feb 2024

castrol.co.in

Registered address:

Castrol India Limited

CIN: L23200MH1979PLC021359

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6 February 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 4Q FY 2023

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Friday, 2 February 2024 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2023 --- 4Q FY 2023

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a

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"Castrol India Limited

4Q and FY 2023 Earnings Conference Call"

2 February 2024

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR -
CASTROL INDIA LIMITED

MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER AND
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

Moderator: Ladies and gentlemen, welcome to our 4Q and FY 2023 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode, and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator.

We have with us Mr. Sandeep Sangwan, Managing Director, Castrol India Limited; and Mr. Deepesh Baxi, CFO and Whole Time Director, Castrol India Limited. I now hand the conference over to Mr. Sangwan for his remarks.

Sandeep Sangwan: Good afternoon, everyone, and thank you for joining Castrol India's Fourth Quarter '23 Earnings Call. I hope you and your family are doing well. We are pleased to share that Castrol India Limited delivered strong growth in the fourth quarter and full year ended 31st December 2023. And here, I'd like to remind you that we follow the Jan to December calendar year for our reporting purposes. The year gone by saw some macro economic challenges that included volatility in crude prices, inflationary pressures and global uncertainties, but we maintain our resilience towards sticking to growth-oriented strategies, investing in our brand and innovation, thus tiding the challenges successfully.

I'm delighted to share with you that we are celebrating 125th year of global presence for Castrol and 115th year of presence in India, which indicate our innovation-based approach and technological prowess. To begin with, I invite Deepesh to take you through our fourth quarter numbers and financial performance in detail.

Deepesh Baxi: Thank you, Sandeep, and good afternoon to all of you. We announced our 4Q 2023 results yesterday, and here are some of the key financial highlights. In fourth quarter of 2023, we reported strong financial performance. Our revenue from operations was INR1,264 crores, which is up by 7% on a year-on-year basis, which is INR1,176 crores in last year 4Q. Profit before tax was INR324 crores, and this is a gain of 31% compared to 4Q 2022 where we delivered INR248 crores of PBT.

In addition to our fourth quarter results, we also achieved a strong performance for the full year ending on 31st December 2023. For the full year, 31st December 2023, we registered revenue from operations of INR5,075 crores, which is a 6% growth compared to INR4,774 crores for the year ended 31st December 2022.

Profit before tax for 2023 was INR1,181 crores, growing 8% from INR1,993 crores in 2022.

Building on strong financial performance and marking significant milestones of 125 years globally and 115 years in India, the Company's Board of Directors have recommended a final dividend of INR4.5 per equity share. As you know, the face value of our share is INR5 each, and this is, of course, subject to the approval by the shareholders at the AGM.

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This dividend or final dividend takes the total dividend for 2023 to INR7.5 per share. This distribution reflects the Company's appreciation for the ongoing support of its shareholders throughout its 40 years as a public listed entity.

With these opening remarks, I would now like to hand over the call back to you, Sandeep.

Sandeep Sangwan: Yes. Thanks, Deepesh. Apart from the financial performance, I'd like to draw your attention to some key business developments at Castrol India through 2023. In the world of 2-wheelers, we initiated India's ultimate Motostar with Castrol POWER1, aiming to unearth the top moto-sports talent in our nation. This program offers training opportunities at the LCR Honda Castrol MotoGP Team's facility in Europe, providing an incredible platform for aspiring riders. I'm proud to share that after the success of our #BadhteRahoAage campaign, our ties with the trucking community, auto dealer

s and consumers strengthened. Thereafter, we launched the ongoing on-ground initiative "Pragati Ki Paathshala" for skilling development and entrepreneurship amongst truckers nationwide. This program is more than a venture. It is a commitment to empower truckers with essential skills under the umbrella of Castrol CRB Turbomax.

This reflects our commitment to progress within the trucking community. Expanding our reach into rural Bharat, we enhanced product availability to 32,000 outlets deep in the hinterland and direct consumer outreach, especially through e-commerce platforms has also yielded a positive impact. Further, with regard to our recently launched Auto Care products, the segment is gaining momentum and is now accessible in 21,000 outlets.

Our newly launched products, Castrol MAGNATEC SUV-5 30 and Castrol CRB ESSENTIAL are gaining traction across various price segments. In our commitment to sustainability, we've introduced bottles with 30% post-consumer recycled or PCR content and achieved 100% renewable electricity at our Patalganga plant aligning with a global PATH360 agenda to save waste and reduced carbon emissions.

In India, Castrol continues its dedicated provision of crucial EV fluids to OEM partners.

Furthering our commitment to India's electrification, we've trained over 1,000 independent car and bike mechanics, ensuring their readiness for the future of EVs. As part of its onward, upward, forward strategy, the global brand has introduced Castrol ON immersion cooling fluids for data centres.

Immersion cooling can help to increase the overall efficiency and sustainability of IT operations. It's a proud moment for us as Castrol's plants have also been honoured with the prestigious awards. Silvassa received top awards in Quality Excellence and Occupational Health and Safety. Patalganga earned safety accolades from the National Safety Council and esteemed Golden Peacock awards. Paharpur was commended for Plant Efficiency by the Apex India Foundation. We are honoured to share that the Governing Council of the Institute of Supply Chain and Management Private Limited has recognized Castrol India as the 'Top 10 Chemical Supply Chain Company of the Year'. Additionally, we celebrated 11 years of injury free-operations at Castrol CMS site in India, equivalent to about 5 million manhours.

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These achievements underscore our dedication to excellence and safety. Earlier in 2023, we also introduced a refreshed global brand identity at Castrol India, strengthening our distinct positioning to better address the changing needs of our customers. We are hopeful that these initiatives and resulting progression will help us enhance our market position.

On that note, I'd like to thank you for your attention and would like to open the session for your questions, feedback and views. Thank you.

Moderator: Thank you very much, Mr. Sangwan and Mr. Baxi. We will now begin the question-and-answer session. The first question is from the line of Nitin Tiwari from PhillipCapital.

Nitin Tiwari: My first question is a book keeping one. What was the volume in this quarter? And if you can give us -- basically bifurcation between automotive and non-automotive.. That would be the first one. And second question is around your expenses. So your operating expenses are higher for the quarter by about 13-odd percent year-on-year.

So what was the reason behind that? And if you can, again, help us understand what was the advertising expense in this quarter as a percentage of revenues or in absolute terms, however you feel comfortable?

Sandeep Sangwan: I'll let Deepesh answer the questions, Nitin. Thanks.

Deepesh Baxi: Yes, Nitin. So on your first question on the volume -- total volume this quarter. Our total volume this quarter has been 55 million Liters. On your second question, I think you asked is, so what

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is the split between automotive and industrial.

Between automotive and industrial continues to be in the range that we've given in the past. So about 85% is automotive and 15% is industrial. I think your third question was around the advertisement. So advertisement expenses, yes, I mean we can look at it as a percentage of sales, and that continues to be in the range of 2% to 3%. However, when we look at it as a percentage of gross profit, that has slightly gone up. Again, it's in the range that we've had in the last few years of 4% to 6%.

Nitin Tiwari: So Ad expense was in the range of 4% to 6%. So again, what led to a higher operating expense in this quarter because we are looking at a 13% increase on a Y-o-Y and 8% increase on a Q-o-Q basis. So the reason behind, please?

Deepesh Baxi: Yes, sure. So I think there are various aspects on the overall operating expenses. Firstly, as you know, our volumes have grown in this quarter and on the full year basis. So many expenses are a percentage of volume as well in terms of whether it is the freight expenses and some of the other sales provisions expenses that are there. The -- some expenses like advertisement and royalties are a part of the profit. So they are a percentage of profit. So that has gone up. And then in terms of, of course, to enable growth, and we've passed the COVID year, our travel expenses have also gone up in terms of sales force being in the market as well. And then, salaries, as you know, is inflationary salaries. We want to take care of our employees. So we give a competitive salary.

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So there is an increase in that also. I mean having said that, I think the -- there are a lot of initiatives that we have taken as an organization as far as our cost programs are concerned. And those initiatives have also yielded better results. I mean, for example, we do a lot of meetings online now in terms of the meetings that we do with board nationally then also in terms of the negotiations that we do for some of the projects that we are in, we are launching. And the only other thing I would say is because now we are going into newer areas, expenses related to that also work. But these are all good investments that we are doing. And therefore, if you see at the end of the day, the EBITDA percentage, we have not compromised on that. We are still in that range of 23% to 26%.

Nitin Tiwari: Certainly. So that's very helpful. And if I may like to put in just one more question. So have we like taken a price cuts or offered discounts during the quarter in order to making a push our sales? Would that be the right thing?

Deepesh Baxi: Sorry, can you please comment again?

Nitin Tiwari: So I was asking that like have we offered discounts or taken price cuts in order to promote sales in this quarter? Is that a correct feed?

Sandeep Sangwan: So I think, first of all, what I'd like to say is we have a pricing strategy and a pricing framework under which we operate. And we always keep balancing the environment, the volume growth and our margin, right? But for example, I can talk at a more general level. In 2023, we've seen cost deflation and some of that, we were able -- we've given it back to consumers and customers to drive our growth. And typically, we operate in a certain band of prices, and that's what we want to keep.

Moderator: Next question is from the line of Mayank Shah from Electrum PMS.

Mayank Shah: Congratulations on good set of numbers. My question was regarding EV fluids. So what is the total Indian market size of EV fluids and what is our market share in there? And the second question is how will this EV market size grow like for the next 2, 3 years, any trajectory?

Sandeep Sangwan: I think, Mayank. So first of all, the EV fluids market is still very small, okay, to begin with. While we supply to the 2 of the largest 4-wheeler EV ma

nufacturers in the country, the largest

OEMs, the volumes are still very insignificant because the total share within the overall category is still very low. And I think if you look at basis our projections, the core lubricants, which is ICE-based market will continue growing for the next 10, 15 years in India, and we expect it to continue to go until about 2040, okay?

We don't track any market shares, etcetera, as far as EV fluids are concerned given that it's such a small part of the business so far. And I think it will continue to be staying small in the next 2, 3 years. While there's a lot of talk of EVs and we are fully supportive of the road to electrification, but it's still a very insignificant part of the business.

Mayank Shah: Okay. Got it. And the next question is, what will be the revenue guidance for FY '25 and FY '26?

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Sandeep Sangwan: So typically, we shy away from giving [inaudible].

Mayank Shah: Sorry, your voice is cracking. Can you repeat?

Sandeep Sangwan: Thing is we don't like to give any guidance. But typically, what happens is the lubricants category tends to grow at anywhere around 4% to 5%, and we want to grow ahead of that category growth, and that's been kind of our stance to continue to grow ahead of the market. And we're also putting new plays in place like the Auto Care launch, which are still very small. But I think as we go over the next few years, these initiatives will start gaining momentum and become slightly more meaningful part of the businesses.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: As you see last couple of years, we have taken several initiatives like tie-up with the Reliance because of Reliance distribution businesses, I mean, petrol pump are tie-up with the Burmah, our parent company. Then we have taken auto care also tie-up with the 3M for distribution of their product. So how those are really -- is it meaningfully contributing to our growth? And how do we see it on the, say, the scale of the 1 to 10, this growth is current, I mean is showing momentum. And where do you think that it will start really kicking in a bigger way?

Sandeep Sangwan: Yes. So I think, first of all, thanks for asking the question. So there are 2 kind of things I'd like to talk about. So first of all, on JIO-BP, we are the exclusive supplier on JIO-BP fuel court sites as far as lubricants are concerned. And I think as they expand their network, which is already happening, okay? We are seeing a good traction on the volume that we get from that channel because that was a channel where Castrol was not available earlier. We already have to give you 1 number, we have already about 45-plus express service centres on JIO-BP sites now, and we will continue expanding as they expand their site.

And I'm sure you've seen a lot more JIO-BP branded sites coming online now. So that's making good progress. The second is, I think we invested in a company called ki Mobility Solutions, which is part of the TVS Group of companies. We've taken a 7% stake in that company, and they're also doing well.

Their intent is they have a spare parts business, and they're building a digital aftermarket ecosystem where we are the sole kind of suppliers of lubricants in their network, but it also provides access to -- on spare parts to the workshops that we serve. So I think those synergies are there. And I think early years because it's just been -- both of these initiatives have been in play for the last kind of year plus, but momentum is good, and we are very happy with the performance.

On Auto Care, we launched Auto Care in May of last year. In fact, you referred to 3M, we actually kind of ended our relationship with 3M, and we've decided to launch Castrol Auto Care range of products where we have about 5 products now in the range, okay

y? And they are under

Castrol brands so we're not no longer working as distributors for 3M, but we launched our own range and that range is now available across about 21,000 outlets and gaining month-on-month, and we've seen good acceptability from customers and consumers.

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Bharat Sheth: So in your sense, I mean this business will really start, I mean, making a significant contribution, maybe still a couple of years away or it is, I mean, maybe a year time.

Sandeep Sangwan: No, I think it's still a few years away because I think this is the build phase on all these initiatives, and I think we'll continue investing behind these initiatives that I've spoken about. But will it become meaningful next year? I don't think so. It will require another kind of gestation period of 4, 5 years before these become more meaningful.

Moderator: The next question is from the line of Balaji Jairaman from Equity Bank.

Balaji Jairaman: My name is Balaji Jayaraman and I am from Equity [inaudible]. First of all, congratulations on a fantastic set of numbers. Sir I have 2 questions. I think one question was asked by a previous gentleman on EV fluids. Could you also talk a little bit about the immersion cooling fluids for the data centres that you have launched in Pangbourne in the parent organization, the size of the market and potential for Castrol India in terms of future revenue?

And the second question is, I understand that Castrol globally is celebrating 125 years and 115 years in India. So as part of the 20th centennial year of celebration, can we expect a bonus and a generous dividend in this coming financial year to reward your mild shareholders? Can that be considered by the board?

Sandeep Sangwan: So let me first answer the question. I'll answer in the reverse order, okay? So we are very happy to celebrate 125 years of Castrol's existence and also about 115 years in India. And I think the Board recognizing this milestone has already recommended a good dividend this year.

As far as bonus, etcetera, are concerned, these are all board decisions to get discussed at the Board level, and I wouldn't like to comment on that. That's not my decision. It's a board decision. The second is coming back on data center thermal fluid, I think Castrol Globally sees that as an opportunity area. And I think a lot of industry players are also looking at data center thermal management or thermal management of batteries because that's a key problem area to be solved as far as batteries are concerned, and data centers are also going to become huge consumers of energy in the future.

So 2 years ago, BP had announced an investment of INR500 crores in our R&D facility in our parent headquarters in U.K. And I think, again, as the technologies evolve, that will open up new markets for Castrol to participate in. So if you specifically ask about India at this stage, we're still in kind of evaluating how big the market is studying the market rather than having any specific numbers to share.

Balaji Jairaman: Are you in dialogue with any of the data center, large data centers player in India, sir? I know Castrol U.K is working at a lot of data centers there where you actually found success. Is that something that you've already started discussing with the local players in India?

Sandeep Sangwan: No, that's something I wouldn't like to comment on because this is all confidential information and any comment in that direction will be purely speculative, and I don't want to speculate.

Moderator: The next question is from the line of Mohit from Guerdian Capital.

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Mohit: Congratulations on strong numbers. So I just wanted to understand where this volume growth is coming from? Is it the JIO-BP partnership? Is it new initiatives -- where exactly is it coming

from? A

and it will be helpful if you could give some numbers, at least the volume contribution revenue, something.

Sandeep Sangwan: Yes. So I'll let Deepesh take that answer. And then if there's anything helpful on that.

Deepesh Baxi: Yes. So I think -- I mean, the answer is it's coming from all the segments because -- and all the segments have grown whether it is the personal mobility or industrial or our commercial vehicle business. So compared to the volume that we delivered in terms of the growth percentage, double digits. We've almost -- grown double digit in commercial vehicles. We've grown double-digit in bikes, double-digit in cars. JIO-BP, as Sandeep was mentioning earlier, the overall component of the volume contribution is much lesser right now. But as they grow, we will grow as well. I mean, apart from that, some of the new initiatives that we have launched, the Castrol Auto Services, where we have almost 450 workshops. There is a good growth in the volume from there as well. So I think it's been across segments.

Mohit: Got it. And so for the last many calls, I've been hearing this partnership that there is this new channel of retail fuel outlets where we are absent and we are going to create a presence there. But if you look at the number of outlets, it's been around 40 for a while now. So why is that?

Sandeep Sangwan: Which outlets are you referring to? Castrol Express Service outlets?

Mohit: That's right.

Sandeep Sangwan: Okay. Yes. So I think you're right, the outlooks have been -- and for the last 2 years, our outlets have been in the range of about 45 plus because last year, if you remember, there was a bit of a slowdown in our putting up new outlets because the focus of JIO-BP was on rebranding of the sites and while they were doing that, and also, if you remember, there was some kind of diesel pricing and all that. So they've taken a bit of a pause.

And I think as they start expanding again, we'll again start reinvesting and building those express sites. But I think Express site is not the only offering on the fuel court. We supply lubricants on every fuel court that they have. So, it's not that we supply only to 45 outlets. We supply to all their outlet base.

Mohit: Got it. Got it. Okay. Because in diesel, the thing is diesel margins being weak, but for us, the more relevant action would be petrol, right?

Sandeep Sangwan: No, no. So I think for us, both are relevant because we have CRB TURBOMAX brand, CRB TURBOMAX is relevant for trucks, okay? And a lot of JIO-BP sites are on the highways. So commercial vehicles are relevant. And for 2-wheelers, we have Castrol Activ and Castrol POWER1. So -- and then on cars, we have Castrol MAG NATEC and GTX. And these are JIO-BP outlets stock all the kind of three kinds of lubricants that we have, also including DEF, which is diesel exhaust fluid.

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Mohit: And just one suggestion, so looking ahead, as the non-lube business case up it would be good if we could just give that along with the result as well revenue coming from the non-lube business.

Sandeep Sangwan: Thanks for your suggestion. Definitely, I think we look at that. We're just kind of mindful that we want to make it a meaningful business first in terms of scale and then start sharing details rather than kind of being speculative at this moment. I think we build first and then kind of we will share.

Moderator: The next question is from the line of Aayush Agarwal, an individual investor.

Aayush Agarwal: I just wanted to ask about your rural expansion. You mentioned that you have 33,000 outlets at the end of December. What was the number at the start of the year, like when we got into January?

Sandeep Sangwan: Yes. I think we've added about 3,000-plus outlets in the last 1 year. We already have a network of around 900 sub-distributors who service the rural markets, okay? But I think

our interest is,

as you see rural economies grow while quarter 4, if you listen to the other FMCs, and everything has been a bit slow. But we see rural as an opportunity area because almost 50% of 2-wheelers gets sold in rural areas.

And are we -- while we are the largest distributed lubricant company in the country as a private player, I think there is scope to grow further as rural consumers look for quality products.

Aayush Agarwal: And to follow up on this, I wanted to ask, are there any particular states that you're targeting in terms of your reach, especially in the rural segment?

Sandeep Sangwan: Yes, our intent is to cover the whole country rather than I wouldn't like to kind of share what is our strategy in terms of how do we expand in rural. But at a macro level, it's an opportunity area that we believe in.

Aayush Agarwal: Right. So would there be -- would you be able to share a number on how many more outlets that you want to expand into at the end of 2024.

Sandeep Sangwan: No, I wouldn't like to share that number.

Moderator: The next question is from the line of Aditya Bansal from Kotak.

Aditya Bansal: Firstly, raw material costs have declined sharply on a Q-o-Q basis. Can you share some colour on the base oil prices during the quarter and current trends?

Deepesh Baxi: Yes, sure. So the base oil price on -- was about \$1,000 on an average, I would say, during quarter four this year. And when I compare that with the last year, same quarter, it was in the range of \$1,150 to \$1,200. Again, difficult to give the next year's number, but the expectation is, at least from the forecast that we've got, and this is subject to the tension in the red sea, etcetera, which we don't know how it will span up on the supply constraints. It is expected to be in the range of about \$1,100.

Aditya Bansal: And what a typical inventory holding period for us? And has it increased of late?

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Deepesh Baxi: No. Inventory has not increased. I think we do a very good job in terms of managing our inventory levels. But because almost 60% of our inventory, especially raw materials is imported, I think we need to keep a factor of the lead time for procuring and then storing.

And then, of course, we smartly do local purchases as well, depending upon how the market is evolving and what the forecast is of the base oil and some of the other input costs. But in summary, we hold inventory anything between 50 to 60 days across, I'm saying raw material FD in the system, yes.

Aditya Bansal: Sure. And lastly, can you provide some capex plans for CY '24, like what is the target expect there?

Deepesh Baxi: Yes. So this year, we spent about INR100 crores. This includes the capex related to supply chain as well as the capex on expansion, whether it is signages or some of the expert service stations. I'm expecting at least 50% increase in the capex for next year on this base.

Aditya Bansal: And when would that be...

Moderator: Sorry to interrupt, we request you to please rejoin the queue for follow-up questions.

Aditya Bansal: It is just a follow-up on the scene.

Deepesh Baxi: Okay. I'll just answer that. I think it will be all in growth investments.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Yes, sir, if you could give the volume sold for CY '23 and what is the volume growth? And in your opinion, in that volume growth, have you gained or lost market share as per your assessment.

Deepesh Baxi: CY '23, I assume you're meaning Jan to December financial year, right, because that's what we follow.

Pritesh Chheda: Yes. For the full year.

Deepesh Baxi: So the volume for full year has been 219 million to 220 million litres in that range. And we've grown about 10 million litres versus last year from a comparative basis.

Pritesh Chheda: And in your opinion -- in

your assessment, you have gained or lost or retained share?

Sandeep Sangwan: So I think if I look at -- because we had taken multiple price increases in '22, we saw some pressure on market share as we started the year 2023, but happy to share kind of in the second half, we've seen a reversing trend. And so overall, I think it will be more flattish rather than anything else, okay? We gain somewhere lost a bit somewhere so it's a mixed bag, but I think we've seen good positive tenant coming in the second half.

Pritesh Chheda: Okay. And if you could tell us the base oil average price for our consumption in '23 versus '22.

You gave for quarter 4 at \$1,000, but what would be for the whole calendar year?

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Deepesh Baxi: Yes. So I think '22 -- I mean the base oil for -- I mean it's in the same range, frankly. It's not significantly changed. I'll tell you why, and that Sandeep was mentioning. During the first half of the year, the base oil -- and base oil not crude, base oil price was very high. right?

And that was the time that there was a lot of volatility, and we have to make some intervention in the market as well. But in the last 6 months, which kind of come down. So if I were to just summarize, it's about \$1,000 as an average for the entire year 2023. And compared to that, last year, 2022 is in the range of \$1100, \$1150.

Pritesh Chheda: I couldn't actually understand this comment. You said second half is where base oil prices were lower and first half, it was fairly higher. And it was volatile. And if your quarter 4 base oil is \$1,000, then for the full year, you have to be largely above \$1,000, right? This is I couldn't understand actually.

Sandeep Sangwan: So I think if you look at in '22, the base oil was around \$1,100 plus, okay? And that kind of continued in the first half of '23 in the first quarter at least, and that is when the deflation started. And that's why Deepesh was saying in quarter 4, it was around \$1,000. I can't give you specific numbers because we have a base oil procurement strategy and then that's something that we can give you broad numbers.

Pritesh Chheda: So basically, between quarter 3 and quarter 4, there is not much drop in base oil price. That's the correct...

Deepesh Baxi: Yes, that's right. That's right.

Pritesh Chheda: So then the GM expansion that we see between the 2 quarters will be a function of your -- the way you would have managed your inventory and procurement and the mix that would explain it?

Deepesh Baxi: Yes. So look, I mean, the overall volume has gone up, right, in quarter 3 and quarter 4 and quarter 4, especially. So there is an impact of the if you were to say, input costs coming down. But, don't forget that we have to also consider the forex impact. And last year, forex was in the range of 81, 82. And this year, on an average, it was 83, yes.

So that, as a concurred is Rs. 2 increase that we have to look at. So if you add all of that, that's the real input cost. Having said that, I think we have made interventions in the market both from passing on some of the benefits of this reduction in the input cost to our consumers as well.

Moderator: The next question is from the line of Varun Arora from B&K Securities.

Varun Arora: So the margin at 26%. So can we see if this is sustainable for the next quarter and for the upcoming year?

Deepesh Baxi: Look, I think we give a band of the -- or a range of margins that we would like to operate in. And actually -- let me explain the reason why we give the range. And this is depend -- exactly the previous question that was asked because when base oil goes up and down, there is an

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elbowroom required to be able to manage your margins and it takes time to either take an increase of price pass onto the market or vice versa.

An

and it takes more than sometimes a quarter as well. So we have a strategic pricing in which we work towards. So having said that, that's the reason we say that we want to keep a range of our EBITDA margin, which will be in the range of 23% to 26%.

Varun Arora: 23% to 26%.

Sandeep Sangwan: Yes?

Varun Arora: 23% to 26%.

Sandeep Sangwan: 23% to 26%, yes.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: On this rural expansion, if I'm not correct -- I'm correct. Our total reach is around 24,000 and now -- so what kind of potential do we have to expand those networks? There may be time, I don't want to understand the time frame, but what is the potential that we have? And second thing, sir, on industrial lubricant what is the strategy to grow that market, which is, I believe, is a little more profitable?

Sandeep Sangwan: Yes. So I think as far as the rural markets are concerned, I think the potential -- I won't like to comment on specific potential. But as I said in response to one of the earlier questions, I think 50% of 2-wheelers get sold in rural markets approximately, okay? And that is why we see a lot more potential. Today, we cover about 100,000 plus outlets across the country. So, we'll continue working on this rural opportunity as the rural economies also become more affluent.

And we are beginning to see a lot more, for example, car ownership in rural areas. So that's kind of where we're focused. As far as the industrial business is concerned, we -- as part of our strategy, we supply to sectors or industries where we can make a differential value proposition to our customers. So for example, we sell high-performance lubricants, we sell in manufacturing, in steel and some of the focus areas.

We're not into the commodity segments because we believe that we cannot make huge differential value proposition to our customers. So we focus on areas which are high-growth areas, but also kind of where we can make a difference. So that's been our strategy and we'll continue on that strategy.

Bharat Sheth: Sir, last question. Can we -- is it possible to get some kind of a broader -- I mean, market -- I mean two-wheeler, PV and CV our compound of, I mean, business, what is contributing how much?

Sandeep Sangwan: Yes, I think Deepesh maybe can take that.

Deepesh Baxi: Yes. So I mean, as I was mentioning earlier, our -- sorry -- okay. So as I was mentioning earlier, so out of the total portfolio that we have 15% is industrial, yes. And I'm talking on volumes. And

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then from the automotive, which is bikes, cars and CBO, we generally tend to club bikes and cars as personal mobility. So that's about 45%. And the remaining 40% is commercial vehicle oil.

Moderator: Ladies and gentlemen, we are at time. This brings us to the end of the call. On behalf of Castrol India Limited I thank you for joining us. You may now disconnect your lines. Wish you a good day.

Sandeep Sangwan: Thank you. Thanks, everyone.

Call: May 2024

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6 May 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 1Q FY 2024

Pursuant to Regulation 30 and 46 read with Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call with analysts/investors held on Thursday, 2 May 2024 is enclosed. The same is available on the website of the Company.

The transcript of the recording can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2024 --- 1Q FY 2024

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a

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"Castrol India Limited

1Q 2024 Earnings Conference Call"

2 May 2024

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR -
CASTROL INDIA LIMITED

MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER AND
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our 1Q and FY 2024 Earnings Conference Call for Castrol India Limited. Please note all participant lines will be in the listen only mode, you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touch tone phone to reach the operator. We have with us Mr. Sandeep Sangwan, Managing Director, Castrol India Limited; and Mr. Deepesh Baxi, CFO and Whole-Time Director, Castrol India Limited.

I now hand the conference over to Mr. Sangwan for his remarks.

Sandeep Sangwan: Yes. Hi. Good afternoon, everyone. I hope you can hear me. First of all, a big thank you for participating in Castrol India's First Quarter '24 Earnings Call. As you would know, we report from Jan to December. So this is the first quarter for us rather than the fourth quarter. I trust you and your family are in good health, especially given the heat that we're seeing -- heatwave that we're seeing in some parts of the country. So please stay safe.

We are delighted to announce that Castrol India Limited achieved modest growth in the first quarter of 2024. I'd like to reiterate that our reporting follows the Jan to December calendar year, as I said before. I think despite a bit slower consumer demand that we witnessed in the beginning of the quarter, we maintained resilience. Our volumes grew by 6%, showcasing the value of our strategic approach and our strength in navigating market dynamics.

And with this, I'd invite our CFO, Mr. Deepesh Baxi, and Whole-Time Director, to take you through the first quarter financial performance and key numbers.

Deepesh Baxi: Thank you, Sandeep, and good afternoon to all of you. We released our first quarter FY 2024 results on Tuesday. And I'd like to share some key financial highlights with you. In the first quarter, we reported a modest financial performance. Our revenue from operations was INR1,325 crores, which is up 2% year-on-year from INR1,294 crores in 1Q 2023. Profit before tax was INR292 crores again a 1% year-on-year compared to INR288 crores in 1Q 2023. And our net profit, profit after tax was up 7%.

We remain committed to prudent financial management and strategic investments and are confident in ensuring that our momentum continues in the forthcoming quarters as well. We will drive a balanced approach between volume and margin growth, ensuring success in our operations.

I would now like to hand over back to Sandeep.

Sandeep Sangwan: Thank you, Deepesh. In addition to discussing our financial performance, I'd like to highlight some significant business developments at Castrol India. First, we are pleased to announce the addition of Shah Rukh Khan as our brand ambassador, embodying our commitment to innovation and excellence.

Our strategic partnership with Mumbai Indians and KTM Cup 2024 as the official performance partner, highlights our commitment to excellence and high-performance lubricants. Castrol POWER1's India's ultimate MotoStar attracted over 10,000 registrations nationwide with

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significant participation from Tier 2 and 3 cities. The selected winners among the top 18 aspiring contenders will receive training at the LCR Honda Castrol MotoGP Team's facility in Europe. Our #BadhteRahoAage campaign and CRB TURBOMAX Pragati Ki Paathshaala initiative has empowered over 12,000 truckers across 31 cities nationwide, showcasing our impactful business development efforts. Expanding into rural Bharat, we've significantly increased our reach, making our products available in more than 33,500 outlets situated in the remote parts of the country.

Expanding our aftermarket presence, we've grown to over 9,000 multi-brand passenger car workshops, showcasing impressive double-digit growth quarter-on-quarter. We've also

reached

nearly 28,000 independent bike workshops adding over 1,000 outlets each quarter. The Patalganga plant received the prestigious OHSSAI Gold Award for its outstanding safety practices and performance while our Paharpur plant was honored with the Apex India Green Leaf Platinum Award for plant efficiency, making an improvement from last year's Gold Award. Castrol Auto Service campaign achieved notable recognition at the EMVIES 2024, securing the Silver Award for Best Media Innovation in using digital for performance and the Bronze Award for Responsible Advertising. These developments and initiatives are expected to enhance our market position in the future, providing a positive outlook for the year ahead.

With that, I express my gratitude for your attention and invite you to share your questions, feedback and views as we open the floor for discussions. Thank you.

Moderator: Thank you very much Mr. Sangwan and Mr. Baxi. We will now begin the question-and-answer session. The first question is from the line of Nitin Tiwari from Phillip Capital.

Nitin Tiwari: Good day and thanks for taking my question. First question is on the volume. So what was the volume that we sold in this quarter and what's the outlook for rest of the year as well? Second question is related to margins. So in this quarter, we saw margin compression on operating profit level. So what were the key reasons behind this compression in margin that we've seen? And if you could highlight if there any price revisions that you have taken during the quarter or in [inaudible 0:07:22]

Sandeep Sangwan: Thanks, Nitin. I'll let Deepesh answer your questions.

Deepesh Baxi: Yes, thanks. So I think Sandeep had mentioned in his opening statement, volume grew 6%. So we did 58 million-liter this quarter. In terms of the outlook, as we have given the guidance earlier, the market grows in the range of 4% to 5%, and our intent is to grow above the market levels.

And third question was around pricing. In the first quarter, we haven't taken any significant price increases. So as you know, we do have strategic pricing. We've got models in place, and looking at the future outlook, we made the interventions as necessary. On the question around operating margins. Well, operating margins is in the range of 22%, which was similar levels last year. Basically, in this quarter, what has happened is -- there was a slowdown or a sluggish start to

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the year, Jan to December year. And the mix of the volumes has turnover mix impact of 2% versus the volume growth of 6%.

Nitin Tiwari: Sorry, Deepesh, I lost you in between. So you said something about mix of volumes. So can you repeat that again, please?

Deepesh Baxi: Yes. What I was saying is that your question was, why is there a margin compression? Yes. So what I'm saying is that margins were in the range of 22%, so slightly lower 2 or 3-point percentage compared to last year...

Nitin Tiwari: I was talking more on the sequential terms because last quarter, we did about 26%. So in this quarter it has contracted to 22% odd. Whereas like the base oil price that we track, that looked more or less flattish to slightly down only on a quarter-on-quarter basis. I was wondering that what led to this margin contraction? And you mentioned something about the sales mix. So if you could just elaborate a little bit more on that, that how the sales mix was in this quarter in terms of automotive and nonautomotive, et cetera?

Deepesh Baxi: Yes, yes. So versus 4Q '23, firstly, there is an increase in the COGS, which is the cost of materials. And so that, of course, has had some impact. But I would not take too much into it because base oil has been almost flattish. The impact is largely from some other raw materials and also as Jan to December year is that we get annual rebates from our suppliers globally. So that is

typically in 4Q. So when you compare from 4Q to 1Q, typically, you will see that difference in the cost of materials, which is higher. So that's one. On volume, what I was saying, is that the mix of volume with a slowish start to the year has contributed to the mix impact on the gross margin.

Nitin Tiwari: So is it like what you're trying to say is that in this quarter, the sales of industrial volumes was comparatively higher as compared to automotive volumes?

Deepesh Baxi: So sales of commercial vehicles and industrial have been higher compared to the personal mobility. I mean, although personal mobility has grown in line with the market, but commercial and industrial both put together have actually grown above the market

Nitin Tiwari: If you can help us with a broad ballpark like that would be really great in terms of -- breakup.

Sandeep Sangwan: So Nitin, I think we wouldn't like to share sector-wise breakup because that's something that we hold close to us. But overall, I think we are very happy with seeing about a 6% volume growth in the business despite what we hear from the other FMCG companies and environment based on first quarter results, I think the consumer demand has been under pressure as far as FMCG is concerned. And in light of that, I think 6% volume growth is quite a healthy number.

Moderator: The next question is from the line of Manoj Rajani, an individual investor.

Manoj Rajani: Congratulations on a good set of numbers. Sir, I just wanted to ask, can we anticipate a 10% increase in the EPS over the next few years, just a n approximate guideline?

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Deepesh Baxi: So we don't -- we don't give EPS frame as such, okay. But as you know, the frame that we've given is in the range of the 22% to 25% of operating margins, and we are comfortable to operate in that range for the entire year as well.

Manoj Rajani: Okay. And sir, my second question is that, I mean, any insight in the breakdown of cost of the goods sold? I mean, overall -- I mean, what kind of performing, if you can just give some proportion that constitutes fixed and variable costs? And if the production volumes increase, can we anticipate some kind of margin improvement? And is it reasonable to expect that cost per liter of raw materials and selling price per liter correlate like closely?

Deepesh Baxi: Yes. So firstly, I mean, I don't know if you attended the previous calls. But in terms of our cost of materials, almost 70% of the cost comes from base oil. And within that 70%, I would say 70% is imported and then you have additives and packaging and all the other products. Between quarter 4 to quarter 1 and even compared to quarter 1 last year, there has not been a material movement in the cost of base oil. Of course, there is always a lag effect, okay. So that's the first part of it. Internally, we have a strategic pricing process. So we make sure that we have a line of sight on future and crude is a bit volatile right now. So we'll see how that goes. And whenever it's necessary, we do take pricing interventions in the market as well.

I wouldn't like to share with you the breakup of fixed and variable because then that just sort of creates a bit of confusion. But fundamentally, the logic that you put forward is correct as volumes will go up, the cost of production will come down. So that logic is absolutely right? And we will start seeing that as we start going towards growing above the market, which is our endeavour.

Manoj Rajani: That answers quite a lot of my queries. I'll join the queue once again if I have a question.

Moderator: We have the next question from the line of Abhishek Jain from Alfaccurate Advisors.

Abhishek Jain: Sir, my question is on the competitive intensity. Now many players are entering into this space, especially Amara Raja has also entered into this space and there is very aggressive. So if you

can throw some light over there?

Sandeep Sangwan: Yes. Thanks, Abhishek, I'll take that question. So first of all, I think you're absolutely right, and it's a great question. The competitive intensity is likely to increase in the Indian market because -- that's a good sign because India is one market globally, which will continue growing in the core lubricants business for the next 10, 15 years, okay? And that's why you see a lot of more people coming to the market.

Second is, I think more competition encourages us to be more competitive and play the game, and we have 100-plus years' history in this country, okay? And we've been here, and we know how to play against the competition in a fair manner, respecting all the laws of the country. Okay, and that is important to us.

So we're not bothered about the -- we are cognizant of the competition, but not afraid of them, okay? And I think more competition will encourage all the players in the industry to give better value to customers and consumers. So because of that intensity, consumers and customers will get better quality products, better technology products, and we are a lead player in that.

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So that's how we see the competitive intensity, it will increase. But it also encourages us to be more efficient and more driving more value to the customers and consumers, and that's how we see it. And the last thing I would say is Castrol over the years has been built by brand investments, and we are a premium brand, and we'll continue building in continue investing in our brands.

As I said, we've just signed up Shah Rukh Khan as our brand ambassador, there's no bigger Bollywood property as far as the Indian consumers are concerned. And what also helps us is we have the largest scale in the country in terms of distribution, okay. And we're further making inroads into rural Bharat, as I said in the beginning. So I think it's a good thing for customers and consumers. It makes us more competitive and stay ahead of the game. So all in all, it's good for everyone.

Abhishek Jain: Yes. So my second question is on the channel mix. So maybe what is the percentage of revenue, or the volume comes from these OEM channels?

Sandeep Sangwan: I think the OEM channel contributes about 16% to 20% of our total volume and the balance is there's a bit from industrial and then rest is aftermarket automotive channel.

Moderator: The next question comes from the line of Harsh Maru from Emkay Global.

Harsh Maru: So my first question is relating to the other expenses in the first quarter. So they have risen by about 10-odd percent sequentially as well Y-o-Y. So do we see any one-offs here?

Deepesh Baxi: Yes. Okay. Thanks for the question. So I think there are 2 or 3 reasons for those expenses to go up. Firstly, travel is up. And travel is up because also and this is all frontline related travel and Sandeep was explaining, we are now going deeper into the hinterland and in rural areas. So good cost to incur in that sense.

And then there is elements related to volume impact because volume has gone up. So things around rent rates, taxes and power and fuel. So all those also are part of those expenses. There is some element of one-off around that. I would say our total expenditure, I think from the press release, it's about INR69 crores. I would say INR2 crores or INR3 crores out of that is one-off.

Harsh Maru: Right. Okay. And in terms of basically the non-lubricant business, could you share some more insights into how the Auto Care product segment is moving as to any kind of think benefits that we are seeing from the ki Mobility segment? Anything you could share on these 2 fronts?

Sandeep Sangwan: Yes. I think very good questions again. Both the initiatives in early days, and I think we're making progress on both fronts. I think on the Auto Care now, our products are available

across

about 50,000-plus outlets in the country. And we will be also introducing new products in the range in the coming months and quarters. So I think we're pretty happy with the performance, okay? We're getting very positive feedback from customers in terms of quality of products and satisfaction level.

So that's something that we'll continue building. As far as ki Mobility is concerned, that is also progressing well. They're expanding their network. And as with any digital business, they also

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keep learning and reinventing their go-to-market and business model. But all in all, I think consumers are trusting myTVS as a brand for aftermarket, both in spare parts and services. And they're also kind of improving their loyal base of customers from a service angle. So I think both the initiatives we're quite happy with and progressing well.

Moderator: Next question comes from the line of Mandar Pawar from Kotak Mahindra Asset Management.

Mandar Pawar: Sir, I wanted to further check on this other expenditure, you mentioned the travel-related expense and one-off. But if can give, how much will be the ad and promotion expenses? And if you can give a comparable number from the previous quarters? And in the light of the new promotion initiatives that we are talking of going forward, what is the guidance that you can give in terms of the A&P expenses for the full year?

Deepesh Baxi: Yes, sure. So the advertisement expenses that we've incurred in this quarter is in the range of 2.5% of the turnover. And we keep this range about 2% to 3%, 3.5%. In quarter 2, again, with the brand investments that we have made, it will continue to be in that range or slightly higher. So that's the advertisement expenditure. Sorry, sorry was there another question or...

Mandar Pawar: Yes, I was asking a comparable number in the previous quarter? Was it around 2.5%? Or was it lower? Would just adding to the delta...

Deepesh Baxi: No, no, it's the same roughly. I mean it's 2.5% in the last quarter as well, last year, right? Last year, 2.5%. This year also 2.5%. And we would expect it to be about 3% or so in the next quarter.

Mandar Pawar: Okay. Got it, sir. And just 1 final question. So related to the input price of base oil, how are the prices behaving given where we have seen some bit of oil price volatility, some disruption on the trade routes also Now and previously, Nitin highlighted, I think the prices are more or less flat or a slightly lower. Is that benefit going to come post with some lag? Or is there some disruptions that we are seeing in terms of supply?

Deepesh Baxi: I think on supply side, we were broadly okay. You cannot actually say with the geopolitical issues that are there right now. But sitting over here, I think it looks fine. We do have contract globally as well with many of our suppliers. So that helps in terms of the continuity even when there is a bit of a stretch or shortage in the market.

But having said that, on crude especially and you would have observed, it is volatile. And the base oil as a corresponding effect in quarter 2 could be slightly higher than quarter 1, but not significant. I mean it is within the range that we would expect. So we are on a watch, we'll take necessary actions when we need to at the right time.

Moderator: The next question is from the line of Rohan Vora from Envision Capital.

Rohan Vora: Yes. So sir, what would be the capacity utilization in each of our plants today?

Deepesh Baxi: Yes. So we've got 3 plants and overall capacity utilization is about 80%.

Moderator: The next question is from the line of Angad Katdare from Sameeksha Capital.

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Angad Katdare: Sir, earlier you mentioned about the Indian lubricant market is growing at 4% to 5% per annum. Is this volume growth or overall value growth? I just

wanted to clarify.

Sandeep Sangwan: Volume growth.

Angad Katdare: Okay. And on the auto care products, can you just give us a rough idea about the total size of the market in India in terms of it would be it would help us in estimating going forward.

Sandeep Sangwan: Yes. I think, to be honest, we are also trying to answer that question because a lot of these markets, it's an unorganized sector right now. And I think as the market gets branded because you have other players also in this category, the likes of and very good products and very good competition Pidilite, 3M, to name a few. I think at this stage, I would like to kind of give a market size estimation because we are also learning in the process, to be honest, okay. And we have a very broad idea but I wouldn't like to communicate any numbers in public domain right now.

Angad Katdare: Okay. And just 1 last question. Sir, if I go through the petroleum website, the government database of petroleum products, it shows the lubes increases volume in around 400 crores in tons. But when you talk about the lubricant market, it's generally estimated to be around 280 crores litres around that level. Can you just give us some idea on like which will be like a reliable source, like how do you look at it like from overall market level point of view for the lubricant?

Sandeep Sangwan: Sorry, this question is catching even us by surprise. We typically take the liter volume that you're saying seems to be the right number for us as far as lubricants is concerned. Now I don't know how the government adds up various greases and other kind of lower-end products that we don't participate in. But broadly, if I look at automotive lubricants and industrial lubricants, the 2.8 number ballpark seems to be the right number in terms of volume.

Angad Katdare: Okay. And that is growing at 4% to 5%?

Sandeep Sangwan: Yes. So the automotive lubricants, which is our participation area is growing at about 4% to 5%. And I think there's a lot of industrial lubricants that we don't participate in, the products like gear oil, generator oils, furnace oils. We don't participate in that segment, and we don't track that segment because that's not where we play.

Moderator: We have the next question from the line of Anuj Panwar from Family Office.

Anuj Panwar: I just have 1 question. So what is going to be the major focus area going ahead? Is it going to be on the margins or the volumes?

Sandeep Sangwan: So I think as Deepesh mentioned, the focus is driving top line growth, okay, ahead of the category, but maintaining our EBITDA margin in the range of 22% to 25%. And the balance is a mix exercise. I think it's a conversation for us. We have to grow volumes, but we also need to sell premium products -- and so we have to grow volumes both on top end, which is a differentiated portfolio and then also kind of participate in not the commodity segment, but also the value segment consumers are looking for better value for money to say.

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So we've launched a range of products called, for example, Activ Essential, CRB Essential that play slightly in the mid or slightly lower mid-part of the portfolio. So to summarize, I think growing top line and keeping our margin between 22% to 25%, that's the focus area.

Anuj Panwar: Okay. Understood. That was helpful. If I can squeeze in one more question. I just wanted to check, in the advertising expenses this quarter compared with the previous quarter and the same quarter last year, what are the major activities that we have done?

Sandeep Sangwan: Yes. So I think the major activities, I would say, is one is, as I said, we did India's MotoStar, okay. That was a program, Ultimate MotoStar, that was ongoing, talking to the 2-wheeler passionate riders. We did for in the commercial vehicle segment, we did Pragati Ki Paathshaala, where we activated more

than 10,000 truck drivers and work with them across 30 plus cities in India.

And then as you would have seen, although not the first quarter, we've been on air on TV with IPL, which started in April. So these are some of the big activities. And we're quite excited about Shah Rukh Khan being our brand ambassador, which will come live in the second half of this year.

Deepesh Baxi: I mean just to build on what Sandeep said, I mean, of course, other than that, we do spend on digital media as well, especially in the personal mobility space. So that is something which is an

active expense that we do, and we've shifted that in this quarter as well along with to support our strategy of what Sandeep was saying on volume mix, et cetera, we're spending money on market research as well.

Moderator: The next question comes from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Sir, my question is related I mean little medium-term perspective, say, the last 3-4 years and now the way the Indian CV market as well as 2-wheeler and truck market is developing as well as infrastructure expansion happening and, sir, better road. So on CV side, people -- I mean, more of in low end, volume is not growing at that pace vis-a-vis the premium segment are growing. Same thing is happening on the 2-wheeler side? And CV side, a higher end trucker -- I mean, so rather I mean 14 tonners, I mean, 36 tonners already. So how in this underlying our market changing scenario, we want to strategize our whole strategy to capture a larger market share?

Sandeep Sangwan: Yes. So a very good question. And I think if I look at Castrol was the first one to introduce the BS-VI rating products in India when the technology change and the government regulation came around BS-VI. And you're right, as the quality of infrastructure improves in India, customers would demand better and better specification products and we're fully prepared for that. Just to share with you, on the commercial vehicle side, we have Castrol VECTON and Castrol CRB, which is a premium brand, which have all the latest specifications. And you may not you may or may not know. So we have products which are the CK-4 specification, CI-4 specification. And we have products in the older specification like CFO. So we are completely ready with whatever technical demand there of new age vehicles and we can fulfil that demand.

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Similarly, on the passenger car side, we have Castrol Edge as our top brand, which stands for performance, for unmatched performance. We have Castrol MAGNATEC, which gives superior protection and then you have GTX, which kind of plays in like older viscosity profile. And we have products across 0Ws, 5Ws, 10Ws, 20Ws. So I think these are just a few examples. And even on 2-wheeler side, we have Castrol POWER1, which is our top technology performance brand and then we have Activ, which is for the mass market. So we have a full range of product portfolio to cater to all kinds of technologies and new-age vehicles.

Bharat Sheth: Simultaneously, all this vehicle earlier, which used to go to, I mean, roadside garage now, a lot of, I mean, premium cars are moving to company authorized dealerships. And how do we want to, I mean, enter in this business where, I mean, to get that either [OEM] themselves supply the oil or so lubricant. So my question is, again, related to that, so that new market, how do we really working on to attack in this market and getting an entry?

Sandeep Sangwan: So we have very strong partnerships with the OEMs also. So for example, we have a very long-standing relationship with Maruti Suzuki. We supply oil to their franchise workshops. We have a very strong relationship with Tata Motors. We work with global OEMs like Renault; we work with Jaguar Land Rover. So we also have those OEM relationships where we supply our products

either for a factory fill or first fill, as we call it, or the aftermarket. So it's not that we're only available in the aftermarket. We do work with OEMs and have very strong partnerships.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv Asset Management. Sabyasachi Mukerji: Okay. So I have 1 question. So your new product for data center, immersion cooling yes it cooling and also on the EV fluids. How are you seeing the traction? How is the market? How is the competition if you can throw some light for a better understanding?

Sandeep Sangwan: Okay. Let me start with EV fluids first. So we have a brand, a global brand of EV fluid under the name of Castrol ON, which is a combination of transmission fluids, greases and coolants. And that Castrol ON was launched in India about 1.5 years ago, and we supply to 2 of the largest OEMs, manufacturing EV passenger cars in India also, okay. And then we supply to global OEMs also. But that business is relatively quite small right now, okay.

And as the EV penetration grows, that business will grow. So this will take time, but we already supply and are available for all the leads of EVs as far as India is concerned. On the data center thermal management solutions, I think Castrol globally kind of called out that there's an opportunity area from an immersion cooling perspective.

And right now, we're working with various data center builders, operators or companies that operate in that space. And in terms of proof-of-concept stages. So we've already announced an investment about 2 years ago, GBP 50 million in an R&D facility in our global headquarters in the U.K. And we've already established our R&D setup in that facility around data center thermal management. So in active conversations and partnerships to bring that business to a commercial scale.

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Sabyasachi Mukerji: Right. Sir, if you can also give us some sense on the market size growth, both domestic and if at all globally also, we have any opportunities for both the segments, EV fluids and data center filling?

Sandeep Sangwan: Sorry, I didn't understand. Are you talking of EV and thermal data center?

Sabyasachi Mukerji: So both I mean I just want to understand a broad sense of how big is the market? How much is the competition and in both the segments, data center filling as well as EV fluids going ahead?

Sandeep Sangwan: So I think on EV fluids, you have all the traditional lubricant players who are competition, and I think you can correlate the EV fluid market growth with the growth of EVs depending on which market you pick up because all the EVs would meet some EV fluids. But the absolute size is pretty small. It's not a huge contributor to the business. I think on data center thermal management, as I said, a lot of conversations around commercialization of the new technology. It's a new technology which is immersion cooled servers. And again, there, the competition is pretty similar to lubricants with the major global players participating in that value chain or trying to participate in that value chain.

Moderator: The next question comes from the line of Darshan Bhandarkar from Banyan Tree Advisors.

Darshan Bhandarkar: I just wanted a segment-wise volume break in passenger -- commercial vehicle, industrial and personal mobility.

Deepesh Baxi: You mean for the quarter?

Darshan Bhandarkar: Yes.

Deepesh Baxi: So the cars and bikes portfolio, which is the personal mobility, that is about 45% and CVO is about 40%, and the rest is industrial.

Moderator: The next question comes from the line of Nilesh Shah from Bank Julius.

Nilesh Shah: Are you able to hear me?

Sandeep Sangwan: Yes.

Nilesh Shah: Okay. Great. Just 1 small point. I noticed in your PPT that you are now talking about Castrol-branded service centres, right, which are now very sizable

e. I think I'm sort of just trying to find the slide, but I remember about 500 or so outlets, right? Could you comment on the revenue model here and the potential for scale up? And just to give you context, I'm asking when I look at your annual report, I see bulk of the revenue is through sale of product. I don't see any sale of service. But at the same time, I can see that you care very much about your brand, your sort of share of voice and continued advertising spend. So it would be logical to think that you were sort of thinking of brand extensions. I would like to hear about your comments on this area.

Sandeep Sangwan: Yes. Thanks for your question. And first of all, I must compliment you on your memory. You're right, the number of Castrol auto service centres is 500 plus. I think we're getting to a 550 kind of a level. Now these are workshops, which we don't own or which we don't operate, but these

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are independent entrepreneurs where we provide them support by means of branding, by means of training and by selling our lubricants into those workshops. And the key reason behind that is, given the strength of Castrol as the brand consumers trust Castrol brand, and they get quality service in these workshops because we also have a certification program for these workshops. So consumers can get a trusted quality service for their workshops.

You're right, our primary revenue generation is from sale of lubricants to these customers. And I think what we are trying to do is we're also tying up with some of the fleet or some of the companies like Mahindra Insurance Brokers, which can drive more demand into these workshops, which helps the workshop get more business, but they stay -- also stay loyal to us because we're adding value to them and bringing them more business. So that's the model right now.

I think as far as brand extensions are concerned, we keep looking at any opportunity that exists. So that's constantly on our mind. And to keep the focus, we are right now focusing on building auto care as a new business for us rather than spreading ourselves too thin on various areas.

Nilesh Shah: Sir, could you please expand on what you exactly mean by auto care...

Sandeep Sangwan: Yes, we launched a range of products which are non-lubricant products. So these products

include anti-rust, waxes, chain lube for 2-wheelers and shine with basic consumer promise of we help you protect your vehicles from inside and outside, okay So these are the products that we are selling now which are available in about 30,000 plus outlets across the nation.

Nilesh Shah: And what is your aspiration for this product line. How large are you intending it to become as a percentage of your top line over the next 3, 4, 5 years?

Sandeep Sangwan: I think I wouldn't like to comment on that because there's just a new business, new vertical that kind of we're trying to build. And I think once we've done that for 2, 3 years, then we'll have more confidence in sharing any kind of numbers around that.

Moderator: Ladies and gentlemen, we are at time. This brings us to the end of the call. On behalf of Castrol India Limited, I thank you all for joining this call. You may now disconnect your lines. Wish you a good day ahead.

Sandeep Sangwan: Thank you, everyone.

Deepesh Baxi: Thank you.

Call: Aug 2024

castrol.co.in

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5 August 2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 2Q FY 2024

Pursuant to Regulation 30 and 46 read with Para A P art A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call for 2Q FY 2024 with analysts/investors held on Wednesday, 31 July 2024 is enclosed. The same is also available on the website of the Company.

The transcript of the recording can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2024 --- 2Q FY 2024

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a

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2Q FY 2024 Post Earnings Call"
31 July 2024

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31 July 2024

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MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR –
CASTROL INDIA LIMITED

M R. DEEPESH BAXI – CHIEF FINANCIAL OFFICER &
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

Moderator: Ladies and gentlemen, welcome to our 2Q FY 2024 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode. And you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator.

Also please note that this conference call may contain certain forward-looking statements, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties, which are difficult to predict.

We have with us Mr. Sandeep Sangwan, Managing Director, Castrol India Limited; and Mr. Deepesh Baxi, CFO and Whole-Time Director, Castrol India Limited.

I now hand the conference over to Mr. Sangwan for his remarks.

Sandeep Sangwan: Good afternoon, everyone. Thank you for joining Castrol India Second Quarter and First Half 2024 Earnings Call. This is Sandeep Sangwan. I hope you and your families are in good health and doing well.

We're delighted to announce the strong growth that Castrol India Limited achieved in the second quarter of 2024. Please note that our reporting follows the Jan to December calendar year and therefore this is the second quarter for us. Our strong performance this quarter was driven by strategic brand and marketing investments, continued innovation in our products and services along with sustained brand investments has also supported our revenue growth.

Now let me hand over to Deepesh, who will walk you through some of our key financial performance and key numbers for both the second quarter and the first half of this year.

Deepesh Baxi: Thanks, Sandeep, and good afternoon to all of you. We released our second quarter 2024 results yesterday, and I would like to share some key financial highlights with you. In 2Q '24, we reported strong financial performance. Our revenue from operations was INR1,398 crores, which is up 5% year-on-year from INR1,334 crores in 2Q 2023 and also up 6% compared to the sequential quarter of 1Q 2024. Profit before tax was INR314 crores, a gain of 3% year-on-year compared to INR305 crores in 1Q 2023 and 8% higher than 1Q 2024.

Balancing volumes and margins enabled us to achieve strong performance in the first half of this year, which is the half year ended June 30, 2024. Our revenues were INR2,723 crores, representing a 4% increase from 1H 2023, and profit before tax rose by 2% to INR606 crores compared to first half of 2023.

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We are committed to maintaining our momentum in the coming quarters. Potential stabilization of input costs in the later half of the year could signal a positive trend for the industry. And the Board of Directors in the meeting yesterday declared an interim dividend of INR3.5 per share, which will be paid on or before 28th August 2024.

I would now like to hand the call back to Sandeep.

Sandeep Sangwan: Thank you, Deepesh. In addition to discussing our financial performance, I'd like to highlight some significant business developments at Castrol India. We launched three new variants of Castrol EDGE, an on-demand performance product range through a 360-degree marketing campaign featuring Shah Rukh Khan. Castrol expanded the Auto Care range by launching the Shiner Sponge for the bike and car care segment. This entire range of Castrol Auto Care products is now available in over 45,000 outlets and on e-commerce platforms in India.

We have also launched Castrol CRB TURBOMAX+ CK4, a top tier truck lubricant that has been r

igorously tested on key Indian OEM vehicles for 100,000 kilometers. Castrol POWER1

India's ULTIMATE Motostar, the country's premium motorcycling talent search on MTV has concluded. Out of over 50,000 registrations, three winners are now set to train at the Castrol Honda LCR MotoGP TM team's racing facility in Europe.

The Castrol CRB TURBOMAX Pragati Ki Paathshaala and #BadhteRahoAage campaign has successfully concluded empowering over 12,000 truckers across 35 cities. Sports associations play a crucial role in expanding audience engagement and brand visibility. We sponsored the television broadcast of the ICC World Cup -- T20 World Cup and Wimbledon, leveraging their influence to enhance our reach.

To enhance distribution and broaden market presence, Castrol added over 2,000 new outlets in rural areas. And with 534 Castrol Auto Service outlets, 28,500 bike points, 9,000 multi-brand car workshops and our extensive dealer network, we now have a national footprint exceeding 135,000 outlets.

We also inaugurated a state-of-the-art India Technology Center at Patalganga plant to enhance innovation and development. This facility includes advanced blending and analytical testing

equipment. In the future, it will feature the latest testing capabilities for EVs and other thermal fluids to meet the needs of the Indian market.

As part of our onward, upward and forward strategy, we introduced Castrol ON immersion cooling fluids for data centers globally. And in India, our new next gen that will lead the development of high-performance sustainable fluids. We are also deploying proof of concepts with customers and partners to demonstrate the technology's commercial viability and sustainability.

Reinforcing our commitment to sustainability we commissioned a rainwater harvesting project at our Silvassa facility aimed at collecting and re using almost about 800 to 1,000 kilolitres water annually, thus reducing freshwater consumption. We also set up a solar power plant with 1,200 panels over 10,000 square meters, achieving a 45% reduction in on-site CO2 emissions.

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And our Paharpur plant marks seven years of operating what we call DAFWC, which is a day away from work on account of any injury or any safety-related incident, which is a huge safety achievement. Thank you for your attention. I now invite you to share any questions, feedback or views as we open the floor for discussions. Thank you.

Moderator: The first question is from the line of Sahil Kanade from Asian Market Securities.

Sahil Kanade: Just wanted to understand more on the data center. So you said the cooling fluids are ready. Just wanted to understand what is the status and what is the potential revenue that we should expect out of this?

Sandeep Sangwan: I think, Sahil, there's a lot of interest around the data center, thermal management cooling fluids, etcetera. And I think there are right questions, but we are very early in this opportunity area. So I think where we are is we have a range of fluids that are relevant for data center thermal management as Castrol globally, we are setting up our R&D facility.

It's in the process, we're investing INR500 crores in our R&D facility on thermal management of looking at the future. I think it's too early to talk any revenue. I think because a lot of work is happening with our partners, customers around testing, proof of concept, a lot more to come, but that's all I can say at the moment.

Sahil Kanade: Right. And sir, so just to have some clarity on that. So is it that while you're working on this globally, is this primarily done for customers in India? Or this will begin more as an offering to outside of India and then gradually percolate into India?

Sandeep Sangwan: So I think it's a global program. It's not an India-specific program or excluding India. I think we leverage all the technology

and innovation that is available from Castrol, our parent company

Castrol globally. The second is, I think a lot of development is happening in the Western world, whether it's U.S. or Europe, okay?

And we work with those customers. But not to say that things are not moving in India. Even in India, the data center growth is forecasted to be very robust over the coming 5-6 years. So we'll leverage the learnings from rest of the world and bring what was relevant to our customers in India as part of the offer from Castrol.

Moderator: The next question is from the line of Balaji from Vistardom Stock Broker Private Limited.

Balaji: Congratulations on the good set of numbers. I actually had two questions, I think one was asked by Sahil previously, so I'll skip the question on the data centers. The second question I had was, I know you have proposed INR3.5 interim dividend. Given it's 125th year for Castrol globally and 115 years for Castrol in India and given our strong financial performance and cash reserves, can we expect a liberal bonus from the management in this financial year itself?

Because I think the last time a bonus was given was in 2017 and prior to that was in 2010 period. And there seems to be a trend of bonus in every seven years that we see being a loyal customer, loyal shareholder of Castrol. So is there any bonus that we can expect in this financial year? And also can we expect some more dividend in this financial year?

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Sandeep Sangwan: So thanks, Balaji. I think thanks for your interest. So first of all, any dividend decision, any bonus decisions, anything to do with rewarding shareholders is the Board decision. So I'm not the right person to comment on that. We do deliberate in the Board, and the Board will take the right decision and interest of shareholders.

I think we've already announced a dividend -- interim dividend of INR3.50 vis-à-vis 16.7% increase from what we had announced last year as interim dividend. And I think that is based on -- the Board was quite happy with the performance and the way the business is shaping up. But any future, its speculation will be a Board decision at the appropriate time.

Balaji: Okay. And sir, one quick question. How is the business that we are looking at from the

partnership that we have with TVS Automobile, the Ki Mobility that we picked up stake. How are we getting business? And what kind of additional revenues can we expect going forward from that business?

Sandeep Sangwan: Yes. I think our investment in Ki Mobility is a strategic investment. We're not a financial investor. I think it was coming together of 2 brands, 2 trusted brands, I must say, TVS and Castrol to build up the aftermarket service and maintenance ecosystem. And I think the business is progressing well. Anything specific to Ki results, I guess you'll have to ask Ki Mobility people. But I think as far as we are concerned, we are seeing progress because there are various sources of value for us.

They're expanding their network. And I think in the last 2, 3 years, there's been a lot of learning in terms of what works and what doesn't work. And we take -- we discuss that with Ki, but good traction on network expansion. We sell our lubricants into their network. They sell their spare parts into our IWS network. We have a joint branded workshop concept. And I think they're expanding into more geographic areas. So more to come on that, but we are really happy with the progress that has been made.

Moderator: We have the next question from the line of Ashwini Damani from Manyavar Family Office.

Ashwini Damani: Sir, just wanted to get your thoughts on 2 things, a, we have started spending on advertisement as a customer myself, my service center decides on what lubricant is going. And I have little or no choice, or maybe I don't even bother. So how do you think these kind of advertisement spends

will help you in when to take us, say, hiring Shah Rukh Khan, etcetera?

And the second question is, I think for the first time that we have done a lateral hiring at the senior level, Mr. Kedar Lele. If we look at the history of Castrol, it's always been someone who is from within the Castrol team or some British Petroleum that has become a managing director or as a senior person. What is the thought process in hiring someone who is not from the industry, or who is not from the family itself?

Sandeep Sangwan: Okay. So, let me answer both your questions. The first question was around consumers, not deciding on the lubricant brand. I think there are all kinds of consumers that are there in the market. There are consumers who want to decide on the brand, who want to be fully aware of what product is going into their car engine or a 2-wheeler engine, there are consumers who give Castrol India Limited

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this responsibility to the workshop owners, they trust in the workshop whatever their workshop recommends.

So I think we work on all the fronts, we worked with the mechanic community also. We work with workshops to educate them on the quality of our products and the performance credentials and how our products are better value for money to be used in their vehicles.

So in addition to advertising, we do a lot of work with the mechanical community with workshops. We cover about 28,000 2-wheelers workshops. We cover 9,500 car workshops. We have a network of 530-plus Castrol auto service. So it's a combination of everything that builds a strong business rather than just advertising on TV.

But as a consumer, our intent is also to build awareness of our products like Castrol EDGE is a new launch. It's top end -- top of the line products in our cars portfolio. We launched variants around hybrids. We've launched variants around SUVs. We've launched variants around European cars.

So as a consumer, when you see the advertisement, at least you have a positive mindset towards Castrol, okay? And then whatever the workshop recommends is something that we build through our training of mechanics, and we have the largest kind of mechanic data set that we interact with. So that's how advertising works.

Second question was on my successor. So first of all, we are very excited to have Kedar as the new Managing Director, who will join us from 1st of October, and he'll take over as MD from 1st of November after change -- handover process with me. I think we wanted to have somebody Indian leading the business, okay, and also bringing in capability to drive the business forward and continuous drive in growth and Kedar comes with very solid experience having worked in Hindustan Unilever. He understands India very well. He understands the business.

So I think it'll be a huge asset to Castrol India Limited in its growth journey and looking forward. Our intent is to have the right set of capability, the right set of leadership leading the business. And that's why we have Kedar joining as Managing Director.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment. We'll proceed to the next question, which will be from the line of Vipul Kumar Anopchand Shah from Sumangal Investment.

Vipulkumar Shah: Congratulations for a very good set of numbers. Can you give the volume number?

Sandeep Sangwan: Yes. I'll pass it on to Deepesh, Vipul.

Deepesh Baxi: So we did 61 million litres in this quarter.

Vipulkumar Shah: So what should we equate it to in tonnages, if that is possible?

Deepesh Baxi: 61 million --sorry, what's the question?

Sandeep Sangwan: Tonnage?

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Sandeep Sangwan: Sorry, we don't measure tonnage. We measure litres. I think there will be a fact of tonnage, but typically we measure -- we report our numbers or we measure in litres.

Vipulkumar Shah:

And sir, second question relates to pricing. So how our pricing stand vis-à-vis competitors? So if you can make some qualitative comments, it will be highly useful.

Sandeep Sangwan: Yes. So let me -- so first of all, we have a pricing strategy, okay, in terms of where we want to operate versus the market and versus our competition. We are a premium brand, and we want to maintain those premiums. So we operate a premium to market. But that being a sustained where there a lot of investment in technology, innovation, bringing new products to our customers and consumers and also supported with advertising.

So I think that's what I can say, our pricing strategy will continue to be maintaining the premium that you want to command. At the same time, I think one change we've made over the last, if I can say, 1 to 2 years is we've also introduced products in lower segments, which cater to the mass segment or mass premium segment. So we launched products such as Activ ESSENTIAL. We've launched products CRB ESSENTIAL, which help us cater to consumers and customers who are not being serviced by Castrol.

Vipulkumar Shah: So we have a market share in premium and mass market, if you can quantify?

Sandeep Sangwan: Yes, I think I wouldn't like to go into very specifics. So mass premium our overall market share in the retail automotive market, as measured by Nielsen because that's the industry practice is around 20% plus.

Moderator: The next question comes from the line of Chintan Modi from Haitong Securities India Private Limited.

Chintan Modi: Sir, as we can observe that last couple of years, our focus has been improving on the volume side to generate a lot of volume. However, if I look at your last decade, like 2011 to '20, our volume CAGR has been quite slow. Is this a change in strategy? And if you could highlight like why this -- what is leading to this change?

Sandeep Sangwan: So thanks, Chintan, very valid question and good question. I think you're right in a sense our focus has shifted. We want to drive top line growth through volume, but also want to drive bottom line growth.

A few reasons for that is, one is India is still a growth market as far as lubricant is concerned, the Indian lubricant market will continue growing well into the 2030s and up to 2040 and maybe beyond because a lot of OEMs are now also calling out hybrid as a main play rather than everybody focused around EVs. So there is a lot of growth to come in India, point number one. Second is, I think as the vehicle part grows in India, okay, our car penetration is very low. That will also drive volume growth. And I think as a business, we can keep squeezing on margins. But I think unless and until we grow the top line through volume, it will be a business which will be under a huge pressure.

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So that's why we want to grow volumes, we want to grow margins, bottom line, but we also said that we want to operate in a 22% to 25% EBITDA range, which is I would presume best-in-class from industry standards. And we've been able to maintain that while kind of rebalancing our growth profile.

Chintan Modi: Sure, sure. Apart from automotive, we are also present into industrials. How large could be that industry? And would that be also kind of similar kind of a margin profile? And do we have any aggressive plan to expand considering that lot of manufacturing activities picking up in India?

Sandeep Sangwan: Yes. So again, an excellent question because the industrial market for lubricants and fluids is huge in India, okay. But as part of our strategic choice, we don't play in all the segments, okay? There's some very, very commoditized business in the industrial market, okay, which is not the core strength of Castrol, I think where we play is where we can offer differentiated value to our customers, okay, and we'll use their cost of operations or total

cost of operations.

And we have focus sectors that we operate in. We operate in metalworking, we operate in automotive, we operate and have very, for example, okay, where we have differentiated products, and we're seeing good growth in that business. But will we ever become a completely commodity players catering to very bottom of the end of the market? Unlikely.

Moderator: The next question is from the line of Nitin Tiwari from Phillip Capital.

Nitin Tiwari: Sir, my question was actually related to your product mix in this quarter. So how should we look at it in terms of how was the sales distribution between, say, CV and 2-wheeler, etcetera?

Sandeep Sangwan: Let Deepesh answer that, sir.

Deepesh Baxi: Yes. So thanks for the question,. We grew 6% on volume basis. We grew about 8% to 9% in commercial vehicle and the balance growth came from the personal mobility, which is cars and bikes.

Nitin Tiwari: Actually, I'm looking for national distribution of sales in percentage terms across 3 segments, so if you could help with that.

Deepesh Baxi: So I mean in general if you say, almost 40% to 45% of our distribution comes from bikes and cars put together and about 40% will come from CVO, which is commercial vehicles. And the rest is industrial and marine and those are much smaller part.

Nitin Tiwari: So secondly my second question was actually on pricing and margins. So if we look at our margin in terms of what we are making on rupees per litre terms, right? So that's roughly about INR50, INR55 odd, which translates into about making on INR69 sort of sense per litre, right? So how is this margin looking globally, if we look at international markets and then what Castrol sells globally. So how is that number there? So why I'm asking this is that I want to understand that where perhaps taken the market in India could head in premiumization in terms if at all, like we move in that direction.

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Sandeep Sangwan: So I think, first of all, I think the margin profile you asked a question around how does it compare globally. There are certain markets where the margins are higher. There are certain markets where the margins are lower. It depends on the vehicle profile and the consumer profile.

So there are many factors that come into play if you start comparing India with other markets. I think as far as we are concerned, our focus is on both growing volume, but we don't want to grow volume for the sake of volume. So there is a lot of premiumization also to come in, okay?

So I give you the example of Castrol EDGE, which is a much higher priced product, but also deliver better performance for vehicles. So the focus will continue to be -- also continue to premiumize the portfolio so that we can keep our EBITDA profile that we've spoken about.

Nitin Tiwari: So that's helpful. But the reason for asking this is that we have the premium player in the market.

And our -- I mean, EBITDA margins have been in the range of about INR50 to INR55 per litre for quite some time. So do you see this number expanding from here? Is there a scope for this to more expand from here on as well?

Sandeep Sangwan: So there is definitely scope to expand this number, but will INR55 become INR100? Unlikely.

Okay, will INR55 become INR57, INR58, INR59? That's a continuous endeavour that we kind of keep working on. But again, it also depends on mix. Say for example, if commercial vehicles grow at a much faster pace. The margin profile on commercial vehicles is not same -- similar to as what we get in personal mobility, so that...

Nitin Tiwari: That's very helpful. And if...

Sandeep Sangwan: What I would want to reassure our analyst community is that margin per litre is definitely a focus area, and that is something that we watch very carefully.

Nitin Tiwari: Understood. That's very helpful. And a final question, one more. So just wanted to und

erstand

that across different product categories, and I'm talking about the broad category, which is 2-wheeler, cars, etcetera. How many products are available in each category? And what would be a typical price range for these products? Very broad numbers would be okay.

Sandeep Sangwan: Yes. So on the -- let me give you, on car space, we operate with 3 brands. There's Castrol EDGE, which is the most premium. Then you have Castrol MAGNATEC, okay, which is the second, it's premium, but slightly lower than EDGE and then you have Castrol GTX. So those are the 3 brands in our profile. EDGE, then MAGNATEC and then GTX. MAGNATEC is center to protection, EDGE is all about performance but performance with protection and GTX is for cleaner engines, which operates at a slightly base level.

In 2-wheelers, we have Castrol POWER1, which is our premium brand, again, position and performance and delivering superior performance to consumers. And then you have Castrol Activ, which is all about protecting your engines. And then in commercial vehicles you have CRB Turbomax and CRB and then you have Castrol Plus and Prima for the agri sector. So those are the broad kind of brands that we operate with.

Nitin Tiwari: Right. And what would be a typical sort of price range, if we look at these products?

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Sandeep Sangwan: I think it will take a lot of time for me to go through the pricing, all the prices are available, if

you check on Amazon, you should be able to see all the prices in the market.

Moderator: The next question comes from the line of Anuj Sharma from M3 Investment.

Anuj Sharma: And I'm not sure if this was answered earlier. But between a like-to-like hybrid vehicle and a normal ICE vehicle, what is the intensity of lubricants, which goes into it?

Sandeep Sangwan: I think between a hybrid and ICE vehicle, it's pretty similar. There's no change. The product requirement of the technical specifications change because hybrids operate in different conditions. But from a volume perspective, there's no difference.

Anuj Sharma: All right. That's helpful. And the second question is, given the evolution of ICE engine, do you see a change in the drain intervals over the next 3, 5 years? Or do you think it is little bit pretty much similar to what has been in the past?

Sandeep Sangwan: I think drain intervals keep reducing, okay? We've seen that happen in commercial vehicles. We've seen that happen in passenger cars, okay? But we have all kind of segments in the market. So for example, the taxi or on-demand segment or fleet segment is a much higher usage of lubricants even though the drain intervals have reduced, but there is a consumer behavior that or the usage patterns, which lead to frequent changes in lubricants.

The other thing that happens in our industry is as the vehicles and engines become more efficient and more advanced, the quality of lubricant required is much higher. So as a result, we are able to kind of premiumize the market. So for example, if you go back 10 years ago, a car would be using a 10W viscosity product. Now they use primarily 5W and there are many cars which use 0W products, which is a much thinner viscosity. So I think, it's a combination of everything that we see and the net result is that the market still grows at about 4%, 5% on volume terms.

Anuj Sharma: That's helpful. Just a question, the trend change in drain interval remains the same as in past? Is that a correct assessment?

Sandeep Sangwan: Sorry?

Anuj Sharma: The rate of change in drain interval in future won't continue to be, let's suppose, what's been in the past 5 years. Is that a correct assessment?

Sandeep Sangwan: Difficult for me to say. I think it's for the OEMs to answer that question on where they're investing in their technology and improvement because OEMs are also focusing a lot more investments in to EV now. I think

how much efficiency gains you'll get in ICE is something

from the OEMs to comment on rather than us. But what we will make sure is that we have relevant products available for each kind of engine or vehicle type that comes in the market.

Moderator: Next question is from the Mandar Pawar from Kotak Mahindra Asset Management Company.

Mandar Pawar: My question is the opportunity related to the data center, I hear you talking about that, maybe it's early to speak about it but just some technical aspects that we want to understand, one is, if Castrol India Limited

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you have to look on a usage of this fuel per megawatt capacity, how should we look at and what kind of frequency in the working interval...?

Sandeep Sangwan: Sorry, it's very difficult to understand your question. We can't hear very clearly.

Mandar Pawar: Okay. Is this better?

Sandeep Sangwan: Slightly better, yes.

Mandar Pawar: Yes, sir. Sir, my question regarding the opportunity on data center, although it's too early to size down that opportunity. But wanted to understand some technical angle to that is, if you have to look at the usage of that fuel on a per megawatt, what is the kind of usage that it will ask for and the frequency of the intervals that it is used. And also, whenever this product is available in the market, what is the kind of margins that we will look at considering that this is a B2B business, how different it can be from our current portfolio?

Sandeep Sangwan: Yes. I think -- thanks for asking that question. We're also trying to figure out all the answers to the questions that you've asked. So I think maybe if you asked this question 1 year down the road, I'll be able to answer it much more concretely. But right now, a lot of research or testing or development work going on.

Mandar Pawar: Okay. And by when do we expect that this product could be available here in India?

Sandeep Sangwan: So depends on how customers develop and if you're able to kind of work with customers to develop this immersion cooling technology and -- but from that perspective, it all depends on how the testing goes, how the customers respond to that. And yes, but globally, this product is available, okay? Our fluids are available for customers.

Mandar Pawar: Okay. And just one other question is about the raw material availability for the base oil. At this point, given what the situation we face on the sea trade, is there any kind of syndromes that we are facing and as such the price movement of base oil, if you can give some color on that?

Deepesh Baxi: Yes, Mandar. So I think overall, it feels like there is stability, and stability both from a point of view of price and supply. So I don't remember a time where we will be that statement because there are always something or the other that is going on globally, yes, whether that is the Red Sea or whether it is something around the war, etcetera. So I think sitting today, it feels like -- if

I just take next 3, 4 months' view, I think there will be a continuation of the stability in the base oil prices and the other inputs. Of course, foreign exchange rate is another aspect that we deal with because there is imports.

And that also looks like a range bound between 83%, 84%. So that's all I can tell you right now. I mean -- but you know if things change, we know how to manage this, we are very proactive, we keep an eye. We have our global margins and tools and global insights. Some of our relationships are also global. So as price move or instability of supply comes in, we're the first to hear about this, given something that happened in U.S. or APAC or whichever way. And I think we make an intervention appropriately.

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Moderator: The next question comes from line with Rohit Maheshwari from Tata AIG General Insurance.

Rohit Maheshwari: Congratulations on a good set of

numbers. My most of the questions are answered. The one question I have is, sir, can you give some sense of uses of lubricant in ICE versus hybrid versus EV?

Sandeep Sangwan: Yes. So I think, as I said earlier, hybrid use the same kind of amount of lubricants as an ICE. On EVs, the usage is much lower, okay? Specifically percentage, etcetera, I can't say, but for example, EVs don't use engine oil, they primarily use transmission fluids, coolants, and greases. So that definitely has a shrinkage of volumes. But I think what we're also seeing in India is given the low penetration of cars and electrification will come much faster in 2-wheelers. I think all the modeling work that we've done, the Indian lubricant's market will continue growing well into the late '30s and early '40s, okay? And especially India has very strong -- Japanese OEMs have a strong play in India. And I think they're also seeing hybrid as a -- not as a transition technology, but as a mainstay technology. So hopefully, that keeps the market for lubricants very robust going forward.

Moderator: The next question is from line of from Miraj Shah from Arihant Capital.

Miraj Shah: I wanted to understand the volumes that you spoke about 61 million litres for this quarter. If you could tell me what was for the previous quarter and the same quarter last year?

Deepesh Baxi: Yes. So 2Q '23 volume was in the range of 57 million litres that's a 6% growth. And 1Q '24 sequential quarter, that was also in a similar range of 57 million, 58 million litres.

Miraj Shah: Okay. So next is regarding in your opening -- one of the opening remarks that you gave that you're seeing stabilization in the input costs right now. So which input costs in particular are you talking about? And how do you see the margins panning out, do we see healthier from here? Or do we see more movement in the raw material costs over here?

Deepesh Baxi: So the input cost I was referring to, and I was explaining to Mandar earlier, is both on the base oil, which is roughly 60% of our costs. And also on energy can't guarantee it, but also forex seems range bound because we import significant base oil. So that's what I meant by it being stable. As far as margin is concerned, the reason why we have kept this range of 22% to 25%, we landed at 23% is for us to have that elbow room to be able to, in a quarter where there is more stability and less fluctuation to continue to invest in our brand from a medium-term basis and to go after the volumes more aggressively as well.

But at the same time, if there are external factors that change it, then we look at medium-term view and make an intervention in the market appropriately. So I think it's that balancing act that we need to do, given there is an external dependency for the industry. So I wouldn't sort of signal at this stage anything different than the EBITDA margin that we have kind of been talking about, which is in the range of 22% to 25%.

Miraj Shah: Okay. That is a margin range. And just one last thing in the data center part that you gave your initial remark on like you inaugurated Technology Center in Patalganga and you are currently

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in the testing phase for fuels. So just wanted to understand that how long will this duration be?

And if there are any significant developments, in which unit would this be produced or would you have to put in a new unit to work on this? Just want to understand that.

Sandeep Sangwan: Yes. So let me kind of just clarify, all the data center work is happening in the parent company in U.K. rather than in India, but we have access to all the technological developments that come out of there. And I think production capabilities, we have three plants in India who are fully capable of producing whatever we need for the Indian market.

It's a function of when do we start local production based on the volume pro

file of various

products, okay? And our Technology Center in Patalganga does additive work on top of

whatever work is done in the global R&D centers for adaptation to local markets. That's how we operate.

Miraj Shah: So any developments coming from U.K. from the parent on that we'll be working on and then we'll be able to deploy it in our plants?

Sandeep Sangwan: Yes. So I think there is a process of deployment that we go through, but we've done that for many, many years. It's nothing new for us.

Miraj Shah: So do we have any existing products into that are actually coming from U.K. or this is just an initial step?

Sandeep Sangwan: So we still -- even currently, we import some products which are kind of very high technology products, either in the industrial sector or some of the cars products. But most of the production is local. It's only in specific cases where the volumes are still very small, we import from our global centers.

Moderator: We are at time. This brings us to the end of the call. On behalf of Castrol India Limited. I thank you all for joining this call. You may now disconnect your lines. Wish you a good day ahead.

Call: Oct 2024

castrol.co.in

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30 October 2024

To,
BSE Limited ,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 3Q FY 2024

Pursuant to Regulation 30 and 46 read with Para A P art A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call for 3Q FY 2024 with analysts/investors held on Monday, 28 October 2024 is enclosed. The same is also available on the website of the Company.

The transcript of the recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2024 --- 3Q FY 2024

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: A/a
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"Castrol India Limited
3Q FY 2024 Earnings Conference Call"
28 October 2024

MANAGEMENT : M R. SANDEEP SANGWAN – MANAGING DIRECTOR -
CASTROL INDIA LIMITED
MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER &
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

Castrol India Limited
28 October 2024

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Moderator: Ladies and gentlemen, welcome to our 3Q FY 2024 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode, and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touch-tone phone to reach the operator.

Also, please note that this conference call may contain certain forward-looking statements, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not a guarantee of future performance and involve certain risks and uncertainties, which are difficult to predict.

We have with us Mr. Sandeep Sangwan, Managing Director, Castrol India Limited; and Mr. Deepesh Baxi, CFO and Whole-Time Director, Castrol India Limited. I now hand the conference over to Mr. Sangwan for his remarks.

Sandeep Sangwan: Hi. Good morning, everyone, and thank you for joining Castrol India's Third Quarter and nine Months 2024 Earnings Call. I hope you and your family are in good health and all in a festive mood, because of Diwali. So I'd like to start by wishing every one of you and your families, a very happy Diwali. We're delighted to announce the strong growth that Castrol India Limited achieved in the third quarter of 2024. Please note that our reporting follows the January to December calendar.

The company's strong performance this quarter, achieving strong third quarter sales volume and profit reflects our strategic focus and operational excellence. Our balanced approach to optimizing volumes and margins, along with continuous innovation, expanding distribution infrastructure and brand-building efforts had driven sustained revenue growth. This quarter also marked the end of my tenure at Castrol India.

And during my time serving Castrol India and our stakeholders, we made significant progress by transcending lubricants with the launch of Castrol ON a range of EV Fluids. We introduced Castrol Auto Care range, which is a step ahead of our expansion into non-lubricant-related categories. We joined forces with ki Mobility with our investment in ki Mobility and also strengthened our ties with OEMs.

From Shah Rukh Khan becoming the face of our brand to expanding deep into the heart of India's vast rural landscape, it's been an incredible journey that I will cherish always. I'm confident that Castrol India will continue to thrive and contribute to India's progress as a leading force in the future. And I also want to take the opportunity to thank you for your interest in our company.

Now I'll hand over to Deepesh, who will walk you through our financial performance and key numbers for both the third quarter and 9 months of this year. Deepesh, over to you.

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Deepesh Baxi: Thank you, Sandeep, and good morning to all of you. I, too, would like to join Sandeep and wishing all of you a happy Diwali and a great New Year ahead. We released our third quarter full year 2024 results, and I would like to share some of the key financial highlights with you.

In the third quarter, we reported a strong financial performance. Our revenues were up 9% from INR1,183 crores to INR1,288 crores and 8% decline compared to the sequential quarter of 2Q 2024.

Profit before tax was INR280 crores, a gain of 6% year-on-year compared to INR264 crores in 2Q 2023. Increased volumes and balanced margins enabled us to achieve strong performance in 9 months ending on September 30, 2024. Our revenues reached INR4,011 crores, representing a 5% increase from INR3,811 crores in 9 months 2023 and profit before tax rose by 3% to INR887 crores compared to INR857 crores in 9 months ending 2023.

We are committed to maintaining our momentum in the coming quarters as well

, and we look

forward for the rest of the year in terms of our performance delivery. I would now like to hand back to Sandeep.

Sandeep Sangwan: Yes. Thanks, Deepesh. In addition to discussing our financial performance, I'd like to highlight some significant business developments at Castrol India. This quarter, we launched four new rust-preventive products in our industrial portfolio under the brand Castrol Rustilo, catering to evolving customer needs. These products offer superior performance, environmental benefits and ease of use.

The Auto Care product range also saw new additions, establishing a footprint in over 45,000 outlets and major e-commerce platforms. The recently launched Castrol EDGE variants and Castrol CRB TURBOMAX plus CK-4, suitable for use across OEM engine platforms in the commercial vehicles received widespread positive market reception, solidifying Castrol's position in the premium lubricants.

Castrol EDGE premium range, which is for passenger cars is now widely available through various channels and the successful marketing campaign with Shah Rukh Khan has driven consumer upgrades. The company's continued efforts to expand its distribution network has resulted in reaching 35,000 workshops and retail outlets in rural India. With a robust network of 580 Castrol Auto Service outlets, 29,500 bike points and 9,400 multi-brand car workshops, and dealers, Castrol now has a national footprint exceeding 1,36,000 outlets.

Recycled content and high-density polyethylene plastic bottles, HDPE, increased to 50% aligning with Castrol's sustainability goals. The company also empowered and trained over 8,000 truck drivers and more than 4,000 mechanics this quarter. We have progressively impacted the lives of more than 5 lakh truckers and mechanics since inception of our social investment or CSR programs.

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We also launched the Two Wheels One Life program in Pune to promote safe two-wheeler riding among youth. There are some changes in the board as well. The appointment of Mr. Rakesh Makhija as Chairman; and Ms. Satyavati Berera as Independent Director and Audit Committee Chairperson, strengthened Castrol leadership and governance.

Castrol Chemical Management & Services celebrated 12 years of incident-free operations across multiple customer sites, reinforcing Castrol's commitment to safety. Castrol's brand communication efforts for Castrol MAGNATEC and Castrol CRB TURBOMAX Pragati Ki Paathshaala, were recognized with six awards at the Indian Digital Marketing Awards, demonstrating their effectiveness in fostering brand equity and engaging with target audiences.

Thank you for your attention. And now I invite you to share any questions, feedback or views as we open the floor for discussions. Thank you.

Moderator: Thank you very much Mr. Sangwan and Mr. Baxi. We will now begin the question and answer session. The first question is from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, firstly, if you could allude to us what kind of volume growth are we looking in terms of the fillers from the OEM, taking into account the current trends in the auto industry, what should be pencilling in going ahead?

Sandeep Sangwan: So I think, typically, what we're seeing is the volume growth is likely to be what, like 4%- to 5%-odd for this year. That's kind of our estimate for the category. I think in some of the segments, the new vehicle sales have been a bit muted in this year. But I think most of our business from a Castrol perspective is not dependent on new vehicle sales, but it's more dependent on the aftermarket. So that's how we see the total market will continue to grow at about 4%-5%.

Saket Kapoor: And can you comment on the raw material part? And one more question is pertaining to the application in the data center industry. Sir, there have been talks of

our products being into cables

and as a coolant and can you comment on our play in to the data centers electrification part or it is just a misnomer?

Sandeep Sangwan: Yes. So I'll try and answer the questions. I didn't get your question on raw materials. What was the question?

Saket Kapoor: I was looking at the grease and the grease part, how are the raw material basket shaping up and going ahead, with crude correcting and remaining lower? Does that lead to incremental margins for us going ahead?

Sandeep Sangwan: Yes. So I'll let Deepesh answer the raw materials question, and then I'll comment on the data center question that you asked. Deepesh, do you want to talk on raw materials?

Deepesh Baxi: Yes, sure. So as you know, our raw materials primarily is base oil and then there are additives. And if you see the last 9 months, while crude has gone up and down, base oil goes up and down with a lag. So if I were to just take a 9-month average versus 9 months of last year, the base oil has been input cost has been largely flat, yes, a couple of percentages. And that, I think we are able to manage with necessary pricing in the market. And when price goes down of input costs, we do pass on to the consumer as well.

Going forward, again, with all the geopolitical tension, it is very hard to say. But our prediction is that at least for the near term, the input cost is largely going to be in the range of what we've experienced in the last 9 months. So not a material sort of change is what we are kind of expecting. Over and above that, we do have long-term contracts, term contracts with our suppliers. We do spot purchases so that we can manage our sort of overall inventory and input cost averages as well. And that is a continuing strategy that we work on.

Sandeep Sangwan: Yes. And on the data center bit, I think we see that as an opportunity area in terms of commercialization may still take some time. We are running pilots, experiments with some of the customers for confidentiality reasons, I cannot name them. But as a company, we've invested in an R&D facility in Pangbourne, which is our global UK headquarters around in this space, in terms of liquid cooling and immersion cooling for data centers, which brings efficiencies both in terms of space and energy usage.

So early days, but definitely, this is an area that we see as an opportunity going forward, given the emergence of -- and especially with AI going to play more and more role, increasing role in business, this will be definitely an area for growth.

Saket Kapoor: Correct, sir. So I just -- I missed your point on the base oil part. So we are not going -- we are not seeing any margin improvement on account, because of the long-term contracts, offtake contracts we have or how should we take into it, since the crude prices have been benign for now over last 2-3 quarters in a bank and that too trending lower?

Sandeep Sangwan: Yes. So look, like as we've been sharing with the community in the past as well, the reason why we have put the EBITDA margin range bound, which is about 22% to 25% is precisely for this reason because 1 or 2 percentage plus/minus margins do happen during the year, during month and on a quarterly basis. And we expect that we will -- so this time, we ended up with about 22.5%. And if -- unless there is a sort of a big variation in the crude oil and base oil, we would like to manage to be delivering within that margin range.

So typically, 1 percentage margin on EBITDA would be INR50 crores or so as a company. So you can do the math. That's really where I think it could be. But we need that elbow rule, every manoeuvre because every time there is an increase in input cost, we can't just go and take a price increase. Similarly, whenever there is a reduction, we just can't take price reductions or pass on. So we do

do a bit more medium-term outlook through strategic pricing, and that's why that margin.

So in summary, we expect that next 3 to 6 months, we will be in that range bound 22% to 25%.

Moderator: We have the next question from the line of S M Kumar, an Individual Investor.

S M Kumar: Just I could likely to know about how much cash available as of now?

Deepesh Baxi: We have about INR1,200 crores on our balance sheet as of September 30th.

S M Kumar: Sir, regarding next question, what about Castrol ON? Any volume growth specifically? Can you share or throw numbers?

Sandeep Sangwan: Yes. I think, we sell Castrol ON, but the volumes are very insignificant right now given the penetration of EVs in India. So I think it is making a significant impact to our financials? Not at the moment. In times, it will grow.

Moderator: We have the next question from the line of Rajakumar Vaidyanathan, an Individual Investor.

Rajakumar V.: Actually, my question is regarding the data center liquid cooling opportunity that you've talked about. First is, as you know, large-scale data centers are getting built, and we've moved from air cooling to liquid cooling, which is I think it's the right approach. When you start -- these data centers are built much ahead before they come online, right?

So I'd like to know whether when you build this infrastructure, we'll move from air cooling to

liquid cooling. Is it the data centers that we are building today, we can do the switch immediately and they can be liquid cooled immediately? Or is it something that you need to plan ahead? And also, how big is this opportunity? And whether you are doing it in India? Or is it like outside India, in the U.S., is this already tried out? Could you add more color to it, just that could be very helpful.

Sandeep Sangwan: So first of all, thanks for asking the question because you're asking the right question. And to be honest, I'm not the technical expert on data centers. But the way we see it is, it is a global opportunity. India is not only the market. I think, there are much bigger markets like U.S. and Europe, where there's a lot more capacity, which has been built up or installed from a data center perspective.

The second thing is, as I understand, you're absolutely right. This is something that has to be designed in the inception stage of data center. It's not something that you can retrofit. Maybe there's a retrofit solution. But based on my limited understanding, I think this is something that needs to be a part of the design tool.

And that's why we are working with people who design data centers or customers who are building data centers. So it's a -- it's an evolving space right now, but I think we have the right intention and the right capability that we brought into the organization to work in this area.

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Rajakumar V.: Yes. And so just one more question, sir. So can you at least, sort of, the data centers that we are building today in India, right? Can we say, at least, they are already catering towards -- at least trying liquid cooling that Castrol is exploring. Is that something like that?

Sandeep Sangwan: I wouldn't like to comment on that.

Rajakumar V.: Sorry.

Sandeep Sangwan: I would not like to comment on that, because that is something that we are still working on. This is not information which is available in public domains. So...

Moderator: The next question is from the line of Manoj Rajan from Rajan Family Office.

Manoj Rajani: Actually, the question I want to ask the management is that, how is this -- significantly how the company is planning to handle the slower supply chain in distributions, given the extensive plan that the company might be having? So basically the measures that they are implementing to reduce any kind of cost that might come.

Sa

Sandeep Sangwan: Sorry, I could not understand your question.

Manoj Rajani: So basically, like what is -- how is the company handling the supply chain distribution, given that -- given the extensive plan that they have from manufacturing to end users basically?

Sandeep Sangwan: So I think, this is something which is not very new to us. We are the largest scale player in the private sector and the Indian lubricant industry, and we are the largest reach and distribution in the country. As I said, we covered more than about 156,000 outlets. And we have a very robust established supply chain right from sourcing to reaching the end consumer point. So -- and we keep innovating in our route to market, like, for example, a few years ago, we moved our distributor sales reps, for example, to a sales agency called Smollan.

This is the information which is available in public domain because, we think, we can that way train better people, better frontline sales people. So in terms of -- in terms of our supply chain, I think, we have a very cost efficient and a robust route to market model, which makes our available -- which makes our products available to every nook and corner of the country.

Deepesh Baxi: And I will just add to what Sandeep said. So I mean, if you just step back, I'm just going to reiterate our current sort of model, which itself has the flexibility to expand. So we have plants, then we have our CVCs or in other words, the C&F agents, about 15 of them. And then, we have more than 500 distributors, then there are retailers and dealers, which is more than about 50,000, then there are independent workshops, where the mechanics play advocacy role and then consumers and truck drivers. So that's our ecosystem, which is actually much more than 200,000 to 300,000.

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And every time we are looking to go deeper, whether it's in rural or any other newer areas. And that is something that we shared in our press release, and we just mentioned that when we started our Auto Care products, that's already available at more than 35,000 outlets. But our core products are available at more than 50,000 outlets. So if you have to expand, I think, in fact, we believe that we have a competitive advantage given that we've been here for more than 100 years, and we built this over a period of time.

So from that point of view, I think we are well covered, but we'll continue to innovate, especially in digital and other areas to make our products reach faster.

Moderator: We have the next question from the line of Abinash S from Nafa Asset Management Company.

Abinash S: I just wanted to know what has been the volume growth in this quarter? And what's the split between OEM and aftermarket sales?

Deepesh Baxi: Yes. So volume growth has been about 8% between this year's quarter 3 and last year's quarter 3. In terms of the -- so I think I just need to explain here because the retail business, that's almost 60% of our business. So -- and that and OEM in both the categories, the volume growth has been about 8% or so in this quarter.

Now when you break it down further, then there are those other market spaces that we operate in, like personal mobility and commercial vehicle. So in commercial vehicle, we've grown about in double-digit and personal mobility, we've grown in middle single-digit. And all of this has been above the market growth.

Abinash S: So for this quarter, it would be 59%...?

Deepesh Baxi: 8%, overall for Castrol India.

Moderator: The next question is from the line of Rohit Maheshwari from Tata.

Rohit Maheshwari: Can you give the absolute numbers for volume for this quarter?

Deepesh Baxi: Yes. So we did 55 million liters.

Rohit Maheshwari: Right. And any specific reason, because when I see quarter-over-quarter trend -- in the last quarter, we sold around 61 million liters. And this quarter, close to

55 million liters. Any specific reason for it?

Sandeep Sangwan: Yes. So I think, there is a seasonality in our business. Quarter 3, even if you look at the historical data, quarter 3 tends to be low compared to the second quarter, and then you see again a bump in the fourth quarter, and this is also driven a lot by the agricultural cycles in the country. And - that's why you see quarter 3 being the lowest quarter.

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So it's not an area of concern for us. We know the seasonality and the patterns. And that's why I think, what is more important is to see the growth rates versus last year rather than the sequential quarter.

Rohit Maheshwari: And in the last earnings call, give me -- you mentioned that, we'll be, by the year-end, we will be looking at analyst presentation on the data center opportunity. Any update on that front?

Sandeep Sangwan: I think, what we said is we're working on it. And I don't know how firm commitment you take our comments to be. But definitely, as we work through this and we gain more and more insights and knowledge, this is something we'll bring to our investor community. By year-end, unlikely most -- yes, or it will possibly be next year sometime.

Moderator: The next question is from the line of Samrudhi, an Individual Investor.

Samrudhi: My question was regarding raw material prices that how are we -- are we hedged against the volatility of oil prices?

Deepesh Baxi: Samrudhi, thanks for that question. So I mean, with in the raw material, the base oil, which is a byproduct of crude is what we normally import from other parts of the world. And that earlier used to be about 70%. Now it has become 50%. We do not hedge locally anything on base oil. But of course, we have support from our global parent. And some of the rates and term contract that we entered into with our suppliers are actually supported by global, because the scale is much higher than prices are negotiated globally.

So we get that advantage. So frankly, on that piece, there isn't a need for local entity to do a hedging. What we hedge is the foreign exchange impact for this 50% imports that we do and some of the other materials. So that we do locally. And I think so far, we'll be able to do a good job on that.

Samrudhi: The second question I have was regarding any capex. So are we doing -- going for any major investment plan or any capex?

Deepesh Baxi: Yes. So typically, we've invested about INR100 crores capex in a year. As at sort of 9 months, we've spent about INR60 crores, INR60 crores to INR 65 crores so far. Our capex will be on in two or three categories. First category is going to be the organic capex, and that is really about

the investments that we will make in some of our expansion into the rural market and some of the newer businesses that we are entering into, like Castrol Auto Services, etcetera. So that's the kind of organic capex we will invest in.

Given the trajectory of the growth plan that we have from a supply chain capacity building perspective, we don't need to invest at least for the next couple of years, because we do have capacity, plus so we can outsource that. And I think the third part, always, as you know, is what

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can we do differently more in a different area of diversification in order, I mean, that's a capex, which is a part of the board discussion.

So to summarize, INR100 crores is what we spend. I mean, we will, in the next couple of years be in the range of INR125 crores to INR150 crores.

Moderator: The next question comes from the line of Rohan Jain, Individual Investor.

Rohan Jain: Sir, just a couple of questions, sir. The first one being given the current geopolitical tensions around the world, but primarily in the Middle East. Would our business face any kind of threat at all from these

tensions?

Sandeep Sangwan: So I think right now, we've not seen any impact because of the current geopolitical situation, difficult to comment on how the future will unfold. But none of our supplies are impacted per se because most of our base oil is either sourced out of Singapore or locally procured and same for additives.

And I think, we're fine for the time being. And at least, we don't foresee any major impact from a supply side perspective. And on demand side, our business is more -- not more, almost 100% driven by domestic demand. So we don't have any export component, which could be impacted.

Rohan Jain: That's great to know. Secondly, I wanted to understand from you, given the government's focus on clean energy and like the reduction in carbon footprint across the different corporate entities. So just wanted to ask you like, are we taking any steps in regards to these? Like are we doing any kind of initiatives for that?

Sandeep Sangwan: Yes, absolutely. So I think, sustainability as a responsible organization is very important to us.

And we do have a carbon reduction program. And some of the things that we worked on, first of all, like we are making major progress on plastic side from a sustainability perspective. Most of our bottles now have at least 50%, if not more, recycled plastic content. We do collect all the plastic that we put in the market. And we've reduced, if I'm not mistaken about 1,000 tons of virgin plastic usage in our packaging.

The second area we work on is energy consumption in our plants. So Patan, one of our plants is completely on renewable energy from the grid. And we've installed solar energy system, solar panels in two of our other plants to make use of renewable energy. And the third area is, for example, in one of our plants, which was earlier running on fossil fuel for our boilers, we've shifted back to pipe natural gas. So multiple initiatives. We also work in water conservation in our plants. So there are multiple initiatives around this area.

Rohan Jain: And do these initiatives make any cost benefits for us like or are we spending more money for these? Or are they making any monetary benefits for that?

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Sandeep Sangwan: I think it's more -- we see it as the right thing to do rather than looking at monetary benefits. Something which is good for the society, which is something that is good for the environment.

And in the sense, cost is a consideration. But this is the only consideration? No.

Moderator: We have a follow-up question from the line of Saket Kapoor from Kapoor & Company.

Saket Kapoor: Sir, you mentioned that our capex ballpark number is INR100 crores to INR120 crores and our cash balance is of INR1,200 crores. So how are we looking to utilize this cash in value creation ideas for your shareholders?

Deepesh Baxi: Yes. No, great question. And I think, that is definitely a continuous confrontation with the board. So while I shared with you our capex numbers, which are part of our immediate plan, obviously, we're looking into what other organic expansions we continue to supplement the growth plans

that we have. So there will be -- there is an intent clearly to ensure that we spend the capex for the right reasons.

Now apart from that, I can't say much about the other sort of avenues that we are exploring. But the fact is we want to continuously make sure that we add the value to the shareholders and share the sort of the cash in best way either with the shareholders or invest into the wider projects that we are in the process of thinking. I'm sorry, I can't tell you much beyond that, but I mean, obviously, this is something which is on top of our mind. Sorry, go ahead.

Saket Kapoor: Sir, what has been our average cash balance for the last 3 fiscal? How have the cash balance grown, if you could give an understanding since you are

working with the same of how to deploy

it more efficiently? If you just could give me the color on the same? And then, sir, when you were speaking about data center, sir, the another thrust or the another area of growth has been global capability center that are getting a lot of traction in the country, not only in terms of the numbers, but also in terms of the size and the volume they are generating.

So have we worked out on how efficiently the applicability of us in data centers can replicated -- that could be replicated the same model with global capability centers. Their numbers are 2,700 - 2,800 in the country as of now, what we have read news of it.

Deepesh Baxi: Yes. I'll just take the cash question first. So firstly, we manage our working capital and cash deliveries really, really well. And therefore, a sort of a positive thing to sort of acknowledge that as a business across every part of the business is we work towards generating that cash.

Traditionally, for the last, you would say, last 3- 4 years, we've generated about INR700 crores, INR800 crores of cash every year in addition to the opening balance that we had.

And the dividends that we pay is in the range of about 80% - 85% of PAT. So that is one sort of outflow of cash, one in terms of major. Other piece is that we invested INR487 crores to make an organic investment in a company called Ki Mobility, which is a part of the TVS Group,

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and that was a conscious investment, a strategic investment, where we got a stake in that company, and this is about aftermarket independent workshops.

And so principally, these are the two big outflows other than the INR100 crores, INR150 crores of cash so that we have for our organic capex or supply chain capex.

Saket Kapoor: Right, sir. And the comment on global capabilities?

Sandeep Sangwan: Yes. Yes. So definitely, I think, first of all, thanks for your suggestion of looking at GCC, which are expanding in India and India has become a major force in that area. So as part of BP, our parent company, we are also looking at leveraging GCC both from a building capability and efficiency perspective, but that's a part of a bigger kind of corporate programs. In terms of applicability of data center concepts to GCC, I think, that's an excellent suggestion, and that's something that we'll definitely take into consideration.

Saket Kapoor: Last small point before I join the queue again. Sir, you mentioned about 88% of our cash profit being -- our profit after tax being shared with your investors, but taking into account the tax regime and the changes being done over the past few years, that incidence on dividend income has gone up significantly. So the cash being shared from your -- from the company level to what it goes to the investors get knocked off by anywhere between 20% to 40%. So why -- why not the promoter is looking at innovative ways of sharing cash with investing communities where there is lower tax incidence? That thought process was that, sir.

Deepesh Baxi: No, absolutely. Thanks for the thought. But I mean, let me assure you that we have a dividend policy. So we work within that frame, that's first. And the second piece is, we're definitely looking at options, which are just beyond dividend as well. But at this stage, it's very difficult to say. And after we do our analysis, is when we really come down to what is the best way to reward our shareholders. So that's really what it is. It's a part of the shareholder value creation work that we keep doing.

Saket Kapoor: And sir, lastly, on the employee benefit part also, we have seen that also escalating Q-on-Q, year-on-year. So is that the variable part of the portion? Or what has attributed to this -- if we compare the year-on-year numbers from 69 to 81 and Q-on-Q, it is from 77 to 81. So if you could just explain that trend? An

d what is our annual expense for the next financial year also or the next calendar year rather for us to take into account in terms of the employee benefit expenses?

Deepesh Baxi: Yes. So you're right. I mean, the employee benefit expense quarter-on-quarter has gone up by about 17%, the number that you mentioned. Now in that, there are sort of all the elements that

is between last year and this year. Obviously, there is a salary increase that is there across the board, because April 1 is when we get our salary increase. So then there is an impact of that. Then the second impact of that is in variable bonus. And the third is, there has been some restructuring costs that is included in this number. So that is also a part of that. So I don't think

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it's a recurring one. The restructuring is a one-time expense, and hopefully, it will come range-bound in the rest of the year.

Saket Kapoor: So what should be the quarterly run rate? So only to conclude, sir. What sir has explained. I was just concluding that. What should be the quarterly run rate in terms of the employee benefit expenses and your thought on also the other expense line item?

Deepesh Baxi: Yes. So I don't -- so look, there isn't a one-off other than this. I mean, in 3 months, we'll get the results. So you'll see what the number will look like. But in India, the inflation goes up between the range of 5% to 8%, depending upon which category do you see. And we have various programs that run so that we can sort of arrest that inflation through efficiency and effectiveness. So at this stage, I would not like to give you that number. That's -- I give you a sense around what the numbers will look like in terms of the cost inflation.

Saket Kapoor: And other expenses, if you can comment something, I'll join the queue. Where the variation is, how to understand the variation Q-on-Q and year-on-year? Yes.

Deepesh Baxi: Sure. Look, I mean, every company will have a component of fixed and variable. As you see, from 1Q versus last year, we grew 6% volume. In second quarter of the last year, we again grew 6% volume. This year, we grew 8% -- sorry, this quarter, we grew 8% volume. Yes, so there is a variable part of that expense also which plays in to a lot of the expenses here, which are also linked and are a part of the other expenses.

So, you have to take that out. And then there is a fixed component. So basically, 7%-8% has been the volume growth and 3%-4% is the inflation growth, and that's really what the combination of the other expenses is. But you have to sell more, you have to travel more, and that's really the principle that will be there.

Moderator: The next question is from the line of Rajakumar Vaidyanathan, an Individual Investor.

Rajakumar V.: Sorry to ask on the data center liquid cooling again. So, assuming that the pilot in terms of successful, would it require Castrol to set up a new plant? And what kind of capex are you looking at when the pilot gets successful? Could you add some color to this, sir?

Sandeep Sangwan: I think, we have enough installed capacity. This will require some capex, because the quality requirements of these fluids are very different. But I think, both from capacity perspective and technology perspective, and capex perspective, we don't see any issues right now. The exact case has not been worked out as yet. So...

Rajakumar V.: So also for the current pilot, I'm assuming there is no revenue. So the cost of this is already baked into the P&L, right?

Sandeep Sangwan: Yes.

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Rajakumar V.: So would you be able to tell us like how much you spent in the time?

Sandeep Sangwan: Something -- that's something that I wouldn't like to comment or share. But the costs have already been kind of there in the P&L. So...

Rajakumar V.: And

yes, and congratulations Mr. Sandeep, for your bigger role.

Sandeep Sangwan: Thank you, sir. Thank you for your interest.

Moderator: The next question is from the line of Aditya Shah from Meteor Management.

Aditya Shah: Aditya here. Sir, just I have one concern or you can just highlight this. As the market is evolving towards more of the EV segment, say, cars or bikes or everything. So how does Castrol picture itself for the next 5 years towards the EV segment? So is -- do you see a product increase? Or are you going to have new product development? Because even luxurious cars to any cars today, are going towards the EV segment. So, can you shed some light, how does Castrol see itself for the next 5 years compared to the EV segment?

Sandeep Sangwan: Yes. So let me, kind of just, answer this question in two components. So, first of all, we see for the next 5 years, a robust growth in the ICE vehicle market. Because as car penetration increases

in India, not the whole demand cannot be fulfilled by EVs alone. So EVs will grow, but I think the ICE will grow and also hybrids are growing at a much faster pace now. Because all the Japanese OEM see hybrids as not even as a transitional technology but as a main technology that will support the low-carbon agenda. That's number one.

The second is, we already supply EV Fluids to two of the largest EV manufacturers in the country. So, we already have supply positions. We also have global supply positions with OEMs on EV Fluids. And as these OEMs bringing more EV modules or EV cars into the country, we are fully geared to supply to them as well. So, I think both from a growth perspective and from a participation in the EV segment, we are well positioned to continue doing our business.

Aditya Shah: So just to add on to that. If you can just share the EBITDA margin in the next 5 years compared to this, like any ballpark number, like do you see a growth by see 5%, 10%. What ballpark number do you see in the same margin?

Sandeep Sangwan: So, I think, I would not like to share a specific number. We said we will continue to operate in the range of 22% to 25% from an EBITDA margin perspective. That's something that we committed to maintaining.

Moderator: Ladies and gentlemen, we are at time. This brings us to the end of the call. On behalf of Castrol India Limited, I thank you all for joining this call. You may now disconnect your lines. Wish you a good day ahead.

Call: Feb 2025

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6 February 2025

To,
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Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra East, Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 4Q FY 2024

Pursuant to Regulation 30 and 46 read with Para A P art A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call for 4Q FY 2024 with analysts/investors held on Tuesday, 4 February 2025 is enclosed. The same is also available on the website of the Company.

The transcript of the audio recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under INVESTOR CALL DETAILS --- 2024 --- 4Q FY 2024

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: A/a
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"Castrol India Limited
4Q FY 2024 Earnings Conference Call"
4 February 2025

MANAGEMENT : M R. KEDAR LELE – MANAGING DIRECTOR – CASTROL
INDIA LIMITED
MR. DEEPESH BAXI – CHIEF FINANCIAL OFFICER &
WHOLE TIME DIRECTOR – CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our 4Q and FY 2024 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator.

Also, please note that this conference call may contain certain forward-looking statements, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve certain risks and uncertainties, which are difficult to predict.

We have with us Mr. Kedar Lele, Managing Director, Castrol India Limited; and Mr. Deepesh Baxi, CFO and Whole-Time Director, Castrol India Limited. I now hand the conference over to Mr. Lele for his remarks.

Kedar Lele: Good afternoon to you and to everyone, and thank you for participating in Castrol India's Fourth Quarter and Full Year 2024 Earnings Call. Since this is my first address to you all as the Managing Director of this company, allow me to give you a brief background about myself. Prior to my current assignments, I've spent over 2 decades at Unilever in various leadership roles, latest being the Executive Director of HUL with responsibilities for sales and customer development for India and South Asia.

I've also established HUL's e-commerce initiative over a decade ago, apart from steering the modern trade and institutional business, post which I led the Unilever Bangladesh as its Chairman and Managing Director from 2017 to 2021. And before that, I have spent extensive time in the field of advertising, digital innovation and sales, building my expertise in marketing, customer development and general management. I've also served as Vice President of FICCI Bangladesh in the past, and I'm excited to have joined Castrol India and look forward to working with my colleagues to drive this company's growth in the coming time.

Moving on to this performance for this year. I'm delighted to announce that Castrol India has continued its growth trajectory in the fourth quarter as well as the full year 2024. I would like to iterate that -- rather reiterate that our reporting follows January to December calendar year. Our focus on continuous product and service innovation, along with consistent investments in our brand has driven a top line growth of 6% for the year, highlighting our ability to adapt and thrive in an ever-evolving market landscape.

Let's start by having Deepesh take us through our fourth quarter financial performance. Deepesh, over to you.

Deepesh Baxi: Thank you, Kedar, and good afternoon to all of you. Before I begin, I would like to extend a warm welcome to you, Kedar, for joining Castrol as the Managing Director. I would also like to welcome Rakesh Makhija, who's taken over as the Chairman of the Company; and Satyavati Berera, who's joined us as the Independent Director.

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Together, all of you bring tremendous experience and business acumen to the company's health, and we're all delighted to have you. Now talking about the numbers and how our performance has been, we released our fourth quarter and full year results on Monday. Here are some key financial highlights.

Firstly, for 4Q 2024, I believe we reported strong financial performance. Our revenue was INR1,354 crores, which is up 7% from 4Q 2023 of INR 1,264 crores. Our profit before tax was INR371 crores, and that's an increase of 14% year-on-year on a quarterly basis compared to 4Q 2023. And our 4Q 2024 PAT rose to INR271 crores, which is up 12%.

Now let me just talk briefly about full year

r. Full year, we achieved a revenue of INR5,365 crores, which is a 6% increase compared to last year, Jan to December 2023, where we delivered a revenue of INR5,075 crores. And this reflects our consistent effort to expand operations, optimize performance and execute our strategy. Profit before tax stood at INR1,258 crores for the full year 2024, and that's grown by about 6% from INR1,181 crores in full year '23. This improvement highlights our focus on operational efficiency and cost management. And finally, profit after tax. PAT reached INR927 crores, which is a 7% increase compared to last year of INR864 crores. This solid growth underlines our ability to drive profitability while navigating challenges, also making sure that we do a robust growth performance. The Board of Directors have proposed a final dividend of INR9.5 per equity share with a face value of INR5 each for the financial ending 31st December 2024. This is, of course, subject to shareholder approval. This will bring the total dividend for the year 2024 to INR13 per share. The INR9.5 final dividend that we have declared includes INR4.5 of special dividend that we have declared to commemorate the 125 years of celebration of global Castrol. Before handing the call back to Kedar, I would like to highlight some of the biggest recognition that Castrol has garnered in the industry this year. Our 3 plants in Paharpur, Patalganga and Silvassa have received multiple awards for safety, quality and efficiency. We have now reached 12 years of injury-free operations at our Castrol CMS site, a testament to our commitment to safety. Our customers like Tata Motors and JCB have recognized us for innovation and technology progress and our marketing campaigns have won more than 30 awards, both nationally and internationally. With that, Kedar, I would like to hand over to you. Kedar Lele: Thanks, Deepesh. In addition to discussing our performance, I would like to highlight some significant business developments at Castrol India during this period. To start with this year, witnessed several new product launches across our portfolio. We introduced Castrol EDGE Castrol India Limited 4 February 2025

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variants aimed at SUVs, hybrids as well as European vehicles and CRB TURBOMAX+ CK4, a premium lubricant for trucks, strengthening our commercial vehicle portfolio as well. We expanded our Auto Care range with 2 new products and developed 4 advanced rust-preventive solutions, which is called Rustilo DW series that combine high performance with environmental benefits. Moreover, we inaugurated our state-of-the-art technology center in Patalganga, which is now here to drive innovation, blending, analytical testing and advanced EV and data center solutions. We have also installed state-of-the-art filling lines at our Paharpur and Silvassa plants, helping us unlock the headroom to grow in the time to come. In terms of brand building initiatives, you all remember, Shah Rukh Khan became our ambassador. And he endorsed Castrol EDGE Stay Ahead campaign, which is boosting our visibility across digital, TV and outdoor platforms. We managed to reach out to over 70,000 truckers across 35 cities through the CRB TURBOMAX Pragati Ki Paathshaala program. We also launched Castrol POWER1 Ultimate MotoStar initiative with training opportunities for the winners at Castrol Honda, LCR MotoGP's Team's European facilities. In terms of geographical expansion, we also made huge inroads in rural markets. Now we reach over 36,000 workshops and retail outlets in rural India and our national presence has now grown to over 143,000 outlets, including 600 Castrol auto service centers also called CAS; 29,500 independent workshops and 10,000 multi-brand car workshops. Now sustainability remains a key aspect for the business with over 50% of recycled plastic now b

eing used in our HDPE bottles. We've also commissioned rainwater harvesting and solar plant power projects at our Silvassa plant, thereby reducing our CO2 emission by 45%.

If you ask me all this reflects the hard work, innovation and dedication of our teams across the country in delivering these results for 2024. Looking ahead, in 2025, we shall continue to focus on delivering high-quality products and services to the automotive and industrial sector.

A key focal point for the team will be expanding our footprint further in rural India while introducing innovative services and products across various regions. But this is indeed in line with our strategy to make Castrol more accessible and affordable for consumers through our growing network.

I'm hugely excited about the road ahead and remain committed to driving growth, sustainability and excellence in all that we do. Thank you for your attention. I invite you to share any questions, feedback or views as we open the floor for discussions.

Moderator: Thank you very much, Mr. Lele and Mr. Baxi. We have the first question from the line of Harsh Maru from Emkay Global Financial Services. Please go ahead.

Harsh Maru: So my first question is relating to the volumes. So if you could share the fourth quarter volumes as well as the full calendar year volumes.
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Deepesh Baxi: Yes, Harsh. So the fourth quarter volume was 59 million liters and the full year volume was 234 million liters.

Harsh Maru: Right. And should -- like diving a little bit more in terms of volumes, could you share some bit of approximation in terms of the essentials range that you have? And what is the kind of ballpark volume share that you are having in the essentials range? And do you see any down trading like within this essentials range from your existing customers?

Deepesh Baxi: Yes. So thanks for that question. I think firstly, we are quite excited about new essentials range that we have launched in. It is not only in commercial vehicle, but it is also in the 2-wheeler segment as well. If you look at the volume, we've grown about 6% compared to last year and almost 4% of the PAT is coming from the essential C V.

Of course, when we introduced, and this is the second year of our operation, really, there is definitely some down trading that happens. But the reality also is there is a complete demarcation in terms of the kind of consumers that we are targeting. And therefore, we're happy with where there has been down trading, and we are expecting not only to just look at essential as a growth profile for next year, but also the premium volumes, both in commercial vehicles and cars.

Harsh Maru: Right. And just one more question to Kedar in specific. So in terms of the strategy now, we intend to become more accessible to customers. So could you elaborate on what -- like what does this imply in terms of financial as well as operational terms?

Kedar Lele: Harsh, you would have followed the organization for a long time, you know that Castrol is a market leader across all the spaces that we operate as well as a premium brand, perceived to be premium, priced at a premium, which means that we left out a large part of our market, which is called middle kingdom or many of the market, where we did not compete.

And over the last 1 year, the organization introduced essential brand, which is a sub-brand across most of the spaces that we've got and made it available. And by doing focused market testing, we realize that as Deepesh also said, the amount of cannibalization is not very high. It's a very small amount of cannibalization. It tells us three things. One, consumers love the brand Castrol, and they always wanted to have it, but they couldn't afford it. Second, when you make high-quality products available at an affordable price, new consumers start coming into the franchise.

And third, retailers who have been able to store or stop both premium as well as affordable range of products have seen growth across their portfolio. So that allows us to really be consistently growing while also maintaining the profitable profile of the organization that you have seen in Q4 in this year. And that is what we will continue to do in the time to come.

Moderator: The next question is from the line of Hardik from I CICI Securities.

Hardik: Sir, can you just share how the loose prices are more during the year and during the quarter? And also, just wanted to understand in case of the increase in crude prices or in case of increase

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in the crude-linked prices, which is our raw material, how are we passing the input cost hike? That's the number one, sir.

Deepesh Baxi: Okay. Thanks, Hardik. On this crude oil, first I just wanted to explain that in the past many years, we've seen a strong relationship between crude oil and base oil. Base oil is our input cost -- input material as you know. But over the last year or so, that relationship has decoupled, but notwithstanding that, if I look at the average base oil for 2023 versus 2024, it has been broadly flat, \$1,000 plus minus, yes, a few percentage. As far as 2025 is concerned, of course, with the geopolitical, it can be anybody's guess where the crude oil will go, but our assumption is that it will be in the range of \$75 to \$80.

So for that, I think we have a sort of pricing strategy in place if we need to input into the market.

But the input cost that we are already seeing a hit coming through is forex. So as you know, we import almost 50% to 60% of our input materials and forex, which is averaged out about 83 in 2024 is expected to be in the range of 86 roughly, again, you know following the global events.

So that is something that we're keeping an eye on. By the way, as I've explained in the past, these input cost increases are part of our business. We have predictive models that we use within the organization and take strategic pricing.

As part of that, a part of our portfolio, retail, we've taken some pricing intervention already in the month of January as well. So that is something that I would like to share with you in terms of the same numbers too as of now.

Hardik: Okay, okay. And sir, you mentioned that the volume for the CY '24 is around 235 million liter, right? So just want the guidance on how the volume should grow going forward for next 2 to 3 years? And if you look at for the quarter, the margin we have almost hit the all-time high EBITDA level. So just want a guidance, is this a sustainable or what has driven -- drove this margin expansion?

Deepesh Baxi: So EBITDA margin for 4Q is definitely at a higher level. But when we look at full year '24, we are within the guidance that we said, which is 22% to 25%. And for '25 as well, we will continue to maintain that margin of 22% to 25%.

Hardik: And on volume growth?

Deepesh Baxi: Yes, volume growth, so across our portfolio, and as you know, we have a very balanced portfolio, give and take, we will see the market will grow in the range of 4% to 5%, and we are committed to grow above the market.

Hardik: Okay. And sir, one more, if I can. Can you just break down the volume details in terms of the passenger vehicles, motor cycles? If you can just break down for the -- how the growth has been? Or in the percentage term, how the volume contribution has been?

Deepesh Baxi: So look, 40% of our volumes come from commercial vehicles. And clearly, in the commercial vehicles on the back of our introduction of the essential series and Bharat portfolio, we've seen

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a double-digit growth then

here. Without getting into the details on cars and bikes, we look at both of them together, which is personal mobility.

So in personal mobility, we've grown in single digits. And we are expecting a good momentum right now, and that should continue in the next year as well. And typically, industrial portfolio is also growing in single digits. As you know, industrial portfolio does not get impacted at all by electric vehicles. That's definitely another area of focus that we are looking at for 2025.

Moderator: The next question is from the line of Ashwini Damani from Manyavar Family Office.

Ashwini Damani: Sir, you mentioned that you expect a volume growth of 4% to 5%. If we look at the last 10-year data, our volume growth has hardly been 1% or 2%. I understand that you are increasing the outlets, but do you have some benchmark on the sale per outlet because if we plot the data going back to, say, 2018, '19, '20, we used to do sales per outlet of almost INR1,500, INR1,600 per liter, which has now fallen down to, say, INR1,200 per liter.

So how will volume growth come, A, on one side, vehicles need lesser and lesser fluids? Your own sale per outlet is reducing. So how do you plan to change this scenario?

Deepesh Baxi: Great. Ashwini, thank you. I'll share my thoughts, and then I'll invite Kedar to build on. So firstly, what I said is that's classification, 4% to 5% is market growth. And we will grow above the market. You're right, in the past, we have not grown in line with the market, but we've grown our profits and gross margin much above the market. The shift, and I think we've spoken earlier whenever we met, is that this -- the last couple of years, there has been a conscious effort to do a volume-led growth.

And if you look at the last 2 years, both years, we've grown volume above the market. And that's been a part of a very specific intervention strategy. For example, we've got into rural, and that's definitely an area of focus for us. We have launched this middle market, middle kingdom as we call it, which is also giving us at a slightly lower price point the volume uplift. So we are confident that we will continue to grow above that 4% to 5% up market growth rate. Kedar, would like to build anything?

Kedar Lele: I think you've answered the question, but maybe a perspective I can bring in is, Ashwini, when I started looking at this business a few months ago, I realized that the vehicle ownership in India is expanding rapidly, not just in new cars and new bikes, but also in the second-hand market. And with that, as the ownership increases, so does the reach of these vehicles in the rural areas. So you're right in saying that expansion of outlet coverage leads to per outlet throughput coming down. But collectively, it goes up because our products become available in the vicinity of these consumers who could be in urban areas, in the new suburbs, which are coming up, or in rural areas.

So the idea is to be present where consumers are. Idea is to easily bring them into our consumer franchise, brand franchise, and make brands and products available at the top end of innovation,

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which is our performance as needed, as well as at a more affordable end of the portfolio where consumers are looking for a good product, which is what we offer. So that's how -- firing on all cylinders is what the plan should be for the time to come.

Ashwini Damani: Sure. Sir, one more question. The stock market today feels that Castrol is in a situation where there is terminal decline in the business because of the onslaught of electric vehicles and the stock prices are also similarly valued. At the same time, you coming from such an illustrious career background and from such an organization as large as HUL, what is your thought process when you join a company, and

I wanted to understand your cycle if -- so that would help us understand that as a senior person, how do you approach Castrol that at this stage of your career coming to a company, which is being considered on a terminal decline?

Kedar Lele: That's a very good question, Ashwini, I must say. And it challenges maybe my decision to have joined Castrol, but I should tell you my induction experience has been incredibly immersive. It's a new category that I have begun to love and understand. And I made this decision with a lot of thought. So I must tell you two things, which are maybe more factual in nature and more macroeconomic.

If you look at today, the vehicle park that we have, look at the vehicle park for 2-wheelers, it's over 240 million vehicles, vehicle park for 4-wheelers is 45 million vehicles. Every year, India sells about 4 million, give or take, cars and about 20 million, 22 million of 2-wheelers. Now the penetration of EVs in that is about 5%, 5.5% for 2-wheelers and 2%, 2.5%, just about for 4-wheelers. India as a country that doesn't have an incentive like China does to drive EV penetration at the same speed because for us, whether it be EV charging batteries or fuel or the crude oil, everything is import at the moment.

So internal benefit as the evolution of vehicle technology changes from ICE to hybrid to EVs, and we will have EVs coming in, in sectors such as -- look at the buses in the towns or cities, look at the 2-wheeler mobility that last-mile users or salesmen and women use, now those are kind of things which should become EV very, very quickly. Rest, I think next 15 to 20 years horizon, ICE engines will continue to remain relevant.

Castrol as a business is also innovating and finding new applications for products in not just the lubricant, but also in different products that we're getting into, which is coolants and transmission liquids and fluids for data centers and so on. So while I appreciate your view on market viewing the business as terminal value zero, there's a lot more, so to say, juice in the lemon to squeeze for the next 2 decades and more. That's how my perspective has been, and we can really create a very different business in the time to come for this brand to keep growing.

Moderator: The next question is from the line of Nitin Tiwari from Philip Capital.

Nitin Tiwari: Sir, my questions basically are related to your raw material costs and gross margins to start with. So your gross margin actually had a very decent expansion on a sequential basis in this quarter, Castrol India Limited
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raw material prices, I mean, were lower on per unit basis. So what led to that? I just wanted to understand that first.

Deepesh Baxi: So for the quarter, compared to sequential, this quarter was a sequential quarter, the main reason is that every year in fourth quarter, we get our rebates, which is on the volumes that we purchase both for local and international. So that is the on-off that is leading to the reduction in the per liter cost of the materials. I mean there are many other factors, of course, it offsets -- there was a forex in time but before we're simplifying the...

Nitin Tiwari: I'm sorry, I missed on that. You said that rebates that you offer, I didn't get that, or debates you are offered.

Deepesh Baxi: Because we have term contracts with suppliers for purchase of raw materials both global and local, at the end of the year, the rebate, which is a slab, that transferred, we will go with it, so our cost of production goes down.

Nitin Tiwari: Okay. Is it right to understand that, I mean, most of the rebates that came in for the year were in the last quarter? That would be the right understanding?

Deepesh Baxi: That is exactly, and it happens every year. So if you compare last year fourth quarter and this year's fourth quarter as well

I, you will find that the count is slightly lower compared to sequential quarters.

Nitin Tiwari: Understood. And secondly, if I were to look at your raw material in terms of breakup between

base oil and additive pricing, so what would be a broad bifurcation in terms of percentages, if specifics are not feasible, between how much would be additives and basically base oil, when I look at it in volume terms in percentages and then in terms of cost, in terms of percentage?

Deepesh Baxi: So I can't give you exact breakdown, but broadly, you will find that 60% to 70% is base oil, 10% to 15% is additive, then 5% to 7% is the cost of packaging material, and then all the other overheads, etcetera, will form the remaining, very high level.

Nitin Tiwari: 60% to 70% is base oil in cost terms?

Deepesh Baxi: In cost terms, yes.

Nitin Tiwari: And in volume terms, how much is base oil in a liter of lubricant?

Deepesh Baxi: What do you mean in volume terms, meaning what's...

Nitin Tiwari: I mean, if I'm looking at the liter of lubricant, so in volume percentage terms, how much of that would be base oil and how much would be additive?

Deepesh Baxi: So look, I mean that's almost a question around what are below material billed is, and that I don't think we will be comfortable sharing with you on that granularity.

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Nitin Tiwari: I mean, that's more of a population question, but that's fine. I mean even a broad percentage would be okay with me, if you can...

Deepesh Baxi: Yes. Look, I mean, it will still follow the similar sort of cost profile. It's not materially way off, if you want to take a ballpark.

Nitin Tiwari: Okay. And secondly, I mean, this would be the last one. How do we account for our inventories? I mean was there any incidence of inventory losses in this quarter because our raw material prices declined? So have we booked any inventory losses as well?

Deepesh Baxi: We do it on a weighted average cost, but there aren't any inventory losses that we're able to share.

Nitin Tiwari: And how many days of inventory do we carry generally?

Deepesh Baxi: So of course, base oil and finished goods, both are different. But on an average, you can take that we are -- we tend between -- so fixed -- so finished goods is much lower, okay? And raw materials is slightly higher because there are imports involved, so there is a lag time. But I would say you can take anything between on an average 30 to 40 days.

Nitin Tiwari: 30 to 40 days combined for both raw material and...

Moderator: Sorry to interrupt you, sir. We request you to please rejoin the queue if you have follow-up questions.

Nitin Tiwari: Sure. I mean it's just continuation of the same question. I understand that I'm not going to ask more than this. So base oil and basically raw material both combined along with final products is 30 to 40 days basically?

Deepesh Baxi: No, so that will be -- yes, I mean, that will be slightly higher, given that we also have additives. So I think base oil -- that's my answer for base oil and finished goods. So there's base oil, finished good, additives, if I put all of that together, that will be about 50 days.

Nitin Tiwari: 50 days, great, great.

Deepesh Baxi: Thank you.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: One question on what are the margin drivers for the upcoming quarter. So what I understood from is that there was a higher rebates, which had benefited the cost, probably that would be absent during the next coming quarter. However, we may see some impact from the depreciation of the rupee, and this could probably be partially offset by the higher volumes, which are typical for the Q1 quarter. So how would we see the net margin moving sequentially in the next quarter?

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Deepesh Baxi: Great question. So one thing, one is the rupee depreciation to a large extent we've -- already, as I was mentioning earlier, we've taken our necessary pricing interventions to cover that, okay?

Every year, our quarter 1 compared to quarter 4, we'll see the cost of materials going slightly up because we take away that underlying rebate impact, yes? So strictly, the comparison will be with previous quarter or as in the previous year quarter 1, in this case quarter 1 2024. All our strategic interventions are firing when it's a good place.

And from that point of view, we do continue to expect that the volume growth will be above the market. And that volume growth once we get the mix right, which is the mix of the portfolio,

which is essential series and our brand, and that I think we are making a lot of interventions in quarter 1 as well.

We believe that the margin profile on an EBITDA level will continue to be in that range of 22% to 25%. I wouldn't comment on the gross profit because as a listed entity, we would like to look at the full P&L as well. We will continue to invest in our brands, very important. We have taken -- and you'll see it in the market as well. We are relaunching our flagship brand Activ, and there is a lot of action on other initiatives that we are taking to help the volume growth as well.

Kirtan Mehta: Right, sir. One follow-up on the same. In terms of the Q1 being a seasonally strong quarter for the market, do we expect our margin to be on the higher end of the range during the quarter on a seasonal trade?

Deepesh Baxi: So again, look, I may sound boring, but I'm going to continue to say that we will see it in the range of 22% to 25%. And let me just explain why we are doing it this way. The reason is the input costs have fluctuated and we've seen this year-on-year. Even if you see the fourth quarter's EBITDA margin that we've had in this year, we are very close to 22% in 1Q.

And as we went along, we were able to take the necessary action to get the volume growth, get the right mix and then navigate through these uncertain times in terms of the geopolitical situation and forex. So that's the reason we need a bit of an elbow room to make sure that we were able to balance the volume and the margin. That's really what our intent is.

One other thing you might want share about our business is, while we have the automotive business, and we also have the retail business, we also have very strong B2B business in industrial business, and some of the interventions around price to get the new customer acquisition, I mean that takes time.

And that's not directly -- you can't start in 1 quarter and finish in the same quarter as well. So that's the reason we are giving a range, and this year is a classic example where we've grown the top line, we've grown gross profit, we've grown PBT, and we have managed to be in the EBITDA margin of 22% to 25%.

Kirtan Mehta: Right, sir. One more question on the volume side. We mentioned that around 4% out of the 6% growth came in from the essential range. Would you also be able to give us some color in terms

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of how the rural expansion is helping us to drive the volume growth? How much would you attribute to our rural expansion?

Deepesh Baxi: Look, I think the rural impact is -- so let me just clarify. Rural, while most of our middle kingdom volume is in rural, not all the rural in middle kingdom, if that makes sense. So in the rural, there is a huge opportunity and requirement from our customers and we will get the right volume -- right mix and right product. So the rural volume growth is much higher, in fact in double digit than what we have done compared to last year.

Moderator: The next question

is from the line of Karthik, an individual investor.

Karthik: This is actually with reference to the last quarter's call. You mentioned about liquid cooling, and you made some strides in the space. I would like to get an update on where this is? Is it picking up in India or abroad? Do you have some use cases that you can share? Any information on this would be useful.

Deepesh Baxi: So I mean, I don't have too much update except for the fact that there is a significant amount of work that is happening and all in the right direction in U.S., in Europe, and we are taking the lead in terms of the data center capacity development. And we know that in India, we could grow double digit in terms of the market of the liquid cooling.

We are, in India, in talks, talking to our customers to both, do a proof of concept and commercial viability of these projects. So a lot of different technologies are currently in progress. So hopefully, I think in the second half of the year, towards the end of the year, we will be able to give you a more concrete answer on where we are and what our road map is for the liquid cooling.

But I must say that there is a lot of work happening globally as well. In fact, in our Patalganga plant, we have set up an R&D center. This is in addition to what global team has set it up at the cost of INR500 crores in U.K. So we are doing that in India as well. So that hopefully gives you an assurance. I think you'll have to just give us some more time, and we'll come back to you in terms of the road map.

Karthik: So based on what you're saying is, you're saying that there is a good amount of promise outside of India, where it has been -- a pilot has been done and looks promising and you want to expand it in India. Can I make that statement? Is that correct?

Deepesh Baxi: No, no. What I'm saying is, the growth is essentially led by global. And there is technology aspect of it. And then there is a commercial viability and testing of the product aspect of it. All

that work is happening in global. We are in conversations with them and with the help of our global, we're doing similar conversations in India. We've now set up something in India as well. And India market, not Castrol India, India market is expected to grow at about 20% on this cooling solutions. That's the frame I would like you to Castrol India Limited
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operate in. And Castrol being a leader in technology, we will play into that aggressively. However, we can't give you exact numbers at this stage.
Moderator: The next question is from the line of Natraj Shankar from DSP Mutual Fund.
Natraj Shankar: I just had a follow-up to Karthik's question earlier. So the road map, you said you will probably share in the Jan call in the previous 2 calls. I just wanted to follow up on that by -- you said in 6 months, probably you'll give some color. Is that understanding correct?
Kedar Lele: Maybe I can take that, Natraj, because I could give you a color from my induction time and some learning as well. See, if you look at the number of data centers that exist across the world, most of them are in the U.S. followed by some in China, Europe and then India is an emerging space. Within the data centers, as you would know, the liquid coolant-based data center is a new technology coming up to manage the thermal management as well as the carbon emissions of data centers, which is now becoming a big area of concern.
Now as we said earlier, Castrol is now leading conversations with multiple partners because a data center has 3 or 4 big partners have to come together. There is server manufacturers, chip manufacturers, tank manufacturers, liquid coolant providers and then a technology integrator. And those are some of the pilots, which have started in India as well.
At this stage, we are not at a freedom

to disclose who these customers are because we are in advanced stages, some of the pilots have succeeded. We are waiting for the next stages of expansion. But as it expands, for India it is good for our business, it's good for data centers. So we will have freedom or rather privilege to announce those as the agreement gets signed in. And before the ink dries on the paper, you would get to hear about it anyway.
Natraj Shankar: Okay. And secondly, on the 240 million 2-wheelers and the 45 million passenger vehicles you spoke about, what would be your aspirational market share, let's say, 3 years hence, from where we stand today? And if you could also give a color on where you stand today? I mean, ballpark aspirational.
Kedar Lele: Yes. I decided when I came into the role that as a matter of principle, I'll not comment on market share because you would know already that Castrol is a market leader across the 3 spaces of commercial vehicles, 2-wheelers as well as cars. Now the aspirational market share is a pipe dream for many people because there are aspects of coverage of Nielsen, where do you pick up the data and so on and so forth. At an overall level, as long as we continue to grow our volumes ahead of the market, we would see our shares would grow.
And that, to me, is a real testimony to our performance in terms of innovations that we will bring to market, which would be in constant currency with engine changes, which are taking place as well as consumer affordability for value and value price equation that we'll offer. So you would see us, in fact, firing on all the cylinders in the time to come.
Moderator: The next question is from the line of Vipulkumar Shah from Sumangal Investment.
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Vipulkumar Shah: So what type of R&D spend we are looking from Castrol in India on data center solutions per annum?
Kedar Lele: Vipul ji, see, the fact is R&D is global in nature for Castrol. And every year, the company spends anywhere between \$250 million to \$350 million, \$400 million on R&D. And given that we have a globally wired organization, all of those innovations come into the country without any delay. So India specifically doesn't need to spend on R&D for data centers.
It's a global project. It has some portions being done in India, some parts being done in Europe, some in the U.S., and then it all comes together. So I think suffice it to say that we will have access to the best and the latest from the day it gets signed off and approved with our vendors and customers.
Vipulkumar Shah: Okay. So can we assume that over the next 2 years, we should be getting sizable revenue from our data center solutions?
Kedar Lele: I think I would have to bring in some more understanding of how data centers would expand in

the country and how would they look at reshaping themselves. Because today, opening up a data center and most of large companies and data centers are doing it, still have to understand how immersive cooling system will work in those data centers. And that's what we are all pushing for. So it's a third degree of impact on our category after data centers start changing their shape and structure. But yes, we will all be hoping for that kind of a change to happen in the environment for us to have another fresh line of business coming to us.

Moderator: The next question is from the line of Rohan Jadhav from Jadhav Family Office.

Rohan Jadhav: Congratulations on a good set of numbers. So I have 3 questions. One is, what would be the advertising expenses during the quarter? And what would be the major activities done in regards to advertising? Secondly, any price hike taken during the quarter and for the year and in which segments? And lastly, what would be your B2C and B2B growth for the quarter?

Deepesh Baxi: Okay. Sure. So in terms

of advertisement, I am going to simplify the definition, advertisement and sales promotion, if I add together, that is in the range of about 8% of our turnover, and that is something that we will continue to do. In fact, we would want to do more as we go forward. As far as price hike is concerned, I assume your question is, did we take any price increase in 2024?

So in 2023 fourth quarter, we took a price increase. And like I was explaining earlier, price increase and price reduction is a matter of strategic pricing, both to cover input costs and inflation as well. So we did take one more price increase in the middle of the year and that's about it.

On B2C and B2B breakup, look, I think you need to first understand the model because B2C is retail and B2B is what to do with a lot of contracts, which we have with OEM and some of the other businesses. I won't be able to share the breakup of both the sectors in the specific terms, but B2C, we grew single digits; and B2B, we grew double digit.

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Moderator: The next question is from the line of Hardik from I CICI Securities.

Hardik: Sir, as you mentioned that going forward, not very nearby, but going forward, there will be some demand that might flow from the EV space as well. So just want to understand any investment, acquisitions we have done or looking for in the battery space or the coolant space, if you can just throw lights on that?

Secondly, you did give the breakup of the segment-wise volume growth. But I just want to understand how the constitute is? For example, the diesel, for the commercial vehicle, if the volume is 70%, 80%. That's how if you can just break up within the segment?

Deepesh Baxi: So on the -- I think the question is more wider in terms of inorganic. So if we work through the capital frame, and this is our projection for the organic capex, which we will grow next year, and our dividend policy and our intent to share the success of our cash generation with our shareholders, if you factor all of that, we will -- in terms of that trade, we will continuously be looking for any inorganic investments.

We did one investment of INR500 crores in the service and maintenance space in key Mobility about 2 years ago. And not only EV, but there are other areas also where we continuously look at the market in terms of scanning and finding opportunity to invest. These are matters of board discussions.

So of course, I cannot share with you, but rest assured, cash is not a constraint. We want to invest in inorganic. And in fact, for a matter of fact, as you must have seen, we have declared a special dividend of INR4.5, which is the highest ever as well, in line with our if we look at distributed cash to our shareholders. So that's on EV. The second question constituent of commercial vehicle purpose. Can you expand what you really meant? I mean commercial vehicles is broadly 40% of our volumes. What constituents were you looking at?

Hardik: Right, so that's what. So basically, commercial vehicle would be a 40% and 2-wheelers, then your passenger vehicles. What's the breakup and the industrial segment?

Deepesh Baxi: So 45% will be the personal mobility, cars and bikes, and the remaining 65% is industrial.

Moderator: The next question is from the line of Gaurav Shah from Harshad Gandhi Securities.

Gaurav Shah: Sir, my question is on the advanced EV and the data center opportunity. So just wanted to reconfirm, so whenever the said opportunity materializes, it's going to be flowing through the listed entity? I just have one question.

Deepesh Baxi: Yes. I think we are actively working on those opportunities, as Kedar had also explained. And currently, I do not have any other ideas in terms of telling you otherwise. So Castrol brand in India is operating through the listed entity. Gaurav,

maybe I'll ask you the question in return. So what was on your mind? What exactly were you looking for?

Gaurav Shah: So whenever the opportunity materializes, in sales, when you start the selling and all that, so it's going to be booked in the listed entity, not in some other unlisted entity, right? So Castrol India listed entity will get all the benefit from that opportunity, right?

Deepesh Baxi: Yes. As long as it's Castrol brand, it will be in Castrol entity. But you know, I mean, these are matters of structuring, right? I mean, it's very difficult for me to say anything on that part. But the intent is that diversification is very much an important pivot of our forward strategy for Castrol, not only in India, but globally as well.

Moderator: Thank you. We are at time. This brings us to the end of the call, ladies and gentlemen. On behalf of Castrol India Limited, I thank you for joining this call. You may now disconnect your lines.

Wish you a good day ahead.

Deepesh Baxi: Thank you.

Kedar Lele: Thank you.

Call: May 2025

castrol.co.in

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5 May 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 1Q FY 2025

Pursuant to Regulation 30 and 46 read with Para A P art A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) R egulations, 2015, the transcript of the audio recording of the Company's post earnings call for 1Q FY 2025 with analysts/investors held on Tuesday, 29 April 2025 i s enclosed. The same is also available on the website of the Company.

The transcript of the audio recording can be access ed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under Investor Call Details --- 2025 --- 1Q FY 2025

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: A/a
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“Castrol India Limited
1Q 2025 Earnings Conference Call ”
29 April 2025

MANAGEMENT : MR. KEDAR LELE – MANAGING DIRECTOR – CASTROL
INDIA LIMITED

Castrol India Limited
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Moderator: Ladies and gentlemen, welcome to our 1Q 2025 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen -only mode and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touch -tone phone to reach the operator.

We have with us Mr. Kedar Lele , Managing Director, Castrol India Limited. I now hand the conference over to Mr. Lele. Thank you, and over to you, sir.

Kedar Lele: Thank you. Namaskar, and good afternoon, everyone. Thank you for participating in Castrol India's First Quarter FY 2025 Earnings Call. I'm happy to reconnect with you all today. In terms of company's performance, we are glad to announce that Castrol India has begun the New Year on a strong note with sound performance. As you might be aware, our reporting follows the January to December calendar year, and hence, this is Q1 for us.

Our relentless efforts towards product and service innovation, expanding distribution and investment in our brand have spurred growth in volume despite the macroeconomic headwinds from input costs and forex volatility. This shows our resilience through different market cycles. Speaking of our financial performance, we released our first quarter FY '25 results on Monday, and I would like to share some key highlights with you.

In 1Q 2025, we reported strong financial performance. Our revenue from operations was INR1,422 crores. This revenue was up 7% year -on-year from INR1,325 crores in 1Q 2024. Profit before tax was INR313 crores, a gain of 7% year -on-year compared to INR292 crores in 1Q '24. And similarly, profit after tax rose to INR233 crores, up 8% from INR216 crores a year ago. The growth in top line reflects our continuous efforts towards enhancing our product portfolio and expanding geographical reach, especially in rural areas.

Improvement in our profits underscores our focus on operational efficiency and cost management, which is a trademark of our resilience through market volatility. I would like to take this opportunity to also highlight the company's initiatives towards strengthening our product portfolio and distribution network and the recognition that our brand continues to gain in the market.

In terms of initiatives for brand building and marketing, we re -launched Castrol Activ with a refreshed pack design and advanced formulation. This was well supported by the Garmi Mein Bhi 3x Protection campaign featuring Shah Rukh Khan. The campaign, in fact, reached more than 220 million consumers across digital, TV and outdoor media.

Our association with Shah Rukh Khan as our brand ambassador has grown stronger after the Castrol EDGE Stay Ahead campaign we did with him in the previous quarters. Our training program for truck drivers known as Sarathi Mitra and mechanics known as Eklavya, also continue to gain further popularity.

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Speaking of expanding our network and market footprint, our pan -India network has now grown to approximately 148,000 outlets during this quarter. And this is ahead of the milestone we had reached in the previous quarter, signifying our continuous expansion of market coverage.

We continue to expand our reach in the rural areas also, as I captured earlier, where we crossed 40,000 workshops and retail outlets. We signed a supply agreement with motorcycle manufacturer, Triumph , for Castrol POWER1, a 2 -wheeler engine oil with full synthetic technology, one of our best offerings for 2 -wheelers.

We made tangible progress in boosting visibility and acquiring new customers in our industrial product range. Our chemical management service, also known as CMS business, saw the addition of a major gearbox manufacturer during this quarter. Moreover, our participation in IMTEX 2

Q25 is expected to spur opportunities from new and existing customers.

Our range of rust prevention products, I generally don't get a chance to talk about it too often, but the focus on industrial business with innovations such as Rustilo DW 800 series, which was launched recently, continues to gain traction in the tube industry and beyond. Our Auto Care products are also witnessing increased adoption across the 60,000-plus outlets and e-commerce platforms.

Moreover, our products aimed at SUVs and commercial vehicles such as Castrol EDGE, MAGNATEC variants and CRB TURBOMAX+ CK4 are also gaining wider adoption. Being among the market leaders, it gives me great pride when our products, facilities and teams do well in accolades and recognition. For example, our Patalganga plant was awarded a gold during the ESG Global Awards for maintaining industry-leading standards in occupational health, safety, sustainability and industrial hygiene.

This comes after the OHSSAI Gold Award and the Golden Peacock Award, which the plant won in the previous quarter. Earlier on, our Paharpur and Silvassa plants also achieved industry recognitions. Two of our product campaigns, very, very proud to share this with you. For example, Castrol EDGE and Castrol CRB TURBOMAX together won 11 medals at EMVIE for their impact in the market.

And 2 of our senior team members, Mr. Rohit Talwar and Ms. Chikita Sobti were recognized on national platforms for their leadership in the fields of marketing and communications, respectively. Overall, we strive to push our boundaries and remain at the forefront of the industry. We have begun the New Year on a strong footing.

Looking ahead, we shall continue to focus on delivering high-quality products and services to the automotive and industrial sectors. Our focus on expanding our footprints in rural India, coupled with innovative services is bearing fruit. This is in line with our strategy to make Castrol more accessible and affordable for consumers through our growing network.

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We are indeed cautiously optimistic about the ongoing fiscal year, and we remain committed to driving growth with execution excellence in all our endeavours. Thank you for your attention. I now invite you to share any questions, feedback or views as we open the floor for discussions.

Moderator: We'll take our first question from CA Shaishav Vora, Financial Adviser.

CA Shaishav Vora: I have got only one question. I just wanted to know if Castrol is developing any product with respect to the data center cooling environment. Do they have any product? And are they working in that area?

Kedar Lele: Okay. Thanks, Mr. Vora, for that question. In fact, in the last quarter's analyst result also this question had come and so is it before that. And you will be happy to know that we have been working already with bunch of data centers across the world where the coolants for immersive cooling as well as direct-to-chip cooling technology has been adopted, developed and now being prospected with large data centers who are moving from ambient cooling to coolant-based cooling of their CPUs and processors.

It's a business which will expand in the future and Castrol with its own range of products is already playing a role in not just partnering these large hyperscalers, but also with data center providers. I'm not at a liberty to express the name of the prospective customers with whom we are working. But in due course of time, as we close those contracts, I'll be very happy to share with you and other people. Thank you very much.

Moderator: We'll take our next question from the line of Nitin Tiwari from PhillipCapital.

Nitin Tiwari: Just wanted some more color and understanding on your volume mix so what was the volume number in this quarter. And you can you provide some more color in terms of a breakup between your automotive

and industrial segments. And also within automotive, if you can help us get some more understanding around what is the volume that is going towards your mid-market segment products and also in the rural areas. So that could be one?

Kedar Lele: Yes, great question, Nitin. So quarter-on-quarter from Q1 2024 to Q1 2025, we have grown volumes by 8% at an overall level. Higher proportion of our volume growth comes from automotive segment because that's almost 85% of our business. But I should first say that all parts of our automotive segment, which is commercial vehicle, cars, 2-wheelers have grown handsomely in this quarter. Volume growth in commercial vehicle has been in double digits. Volume growth in our cars has been in double-digits and volume growth in our 2-wheeler business has been high single digits. Industrial, on the other hand, has also grown in single digits, but that's a business that grows slowly and then builds momentum. Both urban and rural part of our business have shown progress in both volume as well as profitability.

I'm especially delighted about our expansion in rural because at the end of this quarter is also the season of agriculture that starts, and we are continuously expanding our presence in rural

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areas and rural is now contributing to a handsome percentage of our business, and we'll continue to expand there because increasingly, as I said in my last analyst call, more than 50% of 2-wheelers sold in the country now are coming in rural areas.

And we are the market leaders, absolutely market leaders when it comes to 2-wheeler brands that we've got and by a sizable margin, and that's why I'm saying absolute market leaders there. Otherwise, we are market leaders in other 2 spaces also. And that gives us great confidence for not just this quarter, but also for time to come.

Nitin Tiwari: Great. That's really helpful. So if I understood this right, I mean, you mentioned that your automotive segment has really grown very well where you mentioned that cars and -- cars have double-digit growth and 2-wheelers, high single digit and industrial also high single digit. I think that's the right summary, right? And you also mentioned that your rural segment has been growing very well. But any broad -- I mean, like sort of percentage bifurcation we have -- can we have between the urban and the rural sort of demand that we are seeing for our products?

Kedar Lele: See, Nitin, I'll give you a construct instead of absolute numbers. And all of us have been saying that 35% of population stays in urban, 65% of population in rural, more than 50% of 2-wheelers are now being sold in rural, but vehicle park is more urban-centric, right, which is the total number of vehicles that exist in India. We have about 45 million cars. We have 240 million bikes. It's largely urban. Rural expansion for automotive and the lubricant space has only started in the last few years.

So the contribution, if I were to say, will actually make it very, very visible to rest of the world. And I do not want to make that visible at the moment. But suffice it to say that growth has been in double digits expanding very healthily and comes at similar profitability. So we are not on profitability challenge when we go to rural. That's the power of a leaders' distribution strength that we see across the country. So it's a good space to be expanding in, and we are very happy about it.

Moderator: We'll take our next question from the line of Harshit Nagpal from Yes Securities.

Harshit Nagpal: Sir, 2 questions. One on the EBITDA margins that have been slightly lower to our lower band of 22%. Any particular reason for that? And second, more on the fundamental side. So the EV liquid that we have, we have said that we work with the OEMs and everything and all. So is it that -- so how does that work? Is it for a longer period

of time?

Or is it just that when you send for a car for services and the ICE in wheel, the person who's servicing the car changes the liquid? How does that fundamentally work? Just a better understanding on it, if you could give, sir?

Kedar Lele: Okay. All right. First thing first, thank you, Harshit, for the question. I noticed that you do attend our call regularly. The EBITDA margin that you're talking about is, of course, at the lower end of the guidance that we have given for a while now, which is 22% to 24%-odd. This is a quarter

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when I had to take a decision for balancing the volume growth and profitability while also ensuring that a large number of consumers get to see the Shah Rukh Khan's participation with Activ and the expansion that we are doing.

So we advanced -- we invested a bit more fuel for growth that should be advertising and support or promotion budget that we have, and that has helped us gain that momentum. So -- and did we -- could we do a little better? We could, but this is the right time to invest ahead of the time so that rest of the year, we get the benefit of that momentum.

Second comparison that we should always do is not quarter-on-quarter, Q4 to Q1 for calendar year, but year-on-year between Q1 last year to Q1 this year. So when you look at that number, our PAT growth is 8% between the Q1 of last year versus this. And that's very, very healthy because Q4, people -- all of you as analysts with a sharp eye know that for last 2 years, Q4 happens to be a quarter when our profitability expands due to the volume benefit that we get from our large global suppliers of volume material that we purchase.

And because of the IFRS principles, we have to budget all of that in that quarter. So it creates some amount of volatility in comparison between quarter-on-quarter. But once all of us get used to it, you will start seeing it. So Q4 tends to be higher profitability with like-for-like business and Q1 over Q1 is a true comparison of performance, which, in my opinion, this quarter has been very good with 8%, 7%, 8% - 8% volumes, 7% top line, 8% PAT.

So that's the detail and the color for your question on EBITDA. See, when the EVs come alive, now I don't know if you do own an EV, EVs don't have an engine. EVs have a motor. They have

a transmission box and 4 wheels and a steering and of course, the electronic components. So the amount of fluid that can go into an EV is actually limited to transmission fluids, some greases and of course, the coolant that we are able to put on to the new high -powered batteries which come in.

Now these products do not require frequent replacement or change. These products last longer. And then you have to change them only during the long service interval when there is a requirement of a change in transmission fluid or a battery damage or whatever else. Now it is important and relevant for any of the leader like Castrol to stay relevant with the change that's taking place. So whether it's in business models or in terms of products that we service to these new-age vehicles.

Now before the EV revolution, always remember that internal combustion engine itself is going through a change. So Japanese OEMs favor a hybrid car, which is both gasoline and battery, and we are relevant there, very, very relevant. It works. There's another thing which is coming, which is ICE hydrogen, which is also a big on in Indian government's agenda. And in those vehicles also, we are very relevant.

So this space is going to be quite complex and interesting. And hence, as I keep saying, what is important and required, essential for us is to really perform while transforming the business for Castrol India Limited

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the future. And those are both, so to say, dimensions or vectors on which we are working continuously. Does that help, Harsh

it?

Harshit Nagpal : Yes, yes. Sir, one more question, if I could squeeze in. Could you give the million liter volume number for this season -- this quarter ?

Kedar Lele: No, no, I will because those are in public space. So we delivered over 63 million liters of volume in this quarter.

Moderator: We'll take our next question from the line of Apurva from BugleRock.

Apurva: Yes. So I just wanted your perspective from a medium to long term on the industrial part of the business, right? You spoke about initially, it would be a little steady growth, then it will maybe gain traction. If you could just give some -- what are we doing in terms of strategy? And how are we going about and where do we see the business over the next 3 to 5 years, I mean, as a part of the entire portfolio, sir that would be helpful.

Kedar Lele: Okay. Right. Thanks, Apurva. That's a great question because I also generally believe that the industrial growth in India will see a huge upside in the time to come. And with that, a large lubricant player like ourselves should get our industrial strategy and portfolio right. So that's exactly what we're doing. Now industrial lubricants is a very large set of products. And if I were to define them for you, it has general industrial oil.

It has products like treating fluids, cutting oils, rust preventers, forming oils and so on and so forth, right? And we are a large player when it comes to rust preventers as well as metalworking fluids. Hydraulic fluids, industrial, general fluids or general industrial tend to be low -margin, high-volume products. And that's where some of the large national oil companies play a more key role because they also create a more sticky solution for industries offering fuel, which could be diesel, petrol, gas and along with that lubricant.

Now we have to play the role of being a specialist high -quality specific industries that require our products. For example, I spoke about rust preventers for tube industry or I spoke about the chemical management solution that we can offer to chemical industries or industries like steel and cement in the future. We are big on not just automotive components, but also in metalworking industry.

That's why we participated in IMTEX. And in the future, the electronics industry that expands in India, we are seeing electronics manufacturing coming in here, will also require specific fluids, which is what we make. So this part of the business has been -- has not been very large. It's about 12%, 15% of our business, and it will grow over a period of time because industries are tough customers who require long -term testing to begin with.

And that post testing, once they switch, then they stay with you for a long period. And that's exactly what our strategy is, create products which are high -quality, technologically advanced, Castrol India Limited

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work with a large number of prospects, offering the trials, technology support and then convert them into the customer base that we can then grow over a period of time.

So that's the strategy, Apurva. And I'm very enthused about what we would be doing because

we have a dedicated team led by a leader for industries, very well supported by the technical team here and R&D team, not just here, but also in UK and Germany. So that's the plan, and we are here to stay and expand industrial business.

Apurva: Sure. Just a follow-up on this. In terms of addressable TAM, there are many segments in the industrial, which we spoke about, right? What are the -- what is the addressable market that we are focusing on? Just as a ballpark, I know it would be a bit -- since we are not doing the hydraulics and which are the volume products, but what is the TAM size that we would look to address in the future, maybe not now, maybe 3 to 5 years?

And in terms of margins since industrial customers, right, difficult to break in, but

that are the

margins -- just some color on that.

Kedar Lele: Yes. Some color I can certainly offer. See, as you -- I think Apurva, you seem to be an analyst of the segment, so you know what we are talking about. Industrial oils and fluids tend to be a very large market. And if you were to think about the millions of dealers that it runs into, the relevant TAM for us will be about 30% of that volume. And that 30% volume also gets chosen because of its healthy gross margin that a partner or a supplier like us can make.

It tends to be lower margin business than automotive. But remember, it does not have the advertising and support spends of our consumer business, aftermarket business that we do. So all of that margin typically ends up coming into -- more of that margin ends up coming into EBITDA. So it's a sustainable business.

Sustainability of that business is very comparable to our overall business where we talk about 22% to 25% EBITDA as the principle with which we have been operating in the past. So I don't see a reason why we should not be growing industrial because it is healthy. It is consistent long-term partnership, and it is technologically advanced.

So that once you get in and start working with a customer, you actually develop long-term partnerships. So that's the way forward.

Apurva: So if I can just summarize, 30% of the addressable overall industrial TAM that we are looking to gross margins and EBITDA margins is not similar, but a little in the ballpark range of the automobiles. Is that the right way to look at it, right?

Kedar Lele: I would say that because you're talking 3 to 5 years that would be very true.

Apurva: Yes, yes, okay. And the pickup you see maybe generally, what is the customer cycle if you start testing now, how much time does it take for you to onboard a new industrial client and so that it becomes sticky. Just trying to understand the cycle, yes. So that would be my last.

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Kedar Lele: That's the third question, Apurva, but I will still answer and then we will go off this conversation. It does take time. Some customers convert in 4 weeks, some take about 6 months. But the average, in my opinion, is about 8 to 12 week cycle time.

Apurva: 8 to 12 weeks. Okay. So in that cycle, we should see maybe next 1, 1.5 years some progress on that -- yes. Okay.

Moderator: We'll take our next question from the line of Nishant Chowhan from Geojit.

Nishant Chowhan : Yes. First question would be, recently, we've seen a sharp correction in crude oil prices. So could you just help me understand any impact of the same on our financials?

Kedar Lele: Okay. Do you have a follow-up question also on that?

Nishant Chowhan : Yes. The second question would be a little to do with the data center piece that you mentioned. I mean it was interesting to hear about the same. So if you can just share some more data like what percentage of revenues it currently forms for us? And what is the TAM that we could possibly see in this segment? That's it.

Kedar Lele: Okay. So first thing first, Nishant and all other listeners, we keep talking about the fact that while base oils are made out of crude oil, the correlation between the prices of crude oil to base oil is very low. We don't see high correlation between the spot prices or the monthly prices of crude oil to base oil. It's because of several reasons. One is base oil refineries are limited in number across the world.

And they also have a forward stock of 2.5 to 3 months. So depending on the crude oil availability and the projection of prices is how refineries decide at what price would the base oil be sold in the quarter in the future. So the probability of crude oil prices being low is high. We are seeing that the crude oil projections in this year will be under \$70 a barrel. With that, we should be able to project a number, though with low

correlation of base oil pricing also.

So when we run those models for next 3 to 4 quarters, I see that our net prices landed in India will be more or less similar and range bound as it was last year. So last year also, the crude was not at \$80. This year also, while crude went to \$65, it's in range bound between \$68 to \$70, so

not very different. However, what you might have also seen is the forex impact. Last year, when it was a landed price INR2 a liter higher in the base is actually getting affected by forex, which is now INR2 to INR3 more expensive. So net-net, if I look at next 2 to 3 quarters, as I stand today, it looks like our total COGS will be range bound and will not be very different as far as base oil is concerned. But remember, base oil makes 50%, 60% of the COGS. There are also additives. There are also the cost of conversion and other things which go into making lubricants available in the market. So base oil answer, range bound with forex headwind should look more or less similar to what it was last year. So that's the -- so I'm not being excited too much with crude oil

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actually going down and profitability being jacked up because of the base oil being low correlation to that. So that I hope explains to everyone also because it's a very frequently asked question by everyone. Now coming to data center piece, it's a classic example of future being bright for a product which today is -- has been developed and is being prospected up on. Now if you are talking only India, you would know better than I that the number of data centers in India are run by 4 or 5 large companies, right, which are of repute. And as the data centers requirement in terms of processing power goes up, the heat that these processing generates, for example, last couple of weeks, all of us were trying to convert our pictures into something which is inspired by the Japanese cartoon, if you remember. We are seeing a lot of profile pictures coming out of that. That picture when it gets created actually generates tremendous amount of heat on the server or the processor that's making it. How do you control that heat? Today, it's done through air conditioners. Tomorrow, that heat is so high that air conditioners will be ineffective and you'll have to dip those processors and CPUs into coolants, which are nothing but oil coolants. It is similar to a 2-wheeler being air cooled and a 4-wheeler being oil cooled. So it's the same thinking just that a new way of running data centers will be required. So in the future, when you walk into data centers, you will see large containers and tubs filled with coolants in which the processors will be fully dipped, and you will see them inside the oil. And that, of course, will do heat management. That is the technology. Now this requires not just the civil work, but hyperscalers so to work with, people who design those tubs, people like us to design those coolants and people like the hardware manufacturers like Dell and HP and others who do those machines which can remain safe dipped in oil. All of this is happening at a good speed across the world. Today, those numbers in our P&L are negligible. But 10 years from now, would they be significant? The answer is yes. Would that be a new segment where we have not operated? The answer is yes. Would that be profitable? Surely. Are we doing everything to get there? For sure, 100%. So the point being made is, this -- these are areas which will transform the business. We have to be ready with technological understanding, innovation, route to market and the design thinking in order to be growing our business in sectors which are going to emerge in the time to come. And that's the journey, Nishant, if I'm able to explain. Moderator: We'll take our next question from the line of Abinash S from NAFA AMC.

Abinash S: So I have 2 questions

. So this quarter, I noticed that your other cost expenses as -- on a year-on-year basis as well as on a quarter-on-quarter basis is roughly about INR40 crores, INR45 crores

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than the usual range of, say, INR250 crores to INR260-odd crores. So what is the reason for that? That's number one. Number two, the global parent has announced a strategic review of Castrol business. So is there any preliminary discussions or directives from BP PLC to the Indian operations? So if you could just throw some light on it that will be great? Kedar Lele: Thanks, Abinash. Let me answer your second question first, right? So BP announced the strategic review of its Castrol business globally with the intention of accelerating Castrol's next phase of value delivery. It is very clear that BP would want to unlock value out of Castrol and Castrol itself has significant growth ambitions, which includes growing our core mobility business, expanding our participation in industrial lubricants that I just spoke about and also enhancing our mobility services and diversifying into central or data center fluids, right? Now this proposed strategic review will consider all options with, as I said, the focus would be

on value creation. Now if you ask me personally, is this a good opportunity for Castrol to determine how we can become more effective and innovative business partner? Surely, it is. Because history of Castrol is 125 -year-old, out of which last 25 years is the time when Castrol as a brand has been with BP.

Now we do aim to ensure that any outcome of this strategic review will help us continue to accelerate these growth ambitions and unlock more collaboration opportunities with our partners. Now it is true for Castrol globally. It is true for Castrol in country in India as well. Now coming to your question on our costs, right? And you've already done the P&L analysis. So thank you for that, and I appreciate your efforts.

There are 2 heads in which our costs this quarter have been higher than the last year. We spent about INR18 crores more in ASP, which is called advertising, digital and mechanic activation. And that INR18 crores more is a sizable sum of money. We made a decision that this is the right time to invest because we got Shah Rukh Khan onboard, new campaign was being unleashed. I hope you managed to see that campaign where Shah Rukh Khan plays a police officer chasing 2 robbers on a summer afternoon in Rajasthan and his bike, of course, driven by Garma Mein Bhi 3x Protection proposition actually continues, and he is managing to catch those thieves. And that's a proposition landing in a very interesting manner in our storytelling. So we supported that.

And second is what you would remember as what we call as JBR, which is joint business royalty. And since the time my predecessor, Sandeep, started this partnership with OEMs, deeper partnership, and I have simply decided to expand that further. And our partnership with OEMs is such that our business in B2B, which is OEM related has also grown well.

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And for that, we have shelved out close to INR14 crores more in those royalties to our partners. And those 2 put together come to INR44 crores of additional cost that you are seeing in the overheads. Does that answer your question, Abinash?

Abinash S: Yes, sir, it does.

Moderator: We'll take our next question from the line of Rohit Maheshwari from Tata AIG.

Rohit Maheshwari: Sir, with 2 -wheeler EV...

Moderator: Rohit, we can't hear you clearly. Can you use your handset mode, please?

Rohit Maheshwari: Sir, as 2 -wheeler EV penetration is expected to increase like from 4%, 5% to currently -- to 23% over the next 5 -odd years. Can you give some color how this is going to impact Castrol?

Kedar Lele: Okay. Rohit, the straight answer to that is we

-- all of us get excited about the in -year number, but the lubricants are being used by the full park. The park is the number of 2 -wheelers that India has which is close to 240 million. Every year, India has 2 3 million to 24 million 2 -wheelers getting sold. That's what gets sold. Some go into replacement, some go into new. So you can assume that about 60%, 70% of them get added to the park.

Now today, we are seeing only about 5% of that number, right, of 23 million, 24 million, which is about 1 million -odd EV, 2 -wheelers getting sold. Over a period of time, in by 2030, my expectation is if government supports it and the EV charging infrastructure at home also grows and they become more safe to ride on, you should see about 30%, as you rightly said, of the numbers getting sold becoming E V, which means of the park, that number will still be less than 10%.

So 5 to 8 years, hence, the total market for 2 -wheeler lubricant, which would have grown by then, will see a 10% correction in total volume requirement. So we are actually talking about if the growth of 8% every year in the park with new vehicles for next 7 to 8 years, gets us to a number. And all of us know the rule of 72. So in 9 years' time, this park will double. And at that stage, about 10% of that park will become EV. That's the macro factors which are operating here.

Now what will be the impact on Castrol? As you know, Castrol is the market leader for 2 -wheeler lubricant. We have brands like POWER1, Activ , ESSENTIAL. And all of this put together, I believe, as per external data, we have a one-fourth of this business. Fortunately, for us and bad news for others, we also play in EV fluids, including, as I said, the coolant as well as transmission fluid.

So you will see we will see some impact on our volumes in those days and that period. And we will have to replace that with the fluids which are relevant for EVs. But at an overall level, for next 8 to 10 years, I see the growth in ICE -based 2 -wheelers actually fuelling our overall

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continued growth of 7% to 8% as the industry or the -- as the park size of the 2 -wheeler grows. That's the big story for me here.

Rohit Maheshwari: Okay. Sir, second question is related to if I see 8% volume growth Y -o-Y, can you help like understand -- like help us understanding that how much was from ESSENTIAL? Because when I see the volume, the volume has been growing for the last -- if you take in the last 15 to 24 quarters, the volume is growing like very healthy volume growth is there.

And I guess on the ESSENTIAL part, as per my understanding, you Castrol will be outperforming the industry growth. So if you can dissect that 8% from ESSENTIAL, how much? That will be very helpful.

Kedar Lele: Okay. So good, I think right in the beginning, Harshit also asked this question, maybe Nitin asked this question, so I can repeat that and also give you a sense of ESSENTIAL. First is this 8% growth in volume is fuelled by holistic growth that we have seen in commercial vehicles, in cars and in 2 -wheelers. And as I said, our commercial vehicles and cars have been in double digits. Our volume growth in 2 -wheel ers has been high single digit.

Having said that, why did we launch ESSENTIAL? And I have to keep talking about it because it does make sense for our kind of industry and our kind of segment. ESSENTIAL is Castrol's answer to a large -- many of the market, the center of this business wher e consumers do want a more high -quality, acceptable quality oil at affordable prices.

And Castrol has been a premium oil manufacturer and marketer across the world for 125 years. So now in India, with Bharat's strategy, we decided that we must get ESSENTIAL in. And by getting ESSENTIAL, we have begun to expand operations both in terms of av ailability and in terms of applicability.

Now because we do not give specific s

egment -wise contribution of our products because then it becomes pretty visible to everyone, suffice it to say that it has allowed us to grow our consumer franchise by a sizable number. Now many people believe that rural India buys only low -quality, low-priced products. That's not true. Rural India actually buys high -performance good products, which offer good value.

And hence, in our rural India expansion, we have been able to prove and see that both high -end Activ POWER1 as well as ESSENTIAL has started growing. What ESSENTIAL has essentially done for us is to make Castrol more relevant for a wider range of people wh o aspire to buy Castrol but couldn't afford it earlier.

Now that is available at a low price premium, and hence, that is fuelling our growth ambition.

But I can only tell you that our premium variants are also growing very, very well. And all of this growth is not coming from ESSENTIAL. If your concern was about profitability of the business that we have been able to maintain well.

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Rohit Maheshwari: Okay, okay. Sir, the last question is, can you give some color on the Auto Care part, like what will be as a percentage of sales today? And how do you see next 5 years? Does this -- will have a meaningful contribution? And the Auto Care business is a margin dilutive or margin accretive business for Castrol?

Kedar Lele: Great question, Rohit. And while I do want to keep the answers limited to only the products that we sell, the question I do ask is, I hope some of you have started taking care of your vehicles beyond just putting fuel and lubricants. And when that changes, a large market will emerge. It's already a INR2,500 crore s market in India of Auto Care products which include chain lubes, chain care products or shining products.

We've got some -- a cloth for the bike as well as all -- it's called multi -use rust preventive and rust addre ssal spray. All of these products are actually very good expansion for Castrol. Why?

Two reasons. One, it gives our consumers opportunity to interact with our brand more often than their lube change frequency. So it makes brand interaction more frequent, number one.

Number two, because it's a product which actually commands premium, its P&L will be very healthy and accretive to our overall business. Third, this business is not a business of liters. This is a business of units. As of today, it's available in about 60,0 00 outlets. It's growing in high double -digits.

You can also buy it online with Amazon and others. And it will be almost like an FMCG product, which gets bought more often and by more people. So -- and we are in the seeding stage. And at some point in time, towards next year is when I'm thinking I'll br ing these numbers in light for everyone to see once I've established this business at scale.

Rohit Maheshwari: Okay. Just to clarify, you said this Auto Care market is overall INR2,500 crores in India, correct?

Kedar Lele: Correct. In MRP terms, yes. That's our estimate because no clear numbers from industry body is available. And most of that market tends to be unbranded.

Moderator: Thank you. Ladies and gentlemen, while we do have more questions, we have run out of time. On behalf of Castrol India Limited, I thank you for joining this call. You may now disconnect your lines. We wish you a good day ahead.

Call: Aug 2025

castrol.co.in

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11 August 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 2Q FY 2025

Pursuant to Regulation 30 and 46 read with Para A Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , the transcript of the audio recording of the Company's post earnings call for 2Q FY 202 5 with analysts/investors held on Wednesday , 6 August 2025 is enclosed. The same is also available on the website of the Company .

The transcript of the audio recording can be accessed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under Investor Call Details --- 2025 --- 2Q FY 202 5

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: A/a
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“Castrol India Limited
2Q & 1H Earnings Conference Call”
6 August 2025

MANAGEMENT : MR. KEDAR LELE – MANAGING DIRECTOR – CASTROL
INDIA LIMITED
MS. MRINALINI SRINIVASAN – CHIEF FINANCIAL
OFFICER – CASTROL INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our 2Q and 1H Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen -only mode and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator. Please note that this call is being recorded.

Also, please note that this conference call may contain certain forward -looking statements, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

We have with us today Mr. Kedar Lele, Managing Director, Castrol India Limited; and Ms. Mrinalini Srinivasan, Chief Financial Officer, Castrol India Limited.

I now hand the conference over to Mr. Lele for his opening remarks. Thank you, and over to you, sir.

Kedar Lele: Good afternoon and Namaskar to everyone. Welcome to Castrol India's Second Quarter and First Half Analyst Call for 2025. Thank you very much for joining us today. As you might already be aware, our reporting follows the Jan to December calendar year, and hence, it is the first half and Q2.

But before we start, I'm happy to introduce Ms. Srinivasan to you today. She is our CFO, who has been on Board for over a week now, and she comes to us with over 17 years of experience at P&G India, where she held a range of finance leadership roles across business units and geographies, including Asia, the Middle East and Africa.

Welcome, Mrinalini, and could you introduce yourself?

Mrinalini Srinivasan: Thank you, Kedar. Hi, everyone. I'm very excited to be here. My first week has been a very warm and welcoming week indeed. In my last role, I served as the Chief Financial Officer for Procter & Gamble Hygiene and Health Care Company, and I was also the Group Controller for P&G Group in India.

I look forward to interacting with all of you over the due course. Back to you, Kedar.

Kedar Lele: Thanks, Mrinalini. Welcome once again. That said, let's get into the Castrol India's performance in the 2Q and first half of 2025. We are happy to announce that we have continued our momentum from the beginning of the year into the second quarter with healthy performance.

Our continued focus on innovation across products and services, broadening our distribution footprint and investment in our brands has really translated into growth in volumes despite the macroeconomic challenges and volatilities that you all know. This demonstrates the company's resilience and diverse portfolio that helps us navigate these various market cycles.

Some key points. Revenue from operations from the second quarter '25 grew 7% year -on-year to INR1,497 crores. EBITDA stood at INR349 crores, representing a growth of 8%. PAT in this

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quarter increased 5% year -on-year, coming in at INR244 crores. And these numbers translate to half year in this manner that the revenue for the first half of the year also grew 7% to INR2,919 crores.

EBITDA stands at INR657 crores, up 7%. PAT grew at 6.5% and stood at INR477 crores.

Additionally, delighted that Board has recommended an interim dividend of INR3.50, INR3.5 per share, subject to shareholders' approval.

The growth in top line is primarily being driven by our expanding reach across rural markets and our increasing presence in industrial segment. This was further supported by strengthening associations with OEMs.

Our disciplined expense management and operational efficiencies helped maintain margins, which reflect our ability to execute growth strategies without compromising on profitability

despite headwinds from input cost volatility and, of course,

the competitive market.

Overall, our strategic focus is on bolstering our product portfolio as well as distribution network and developing end-to-end solutions that combine service delivery with product sales. Aligned with the Viksit Bharat goals, the industrial segment is a major focus area for us, and it is seeing a robust double-digit growth for the company.

We have been able to establish strong customer relations and acquisitions through value-led engagement. We brought our globally acclaimed metalworking fluids Hysol MB 50 and Hysol 20 XBB range to the Indian market through local production. This would enable faster delivery and superior value creation.

Product launches such as Rustilo and Hysol serve now more than 100 customers across automotive, tube, bearings and metal manufacturing sectors. Our chemical management services, what is called as CMS, offering is gaining strong momentum, is now operational at multiple sites, and this model goes beyond selling lubes and chemicals.

We take end-to-end responsibility across the chemical life cycle, delivering efficiency, compliance and value to our customers. This value-added service is being received very well amongst the customers.

Now let me touch upon our Bharat portfolio. Our Bharat strategy that we've been talking about for the last few quarters is serving well because in this strategy, we laid out 2 pillars. One is to make our brand and our product more relevant for the belly of the market. So larger consumer franchise gets exposed to Castrol brand and then taking the brand to a wider distribution network to rest of the country. So, it means the more Mofussil towns of India as well as in rural areas. We've also digitized our distributor management system to the next level across our distributors as well as rural Castrol sub-distributors who help us deliver this reach consistently. Let me also talk about widening our market access through our multichannel approach. You would remember, I kept talking about over 140,000 outlets in the past.

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Now we are present in over 160,000 outlets, including 32,000 plus bike points, over 11,000 multi-brand car workshops and a wider dealer network. We continue to expand our Castrol auto service network to offer reliable services in the aftermarket.

At present, we support over 730 workshops in over 340 cities. Our entire Auto Care product range and Auto Care product range includes shiners, sponges, cloths and so on are now available across e-commerce, modern trade and over 50,000 outlets in India.

Volume growth has been seen across segments with steady volume performance in core sectors or core categories where we have either maintained or expanded our market share. Our overall market share stands at over 20% and the key growth categories included commercial vehicles, specialties, bikes, cars, auto care products, B2B and especially industrial, where we have now seen consistent growth for 9 quarters and Q2 growth in industrial being at 13%.

We are looking at building Castrol into a service-led digitally enabled mobility brand because we continue to leverage tech for both customer convenience and mechanic empowerment. Very, very important and relevant is the flagship mechanic Connect app called Fast Scan, which is being used by over 1 million mechanics in India.

And on many days in this quarter, over 200,000 transactions were recorded by these mechanics who are our big advocates in the market. We upgraded our distributor management system to enhance agility and transparency across channels. And we also advanced our OEM relationships, sustainability and circularity agenda being the core.

We are the first, in my opinion, a large lubricant manufacturer who have been able to not just develop but commercially produce first-of-its-kind RRBO-based engine oils for BS-IV vehicles. And this we

have done in partnership with a leading OEM, and it will keep growing with more partners coming in to develop circular and redefining ecosystem.

In terms of initiatives towards our brand and consumer connect, we concluded our Castrol Activ Relaunch campaign. You remember, I spoke about it with SRK, Garma Mein Bhi 3X Protection that more than 250 million consumers in mass media.

And our brand-building initiatives have continued this quarter with our participation in NATRAX and Valley Run 2025, where Castrol EDGE powered the 300KMPH club of super cars, reaching about 3 million biking and racing enthusiasts at an overall level.

We've always taken pride in being at the forefront of cultivating industry-leading norms. And consequently, we are well recognized for upholding these high standards. Our Patalganga plant has received the Golden Peacock Award for occupational health and safety.

In fact, Patalganga plant was last time. This time, our Silvassa plant has received the Golden

Peacock Award correction there, but it tells you that consistently, our plants keep receiving awards for being best on quality or safety.

Last but not least, I should also talk about our annual report, which all of you did appreciate and did take a look at. Last year's annual report won Platinum at the LACP Spotlight Awards. All

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these initiatives support our strategy that revolves around our core strength, Castrol's brand value and the way the industry is evolving in general.

We expect robust growth coming in from our industrial segment, supported by our rural outreach that I spoke about. Performance in the first half of the year gives an optimistic indication for the full year. Looking ahead, our focus shall remain on delivering high-quality products and services to the automotive and industrial sectors.

Our expanding network is really a testament to Castrol becoming more and more accessible and affordable for consumers through the length and breadth of our country. Our overarching strategy is to leverage the opportunities in industrial Bharat and service-driven delivery, which we are confident, will build sustainable value over the longer term. That's all that I would like to update you about at this.

Thank you for your attention. We now invite you to share any questions, feedback or views as we open the floor for discussions. Thank you.

Moderator: Thank you. We will now begin the question and answer session. We take our first question from the line of Nitin Tiwari from PhillipCapital India.

Nitin Tiwari: I have two questions. The first is around your volumes. So, if you can give us the volume number for the quarter and provide some more color on how the different segments have grown in this quarter in terms of automotive, non - automotive I understand that you gave a broad overview in your initial comments, but some more details would be appreciated? That is one. And I'll ask my second after that?

Moderator: Nitin, can you please mute your line? There's some background disturbance on your connection.

Nitin Tiwari: Yes, sure.

Kedar Lele: Nitin. As you remember, I spoke about it last time also, our overall growth has been at 8%. And to give a little more color to how each of the segments have grown, our bikes and cars have been in high single digits. Our CBO has been at 8% again, and our industrial has been at 13%. And with that, we've been able to get to the overall number being at 8%.

And you were also interested last time in rural and this time as well, the rural has continued to grow at 12%. So with 2 of the speedboats in rural and industrial and with high single digit in automotive, we've been able to deliver an 8% volume growth.

Nitin Tiwari: So, 8% overall volume growth on a Y-o-Y basis, right? That's what you mentioned. So are we looking at roughly about 66 million liters of oil? That's the right

number.

Kedar Lele: That's correct. Absolutely right.

Nitin Tiwari: Yes. Okay. Great. My second question is around the media news, which was around like carving out of Castrol by BP and divestment in Castrol. So just wanted to understand that what part of Castrol Global's business is Castrol India in terms of volume and profitability? And what is the update on that front, if any?

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Kedar Lele: Okay. See, Nitin, at an overall level, we do about a little over 10% of the volume of global Castrol and a little better than that in terms of profitability because our business is structured around 2-wheelers and cars, which is really more profitable part of the business versus the average trucks and the average profitability that you see in the segment. And hence, our profitability is a little better than the 10% or thereabouts for the global.

So it is indeed a very important part of Castrol Global being in South Asia and being in India.

And we are also the listed entity. Now BP's decision to carve out Castrol is driven by the global compulsion that a large oil and gas major faces. And it is, the global CEO of BP has said this that they would want to retire the debt and they see in Castrol a good asset that can be monetized.

We do believe that it is good for BP, and it is good for Castrol because Castrol has significant growth ambitions, including growing our core mobility business, expanding our participation in industrial lubricants and of course, enhancing our mobility services and diversifying into data center fluids.

All of these businesses are different from the oil and gas business. And with this, there will be a focus on value creation for Castrol. And hence, it's a good opportunity for the business to become

more effective and innovative. So, I have only that much information as it becomes visible, the stock market and you'll be the first person to get to know about it.

Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Service.

Sabri Hazarika: Congratulations on a good set of numbers. So, I have two questions. First question is, you have mentioned that you've grown almost like 13% in the Industrial segment. But at the same time, your margins have also held up quite well despite the view that industrial generally has got lower margins.

So, can you throw some light on the industrial segment right now, what kind of like oils you are selling and if you're getting some sort of like premium pricing for that? Because in the past, you have mentioned that metal cutting, and all these are like higher-margin products even in the industrial category. So, can you throw some more light on this?

Kedar Lele: Okay. And is the other question, Sabri?

Sabri Hazarika: The second question is now that you are growing at, say, around 7%, 8%, what is the overall, it's a sectoral question, overall growth in the, on the lubricant segment as a whole? And are you gaining market share rapidly in this current scenario?

Kedar Lele: So let me answer the second question first. That's an easier one and everyone knows those numbers. If you see the automotive lubricant space as per Nielsen or some of the other rating agencies who do the audit, is expected to be in the range of 3.5% to 4.5 %. That's the kind of volume growth that we've been seeing. For that, if we are growing by 8% at an overall level, of course, we are gaining shares.

So, our share growth YTD has been about 40 bps. And it's lower than what I would have expected because sometimes the audit agencies don't pick up all of your growth. It's a lagging

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indicator of your growth, and we'll see that in time to come. And hence, with 7%, 8% volume growth, I think we are well placed to keep gaining share despite being a market leader. So that's the first part or

the second part of your question.

First part of your question is really interesting. And I'm really happy, Mr. Hazarika, that you kept a track on industrial being a lower margin segment. And while we are celebrating double-digit growth on that, yet we have been able to deliver profitability. So, it comes with the destiny of being able to manage different levers of the business and then using the benign environment that we have had on the product cost side and, of course, some amount of localization.

So what we used to produce in India in the past versus what we are doing now for industrial is a different ball game because we've been able to localize, as I said in my opening remarks, some of the high-margin products being produced in our own factories and focus has been on offering CMS, which is Chemical Management Services, which are high value, high return and great amount of dependability that customers have on our teams.

That and expansion into sectors which are showing great promise in India includes from electronics, manufacturing, to aeronautical, is what has been our focus. Now as this part of the business grows, would our margin delivery suffer or would take a bit of a hit?

Answer is yes. But I want to operate between a guiding range of 21% to 24%, and we are at the upper end of that guiding range at the moment. And if we operate within that, I think we'll still be a fantastic stock in the company to look out for.

Moderator: Next question is from the line of Dhaval Popat from Choice International Limited.

Dhaval Popat: Congratulations on the great set of results. I have a question regarding now that the new management has taken over the company. I understand that Castrol uses strategic pricing, is a forward-looking pricing. That is what the previous CFO said and has done. So, I want to understand further color on the pricing strategy for the automotive lubricants. I understand you've already explained for industrials? That's my first question.

Kedar Lele: Okay. Do you have other questions as well, Mr. Dhaval?

Dhaval Popat: So the other question, I actually have 2, but I'll restrict to only one. In the previous conference call, you did guide about the 7 to 8 tests that you are doing for the data centers or lubricants for the data centers. I wanted to understand if there is any further development as well as how do you see the overall volumes in this space, if you can provide a color on that?

Kedar Lele: Yes. Okay. So strategic pricing that Dipesh would have spoken about in the past is really strategic pricing, which means that Castrol lubricants will continue to command a premium for the quality that we offer and for the brand promise that it comes with.

So even in automotive space, the close watchers would have realized that we have taken pricing in the first half of this year, whether it is on Activ or some of our passenger car lubricants or even part of our commercial lubricants.

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So whenever we have been able to launch an innovation, which comes with additional features, we've been able to take a little bit of a pricing on with that. So that has really worked, and that will continue to be our strategic decision and pricing strategy.

Second is the data center. As I said last time, and let me reinforce that data center testing are quite rigorous, and they go on for a few months. So, and I had mentioned that we have been working with a couple of data center hyperscalers and that partnership continues and the testing is on.

And this is, somebody who can do simple arithmetic could actually decide that if 10% of data centers in India were to become coolant, so you can do 2 ways. I should talk about that again, that you can do direct cooling of the chip through a coolant so that the pipes connect to the processors or you can dip all the processors into a coolant tub and you can cool it.

Depending on which method is chosen, a different volume of coolant will be required.

Would we make enough margin on that? Globally, coolants make over \$1 per liter kind of a margin. So that's just a number that I'm giving you from U.S. or European market. So, if the number runs in a few million liters with 10 million or 10% of data center shifting, then that would be the kind of number that you could get to.

But those are numbers that will start coming in once the industry changes, once the civil work happens in those data centers to start using coolants for temperature management. So, it's still a little far away.

And I will, of course, announce when the first customer we are able to acquire and make it happen. But suffice it to say that one, technology progress has happened. We are working very closely with the hyperscalers and the data center operators. And when they make the decision, we would be at the front line of implementing those solutions with them.

Moderator: We'll take our next question from the line of Shloka Mehta, an Individual Investor.

Shloka Mehta: So, I just have two questions from my side. First, I wanted to understand where do you see your growth coming in from over the next few quarters? And secondly, what kind of work are we doing in our industrial portfolio? And what kind of margins do we make there? If you could share some light on that?

Kedar Lele: Thanks, Ms. Mehta. Where would the growth come from? See, if you look at our last few years of performance, the growth has always come from the core. And we've been able to move our business with the change in the automotive space.

What do I mean by that? 20 years ago, Castrol was known to be a truck oil company, right? So if you remember, Castrol was always equivalent to CIB. So people knew that Castrol is the CIB oil company. Then we launched the Castrol Activ because 2-wheelers are growing, aftermarket was large and then Activ and POWER1 became the mainstay.

And because it was consumer, you also saw those brands very, very often in mass media. Then we saw that the 4-wheeler were becoming more commonplace. People were, more households

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were beginning to own 4-wheelers. So, we brought in not just the GTX, which was the most well-known brand of lubricants from the U.S. to the Australia, but we also got in MAGNATEC as well as EDGE.

So, you saw MAGNATEC in offering for the last 10 years plus, and you saw EDGE being relaunched last year with SRK. So, you can see how the portfolio is shifting in favor of how the automotive space is undergoing a change. So, in the future, we will continue to stay focused on bike expansion.

And today, I spoke about it a while ago that more than 55% of the bikes sold in India are being sold in rural India. So if every household in rural India is aspiring to have a bike, those bikes look beautiful when they run. And when they have to be taken to a mechanic, it's a mess because in rural India, you don't find mechanics like you find in urban centers.

So we are now focusing on that expansion because even if there was an EV revolution that's upon us, this large park that exists in India and the expansion that's happening beyond urban will continue to fuel the growth for the company. So that's one example of how our focus on shifting spaces in automotive and our Bharat strategy will continue to fuel the growth in the next few quarters to come.

Now industrial at an overall level, I give you macro numbers. Industrial, so for example, if we are making a gross margin, so just for sake of it, if you think about it, if an oil company makes \$1 of margin, gross margin from automotive average, then will make about \$0.5 margin. That's the kind of numbers that exist at a global level.

So if you were to keep expanding, so a business that grows at 2x brings in half the level of margin could s

till be a beautiful business to look at because the delta will be much sharper. But does that affect the overall business to a certain extent, and t hat's why the EBITDA pathway or the guideline between '21 to '24 could be very, very good for this company for many years to come. I hope I've been able to answer your question, Ms. Mehta.

Shloka Mehta: Yes.

Moderator: Next question is from the line of Sana, an Individual Investor.

Sana: Sir, my first question is what is the kind of investment is being pumped in our rural push that is from a marketing budget? And another question I have is what are our views and strategies on our non -lubricant products like the ancillary product portfolio, example, accessories, etcetera?

Kedar Lele: Both of them are relevant questions. So, first is, see, investment in rural push happens at 3 levels, right? Because investment is not just in terms of funds, but also resources, also people, efforts and of course, then the investments that you make in mar keting.

So, when we were to expand in rural, we first appointed our sub -distributors. So now we have about 1,000 sub -distributors across India. Those 1,000 sub -distributors bring in dealers where the numbers are much larger. Of course, 1:30 ratio. So you can imag ine that about 30,000, 35,000 retailers come into our reach.

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Then there is investment in creating what I call and what we very proudly call as Castrol quick lube chain stations. And these are what exists in rural India now. I'm not talking about numbers as yet, but I'll talk about numbers later in the year when the y reach a sizable potential, but those are Castrol's presence in the rural area, and there's a capex involved in that.

Then comes the marketing spend that we do for Bharat. And if you look at our balance sheet and if you look at our numbers, we spend between 3% to 4% of our turnover in advertising and sales promotion.

And the third part of this investment goes into mechanic advocacy and training because most mechanics do get some amount of training from our side under Eklavya. They also get some amount of training in terms of their capability building, information on n ew kinds of machines and businesses that they should be handling new kinds of pollution norms and the kind of oils which are required in the latest machines. And all of that also requires investments, which gets funded from our ASP numbers, which I spoke t o you about.

Now second question, non -lubricant. We are very excited about our Auto Care range of products.

And last year, I can tell you that in the first half of this year, we have sold 100% more volume than what we did in the whole of last year. So that should tell you the excitement that we have had.

In the month of June, only on e -commerce, we sold about 27,000 pieces of Auto Care products, which means that the Castrol is a lot more visible, has opportunity to interact with customers beyond lubricants and will also drive brand equity in the time to c ome.

Moderator: Sana, does that answer your question?

Sana: Yes.

Moderator: We'll take our next question from the line of Nitin Tiwari from PhillipCapital India.

Nitin Tiwari: My question is actually related to the ethanol impact on automotive engines. So there's a debate going on around how mixing of ethanol and petrol could be impacting automotive engines. So just wanted to understand are our products also evolving to address those issues?

And have you introduced any product lines or have you made any changes in the product as such, I mean, to address that concern that consumers might have. So that's one. Secondly, if you can also help us understand your sales mix right now in terms of, if y ou can break it down for – CV and industrial oil, as of this quarter?

Kedar Lele: Sorry, I lost you saying sales mix, break it into?

Nitin Tiwari: Automotive between persona

I mobility and CV and then what portion is industrial in the overall mix right now?

Kedar Lele: Yes. Okay. Understood. Yes, we have spoken about it in the past, and I'll do that for you. So, first is, does ethanol impact Indian performance? See, all of us as consumers and as conscious consumers must realize that ethanol mixing is a requirement that g overnment of India has put

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forth. And if you look at some of the other countries of the world, including Brazil, ethanol goes up to 40%, 50% of the fuel. It does have an impact on engines performance, but that's what OEMs work with.

So, most of our automotive brands in India are preparing engines, which can handle flex fuel. And with that, the requirement from engine oil also changes. So, we have been working with OEMs. Our products are capable of handling e20, e30, and that description does come on the packs.

So, you can be rest assured that the evolving requirements that consumers have from their bikes in terms of ethanol mixed fuel will be taken care of as long as they are putting Castrol in their machines. So put Castrol and don't worry about the performance is what I would say.

Second is the sales mix for the latest quarter, which is Q2, or you can also take an overall level, our personal mobility has contributed to 43%, CBO is about 44% and industrial has been about 12%. That's our contribution for this year.

Moderator: Nitin, does that answer your question? Nitin, we are unable to hear you Nitin, I think you're on mute.

Since there is no response, we'll move on to the next question from the line of Nakul Dev from ND Investments.

Nakul Dev: Congratulations on a good set of numbers. Just had one or two questions. Yes I just wanted to understand what your advertising expenses for this quarter. Also, have you taken any price hikes? And have you added any new OEMs? That's all I wanted to understand.

Kedar Lele: Okay. Our advertising expense for the quarter is in the same range bound and the exact amount is INR46 crores, which is actually a bit lesser than what we did in the base. But for the first half of the year, our advertising expense is higher by 20%.

So if you're watching our results, you would have heard me say that we are going to be bumping up our advertising and sales promotion expenses in the beginning of the year in order to support the growth momentum, and we have been able to do that.

In the base, we did have SRK's campaign for EDGE. And hence, we had spent a little more in last year. But this year, in Q2, we have been able to it to about INR46 crores. So that's exactly for the advertising expense that you asked for.

Second, have we taken a price hike? Yes, we have. Selective price hikes have been taken across the portfolio. There have also been a few cases of price drops in our drivelines and specialties and coolants. But the selective price hike that we've taken has given us about 1.5% kind of a delta only coming from price in this quarter.

Having said that, a new OEM, there is no new brand of OEM, but we have started working for a range of vehicles with new motors. And with Tata, we have been working any between in that.

So, we've been working with Tata in the past with them, the partnership is deeper. But there's no Castrol India Limited

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new OEM. There are not many OEMs left. We don't work with Koreans at the moment, which I hope we will be able to make an entry into in the time to come.

Moderator: We'll take our next question from the line of Gaurav Jain from ICICI Prudential Mutual Fund.

Gaurav Jain: I have a question on other income, sir. From a run rate perspective, what we have delivered in this quarter is on the lower side. So, if you can help us understand, and similarly, the working capital was also a little higher. So, is both linked? Or how should we be looking at

both these things?

Kedar Lele: I must congratulate you for that observation. Indeed, other income has gone down in this quarter by about INR11 crores. But you remember that when I announced the last quarter results, there was a special dividend announced by us, and that took a large part of our cash reserves being distributed to shareholders.

So, with that, our interest income came down by about INR8 crores. So that is a big impact on other income. We also had a sale of a property in the past quarter, which is not there anymore. And hence, what you're seeing is like -for-like results lower by INR11 crores on the other income. So that's your first question. What was the second question you asked? I did not make a note...

Gaurav Jain: On working capital, if we look at...

Kedar Lele: See, 2 things are happening, Gaurav. The volume growth is upon us. And when the volume grows, you do increase the inventory. And there has been also an abnormal supply situation in Southeast Asia. Exxon has taken down their refinery for maintenance, which meant that we had to look at other sources as well as stock a little more of base oil to be able to meet the market demand. And hence, our stock went up a bit.

We've also compensated it with some amount of our trade payables, but our trade receivables have also gone up a bit because of expansion into B2B, expansion into industrial and some amount of disruption that we saw in J&K. But these are momentarily, these are temporary

changes, and we will come back to our most efficient working capital that you are used to seeing in a while.

Gaurav Jain: That was very helpful and explanatory, sir. Just one follow-up on other income. So should we be expecting this to be the new run rate is one question? And second, sir, if we look at the cash position that we have, it is upwards of INR860 -odd crores that we have. So INR860 crores should lead to higher than INR10 crores per quarter, sir, other income if we would have invested in any fixed deposit type of instrument also. So if you can elaborate on this, please?

Kedar Lele: Yes, sir. So, you should expect this to be a run rate in the future. And your sharp eye would have also picked up that earlier, our cash position was higher by about INR550 crores, which is the dividend -- special dividend that we paid out.

So, on an average, a large cash-generating company with the FD rates where they are and this morning the monetary policy and the 3 rate cuts that you have seen in this year would also bring

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down the FDs to the, to a lower level than what we were all used to. But going forward, what you're seeing in other income should be the expected run rate in the future.

Moderator: We'll take our next question from the line of Vipulkumar Anopchand Shah from Sumangal Investments.

Vipulkumar Shah: Would you repeat the volume figures for this quarter? And what were the same for corresponding quarter of last year and last quarter also?

Kedar Lele: So, this quarter, our overall volumes are 66 million. They are up by 5 million. So last year, same time was 61 million. And Q1, the last quarter was, I think, 62 million, correct?

Moderator: Thank you. Ladies and gentlemen, this brings us to the end of the call. On behalf of Castrol India Limited, I thank you all for joining this conference. You may now disconnect your lines. Wish you a good day ahead. Thank you.

Kedar Lele: Thank you.

Call: Nov 2025

castrol.co.in

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11 November 2025

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra East,

Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 3Q FY 2025

Pursuant to Regulation 30 and 46 read with Para A P art A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call for 3Q FY 2025 with analysts/investors held on Thursday, 6 November 2025 is enclosed. The same is also available on the website of the Company.

The transcript of the audio recording can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under Investor Call Details --- 2025 --- 3Q FY 2025

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a

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"Castrol India Limited

3Q 2025 Earnings Conference Call"

6 November 2025

MANAGEMENT : M R. KEDAR LELE – MANAGING DIRECTOR – CASTROL
INDIA LIMITED
M S. MRINALINI SRINIVASAN – CHIEF FINANCIAL
OFFICER & WHOLE TIME DIRECTOR – CASTROL
INDIA LIMITED

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Moderator: Ladies and gentlemen, welcome to our 3Q 2025 Earnings Conference Call for Castrol India Limited. Please note that all participant lines will be in the listen-only mode and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator.

Please note that this conference call may contain certain forward-looking statements, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.

We have with us Mr. Kedar Lele, Managing Director, Castrol India Limited; and Ms. Mrinalini Srinivasan, CFO, Castrol India Limited.

I now hand the conference over to Mr. Lele. Thank you, and over to you, sir.

Kedar Lele: Good afternoon and Namaskar, everyone. Thank you for joining us to discuss Castrol India's performance for the third quarter and 9 months ended 30th September 2025. As you are aware, we are -- our reporting follows the Jan-December calendar year, and hence, this is the third quarter for us.

And I'm pleased to announce that we delivered another quarter of steady, consistent growth backed by a strong focus on profitability and a portfolio that continues to work hard for us to serve our customers across spaces.

As we look ahead, our priority remains the same, to accelerate volume growth, deliver market share gains, maintain the profitability and stay ahead by building solutions that serve the evolving needs of our customers.

With that, I'll hand over to Mrinalini to take you through our financial performance this quarter and the 9-month period.

Mrinalini Srinivasan: Thank you, Kedar, and good afternoon to all of you. Let me first talk about the external environment. The market conditions this quarter remained volatile with base oil fluctuations and out-of-range forex movements adding pressure.

Despite this, we've remained nimble, adapting quickly to the changing market dynamics through innovation, operational excellence and deeper customer connections. We are managing it with discipline, staying focused on cost, driving operational efficiencies and making prudent decisions to protect our value.

Let me talk about our revenue from operations. It came in at INR1,363 crores, which represents a 6% year-on-year growth and is primarily driven by higher volumes that grew 7% during this quarter. EBITDA for the quarter was INR323 crores, which is up by INR37 crores, while profit after tax was INR228 crores, which is 10% higher than same quarter last year.

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In the 9 months to September '25, revenue reached INR4,282 crores, which is up 7% year-on-year basis, with EBITDA at INR980 crores, up 9% versus the same period. Profit after tax is at INR705 crores, which is up 8% versus comparable period.

Year-to-date volume growth stands at 8%, underscoring that our growth is sustainably driven by a combination of volume, price and portfolio. We continue to invest with intent in our brands, in digital capabilities and in innovation to stay competitive and future ready. Our balance sheet remains robust, giving us the flexibility to navigate near-term volatility while preparing us for emerging opportunities in evolving mobility landscape.

I hand it back to you, Kedar, to walk us through the details of our performance and share some significant business developments. Over to you.

Kedar Lele: Thank you, Mrinalini. These results reflect our continued performance momentum. Our strategic focus on volume-led growth is beginning to yield sustainable results. We have expanded our reach in rural markets and bolstered our industrial segment presence, which are the 2 key

spee

boats driving our growth.

The strong growth momentum from rural and industrial areas validates our emphasis on penetrating Bharat markets and leveraging infrastructure and manufacturing upticks in line with the Viksit Bharat vision of Prime Minister of India.

We are also maintaining our market leadership position, holding the number one share across key categories, which speaks to the strength of our business and the deep trust that customers repose in Castrol brand. On the operational front, we continue to strengthen our core business while expanding our portfolio. A highlight of the quarter was launch of new products tailored to emerging consumer needs.

Let me talk about the Castrol All-in-One Helmet Cleaner, an innovative foam spray solution addressing helmet hygiene for 2-wheeler riders. This product fills a real market gap. Most riders had no specialized solution for helmet cleaning, and it reinforces Castrol's position as a complete auto care brand beyond traditional engine oils.

As I shared during the launch, the helmet cleaner is a natural extension of our auto care portfolio, solving an everyday need for riders while opening a new repeat use category for our business. Early response has been very encouraging, and we hope to expand this across the country and channels in the time to come.

We are looking at transforming Castrol from a lubricant provider to a full service and maintenance company. Many of our new endeavours are in line with this vision of being a one-stop shop for services and maintenance providers beyond just products.

During Q3, we signed a notable MoU with VinFast Auto, the Vietnamese EV manufacturer to support their foray into India's EV market. Under this agreement, VinFast will leverage Castrol's workshop network, select Castrol auto service outlets, if you will, to provide aftersales service for VinFast EV customers nationally.

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This collaboration not only generates a new revenue stream for our workshops, but also aligns with our commitment to support India's transition to sustainable mobility by ensuring EV owners have service support across the country.

It exemplifies how we can leverage our network and expertise in lubricants. And when I say lubricants, it includes EV fluids, of course, to play a broader role in the automotive ecosystem. With a vast network of 750+ Castrol Auto Service centers, over 12,000 multi-brand workshops that we work with and 33,000 independent bike workshops working towards making Castrol a beyond product brand.

And the MoU with VinFast actually marks a key step in expanding beyond the lubricants into what I call service and maintenance space. We have launched EV fluids under the Castrol ON range. We spoke about it in the last calls also. Going forward, we shall be leveraging our technology center to formulate EV transmission and thermal fluids suited for India's environment. This localization of advanced EV fluids is part of our preparation for the future, ensuring we are ready to serve the growing electric mobility ecosystem as well.

In addition, we rolled out upgraded lubricant variants. And when I say updated, it means Castrol MAGNATEC engine oil compliant with the latest specification API SP. We were the first one to do so and other auto care products during the quarter to broaden our offerings.

You can see that we have been relentlessly expanding our distribution reach and service network to get closer to our customers. And hence, I'm proud to share that Castrol India's products are now available through over 150,000 retail outlets across the country, an important milestone in our accessibility drive.

This includes a footprint of 40,000+ outlets in rural India. And as we deepen penetration in smaller towns and villages to capture untapped demand, about 500 or so rural express. These are Castrol oil change k

iosks and focused mechanic programs are also helping us convert the first-time users and accelerate repeat buying with bikers.

This push for rural penetration is reflecting in our performance as volumes continue to grow across sectors. Equally significant is the growth of our branded service network. We now have more than 750 Castrol Auto Service, what I call CAS centers across 300 cities, up from about 580 a year ago.

Around 33,000 independent bike workshops and about 12,000 multi-brand workshops further strengthen our service delivery network. These workshops, along with our brand distribution base and -- distributor base and 150,000+ retail touch points position us to serve our customers whenever they are with the right products at the right price.

Our expanding network is a testament to making Castrol more accessible and affordable across

the length and breadth of India. It also strengthens our partnership with mechanics and independent workshops who are critical stakeholders in our success. Alongside distribution, we are also executing strong marketing and customer engagement initiatives that reinforce our brand leadership and relevance. Let me talk about a few. Activation
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across key markets engaged more than 5 million biking enthusiasts with Castrol POWER1, a brand that stands for ultimate performance in our portfolio. Additionally, our SuperDRIVE with Castrol EDGE, a campaign this quarter offered consumers a unique chance to feature in a drive with a celebrity, which created buzz amongst EDGE lovers. The event drove thousands of consumer trials across key cities and the 2-wheeler segment, Power1 sponsored events like premium bike races, rider academies and that energized the biking aficionado. We also celebrated the unsung heroes of our industry, the mechanics through initiatives such as Super Mechanic Saptah, a week-long engagement program recognizing mechanics across the country where 5,000+ mechanics participated. These programs, along with digital outreach, and I have always spoken about Castrol Fast Scan app with a lot of appreciation, which targets mechanics and Castrol Connect platform for consumers, which are strengthening our brand connect and loyalty. They ensure that the Castrol remains a trusted top-of-the-mind brand for both B2C and B2B consumers. Importantly, our journey is powered by our people and our value-driven culture. We have invested in multiple people and culture programs, extensive programs this year from technical and leadership training to diversity and inclusion initiatives aimed at empowering our talent and fostering innovation. Consequently, we are proud that Castrol India is regularly recognized with industry accolades reflecting our team's excellence. For instance, Castrol India ranked among the top 30 Supply Chain Champion Teams in the coveted 2025 Institute of Supply Chain Management rankings. Our RRBO-based engine oil for BS IV vehicles co-engineered with Tata Motors received Tata Motors Sustainability Excellence Award in 2025, and we also won several honors at the e4m IDMA 2025 for creative excellence. To summarize, Castrol India continues to fire on all cylinders. We are executing our onward, upward forward strategy with discipline and passion, focusing on core automotive growth, pushing into high opportunity industrial and rural markets and investing in future-ready adjacencies like EV fluid and Auto Care. With our CMS services gaining momentum, we are well positioned to offer a wide gamut of services beyond the traditional auto applications. We are exploring untapped sectors such as cement, steel, glass, etc., catering to sectoral demands through new product introductions and localization. Our volume-led growth approach, supported by continuous product innovation and network expansion is building a solid foundation for the

future. We believe the Castrol brand has never been stronger and our broadening portfolio and associations position us well to capture evolving market opportunities.
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Looking ahead, we remain optimistic, yet vigilant. We see significant runway for volume growth as India's vehicle park expands and the economy remains on a strong footing. We will continue to drive market penetration, especially in rural markets and industrial segment, bringing new customers into Castrol fold and increasing usage of our products and services. At the same time, we are mindful of the external environment, including the global macroeconomic headwinds and shifts in technology. We are preparing for the future of mobility, which means ICE and electric alike and are confident that our customer-centric strategy and agile execution will enable us to navigate challenges and capitalize on these opportunities. Castrol India's focus will remain on delivering sustainable, profitable growth and creating value for all our stakeholders. Our aim is clear: great products backed by great service, whether that's the mechanic in the rural market, the technician at CAS bay or our CMS team deployed on a factory's shop floor. In closing, Q3 2025 was another quarter of steady profitable growth for Castrol India. And despite a dynamic environment, we have maintained margin stability and delivered growth, a dual achievement that not many can claim easily. This underlines the strength of our business

model and execution.

As we move into the final quarter of 2025, we remain focused on sustaining this performance and we'll continue to invest in strategic priorities like industrial segment and rural penetration and exercise cost and cash discipline like we have done so far. We are confident that these levers will allow us to navigate any near-term headwinds.

With that, I once again thank our employees, distributor partners, mechanics and customers for their trust and contribution to our performance. Thank you very much, and we can now open the floor for any questions.

Moderator: Thank you, Mr. Lele. We will now begin the question and answer session. We'll take our first question from the line of Harsh, an Individual Investor.

Harsh: So, congratulations to the team for another good quarter. I was just seeking some clarification in terms of the direction of the company. So obviously, we had a leadership change recently and then we are expected to have another leadership change, right?

And we saw with the leadership change how we now are trying to tap into new products, aftercare products as well as building up our industrial portfolio, so on and so forth. So I just wanted to know with the new leadership coming in, should the investors expect a change in the direction or will we continue to focus on our new products as well as the old segments?

Kedar Lele: Thanks, Harsh. I should first thank you for your kind remark. And I must also tell you that Mr. Saugata Basuray, who's going to be taking over from me as of 1st of Jan, is a quality product of Castrol having spent 26 years in the company. And this year, we did not change the direction of the company. We simply brought alive what we had been saying for a while with a lot more execution focus.

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And Saugata is part of the leadership team, which designed, deployed and executed that strategy. So -- and it's working for us. We have seen now 6 quarters of growing momentum. And with that, a good balance between volume growth, profitability delivery as well as innovations. So as long as -- as far as I see, there's no change of strategy in the near or midterm. Of course, there will be some decisions that will happen basis the strategic review outcome of Castrol, which should strengthen our play in India and South Asia.

And I'm more than excited about what future holds for Castrol in this geography.

Harsh: My second question was we have some INR400 crores, INR500 crores invested in ki Mobility Solutions. So could I just get an update on how that investment is performing? And any basically quarterly or yearly updates on that?

Kedar Lele: Yes. That's another great question. Now I think we have -- it's been over 2 years since we invested in KMS. And like any prudent organization, every year, twice, we look at the value of that investment, and it gets audited by our auditor as well. And we are maintaining the value of that investment as ki Mobility goes through its own expansion plan as well as pivots that they are having.

As you know, ki Mobility is one of the largest multi-brand service network, opening new outlets. They've also gone into a corporate franchisee route and building a very sharply differentiated ecosystem of digital services, which includes digital spare parts catalog, ordering app as well as integrated workshop management systems.

So it is allowing us to learn a lot about what happens in the service environment. It is also allowing us to make our brand and our products available in those workshops and of course, use them as our partners as we start expanding CAS offerings. So no change from what the blueprint of our investment was, and we continue to remain committed to ki Mobility Solutions.

Harsh: And so what about like the revenues and profits, if any, from that?

Kedar Lele: So see, it's a private company and our investment is predicted, as I said. And the revenue that we get is from sale of lubricant into that network. We also get a small commission on sale of spare parts in that network and so on. So that is a small part of our revenues, and we don't identify that in our results as yet. But it is consistently meeting the expectations that we had set aside for that business, for both revenues as well as learning.

Moderator: We'll take our next question from the line of Dhaval Popat from Choice International.

Dhaval Popat: Congratulations on good set of numbers and also on the margin expansion. I understand on the industrial lubricants as we take over the automotive over the next 3, 4 years and the company is already present, I understand, in the premium segment of the industrial lubricants section. But how would you ensure that the margins do not dilute from here on as far as the overall -- on the back of industrial lubricants component is concerned for Castrol? That is one question I have?

Kedar Lele: Okay. You have another one also, Dhaval?

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Dhaval Popat: Yes. So the second part I wanted to understand is that the key investor question, of course, which, of course, lubricants face is the EV penetration. And I understand that the company already has EV fluids, but it's just 30% to 40% lubricants that being used as compared to engine oil. So what is the company's strategy or I would like to hear your thoughts about the same?

Kedar Lele: Thanks, Dhaval. I always remember you come up with great questions. Last quarter, you asked about strategic pricing. So let me first clarify that industrial is a very large segment when you look at the universe of industrial lubricant requirement, right? But our play is limited into higher end of that industrial lubricant. We don't play general industrial, which is an undifferentiated product, which is almost 60%, 70% of the volume.

Now what do we play? We play high-performance lubricants. We play metalworking fluids, we play rust preventers and so on and so forth. We also play something that I call as CMS services, chemical management services, which in one line is takes lubricants off the mind of manufacturer, reduces the total cost of ownership, reduces the breakdowns and hence, efficiency goes up. That's really the offerings in industrial.

We are

also expanding into newer sectors, which are the growth sectors for India, which could be steel, cement, glass and so on, like I mentioned in my prepared remarks. Having said that, you must know that about 12% to 14% of our volumes come from industrial, and they are growing in double digits.

So over the next 10 years, how much ever -- how much faster we grow industrial, I don't see industrial being larger than automotive, right? So it's a good emerging part of our business, which we want to focus on because industrial will remain protected from EV transition, and it's a very long-term strategic focus of the organization to expand.

Having said that, you would appreciate it, Dhaval, that industrial lubricants, how much ever high performance they may be, will never make same money or margin as automotive lubricants do, right? Because it's an industrial COGS. And hence, I keep saying that we have to balance how much growth we get from industrial versus the profitability growth that we must get from ICE engines as well as EV fluids.

So -- and I should give you a good sense to understand if automotive lubricant gross margin is 100 index, then lubricants in industrial will be less than 25, 30. That's a good way to understand the profitability headwind that you will have from pure industrial guide, right?

If you look at some of the global majors in industrial lubricants, they make single-digit EBITDA versus what you are used to seeing with Castrol in the 21% to 24% kind of a range, correct? So we will have to remain cautious, smart and balance the requirements of the business while we make this business future fit by investing into industrial as a pillar of growth.

Now your second question is about EV fluids. See, I'm also concerned about it because if you drive an EV car, there is no engine. So you are not going to replace the engine oil like you do once or twice a year. But an EV vehicle also uses fluids. For example, there is a transmission fluid, there are greases that you have to use and EV vehicle tends to be heavier than a normal vehicle, which means that the rotating parts require more frequent maintenance.

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And if your battery tends to use a coolant, then we also make that coolant. So -- and I'm not getting into profitability just now. But if I were to do a broad CLTV analysis, customer lifetime value analysis of lubricants in a vehicle for 5 years versus transmission fluid as well as coolants in an EV for 5 years, it will be a comparable number. It won't be too way off.

So as long as the organization is clear and committed to ensuring that our innovation, our range offerings and our products are available for this energy transition or EV transition that's taking place, we should keep seeing a business that grows with time.

Moderator: We'll take our next question from the line of Nitin Tiwari from Phillip Capital India.

Nitin Tiwari: I'm sorry, I joined the call a little late and if you already answered this, I'm sorry for this. But just wanted to understand the volume number in this quarter. And if you can also provide some color on that volume in terms of how much of that was automotive and how much was industrial and within automotive breakup between personal mobility and commercial vehicles? That would be the first one?

Kedar Lele: Yes. So Nitin, thanks. I'm sure you will look at the recording later again. But volume growth has always been the focus of Castrol in recent years when we started playing for sustainable volume growth of the business to get benefit of scale and also to get higher number of consumer franchise across our brands.

Now this quarter, specifically, we have delivered 7% volume growth, which brings our YTD

volume growth to 8%, right? So -- and if you remember the industry numbers, it is way ahead of the industry bottom line volume growth. So we are growing

faster than the industry

consistently. That's the first good news.

Second is, if you were to break it into personal mobility, CVO and industrial, which is typically the flavor of growth that you are interested in, our personal mobility has grown at over 6%. Our CVO has grown at about 8% and industrial is in good double digits.

Nitin Tiwari: Yes. I was saying that if you can provide me a breakup of volume and percentage terms, percentage of the volume in terms of automotive and CV, etc. I really appreciate you provided the growth number?

Kedar Lele: Yes, you heard the growth number. And see, we have put these numbers every quarter in our conversations with analysts and the numbers don't change too much. So industrial, marine does about 13%, 14-odd percent. CVO does about 38%, 40% and our personal mobility is balance, which is 48%, 50%.

And depending on the quarter, many a times, you will know that the Q3 is a quarter when there is low agri, low CVO, Q2, summertime is the high CVO months and high agri months. Q4 will also be high agri months. That's why I'm giving you a range and percentages. And hence, these numbers are usually range bound and stay within that.

Nitin Tiwari: Really appreciate the color that you provided. I mean this is something that -- I mean, at least to me that quarter 3 is not heavy on agri and on this. Thanks.

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Kedar Lele: Thanks.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: One question on the strategic review of Castrol. Would you be able to share at what stage the exercise is and when is the outcome expected? And at the India level, have we participated any data room exercises or something where buyers have started to look at it in a bit more granular details?

Kedar Lele: As you would appreciate, Kirtan, I'm committed to expressing any update that comes to me to the regulator and the market within 24 hours. And you know exactly what I know as of today.

And I'll repeat, BP announced the strategic review of our Castrol business globally around February in this year, if I remember right.

And the intention was very simple that they accelerated Castrol's next phase of value delivery while BP retires some of its debt by giving the value of the assets called Castrol. We have significant growth ambitions across the world, which includes growing our core mobility business, expanding our participation in industrial lubricants, enhancing our mobility services as well as diversify into data center fluids.

And we believe that this strategic review outcome considers all those options with a focus on true value creation. So it's a good opportunity to determine how we can become even more effective and innovative business partner to our customers.

And we aim to ensure that any outcome of this review helps us continue to accelerate our growth momentum and ambition, not just for India but beyond. Like you said, all parts of the performance units, India or South Asia is one of the performance units.

We have been supplying data into a data room for potential investors, and that gets run from our central team bound by the NDA and administered by BP's global M&A team directly. And I do not participate in any of that transaction.

Kirtan Mehta: A couple of more questions on the operations. You shared sort of growth across 3 different verticals. Would you also be able to share growth in terms of the rural, how much it contributes at this point of time? And what is the growth that we are seeing from our rural penetration?

And the second question was about the base oil. In the opening remarks, we referred to the base oil volatility. Last year, when we have seen it, I think base oil price sort of had a bit of delinked with the crude oil price. So are we now seeing this sort of responding to the crude oil? And do

es

it open up opportunity for sort of reducing the cost levels?

Kedar Lele: Yes. So I should tell you something on the second part of your questions first, right? So if somebody asks me, is base oil price connected with crude oil, I'd say there is definite causality.

But correlation is low, right? So if the base -- if the crude goes to \$100, would base oil be expensive? For sure, 100%. Well, it will take some time. If crude oil drops to \$50, will it become cheaper tomorrow? The answer is not tomorrow. Eventually, it will. But how much? Time will tell.

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Now with that, this year, we have had about 3.5%, if it's a range bound, but I think it's about 3.5% reduction of our cost of base oil is what we've seen, YTD. And a similar inflation is what we have seen in forex. So net-net, we have a small, small, very small reduction of our COGS based on base oil and the forex combination, right? So that's the first point I thought I should tell you.

Second is the question that you've asked. So I think I've answered that. You can give, if there is a color on that, yes. Second question was about how much do we get out of rural. Now I can tell you that there are about 40,000-odd outlets in rural that we service directly. And we also have close to about 500 rural service express that we call as Castrol kiosk, right? And I spoke about that. And these 2 put together give us a sustainable double-digit growth year-on-year.

So -- and rural volumes, if I were to just think about what kind of rural volume do we get, it's a sizable 25%, 30% of our B2C numbers. I wouldn't, of course, put an absolute number out there because competitors are always watching for my recording of analyst calls. But suffice it to say that close to 25% of our B2C volumes are now beginning to come from rural and growing in double digits.

Moderator: We'll take our next question from the line of Vipul Shah from Sumangal Investments.

Vipul Shah: So what percentage of our base oil requirement is imported? And what percentage is domestic sourced?

Mrinalini Srinivasan: Yes. Maybe let me take that, Vipul. Thank you for the question. Today, almost about 50% to 55%, slightly more than half of our base oil comes as an import. The balance is all procured locally. But I -- what's interesting for us as we navigate the supply chain is that actually base oil is a commodity, globally traded and hence, prices are almost globally landed.

What we're able to do when we get it locally is we're able to get it at a lower lead time and there's a little bit of logistics costs that we're able to save. And on the imports, we actually -- we use -- we buy from some of the large players in the market, and we hence are able to negotiate a good rate because our buying scale goes up as well. So while there's a split of domestic and import, I think on a cost basis, we have found the right advantage of sourcing.

Vipul Shah: And my second question is, can you give the volume in million liters for this quarter and same quarter last year and last quarter also?

Kedar Lele: Are you looking for overall top line volume or base oil volume buying?

Vipul Shah: No, volume in liters, sir.

Kedar Lele: Yes. So overall lubricant volume liters. In fact, I'm very delighted, Vipul, you asked this question every time. Last time also, we were telling you we did 62 million, 66 million and 61 million.

And again, I should tell you, if you were to look at this year's 3 quarters, 63 million liters in Q1, 66 million in Q2 and 60 million liters in this quarter.

Vipul Shah: 60 in this...

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Kedar Lele: And I hope you understood what Mrinalini was trying to explain. In base oil, there is no advantage of buying locally. That's the point that she wanted to make so that all of you appreciate it because base oil, whether you buy from

an imported source or local, pricing is the same. What could benefit is just-in-time supply.

So we don't need to hold on to that in our working capital or in our storage. So base oil in India is short supply, and hence, we have to rely on international providers of base oil, and that will continue. So like Mrinalini said, a great strategy is to get a right combination of 56-44, 58-42 depending on the quarter and availability to suit the requirements for the business. Thank you.

Moderator: We'll take our next question from the line of Mandar Pawar from Kotak Mahindra Asset Management Company.

Mandar Pawar: Congratulations to the team for excellent numbers and wishing you all the best for your next endeavour and also to Saugata, who will take over. I have 2 questions here. So first is on the previous question where you talked about the gross margin expansion. You talked about the benefit of the -- some bit of net benefit on the COGS. At the same time, there is also, we have seen the realizations have improved on a sequential basis.

So can you confirm if there have been any pricing actions which have been taken in the market which has to expand? And the COGS benefit also whether that is sustainable going forward because we are comparing this to the peer who have reported and such benefit is not specific. I understand there is a mix change, but if there is anything different other than the mix change, but if you can confirm that.

Second question is on the -- we have previously in the call also been talking about the data center

opportunities. And even in recent months, we have seen more announcements coming on that front. And within that, the adoption of liquid cooling as compared to air cooling. Can we -- are we in a position to analyze as to what could be that opportunity be in terms of the units, litres, opportunities, etc., or realization, how different it can be as compared to the current average realization of the portfolio?

Mrinalini Srinivasan: Mandar, let me take your first question. And then maybe for the second question, I'll ask Kedar to also pitch in, of course. So you very rightly spotted in the results that indeed, we have improved our overall gross margin. Our cost of goods sold has gone down. So while our volume grew 7%, 8% in the quarter, our cost of goods has only grown 2% to 3%. So that's the benefit that you are talking about. I thought it's good to clarify for the rest of the listeners also.

Now you asked if this is sustainable. I think this is one of the very important focus items for us in the company. We want to make sure that we are able to improve our overall product cost ongoing structurally. Part of it will come through best rate negotiation. We just spoke about it in the previous question. Part of it really comes by optimizing our raw pack material sourcing, optimizing our formulation, optimizing the costs that we incur in our manufacturing locations. And as a result of all of this, in this quarter, my cost per liter of lubricant has gone down by about 5%. And if I look at it on a 9-month basis, it's actually gone down by, I think, 2% to 3%.

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So this is intentional. This is what we use as a muscle to improve our overall profitability, and this effort should continue even in the future.

Now part of it is really a company's effort, but this part of the P&L is also exposed to the macro environment, and that's also important to be aware of. We spoke about base oil, which is a commodity, and hence, it's -- part of my COGS is defined by that market. We buy in dollars.

The price is maintained in dollars.

And hence, we are exposed to the U.S. dollar-rupee exchange fluctuations also. So while we put an effort on making sure the cost goes down, we are exposed to this macro environment, and we try to find the balance always.

You also asked a question on realization

on. Net realization for us, it is evolving. It will evolve also.

Premiumization, I think, is a strategy. We definitely want to do that in each of the states that we operate in. But also, we are very aware that we have expanded our portfolio and entered into the essentials segment, Castrol ESSENTIAL.

And you might be familiar, if you're familiar with our portfolio, we have that in many spaces for our bikes, for our CVO part of the portfolio as well. That comes at a lower realization versus a comparable product.

So we are actually ready for a realization drop, a mix drop in a way. And we do fund part of it with the savings formulation optimization so that at a gross margin level, each of these products give us a good realization. You also asked the question on pricing. I think pricing for us is a strategic lever.

We definitely -- every year or every once in a year, we sit down and we look at those pockets where there is an opportunity and we think we can offer the consumer a better value and price for it. And on the contrary, we also look if there is an opportunity and we need to consider pricing down, and we need to pass on either via promotion or strategic price down. So it's a strategic discussion. We don't do that on a knee-jerk basis or on a shock basis. But yes, we do consider that ongoing. Kedar?

Kedar Lele: Yes. So to be -- to talk about data center opportunity, Mandar, this is my favourite part of the answer because there are no numbers to talk about only principles and concept. Data center opportunity is real. It's a global opportunity which runs into millions of liters of coolant, whether we do a liquid cooling directly to chip or liquid cooling through containers where the processors and CPUs are dipped into the coolant.

Now I have been waiting for my first announcement to be made in India because these testing go on for a very long time. So we work with hyperscalers as well as data center operators, and they are running very long tests, not just with the coolant, but also with the technology to prove the heat management promise that the coolant does over ambient management, which happens through air conditioners.

Now these tests would last 9 months to a year, and we have a sizable amount of liquid coolants now available in India, which we are ready to supply. And you'll be the first one because we'll

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not leave a chance to make a media blitz once we win our first customer on the coolant business because we believe it makes our entry into data centers and the future of digital technology makes our products and services relevant to a totally new sector.

And I said last time that in coolant space, the accepted margin in Western world is about \$1 per liter. So if we are able to get some of this business coming in, it will add a good amount of delta to the business, which will not replace anything else that's happening in automotive or industrial or automotive or Auto Care sectors that we are currently focusing on.

So watch this space is what I will say. I'm waiting like you are for our first set of customers to finish the trials and order the liquid.

Moderator: Next question is from the line of Nitin Tiwari from Phillip Capital India.

Nitin Tiwari: Actually, my 2 questions are also related to, one, your raw material cost and other data center opportunity. So on the raw mat cost, did we factor in any discounts or rebates from the suppliers?

And do we typically do that in the fourth quarter. Is there...

Moderator: I'm sorry, Nitin, your voice is sounding muffled. Can you use your handset mode, please?

Kedar Lele: Speak slowly because the voice is muffled, it's difficult, just speak slowly and then pace slowly.

Nitin Tiwari: [inaudible 0:46:51]

Moderator: No, you're sounding muffled again. No, we can't hear you at all now. Until then should we take the next question, sir

, because we are unable to hear him?

Kedar Lele: Yes.

Moderator: We'll take the next question from the line of Kirtan Mehta from Baroda BNP Paribas.

Kirtan Mehta: We spoke about sort of transitioning from new provider to full service and maintenance providers, so adding beyond just products. So over the next 5 years' time, how do we want the mix to evolve? What could be the probable mix that we are looking at?

Kedar Lele: Yes. Kirtan, good question, but this is too early for us to start giving a guidance on mix because if you remember, we used to have just about 300, 400 CAS's. Now that number has moved to 750. And our recent tie-up with VinFast has taught us that we can make this network available as a source of reliable and accessible aftersales support for even EV customers and smaller manufacturers and OEMs. So we are looking at the network effect coming into play in the future. And it will take a lot of efforts and a lot of, I should say, resources from our side, whether it is in people, technology, network, guidance, services, spare parts, lubricants. And all of that put together will make the service and maintenance offerings complete. And you will see this organization transform over the next 3 to 5 years. And every quarter, you will start seeing some small numbers coming in and over a period of time, will add to a sizable number.

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And just for sake of comparison I could offer, these are not numbers, but an inspirational case. I was in the U.S. with the leadership team, and I saw how Valvoline Quick Lube change network of 2,000 outlets across U.S. is a very large business that Valvoline did not sell along with its lubricant brand when they did the transaction.

So -- and we believe that something -- a CAS network, which offers a reliable service could become a strategically very important lever of our future growth, but no numbers as yet for me to share.

Kirtan Mehta: Sure. And is this ambition primarily at the India entity level? Or does the global Castrol also have the similar ambitions?

Kedar Lele: I think what's relevant for CIL listed perspective is the ambition in India, which is being tested out, should see light of the day and get scaled up. And it will have to be supported globally with both ways of working, technology and processes, but that's not relevant for CIL investors or for this conversation.

Moderator: We'll take our next question from the line of Parimal Mithani, an Individual Investor.

Parimal Mithani: Sir, this is regarding your data cooling business. I would like to know, sir, how competitively are you going to be priced in terms of your competitors in the similar space and who have their products out? And how do you see it -- what's the differentiation between the Castrol coolant versus the existing companies like Motivair which have? If you can throw light on that much better, sir.

Kedar Lele: Yes. First is, as I explained just in the last question to Mandar ji, that these are long gestation period sale, which happens not because you offer a price, but you offer a technology, a formulation and then the assurance of supply over a period of time, right?

It's not just about a data center deciding, but also the equipment that gets dipped into the liquid coolant or the processors which will get cooled with your coolant. So there's a lot more that goes behind the scene here in formulating the product and then delivering it to the promise.

So it wouldn't matter whether we offer at X value per liter versus somebody else who could be offering at Y liter per value. What is important is that we get these contracts and we remain with

those customers for a long time to come. And I gave you a benchmark number of gross margin, which also is yet to be realized and seen in Indian context.

But that -- those were the 2 answers so that if somebody is modeling to see what

it could be, you

have some numbers to work with because those are the numbers that we are also working with for the time to come. But that's where this would be. Time will tell how sustainable this product advantage would be and how we'll continue to work with our customers closely to offer value in their systems and processes.

Moderator: Next question is from the line of Dhaval Popat from Choice International.

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Dhaval Popat: Again, a, I want to understand if the company plans to expand into the space of diesel exhaust fuel. I understand company is already doing certain numbers and whether they would be able to ramp up from here on. B, I understand the company is already hedging about 80% of its forex exposure. But if the currency depreciates from here on, does the company have a plan further on to protect its margins?

And ultimately, c, I understand the EBITDA margin guidance of 21% to 24%, but do you -- does the company see it breaking out of this 24% and moving it higher? I do understand lubricants is a commoditized business, but Castrol is doing it so well. Can it break it to the next level of EBITDA margin?

Kedar Lele: Okay. Dhaval, you are really pushing hard on this. And if I said DEF is not something that we want to expand only because you expect us to be at the higher end of that margin, that will be an appropriate answer because DEF is a commodity.

And you will not take your vehicle to a Castrol store to choose Castrol DEF if I charge you INR2 liter more because I have to deliver in the guidance. So DEF is undifferentiated product. We are present there, but we wouldn't want to expand it aggressively. That's the answer for DEF.

Forex exposure, I'll ask Mrinalini to let you have the answer. But realize the fact of our life is that RBI is sitting on a very large cash or forex reserve over INR650 billion, if I'm not mistaken.

And RBI will do enough to keep it within a permissible limit. And if it keeps it within the permissible limit, I think we should be good with our assumptions for 2026.

But I'll let Mrinalini give you specific answers. And if I were you, I would be really, really happy with Castrol as long as Castrol delivers the EBITDA in 21, 23, not even 24 and consistently delivers the volume growth of 7%, 8% and the sales growth of 6%, 7%, which means you're seeing an EPS growth of 6% to 7% on a very, very solid base instead of then asking saying, can you do more?

Because in the comparable universe of a listed company, you can see where the EBITDA margins are. As a matter of fact, we are almost at a level where no lubricant company has been able to operate for such a long time. So going back to Mrinalini on forex.

Mrinalini Srinivasan: So Dhaval, good question on the forex. When it comes to forex volatility, I think of it in 2 parts.

What we at Castrol do is we ensure that the volatility doesn't give us any shocks in the P&L, which is why while in the July, August, September quarter, the rate went from, I think, \$86 and it even touched \$90 at a point in time, our P&L was protected because we had hedged for the quarter, and we didn't see any shocks and we didn't have to respond with any shocks.

So we definitely focus on ensuring that the volatility doesn't impact us. But on a longer-term period, will I increase my hedge cover to a longer period? I don't know. We keep looking at these efficiency models.

We look at what all forex is to cover, how much period to cover. And I think if at any point in time, it comes with -- it shows us that, that level of discipline will help us additionally, we may.

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But as of now, the focus is to ensure short-term shocks are avoided by our hedging strategy. And in the long term, we plan for it because it becomes a structural cost for me to incur.

Dhaval Popat:

Yes, thanks a lot on the FX. And yes, really happy to see that Castrol may not expand in DEF.

Moderator: We'll take our next question from the line of Harsh, an Individual Investor.

Harsh: So if I'm not wrong, we have some seasonality in our profits due to the bonus or the incentive that we get, right, once a year. So -- from our parent essentially. So I wanted to know if/when Castrol is sold, will that jeopardize our incentive? So essentially, does the incentive come from Castrol or does it come from BP directly?

Mrinalini Srinivasan: Harsh, thanks for the question. And I must say it's good to interact with you when you have gone through the results in detail and you have spotted this correctly. You are right. On our employee costs, because of certain base effects, which happened in the same quarter, comparable quarter last year, it appears that the employee cost has gone down.

Now while I think Kedar said, I think the result of the strategic review will be announced when it does and all the changes that, if any, have to happen will be announced there. I think what is very clear is we in Castrol India wants to invest in the organization, especially as we prepare to deliver the onward upward and forward strategy.

So we invest in 2 forms. One, we invest in making sure that there are people staffed to do the job and the people who are staffed already are motivated and retained for the longer term. An average tenure in Castrol is 10-plus years, which means that we really invested in our employee cost. So there are no really knee-jerk shock reactions expected on how we manage our employee cost base, but you're right in spotting that there was some base impact.

Harsh: No. So I'm talking about -- I think there was some discount or something like that, that we received -- that we receive 1 quarter every year...

Kedar Lele: I'll answer that. I think she was meaning to tell you that. So no, BP globally does not make any base oil and Castrol is the one across the world for our 2.2 billion, 2.3 billion liters of sales, we do buy base oil from multiple suppliers.

And these global deals are with Castrol, and we get benefited because we also consume a hell of a lot of that material, and we get appropriately discount coming into our numbers because of what we buy as part of global Castrol. So none of these discounts that we see in the Q4 will get affected by any strategic sales. You can be rest assured. Thank you very much.

Moderator: Ladies and gentlemen, we are in time, and hence, we are closing this call. On behalf of Castrol India Limited, we thank you all for joining this call. You may now disconnect your lines. We wish you a good day ahead.

Call: Feb 2026

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9 February 2026

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Mumbai – 400 001

Scrip Code: 500870
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra East,
Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir,

Sub.: Transcript of audio recording of the Post Earnings Call for 4Q FY 2025

Pursuant to Regulation 30 and 46 read with Para A P art A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) R egulations, 2015, the transcript of the audio recording of the Company's post earnings call for 4Q FY 2025 with analysts/investors held on Wednesday, 4 February 20 26 is enclosed. The same is also available on the website of the Company.

The transcript of the audio recording can be access ed on the following link:
https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html
under Investor Call Details --- 2025 --- 4Q FY 2025

Kindly take the same on record.

Thank You.

Yours faithfully,
For Castrol India Limited

Hemangi Ghag
Company Secretary & Compliance Officer

Encl.: A/a
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"Castrol India Limited
4Q 2025 Earnings Conference Call"
4 February 2026

MANAGEMENT : M R. SAUGATA BASURAY – WHOLE -TIME DIRECTOR

AND INTERIM CHIEF EXECUTIVE OFFICER – CASTROL
INDIA LIMITED
M S. MRINALINI SRINIVASAN – CHIEF FINANCIAL
OFFICER & WHOLE -TIME DIRECTOR – CASTROL
INDIA LIMITED

MODERATOR : A DFACTORS PR PRIVATE LIMITED – INVESTOR
RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Castrol India Limited's Q4 '2025 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Saugata Basu ray, Whole-Time Director and Interim Chief Executive Officer. Thank you, and over to you, sir.

Saugata Basu ray: Thank you, and good afternoon, everyone. Thank you for joining us on our Fourth Quarter and Financial Year 2025 Earnings Call today. As you are aware, our reporting follows the January to December calendar year. 2025 has been a year of strong and consistent delivery for Castrol India. We had our eighth straight quarter of volume-led growth, closed the year with the highest ever revenue and gained market share in our core automotive lubricants business.

For the full year, volume grew 8% year-on-year, supported by steady demand in the personal mobility sector, our continued scale-up in the industrial business and our deeper distribution reach, particularly into rural India. Our industrial portfolio and our rural distribution delivered double-digit growth yet again, validating the choices we made over the last few years.

The performance also reflects our agile approach, which enables us to navigate market cycles. Business grew from expanding our reach, deepening our relationship with key OEMs from the automotive sector and better execution every day, in line with our mantra, stay close to customers, make smart choices and deliver with discipline.

In the fourth quarter, we saw some momentum. Revenue grew 6% year-on-year, making it our highest quarter-on-quarter revenue in nearly 2 decades, while volume grew by 8%, reflecting sustained underlying demand. However, what is important to note is that this performance came in a very volatile operating environment. As competitive intensity continues, raw material movement and currency volatility persisted through the year.

Our focus remains on disciplined execution, staying close to customers, managing costs proactively and continue to invest in building our brands, bringing new innovations into the market through new products and expanding our distribution reach.

During the year, we moved at pace on innovation, launched new products and localized close to 20 products across automotive, industrial and our specialty range. Some of the major ones include advanced Hysol and Alusol industrial products, the new Speerol range and we upgraded our core offer in the personal mobility car space, which is Castrol MAGNATEC.

We also launched new products in the Auto Care range. We continue to strengthen our distribution and our relationship with key OEMs across automotive ecosystems. We also forged a collaboration with Triumph Motorcycles for our brand, Castrol POWER1 and signed an MOU with VinFast Auto India to support their EV after-sales at Castrol Service Centers.

Our brand building initiatives reached an unprecedented scale, touching 300-plus million consumers and trade professionals through multichannel campaigns such as the Garmi Mein Bhi Castrol India Limited

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3x Protection Castrol guaranteed on our commercial vehicle oil range, along with establishing our presence across multiple major racing events.

These efforts deepen the brand's connection with consumers and trade alike. On the distribution front, we continue to expand our market reach. Our distribution network now covers more than 150,000 outlets nationwide. And the Castrol Auto Care portfolio is now available across e-commerce, modern

trade and another 67,000 outlets in physical retail stores.

Service network has also grown. We now have a network of 750 Castrol Auto Service points across the country, and we reached 30,000 bike work shops and more than 11,000 multi-brand

retail outlets. Rural distribution continues to scale up. We are now at over 40,000 rural outlets, and we have over 500 Rural Service Express installed in the country. These network expansion initiatives ensure our products and services are available to consumers wherever they need it. Sustainability and community engagement remains a core part of our ethos. We introduced India's first RRBO-based engine oil. RRBO stands for Renewable Refined Base Oil for BS-VI engines and co-engineered with leading OEMs. We also scaled up our community programs such as Sarathi Mitra through highways as classroom initiatives that reach truck drivers across 46 locations in Uttar Pradesh.

Now before I speak further, I will hand over to Mrinalini to take you through the financials in a bit more detail. Over to you, Mrinalini.

Mrinalini Srinivasan: Thank you, Saugata, and a very good afternoon to everyone. Let me start with the full year performance first. In fiscal year '25, we delivered strong results. Our revenue from operations grew 7% year-on-year to INR5,722 crores. EBITDA for the year stood at INR1,348 crores, which represents a 5% year-on-year increase, supported by strong volume growth and operating discipline like Saugata just said.

Profit after tax reached INR950 crores, up from INR927 crores in the prior year. These gains reflect healthy operational execution and a good product mix. Despite input cost volatility during the year, we were able to manage margins through disciplined cost control, pricing and mix optimization, while continuing to invest behind brand building, distribution expansion and capability development.

Let me turn to quarter 4. Revenue stood at INR1,440 crores, which is up 6.4% year-on-year basis. And profit after tax for the quarter was at INR245 crores, which is about 8% sequentially higher than quarter 3 and it reflects the improved operating leverage as volumes came through the year. PAT was down from INR271 crores in quarter 4 '24, though, which was impacted by onetime Labour Code-related changes in this quarter.

Most importantly, our full year EBITDA margin, which reflects the structural health of the business remained healthy and cash from operations was robust, underpinning the quality of our earnings. From a balance sheet and cash flow perspective, the business continues to remain strong and resilient, supported by healthy cash generation and continued financial discipline.

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We managed costs and working capital tightly, which supported profitability even in a high-growth environment. This disciplined approach enables shareholder value creation, and we maintained a strong balance sheet while returning cash to the investors.

In recognition of this performance, the Board has recommended a final dividend of INR5.25 per share, taking the total dividend for the year to INR8.75 per share. This reflects our commitment to consistent shareholder returns while ensuring that we retain flexibility to invest in the business.

I now hand it back to Saugata to share our outlook.

Saugata Basuray: Thank you, Mrinalini. Looking ahead, we expect India's mobility landscape to evolve steadily rather than change overnight. Internal combustion engines and hybrid engines will continue to form the backbone of the market for the foreseeable future, even as new technologies gradually scale up.

Sustained economic growth and low per capita penetration of cars and bikes should continue to support the core lubricant demand in the personal mobility space. At the same time, government-led manufacturing initiatives are expected to underpin growth in

the industrial segment.

That said, we remain mindful of competitive pressure, the volatility in raw material prices and currency movements. These are realities of our operating environment. We are focused on keeping an eye on them and responding as and when the environment changes. Our response is clear, strengthen the core automotive business, accelerate supply chain localization and grow in adjacencies where customers are seeking value, including services and solutions.

With our scale, distribution reach, strong brand and deep customer relationships, we believe Castrol is well poised to adapt to the shifts in the environment and continue building a resilient and future-focused business. Thank you, and I'm now happy for us to take questions. Thank you very much.

Moderator: The first question is from the line of Naeem Patel from Bastion Research.

Naeem Patel: Am I audible?

Saugata Basuray: Yes.

Moderator: Yes, you are audible. Yes.

Naeem Patel: Yes. Hi. Thank you for this opportunity. So I had some questions regarding our supply side of the business. So when we use lubricant additives in our products, so are these lubricant additives sourced internally or do we source it from some external supplier?

Saugata Basuray: If I could just repeat the question so I've understood it. Your question is the additives that are used in the lubricants, are these sourced internally from within Castrol or bought from vendors?
Is that what you asked?
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Naeem Patel: Yes, from one of the -- either from the big 4, is it from external or big 4 is it just from Castrol internally? Yes.
Saugata Basuray: So we have a variety of options across our entire range of automotive and industrial grades. There are certain additives, core molecules that we develop internally within the global Castrol system. We have technology centers, as you may be aware, across the world. And there are certain additives, which we have procured -- or which we procure from our global partners who supply specialized additives for specific applications. We do both.
Naeem Patel: And is there any mix like how much of it is internal or how much of it is external?
Saugata Basuray: Well, it depends on the product range, right? And a typical product in automotive will have multiple additives, right? So you would say a majority of that is something that we source from our strategic partners.
Naeem Patel: Okay. And is one of those partners, one of the big 4 lubricant additive players like Infineum, Chevron, Lubrizol or Afton?
Saugata Basuray: We work with all four of them in different segments.
Naeem Patel: And just a follow-up on that, that do we have like a long-term agreements with them? Or do we switch our mix on a quarter-to-quarter or a year-on-year basis? And if we do switch from one supplier to another for a particular period, what factors do we consider that has led us to switch from one supplier to another?
Saugata Basuray: So I'll give you a broad answer. Typically, this is driven by our innovation requirement. As you know, this is a brand-led business, which we are looking to deliver value to customers that they are seeking. And whatever is the best suited chemistry for that, then we go and figure out what -- which is the right molecule to put into the product to deliver that benefit. So that's the way we approach it over time.
And there are different segments within Castrol. There is commercial vehicle cars, motorcycle, industrial, so on and so forth. And there are different suppliers who have strengths and we accordingly work with them in each of the sectors.
Naeem Patel: Understood. And just one final question. Do we procure from any of the Indian suppliers in this aspect? Or are they just the global vendors?
Saugata Basuray: We have a variety of suppliers. As you can imagine, I can't give specific name, but we have a whole va-

riety of suppliers, global as well as local.

Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital.

Nitin Tiwari: So my first question is actually a bookkeeping one. Can you give me the volume number for the quarter in million liters?

Mrinalini Srinivasan: Mr. Tiwari, very nice to talk to you. We engaged even last quarter. So thank you for rejoining our call. While specifics of how many million liters we don't usually share. I think what you

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Saugata speak at length was that it is sustained volume growth. As we close the financial year '25, in fact, all 4 quarters, we've been able to deliver high-single-digit, 7% to 8% volume growth. So I think that is what we really tried out. And the other good thing is it is a bit more diversified across all our portfolio that we play, automotive, rural, of course, and in the industrial part of the portfolio. Yes, I will perhaps at this point leave it at that.
Nitin Tiwari: Thanks for that, Mrinalini. But I suppose we've been sharing this number historically in the calls, like in the earlier calls since I asked this question because you've been very specific with the volume number. And it would be great if you can like give us the volume number for this quarter as well?
Mrinalini Srinivasan: I understand. Let me help you a little bit there. Of course, I won't get specific. It has been a good year for us, and we have seen upwards of 60 million liters in all our quarters. So we definitely are celebrating a good year's closure for us.
Nitin Tiwari: About 63, 64 would be a good ballpark for this quarter?
Saugata Basuray: It's upwards of 60 in quarter 4 of last year. And every quarter, if I may just respond, has a certain seasonality in our business because there are different times of the year where the agri business is big and certain times of the year, the automotive, the core motorcycle businesses respond and have some demand. And we anticipate that we will have similar seasonality this year, and we

will hold on to our guidance of growing our volume at 1.5x to 2x the market growth rate. We expect it to grow anywhere between 3.5%, 4%.

Nitin Tiwari: That's fair, Saugata. I'm just referring to this quarter because you mentioned that you've grown at 8% for the year and also 8% for the quarter. So hence I asked that 63 million liter to 64 million liter a good ballpark for quarter 4 to understand the volume number?

Saugata Basuray: Yes, broadly ballpark. We'll keep it at that. Typically, quarter 4, quarter 1 is slightly different, but you can hold it around that range.

Nitin Tiwari: Okay. Sure. So -- and my second question...

Mrinalini Srinivasan: [Inaudible 0:15:53].

Nitin Tiwari: Sorry, you were saying something, Mrinalini. I -- yes. Yes, secondly, my question was...

Mrinalini Srinivasan: So I was just saying that your estimate is a good estimate.

Nitin Tiwari: My second question is with respect to your margins. So our operating profits have grown by about 5.5%, whereas volume growth has been at 8% as you indicated. So we've seen a margin compression in this year vis-a-vis previous year, right? So what are the key reasons for that?

And how should we see this number going ahead?

Mrinalini Srinivasan: So, Nitin, you would recollect that we had given a guidance that we will operate in the EBITDA margin range of 21% to 24%. As we close the year, we are actually closing right at the top of range at 24% EBITDA margin.

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Moderator: Ma'am, I'm sorry to interrupt you. Ma'am, I'm sorry to interrupt you. Can you please repeat because your voice broke in the middle.

Mrinalini Srinivasan: Okay. I'm going to repeat one more time. Is my voice better now?

Moderator: Yes, ma'am, much better. I would request you to speak in the same manner, ma'am, please.

Thank you.

Mrinalini Sr

inivasan: I'll do. Thank you. Thank you for letting me know. So Nitin, as I was saying, we've given our guidance as operating margin, obviously, EBITDA margin in the range of 21% to 24%. And as we closed the financial year '25, we actually closed it right at the top of range, almost at the 24% mark.

So from that sense, we are very much within our guidance, and we are actually happy with that result. But you identified the mix correctly. As we grew volumes high single digits and EBITDA grew about 5%, 5.5%, there is a dilution. And we've spoken about this earlier as well.

As we expand, as we change our business mix towards the industrial side of the portfolio, we know that we cannot operate at the same level as an automotive industry does. So that level of dilution we expect we anticipate, and additionally, we have chosen to invest in the business. We are in a growth journey. So we -- you will see our fixed costs also growing, we focused on the investment buckets. And both of those have played out well for us, which is why you see the 5% return.

Nitin Tiwari: Thanks. That's a very elaborate one. [Inaudible 0:18:10]. So given that you mentioned your focus is shifting towards industrial, I mean, demand. So is data center, like demand something which you think is a reasonable one which can come up in the years to follow? And what's your assessment of, like, you know, potential demand from data centers in the time to come?

Mrinalini Srinivasan: Okay. Let me try to recap the question and then between Saugata and I, we will try to address it. I think, Nitin, your question was on data centers. Your question was do we see Castrol in data center business as a growth opportunity.

So let me take a shot at it and Saugata can build on. So it is indeed very, very small for us right now. We are at a very early part of the journey. Being a part of the global Castrol, we do benefit from the research and development, which has brought us to this place where we have a solution for cooling in data centers, very small in India today. And given the role that India will play in overall data centers for the world, more so looking forward, indeed, we do think it's a good opportunity for the future. Saugata, over to you.

Saugata Basuray: Yes. I'll just build on what Mrinalini was saying. I think two things. This is a market which is growing fast. It's also changing quite quickly. And fundamentally, what large data centers require is to cool the servers, which are immersed into liquid that can conduct heat, but not electricity.

The technology that was used and used in many other places today is pure air conditioning, that is moving to immersion coolant. So opportunity is evolving. It is moving very fast. We think it

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is going to be a big market out there. We have trials that are ongoing. And we will see how -- as the market stabilizes, what is the size of the opportunity. It's still at a very early stage to project.

Nitin Tiwari: I understand that, Saugata. But I suppose like it's an early stage in India, but can you help us with any figures that we have from Castrol Global?

Moderator: Mr. Tiwari, your voice is also muffled. So if you could use your handset, please.

Nitin Tiwari: Sure. Just give me a moment. Is this better than before?

Moderator: Yes.

Nitin Tiwari: Yes. So I was saying, Saugata, if you can help us understand from any of the figures that we can source from Castrol Global in terms of how much data a center demand is Castrol Global catering to and that will help us have an understanding on the potential for demand in India?

Saugata Basuray: I won't be able to comment on the global demand, honestly. But what I can tell you is large demand is coming out of markets such as the US out of China, parts of Europe and India, of course. And again, as I said, you will have seen all the announcements on terawatt

s of data

centers being created, but a lot of that is very early stage of execution. And at this stage, it's not completely clear what is the technology that is going to be used on it, right? So as I mentioned, it is something which will evolve and that's the case even globally.

Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Services.

Sabri Hazarika: Yes. Sir, looking at your annual volume run rate of say, around 240 million liters, 250 million liters, are you like fine with the current capacity of your plant? Or is there a thought process of like expanding capacity or something like that?

Saugata Basuray: Yes. Look, we have been growing very strongly as you have picked up, and we have three plants in India. We feel that at the moment we are adequately equipped to release capacity. There are always process transformation programs which are in play, and we'll be able to support the growth for the next couple of years at least.

Sabri Hazarika: Okay. And I think you've mentioned FY -- CY '25 capex to be somewhere at around INR130 crores, INR140 crores. So I think INR150 crores. So that is the run rate we can expect going ahead also? And CY '25 was INR150 crores or was it different?

Mrinalini Srinivasan: So Hazarika, let me take that question. We invest capex and really, it's a growth driver for us. We invest it in two forms. One is in our plants and building capacity for innovation like Saugata just spoke and making sure that we can enable all the new launches that he also spoke about in his speech, which is about half my capex.

I also -- we also invest capex in -- in our -- to enable our distribution growth. So in our dealer boards as well as in the market, and you know the Rural Service Express investment as well. So overall, between the two buckets, we spend about INR100 crores of capex, and that is a trend that we have -- we've demonstrated in the past.

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As we look forward, we -- what we know for sure is we will invest when the investment pays out. And given our strong structural margin, we know that every time there is a growth proposal, it pays out. So capex is not a constraint for us. We have kept a healthy cash balance sheet, and we will invest wherever there is a business need.

Sabri Hazarika: Right. Got it. And just one small follow-up. Your dividend payout this time has been around 91%. I understand in CY '24, there was a special dividend. But is 90%, 91% the sustainable rate right now for dividend payout?

Mrinalini Srinivasan: Indeed, that's a good question, and I'm hoping the shareholders are happy with what's given out right now. 90% is industry-leading payout ratios, and I'm very happy that we're able to do that. Last year was the celebration of the 125th year of Castrol because of which we had -- globally because of which we had given that special dividend.

And we always look for such occasions to sort of delight our shareholders. Nonetheless, even without those special dividend, our payout -- dividend payout is usually 4.8%-4.5%. So -- and that's something we really want to sustain.

Moderator: We'll take the next question from the line of Lokesh from Aionion Capital.

Lokesh: Yes. The first question is with regard to the BP, the patent company. It recently announced that it is selling stakes, 65% to be precise, in Castrol global lubricant business. So how could this impact Indian shareholders in terms of brand licensing agreement, R&D support from BP's global centers and basically, long-term strategic direction and the new ownership?

Saugata Basuray: Thank you for the question. Let me try and address that. As you rightly said, the global announcement was made in December, which was subsequent to a strategic review that was also flagged early in the year. So at the parent level, BP has signaled that they will form a joint

venture with an investor, where BP will remain a 35 % shareholder and the investor will take 65%.

I must caution that this is all subject to regulatory approval and we expect the transaction at some point to close toward the end of the year. As and when that happens, there would be -- if there are any regulatory related disclosures to be made, the new shareholders will do that.

To your question on what may or may not impact, very early, it's business as usual for us over here. And Castrol and India particularly remain a very big market for Castrol globally. And we are focused on executing on our plan. And we think that those are the matrices which have created that kind of value for our shareholders, including the ones who have invested.

Lokesh: Yes. Thanks for the reply, sir. And the second one is with regard to EV fluids. We have been talking about EV fluids for a few quarters now. Can you give us any like quantitative update with regard to OEM approvals received in India in the last 12 months or the current run rate of EV fluid sales and the kind of margin expansion that we see with EV compared to ICE products?

Saugata Basuray: Right. Okay. So look, the demand for EV fluid is directly proportional to the number of EVs being sold in a year, right? And you would know from publicly available information that the

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number of 2-wheeler EVs is roughly 10% of the total new vehicles sold in each year and in cars, that's about 5% to 6%, okay?

The good news is that we have access to the best technology on the EV fluid front, which is developed by our global team. We have a center of excellence in Europe on EV fluids. And in India, as things stand today, about 70% of the OEMs, especially in cars, they have approved Castrol products and are used in a lot of the vehicles over there. But again, the population is quite small. So therefore, it is not a material part of our business today, but we are prepared and ready to cater to the demand as that business scales up.

Lokesh: Yes, I get it, sir. But just a bit on that, how would we see the margin expansion that we see?

How -- is there any like higher margins with the EV fluid sales compared to ICE?

Saugata Basuray: So there are certain segments in which the EV margins are better. Like when you say ICE, there are a whole range of products that we sell, starting from commercial vehicle engine oil, we have grease, gear oil and then we have the high-end synthetic products that go into cars. Those margins are higher. On an aggregate basis, I would say the EV margins would be at the same range as if you have a core automotive business.

Moderator: We'll take the next question from the line of Vijay Pandey from Nuvama.

Vijay Pandey: Sir, sorry, the -- this is first time I'm coming to the con call. So I may not be well-versed with much details about previous calls. I wanted to understand how are we -- what is our expectation because of the upcoming EV growth? So how do we see the transition between the -- from that? So how much impact will it be on our numbers going forward in midterm as well as in the long run?

And in the case of -- because of the increase in PHEV and hybrid sales, does that also carry lower contribution for our -- like does PHEV and hybrids have a lower sales, per unit sales for Castrol or is it at similar level as compared to ICE? So that would be my first question, sir.

Saugata Basuray: Right. Okay. So I -- if I'll rephrase or I'll recap the question you mentioned, because the voice was not very clear. To make sure that I've got it. You're asking what is going to be the impact of the transition into EVs in mobility space in the medium and long-term? And does hybrid also have an impact on demand for lubricants? Is that -- are those your two questions?

Vijay Pandey: Yes, exactly.

Saugata Basuray: Okay. Thank you. Got it. So the first

thing I would say is, look, we believe that the transition to

low-carbon mobility is going to have multiple pathways for that. What do I mean by that? I mean that there are efficiencies to be had in the existing ICE powertrains, which is already happening and the regulations that are making those engines much more efficient.

Then there are multi-fuel engines, which are being introduced in the market. So you have a lot of manufacturers now selling vehicles, which are either on CNG and even some people are experimenting in heavy commercial vehicles with LNG. And then you have hybrids and EVs.

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And all of these are happening in service of efficiency and bringing down the carbon intensity in mobility space. So the second point I would make is the penetration level of personal mobility, especially in India, is quite low today when you compare to middle income and developed markets, right?

So the headroom for growth on motorcycles and cars remains very robust, and we can see that in terms of the growth that you see in new vehicle sales registered last year. So there are about

4.5 million cars being sold in the country, and there's another 18 million to 20 million 2-wheelers being sold in the country.

The contribution of pure EVs within that today is still small, okay? But the contribution of multi-fuel or alternate fuel vehicles, CNG, LPG, LNG, all of that is growing. All of them, along with hybrids require lubricants. And we have products -- in fact, for hybrids, we have a new range of product called HYSPEC and all of those are available.

Our estimate is in the medium term in India, hybrids and ICE will remain in the backbone of the market. And as and when EVs do scale up, we have tie-ups with all leading OEMs in 2-wheelers and in cars, and we will cater to that demand, too. I hope that answers your question.

Vijay Pandey: Yes, partially. So does the EV also...

Moderator: Mr. Pandey, I'm sorry to interrupt you. There is a lot of background noise at your end, sir. I would request you to move to a quieter place and also please, your handset to ask questions, so that we have more clarity on your questions. Thank you. You may please proceed.

Vijay Pandey: Is it okay now?

Moderator: Yes, sir, much better. Please continue.

Vijay Pandey: Yes. So I wanted to check -- so does the EV also require -- like say, requirement of lubricants and CVs should be lower than the requirements of lubricants in ICE and hybrids. Is this understanding correct?

Saugata Basuray: On a per unit basis, the EV require less -- is likely to require less number of liters of product. The application of lubricants, the application of fluids and EVs can be in two places that -- and it's evolving. There are certain batteries that require immersion coolant technology where the coolant enables faster charge and better discharge rate for the batteries and therefore, prolonged life of the battery, and that is a high-value product.

And there are certain cases where the EV transmission fluids have dielectric coolants in that, whereby it cools the motor, the transmission at the same time, it removes heat but does not conduct electricity. So the application or use cases change, and these are differentiated products and therefore, not something which we can compare clearly with the lubricants that are going into ICE engines.

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Vijay Pandey: Okay. Perfect. And so, if I consider 2030, so how do you see our product mix changing between autos and industrial? And within autos, the hybrid, ICE and EVs? If you can just comment on that actually would be pretty helpful?

Saugata Basuray: So your question to -- up to 2030, the contribution change between automotive and industrial and within automotive, the contribution change. Is that your question?

Vijay Pandey: Yes. Yes.

Saugata Basuray: Okay. So today, predominantly, our business has been automotive, but we have informed all our investors a couple of years back that we want to scale up in industrial and the industrial business has delivered double-digit volume growth. Our core business has delivered single-digit, high-single-digit growth.

I anticipate that profile of growth from the industrial segment will continue, okay? So therefore, over time, going up to 2030, which is just about 6 years -- about 4 years away, the contribution of the industrial business on the volume side is going to be higher than what it was and what it is in -- what it was in 2025.

Within the core lubricants business, we see growth coming through in all 3, that is the commercial vehicle, cars and bikes. Different parts of the country are growing differentially. So our 2-wheeler business, motorcycle business has been -- is growing very strongly, driven by our reach into rural India, where based on media reports, you will see that anywhere between 1 and 2 or 1 in 3 new 2-wheelers are being sold in rural India. And that's why we have invested heavily in terms of increasing our distribution role in the last few years.

That is bearing results. We anticipate that will continue, and that's what is going to drive our motorcycle category growth, where we have leading -- we are the market leader with a brand called Castrol Activ. In cars, it's a big city play. Again, we are leading in the market with a brand MAGNATEC and GTX. We anticipate that is going to grow faster in terms of percentage growth compared to 2-wheelers because -- just because the penetration level of cars is quite low.

In the core commercial vehicle business is resilient, low single-digit growth, which is linked to growth of freight. There, we anticipate the businesses to move beyond the diesel, as I mentioned earlier, the multi-fuel vehicles going in the market. So we'll have products which can be used or which are used in powertrains that use CNG in commercial vehicles.

We also have products that are used for last-mile mobility, your sub-1 ton delivery vehicles that you see in cities. And that will contribute to the growth in commercial vehicles, but those are going to grow at low-single-digit.

Moderator: The next question is from the line of Dhaval Popat from Choice International Limited.
Dhaval Popat: Congratulations on the results and thank you for the opportunity to ask question. My question is on base oil. So I see a recent announcement where there has been partnership with HPCL and it has been trying to revive the used engine oil for base oil. So I understand 50% to 55% of base oil is currently imported. And so can this percentage go down going forward?
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And how much incremental base oil can be procured from this partnership? My question is primarily to do with your gross profit, so more you get it domestically, the lower the impact of FX and higher profits. So how do you see your base oil being procured locally? That's my first question.

Mrinalini Srinivasan: Maybe, Dhaval, let me take that. Firstly, welcome back. I remember speaking with you last time as well. So you are right, we do import about slightly more than half of our base oil is imported and the rest is bought locally. And that is a trend I believe we would like to continue because as we buy locally, we save a little bit on freight and it's better cost for us.

It's also better response like the lower inventory, lower lead time. So it's the right strategy. That being said, I heard your underlying question within that was, does it really protect us from the foreign exchange fluctuations. There, infinitely, it doesn't, because at the end of the day, base oil is a commodity, and it does -- it is really back to the dollar price that is a globally tracked metric.

So while we save a little bit on costs

that, what we don't really protect ourselves is on foreign exchange fluctuation, which is why our discipline on cost saving, on pricing and on hedging is very important, and we continue to focus on those strategies. Did you have any other question, Dhaval, related to this? The HPCL MOU. So let me hand over to Saugata, and he can talk about that.

Saugata Basuray: Yes. I think on the HPCL piece, Dhaval, that is an MOU that we have signed with HPCL to explore -- the two companies coming together to explore what can -- what we can do to help and develop a base oil RRBO ecosystem in India. So one of the big challenges that we have determined, which is coming in the way of a very vibrant RRBO ecosystem in India is the challenge on collection and last-mile collection.

And given the reach of Castrol and HPCL and different segment, we are exploring what could be ways of working together to try and get that going. And that in itself should then help at some stage to develop an RRBO industry in India. So that's at a very early stage of scoping out.

Dhaval Popat: Okay. That helps. And I understand you domestically procure base oil from PSUs and IOC are coming up with more refineries for more output of base oil. So is there already some contracts in place? Are you guys already talking to them regarding procuring domestically? Or can you shed some colour on that?

Saugata Basuray: Yes. So we -- as you rightly picked up, we source base oil domestically from the PSUs. And there has been -- there's a new base oil plant that IOC has commissioned with Group III. So we are in conversation with them. And as and when that scales up and as requirements creep up, we always look at what is the most efficient way to source our base oil. And we are quite agile and tactical in terms of making choices as and when opportunities open up to bring efficiency.

Moderator: The next question is from the line of Mandira A from Investo.

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Mandira A.: So I have a couple of questions. Could you please share the current revenue mix between B2B and B2C segment? And additionally, what is the product mix breakdown within automotive segment, specifically from -- on PCMO and MCO category?

Mrinalini Srinivasan: Let me give it a shot, Mandira. The industry is still heavily retail focused. So I would say almost about -- out of my automotive sales, 65%, 70% still is in the retail segment. Balance would be, let's say, in franchisee workshops, etcetera. I think your second part of the question was about industrial versus automotive. Is that correct?

Mandira A.: Yes.

Mrinalini Srinivasan: Yes. So I think Saugata alluded to this earlier. Automotive is a big part of our business today. Industrial is still relatively small at about 12, 13%, but growing very fast, and we expect that share to go up.

Mandira A.: Okay. Additionally, what was the advertisement and promotion spend as a percentage of revenue for most recent quarter?

Mrinalini Srinivasan: So you'll see these in our published financial results. We maintain it actually at a healthy 2%,

3%. As of the financial year '25, we closed at 3% of revenue into advertising and sales promotion.

Mandira A.: Great. In the recent commentary, you mentioned continuing to strengthen the relationship with key OEMs. So which new automotive OEM have you tied up with?

Saugata Basuray: We just -- so we continue to work with the largest OEMs in the country, which is again in the public domain. We work with the Tatas, both commercial vehicle and passenger cars. We have been one of the early partners of Maruti Suzuki when it commenced operations in the country.

We work with 2-wheeler OEMs as well as with some of the EVs, which we talked about. So Tata Passenger Electric Car and likes. So the point that we made on the announcement, we continue to invest in strengthening that relationship. For example, on the off-road side, we work

with JCB and we keep -- we develop products which specifically meet their requirement, and that is what we have invested in.

So that -- those are the relationships that we continue to nurture. We also made an announcement a few months back that we had signed an MOU with VinFast as they enter the country and help them meet their requirement for aftersales service for the EV cars.

Moderator: We'll take the next question from the line of Vipul Kumar Anopchand Shah from Sumangal Investments.

Vipulkumar Shah: I was disconnected from the call for 5, 10 minutes. So I don't know whether my question has been answered or not. So can you give the split between automotive and industrial? And within automotive, what are the subsegments like 2-wheeler, 4-wheeler and commercial vehicles?

Saugata Basuray: Mr. Vipul, good afternoon. Indeed, your question was picked up just before by Mrinalini. So I'll reiterate what I'd said earlier. Our automotive business is the largest part of our portfolio

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historically and remains so. Industry is around 10% to 12%, growing faster than automotive. So automotive is growing in high-single-digit, industry growing in double digits. So the ratios will change.

Within automotive, we have a pretty diversified business. So we have a sizable commercial vehicle business, which goes into trucks and agri. We have a market-leading position in motorcycles with Castrol Activ. We're the largest operators in that segment. And we have also got a market-leading position in cars. And therefore, across all three, we are material players, and that contributes to a very diversified and resilient business in automotive.

Vipulkumar Shah: So what is your overall market share and how it has moved over, say, last 2 years?

Saugata Basuray: So market share has gone up in the automotive side. So if you look at Nielsen, which is a third-party provider of market share. In the automotive space, our market share has gone up by 50 bps at the end of the year, and it is in the early 20s. And this is at an overall automotive level, covering commercial vehicle, cars and 2-wheelers.

Moderator: The next question is from the line of Harsh, an Individual Investor.

Harsh: Yes. So I was asking, we get a volume-based discount for the volume that we sell from our parent in the December quarter, right?

Saugata Basuray: We get volume-based discount from our suppliers of base oil and that -- those are some of those contracts are global. So it comes from the suppliers.

Harsh: Okay. And it's in December quarter. So did we get that in this quarter? And I just wanted to understand because usually, we see a margin hike in the December quarter, whereas this quarter -- I just wanted to understand what happened. Did the [4X, 8R, that hike that we get?

Mrinalini Srinivasan: Maybe let me take that, Harsh. I, in fact, alluded to this in -- earlier in the commentary as well.

I'll just answer this question from an EBITDA standpoint. Average for the year, I closed at about 24% EBITDA, whereas if you see Q4 margins were healthier at 26%, and that's actually the primary reason for the quarter 4 EBITDA margins being high. And you will see this as a trend in every year because indeed these base oil rebates come to us at the end of the calendar year.

Harsh: Okay. Fair enough. And my other question was when do we take our annual price hikes? And what sort of price hikes can we expect in the next year?

Saugata Basuray: So we look at the market. We benchmark ourselves to our key competitors, and we have a certain price range within which we operate. At the same time, we are very mindful of the cost inflation currency movements.

So as and when there are opportunities where we see we are bringing new innovations in the market or we see the cost inflation going beyond the range that we operate in, we take pricing

action. And that's what we have done. That is the approach we have taken for the last several years, and we'll continue to remain in that way.

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Harsh: Okay. So it's not a fixed time thing. It's as and when we see something pop up, we react accordingly.

Saugata Basuray: No.

Harsh: So -- okay, fine.

Saugata Basuray: Yes, it's not a fixed time.

Moderator: The next question is from the line of Keshav from Kotak.

Keshav: I just had one question. What is the reason for more than 200 bps decline on Y-o-Y EBITDA margin? So last year, if I can see the EBITDA margin was closer to 27.8% in 4Q. And this year, it is around 25.5%. So what's the reason for that?

Mrinalini Srinivasan: Let me take that, Keshav. Thank you for the question. Indeed, you have spotted the trend right. It is on a percentage margin basis, it is lower versus same quarter last year. And I think the reasons are a few of the factors that we have discussed in the call. For example, structurally, we know that we are -- we are growing faster in the industrial business versus the automotive business, and that will have a certain play on the margin.

Secondly, because I'm sure you are also very well aware, the foreign exchange exposure to dollar to dollar -- euro has been very, very steep in the fourth quarter. So from a macroeconomic-led standpoint, we did have an input cost inflation. And like Saugata just said, we don't take knee-jerk reaction. So we have a structural intervention in play to address such macroeconomic trends. And those structural interventions take some time to see -- to hit the market. And hence, Q4 saw a little bit of dilution behind those macroeconomic trends as well. And then -- so overall, nonetheless, like I just shared with the previous question also, we landed at 26% of the -- as an EBITDA margin, which is still beyond our guidance of 21% to 24%. So I think we are still in a very healthy zone.

Moderator: The next question is from the line of Viraj Yatish Mithani from Jupiter Financial.

Viraj Yatish Mithani: My question is regarding data centers, the coolant used in data centers. Can you give some colour on that when this business will become -- will be starting and what kind of growth we anticipate in this?

Saugata Basuray: I think the growth percentage is not the main criteria because the business is very small today. So, it will rapidly grow on a very small base. When will it become material is a bit difficult to project at an early stage because the data centers that have all been announced are still at an early stage of execution. So, we will have to see how that space evolves into data centers being established.

And then there is also a technology change that is happening. The early data centers are being cooled conventionally with conditioning. The new data centers in search of efficiency and scale are looking for immersion coolant where they dip the servers inside fluids, immersion coolant fluids as we call them, which are dielectric. And that is where these products are sold.

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So, there is one element which is to understand how far the new data centers are executed and put on the ground. And the second bit is to understand how many of them and how quickly -- and helps people scale up and run data centers efficiently. So we'll need a bit more time to quantify to understand how big that opportunity could be.

Viraj Yatish Mithani: I think it's 4, 5 years away, right?

Saugata Basuray: Could be. Could be. Could be sooner than that, too.

Moderator: The next question is from the line of Jay Shah, an Individual Investor.

Jay Shah: Sir, in previous con call, we have mentioned around the pilot study being done with the data center players for the liquid cooling technology. Can you give some -- any further update on the same?

Saugata Bas

uray: Yes, I can tell you that there are those pilots that are happening in India. Our global technology center of developing data center fluids is in the UK and we have a team which is looking into it, and they're working with certain large hyperscalers in India to develop that.

We also have a tech center in India in Patalganga, which further optimizes some of these products to make them suitable for use in India. And we continue to work with some of the people who have announced data center projects for India. So those pilots are still on.

Jay Shah: Would it be possible for you to name them? And when can we expect the commercialization of the same?

Saugata Basuray: Well, you can understand, I can't name them. It is their business, so that won't be appropriate for us. All I can say is that we are working very closely on the tech front to help them solve for

removing heat, which enables them to operate data centers more efficiently.

And that is where our technology comes into play, both the global technology center in the UK as well as the work that our technologists in Patal ganga, which is near Mumbai, do to optimize the products for Indian environmental conditions. So as and when those -- some of those arrangements close and those data centers are scaled up, we would make the necessary disclosures and announcements.

Moderator: Thank you. Ladies and gentlemen, we are at time. This brings us to the end of the call. On behalf of Castrol India Limited, thank you for joining us, and you may now disconnect your lines. Wish you a good day ahead. Thank you.

Call: May 2026

castrol.co.in

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Castrol India Limited

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4 May 2026

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai – 400 001

Scrip Code: 500870

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra East,

Mumbai – 400 051

Scrip Symbol: CASTROLIND

Dear Sir/Madam,

Sub.: Transcript of audio recording of the Post Earnings Call for 1Q FY 2026.

Pursuant to Regulation 30 and 46 read with Para A Part A of Schedule III to the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the audio recording of the Company's post earnings call for 1Q FY 2026 with analysts/investors held on Wednesday, 29 April 2026 is enclosed.

The same is also available on the website of the Company and can be accessed on the following link:

https://www.castrol.com/en_in/india/home/investors/information-for-shareholders.html

under Investor Call Details → 2026 → 1Q FY 2026.

Kindly take the same on record.

Thank You.

Yours faithfully,

For Castrol India Limited

Hemangi Ghag

Company Secretary & Compliance Officer

Encl.: A/a (castrol

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"Castrol India Limited

1Q FY 2026 Earnings Conference Call"

29 April 2026

From 12.30 p.m. to 1.15 p.m. IST

MANAGEMENT (CASTROL INDIA LIMITED):
MR. SAUGATA BASURAY – WHOLE -TIME DIRECTOR
AND INTERIM CHIEF EXECUTIVE OFFICER

M S. MRINALINI SRINIVASAN – CHIEF FINANCIAL
OFFICER & WHOLE -TIME DIRECTOR

MODERATOR: ADFACTORS PR PRIVATE LIMITED – INVESTOR
RELATIONS

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Castrol India Limited
April 29, 2026

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Moderator: Ladies and gentlemen, welcome to 1Q FY 2026 Earnings Conference Call of Castrol India Limited. Please note that all participant lines will be in the listen-only mode and you can ask your questions after the opening statements. If you need assistance during the call, please press star then zero on your touchtone phone to reach the operator.

Also, please note that this conference call may contain certain forward-looking statements, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties, which are difficult to predict.

We have with us Mr. Saugata Basuray, Whole-Time Director and Interim CEO, Castrol India Limited; and Ms. Mrinalini Srinivasan, CFO and Whole Time Director, Castrol India Limited. I now hand the conference over to Mr. Saugata. Thank you, and over to you.

Saugata Basuray: Thank you, and good afternoon, everyone. Thank you for joining us. We appreciate your continued interest in Castrol India. Let me start by acknowledging the broader context in which we are operating. This quarter has seen, amongst other things, continued macro uncertainty. And towards the end of the quarter, we saw the early signs of external headwinds driven by the conflict in the Middle East.

These have started to reflect in currency movements and raw material prices in the last several months. Against this backdrop, our focus remains unchanged, consistent execution of our strategy, drive profitable growth and build a resilient business. Before I hand over to Mrinalini, our CFO, to talk about numbers, I wanted to take a few minutes to walk you through how the business has performed and the momentum that we are seeing.

The first quarter reflects sustained momentum in the business as we continue to execute our plan. Our rural portfolio continues to grow at high double-digit rate. We have expanded our distribution to now across 40,000 outlets. We've

added 700 Rural Service Express, which cater to bikes. And we focused on expanding our reach directly into villages that have a population below 20,000. This scale gives us deep last-mile reach through which we can make our assortment available to rural consumers.

In urban India, we remain focused on expanding distribution of our premium brands while investing in activation -- activating them in high-density consumption markets, especially for the car segment. As a result, our premium brands portfolio delivered a double-digit volume growth and value growth during the quarter.

We've also been consciously building strong consumer relevance by engaging with large rider communities across platforms like Spirit of Unity and Road Trip United. Our corporate campaign, Har Boond Mein Desh Ki Raftaar, continues to reinforce our role in powering India's progress. Our industrial business, something that we have spoken about for the last couple of years, continues to perform well and delivering yet another quarter of double-digit growth, making a -- sustaining a growth trajectory for multiple quarters now. (castrol

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Here, our focus remains clear: expand our portfolio with multiple Made in India products, uniquely tailor-made for applications in India, deepen our presence with existing customers, continuing to add new customers in our chosen sectors. We focus on services, and we continue

to integrate that into our strategy. Innovation remains central to our overall go-to-market. Alongside localization and customization of industrial products, we are strengthening our new Auto Care portfolio with an expansion of the product ranges that we offer now. We have also signed an MoU with Hindustan Petroleum Corporation Limited to explore Re-Refined Base Oil ecosystem in India. Our service ecosystem remains a strong pillar of our business, 800 Castrol Auto Services at the end of March. We now tapped 34,000 independent bike workshops across the country, and we reached 13,000 multi-brand workshops in cars. All of this has translated into continued market share gain, reinforces that our strategy is delivering as planned.

With that, I will hand over to our CFO, Ms. Mrinalini Srinivasan, to take you through the financial performance this quarter.

Mrinalini Srinivasan: Thank you, Saugata. Good afternoon to everyone on the call. Building on the strong operating performance that Saugata just spoke about, I'm pleased to share the results and numbers. We have delivered our 12th consecutive quarter of stable revenue and volume growth. Our margins remained within our expected operating band despite early signs of cost pressures. We continue to maintain strong cash flows and a robust balance sheet.

What I would like to highlight is the predictability and quality of our earnings even in a volatile environment. You already have seen our detailed results and numbers. What we have delivered is a revenue growth of 9% to INR1,545 crores. Our EBITDA increased by 7% to INR329 crores, and our profit after tax rose 4% to INR242 crores.

Towards the end of the quarter, we began to see geopolitical developments starting to impact our operations. While currency-related pressures have been building ever since September, we additionally saw raw material costs increase a little bit. Our response has been proactive and structured, taking calibrated pricing action where required, driving cost-control measures across the business and strengthening supply chain resiliently through diversified sourcing.

At this stage, the impact is visible, but we hope to navigate this potentially inflationary environment confidently. We've also strengthened internal levers to ensure great agility in decision-making, fast responsiveness to market changes and continued protection of our core business fundamentals. Our capital allocation approach remains consistent, disciplined

deployment, strong cash generation and a continued focus on shareholder returns, balanced with future investments.

With that, I turn it back to Saugata for his closing remarks.

Saugata Basuray: Thank you, Mrinalini. So, before we open up the line, let me briefly address a couple of areas that are likely to be on everyone's mind. First and foremost, the evolving situation in the Middle East. At this point, while there's no significant material disruption on supply chain, we are seeing increased pressure on sourcing, both in terms of cost as well as unpredictability of lead times. (Castrol India Limited)

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Our sourcing strategy has been always diversified, and we are not dependent on any single geography, but we have an eye on this, and we are working through that. More importantly, over the years, we have built strong structural capability to manage such cycles. So, we have strong supplier relationships in place, and we are planning our inventory with an eye on extended lead times.

From a customer standpoint, our priority, first and foremost, is to be a reliable partner during times of uncertainty. We are focused on ensuring continuity of supplies to our customers and maintaining a certain discipline in our financial frame while we do all this. So, the situation is evolving. It is affecting how we source some of our key inputs that go into the lubricant manufacturing business, particular feedstocks, but we are staying resilient.

Secondly, on discussions around shareholder development at parent level. As you know, the deal is subject to closure after various approvals across the world are received, regulatory approvals.

From Castrol India standpoint, there's no change in our structure, strategy or operating model.

We continue to operate as a strong independent listed company with a strong balance sheet, as Mrinalini just spoke about. Our focus remains firmly on executing our growth strategy, delivering consistent performance and building shareholder value for the long term.

In summary, while the underlying momentum remains very strong, the external environment is increasingly volatile. The business fundamentally remains strong. We are actively managing near-term volatilities. We remain focused on delivering consistent high-quality earnings. We will continue to execute our plan of expanding distribution, invest on our brands and bring innovation into the market.

So, thank you for your time, and we'll open up the call for any questions.

Moderator: We will take our first question from the Nitin Tiwari from PhillipCapital.

Nitin Tiwari: Yes. So, my question actually is with respect to your raw material costs. So, we have seen a

sharp increase in crude oil prices in the month of March, and that continues to be the trend in April as well. So, just wanted to understand that. Has that translated into our raw material cost as well in the January to March quarter? Or that flow-through is yet to happen?

And secondly, like therefore, your direction on gross margin as well, how are we going to navigate if there is an increase in raw material costs? So, what will be the time lag before which like that can be passed on through price rectifications? So, that would be the first one.

Mrinalini Srinivasan: Nitin, maybe let me answer this. If you have further, you can ask later. Thank you for your question. I think I'm sure this question is on multiple people's minds, so I'll try to address and give a little bit of clarity. You are right, our main feedstock, which is crude has indeed shown huge increase in costs. Similar increases are visible in packaging materials. We are expecting similar in fuel. We've also seen similar in many of our additives, other components that go into the manufacturing costs. (castrol

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Now in quarter 1, you are very fair in asking whether it indicated impacte

d my cost or not. Given

the inventory cycle, we saw minimal impact of these raw material increases into the COGS that we reported in quarter 1. I spoke about it in my comments. The currency fluctuation definitely impacted us. Many of these are imported for us and we pay in dollar, and the dollar rate versus last year is down -- I mean, the rupee is down by about 6.5%, 7% versus same period last year. So, to that extent, my COGS in Q1 was impacted, but the majority of the cost increases that we are talking about, we are now pending 2Q. But our strategy is relatively simple. Saugata spoke about it. Top priority is to secure our customers, and make sure that the entire pipeline that goes into making the final product is ready. And we are really working on that with urgency. Saugata spoke about it. We will have diversified supplier network so that we can minimize any supply gap.

Nitin Tiwari: Great. I understand that, Mrinalini. I just wanted to understand what is the typical time lag before which -- I mean the price is actually passed on, if at all, to the consumers?

Mrinalini Srinivasan: Yes. That's what I was -- I was coming to that, Nitin, as a second point. Structurally, the objective of the company is -- we want to maintain our structural margins in the medium to long term. In the short term, we may see a little bit of [inaudible 0:12:11]. Long term, we want to go back. Saugata spoke about it. We had [inaudible 0:12:15] at the beginning of April, actually towards the end of March. [inaudible 0:12:20].

Yes. Nitin, I'm going to try one more time. And if you don't hear me, let me know. The point I was just making to close the point was that indeed, pricing -- we do consider pricing. We have taken one round of pricing already end of March. And we keep our structure and gross margin right in front of us to make sure that if there's any future volatility, we will also address them as a combination of pricing and cost-cutting measures.

Nitin Tiwari: Understood. And my second question, Mrinalini, would be a book keeping one. So, what is the overall volume in this quarter? And also like our operating costs went up by about 23% Q-on-Q and about 10% Y-o-Y. So why was that?

Mrinalini Srinivasan: Yes. So, on volumes and on revenue, I think you would see that our revenue -- top line revenue has gone up 9%. So, it's a high single-digit result. Our volume is very much similarly in line. So, high single-digit is what we have delivered also on volume.

Nitin Tiwari: Any specific number would be helpful, Mrinalini, please, if you can help me with that.

Mrinalini Srinivasan: 7% to 8% volume growth is what we have delivered for the quarter.

Nitin Tiwari: On a Y-o-Y basis?

Mrinalini Srinivasan: Correct. You're right.

Nitin Tiwari: Okay. All right.

Mrinalini Srinivasan: And now on expenses, you are right. Our overall expenses have grown 9%, in line with the revenue, while revenue grew also 9%. Within this, if you look at specifically COGS, COGS (castrol

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have grown slower and that's because of all the product cost saving and efficiency muscle that we have within the company that the COGS have actually grown slower than volume. And all of our other expenses, I think we are breaking it down internally into structural and one-time. There have been some one-time costs here, but structurally, we have actually grown our gross profit by about 11%.

Nitin Tiwari: Yes. I mean that's an absolute increase and that's possibly volume led. I was referring to the operating expense, which is about INR338 crores, which has grown by about 10-odd percent Y-

o-Y and about 23% Q-on-Q. I was referring to that. So, you mentioned that there are some one-off expenses. If you can highlight what would be the quantum of those one-off expenses and what are they related to?

Mrinalini Srinivasan: Yes. So, see, our big cost buckets are employee costs. We spent

in advertising and media, and

we spend a big chunk of money also as a license to operate in all of our franchisee workshops.

So, we have seen broad-based increase in almost all of them. So the one-time costs that I spoke about are more in the employee cost bucket, which are not structural in nature and that should -

- you should see them going down in the next few quarters.

Nitin Tiwari: So, in terms of operating cost, this is a more sustainable sort of a run rate. That's what we should assume about INR340 crores per quarter?

Mrinalini Srinivasan: No. Like I said, there are some one-time in this quarter. So, they will go away. So the future quarters should be lower than this.

Moderator: Next question is from the line of Dhaval Popat from Choice International.

Dhaval Popat: Thank you for the opportunity and Congratulations for the results. My first question is around the strategy. As you highlighted, the focus is around the motorcycles and now there has been a focus on rural area for about 1 or 2 years that I've been reading the transcripts and the annual report. But what I want to understand is that the key investor question still remains that around the penetration of electric vehicles and the one segment of the automotive where the penetration is the least is, of course, to the commercial vehicles.

Latest Royal Enfield has also launched their electric vehicle bike now, which was still not penetrated. It was only the gearless where EVs were present. So, why is management not really focusing? Or is there a lesser focus on the commercial vehicle segment where there is no penetration of electric vehicle at all? That is my first question.

And second question is around the -- so we have seen the refiners, particularly Indian refiners buying crude at premium. And I understand base oil being procured by Castrol is mainly from Singapore and South Korea. Given the refinery output in Asia is lower and base oil being the output of refineries, do you guys also -- does Castrol also seem to have been charged premium to the base oil prices that are available in APAC region? Or are you able to diversify it enough to keep the premiums lower? Or are there no premiums at all on the diesel prices as of now?

Saugata Basuray: Dhaval, this is Saugata. So, thank you for your question. Before I respond to that, I just want to check whether I'm audible clearly. (castrol

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Dhaval Popat: Yes. Yes, loud and clear.

Saugata Basuray: Okay. Right. So, 2 parts to your question, strategy, the implication of electric vehicle and therefore, the focus on commercial vehicle. And then you talked about base oil sourcing and what's the kind of pricing mechanism around it, right?

So on -- let me come to the strategy first, and I'll unpack it a bit. It's not that we don't focus on commercial vehicle. In fact, commercial vehicle is a big -- a significant contributor to our overall volume, right? What I mentioned was that we have been pushing very heavily into rural India to build our distribution muscle in the last few years. And that is reaping rewards for us in our motorcycle business, which is a very profitable part of our business.

That's happening because most of the new 2-wheelers in this country are being bought in rural areas. So, we are just playing to a strategy where we said to change the growth profile in terms of volume growth in the business, we need to go and tap consumers where they are emerging. So, that's feeding on to our motorcycle strategy growth plan. In commercial vehicles, there are 2 parts to it. There is a heavy commercial trucks business and then you have the tractor, agri business.

Castrol has traditionally been very strong in both. In the trucks, commercial space, we work very closely with Tata Motors, and we had announced that a few years back that we have a partnership going with them. That part of our business has also

grown in double digits. And therefore, we

play a full portfolio across all 3 categories, cars, bikes and commercial vehicles.

I'll briefly touch upon EVs. On EV side as well, we have partnerships going. While this is an emerging space, still small. But from our point of view, we want to be prepared for the future.

So for example, on 2-wheeler EV space, we are working with Ather Energy. We have been in discussion with them for a few years.

We are integrated into their product development thinking and our technology team is working with them on certain products for their future vehicles. Likewise, we have been working with Tata Mobility, electric mobility vehicles, and you'll find that our transmission fluids are there in all the Tata EV vehicles which are on the road. So, we are present across ICE, EVs and in

between because we believe that the pathway to low-carbon mobility will go via conventional ICE engines becoming more efficient.

So, we have thin products, as we call them. These are premium products, synthetic products. We have products, which are compatible for hybrid engine already in the market. We have products, which are now compatible for E20 and gas engines. Those are also in the market. And then we have products and partnerships going on in the EV space. So, that's the first part -- answer to the first part of your question. The second part is about base oil.

We have a diversified sourcing strategy from across the world. We do import a certain percentage of base oil from Singapore as well as from South Korea. This is really driven by the quality and the specification that which we require for certain of our formulations. We equally source base oil domestically as well. We source from the Indian refiners. (castrol

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And depending on what our forecast is over the next few months, we are quite open to sourcing products from other parts of the world so long as they meet our quality requirements. Prices of base oil, depending on what companies have structured into their contracts, usually are indices driven, unless somebody were to buy a spot cargo. So similarly, our term contracts are all indices driven. And as the market moves up or down, we get benefit of that. I hope that answers your question.

Dhaval Popat: Yes, it does. So, my question was more on given there would be scarcity of base oil as well, so is there -- you answered that it is in line with the indices. But is there a premium already being charged by the base oil providers similar to what we saw for the crude producers in the first quarter and now that we are seeing as well? So, is there some premium kind of on that indices as well, or no, that is still not in effect?

Saugata Basuray: So, indices have moved up. So, when I refer to indices -- when I refer to indices, the two indices that you can go -- you can refer to, one is Argus and other is ICIS. And these are publicly available, and those indices will move and they are moving. And therefore, our contracts are marked to those indices.

Dhaval Popat: Okay. This answers my question. I believe there is no scarcity premium as such. It is in line with the indices which are currently running.

Moderator: Next question is from the line of Sabri Hazarika from Emkay Global Financial Service.

Sabri Hazarika: Yes. So, just a clarification on these volumes. You mentioned 7% to 8% growth Y-o-Y, or is it Q-o-Q?

Saugata Basuray: Quarter-on-quarter. 1Q of...

Mrinalini Srinivasan: 1Q versus 1Q. 1Q '26 versus '25.

Sabri Hazarika: 1Q '26 versus '25 is 7% to 8%. Okay. Fair enough. Secondly, so how do you see the margin scenario in the current year given the volatility in the global market? So, we had the EBITDA margin falling to around 21% now versus 23%, 24%. So, do you have a guidance for this quarter, for this year as a whole?

Mrinalini Srinivasan: Yes. Sabri, thank you for the question. So, I'll

take it in 2 parts. Firstly, on the margin itself delivered in quarter 1. You would remember, we always have given the guidance of 21% to 24% will be our operating EBITDA margin range. The reason for always giving this range is because our cost profile from one quarter to the other quarter really differs a lot. And if you now look at the Q4 of last year, we had a very high EBITDA margin of 26%.

But if you look at my Q1 of previous years, you will see Q1 is always the softest quarter because of our cost profile. So in line with that, I don't see a huge dilution in our EBITDA margin in Q1 as we completed the results. Now, looking forward will be a different story because we just acknowledged that there is a lot of geopolitical volatility and a lot of the raw material costs have increased. (castrol

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While structurally, we will recover the structural margin for the company, we will want to go back into that same range of 21%, 24%. There could be some short-term volatility that we will see even in our numbers. We've already taken one round of pricing. Our cost optimization is on 24/7. So, we will try to mitigate any such impact. But in the short term, there could be some impact.

Sabri Hazarika: Right. And just a small follow-up. So, I mean, this \$100-plus oil equivalent of base oil price is yet to reflect, right, in your numbers? I mean, was there any impact in March itself on the base oil price or we'll see them probably in the next 2 months or so?

Mrinalini Srinivasan: Yes. I believe Nitin had also asked a similar question because of our inventory cycles, when the geopolitical scenario started, it was just early March. So, our inventory cycle covered up for Q1. We saw minimal impact. The impact was primarily on foreign exchange. But 2Q onwards, even the raw material prices will start showing up.

Moderator: We'll take our next question from the line of Nilesh Jain from Astute Investment Management.

Nilesh Jain: Thank you for the opportunity, My first question is on the new industry or the new energy, broadly focusing on the data center side. Obviously, we've mentioned that we had been in the pilot stage of the parent company. So, just wanted to understand how it has moved and how it has progressed? And by when can we expect it to start contributing to our business if you can give any broad time lines? And further to that would be, what could be the potential addressable market for us?

Saugata Basuray: Thanks, Nilesh. So as you would know that there's a lot happening in that space. A lot has been announced in terms of new data centers being developed or built in India. The team remains closely in touch with the people who are developing the data centers as well as OEMs who develop the cooling systems solutions around those data centers. So it is beyond pilot. There are trials that are going on, and these are long time cycle capital investments, as you can understand. So as and when they scale up and the developers have firmed up on what is their path, what is the technology that they have chosen for the cooling system, the data centers, then we would be able to see that flow through into our business. We can't make a guidance at the moment because this is not something we are driving in terms of the implementation of -- or the execution of the data centers. But our teams are closely in touch. The products that we have deployed in the country for pilot or rather for trials are the products that are being used in other parts of the world in data centers.

Nilesh Jain: Are we not testing it domestically, or it's only being done at a global level?

Saugata Basuray: No, we are testing. We have tests or rather we have trials that are happening in India.

Nilesh Jain: Okay. Okay. And given the -- we expect the penetration to go -- increase more towards liquid cooling side. So broadly, just wanted to understand so that thing

s will move faster now as
compared to what it has been? (castrol
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Saugata Basuray: So, we'll see. I mean, within liquid cooling as well, there are broadly 2 types of technology. There is the immersion coolant and the direct-to- chip. We have products for both. Depending on the technology which the developers choose, we will have options to participate in them.

Nilesh Jain: Okay. So probably, you would not be able to share any market size for us, right, for now?

Saugata Basuray: Yes. I think it's very, very early for everyone concerned. And we will see because it's an emerging space. We see how it develops.

Moderator: Next question is from the line of Rahul Ahuja from Prescient Capital.

Rahul Ahuja: So firstly, congratulations on a good set of numbers. Just wanted to understand what kind of price increase we have taken in Q1 to address the increase in costs? And my follow-up question will be regarding the advertisement expense in Q1. Can you just give me a broad picture of what this is as a percentage of revenue?

Mrinalini Srinivasan: Yes. Thank you, Rahul. Thanks for your congratulations, and also for the 2 questions. See, Castrol is a relatively diversified business even within lubricants. We have a large retail part of portfolio with bikes, cars and commercial. We also have our partnership with our manufacturers and the industrial part of the portfolio. We don't go with a blanket price increase with any. What we have done is we've been able to narrow down individually for each of their portfolio, what is the cost increase and the intent is to recover any cost increase that we have.

And like I said, balance between price increase and cost optimization. So, I won't be able to specifically answer your price increase percentage question, but all I can tell you is that the intent is to recover margins and hold the margins going forward. Your second question was on advertising spend. You would see our numbers, historically, we've spent about 3% to 4% on advertising and a similar trend has been spent even in 1Q.

Rahul Ahuja: Okay. I just wanted to add one more question regarding -- you said that there's a currency impact. So, in hedging policy with respect to that, is there any percentage which is normally hedged?

Mrinalini Srinivasan: Yes. Yes, we do have a hedging policy. Hedging is a very critical tool for us, which helps us with certainty of foreign exchange. It doesn't really assure us with a lower foreign exchange exposure. So, let me talk you through it. We do have a 60-day hedging policy, and this 60-day roughly links to my inventory cycle.

So as and when we have certain exposure, we go and hedge against that certain exposure. From a raw material exposure standpoint, half of our raw material is locally procured and half of it is imported. So, about half of my COGS is what we hedge for.

Rahul Ahuja: Okay. Any base percentage for hedge?

Mrinalini Srinivasan: Say more. Can you elaborate the question a little bit?

Rahul Ahuja: I just wanted to understand, is there any base percentage for hedging like percentage -- in terms of percentage? (castrol

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Mrinalini Srinivasan: Like I said, half of my COGS is local, which we don't hedge for. Half of my COGS is imported. So, that exposure is my dollar exposure, and that's what we hedge for.

Moderator: Next question is from the line of Rudraksh from Navneet Family Office.

Rudraksh: Thank you and Congratulations on a good set of results. I wanted to understand on the data center opportunity again. While we understand that it's preliminary and difficult to give any guidance yet. But two things if you can share is, one, in terms of our global supply agreements or market share that we have already in place, giving us confidence in terms of the direction in which the business can potentially head to.

An

d also wanted to understand the competitive intensity and profitability in that space, again, at a global level. We totally understand that India is very different in its trial. Success depends on a lot of factors. But if you can share competition as well as profitability there, so to get a sense of where things would end up stacking over a period of time. Is that possible?

Saugata Basuray: Thanks for the question, Rudraksh. Look, at a global level, too, this is a fast-changing ecosystem. A few years back, a lot of the data centers were air cooled. They are then subsequently moving to liquid cooled and beyond that going to direct-to chip because all the data center developers are scavenging for power efficiency.

So the products that we sell serve to meet that requirement of power efficiency. The more heat can you remove, the more efficient the data center becomes. That's the broad sort of area where we are working in. Market share numbers are not available globally, and I wouldn't be able to give you guidance globally what's going on. I can just give you a broad sense of how the ecosystem works.

It is a competitive space, but again, very fast growing and at the same time, also evolving because the technology choices have not been firmed up. which is the reason why we are not in a place where we can start giving guidance. It's too new or rather at a very preliminary stage for us to give some headline numbers in terms of the size of the market and where it's going. I hope that sort of answers your question.

Rudraksh: Partially. If I may actually push in a follow-up, so let's put it this way that the technology evolves and the possibility of the changes continue to sustain. Is it fair to assume that once you are an early entrant or once you actually have entered in a certain offering that a data center chooses to have, is it possible that a coolant or a material comparable, which is used for cooling can be replaced by an alternate supplier later?

And also does the technology allow to switch to an alternate provider once you are into the system or that's not possible? Like I mean -- I didn't mean to ask if you become ingrained into the place and replacements are not possible or a replacement is possible or an alternate coolant, or an effective offering to subsequently refill if possible?

Saugata Basuray: Yes. I think it's a difficult question to put a very clear answer to, but I'll make an attempt. So the model for liquid coolant of data centers are complex. It's not just about charging a liquid in.

There's a whole apparatus in terms of cooling ecosystem. Most of them are closed-loop systems, (castrol

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which means that there are specialized people who manufacture the hardware within which you would have liquids that we manufacturers go in.

And that is a closed system loop, which continues. Whether over a period of time, somebody would replace the liquid with another liquid, perhaps I don't know, honestly, because the business or that industry is not mature, right? But I just thought I'll help you visualize how does the whole system work. One level below that is the approach to that whole liquid cooling.

There are those who are immersing the server blades or the chips into liquid pool, if you were to visualize that. And there are those systems where the chip itself is directly cooled. It's called direct-to chip, where it's integrated on top of a board, which is cooled from beneath with fluids moving around. They have their own dynamics. It's not as simple as taking out one fluid and putting another fluid. But given that the whole technology around it is evolving quite fast, it will be a bit premature for us to make predictions about it.

Moderator: Next question is from the line of Vipulkumar Shah from Sumangal Investments.

Vipulkumar Shah: So, my question is regarding sales mix. What is the contribution of 2-wheeler

r, 4-wheeler,

commercial vehicles, if you can break it down?

Mrinalini Srinivasan: Yes. Vipul, thanks for the question. See, traditionally, Castrol has been very strong in the commercial vehicle space and has really grown also in the 2-wheeler space. So, those 2 combined do become a majority of our automotive sales. I would say together, both of them will be about 60% of our sales.

Cars is an emerging segment. As you can imagine, even India demographically is early on the car penetration stage. The car portfolio for us is also in the early stages. So, that could be another 15%, maybe 20% of our revenue. And then the rest of it is the industrial part of the portfolio.

Moderator: Next question is from the line of Namish Pandya from NP Advisor.

Namish Pandya: So, I have a couple of questions. So, my first question being, as we all know that rural markets are growing well, so how do margins in rural compare with urban markets first? And secondly, can you break down volume growth across rural versus urban markets and even between key segments like automotive and industrial?

Saugata Basuray: Okay. Look, I'll make an attempt on the volume growth story and then Lini will come through and talk about margins. The rural business now has been growing volume-wise on a double-digit consistently now for several years as we build out our direct reach into rural India. The majority of the products that are sold into our rural business, approximately two third of it is motorcycle products. Margins are quite good. They're accretive to the business.

If I look at urban, urban has both commercial vehicles, cars and bikes. The mix is quite different. In terms of margins, for us, we make -- we earn more in cars, followed by bikes, followed by commercial vehicles. In urban centers, our focus is on what we internally categorize as high-density consumption points, which is largely about cars and motorcycles. In those markets, our margins again accretive, right? (castrol

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But there's a large commercial vehicle business that we service all over the country, which is lower in terms of margin compared to bikes and cars. Industrial, fast growing in terms of volume. There are pockets of it, which are very high margin specialized application. But overall, at a weighted average level, the industrial margin would be a bit lower. And again, consistently growing at double digit for the last several quarters now.

Mrinalini Srinivasan: I'll just build on a small anecdotal point on the rural margins that you asked. I think the use cases on commercial vehicles and bikes, which Saugata just said is a big part of our portfolio, actually very closely linked to livelihoods in many cases in rural. And we've also learned that actually owners are very proud owners of their motor bikes also when it comes to rural. So, they really invest in their vehicle.

So, while we have a portfolio of bike oils and we have a portfolio of commercial oils, what we see play out in rural actually is that they tend to pick the Activ, which is the premium for them and it's a high gross margin for us as well as even on commercial vehicles. They tend to pick the ones, which are healthy gross margins for us. So, we don't see rural as a gross margin dilutor for us at all.

Moderator: Since we have last two minutes of the call, we'll take our last question from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.

Kirtan Mehta: Thank you for the opportunity, One question. Coming back on the volume growth. We have narrated that almost all segments like rural, urban, commercial as well as industrial, all of them are growing in double-digit. However, at the portfolio level, we are achieving a 7% to 8% Y-o-Y growth. So, which is the pocket which is probably growing slower and sort of impacting our overall volume growth?

Saugata Basuray: Right. So, Kirtan, what -- th

e rural and urban geographies, right, that's the way we categorize it.

So within that, rural is growing at double-digit. In urban, we further segmented because we think urban has a role to play in premiumizing our mix. The premium portfolio that we sell into urban India, predominantly cars and motorcycles, that also is growing at double digit.

If you remove this, then you have the large commercial vehicle business or commercial vehicle products, which include engine oil for trucks, which somebody asked a while earlier. You have specialty products like transmission fluids and greases. All of this is quite a significant part of our portfolio. It is growing, but not at double-digit, high single-digit, okay? And all of this at a blended level brings us to the kind of growth profile that we talked about.

Moderator: We are at time. This brings us to the end of the call. On behalf of Castrol India Limited, I thank you for joining this call. You may now disconnect your lines. Wish you a good day ahead.

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